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BASIC STATISTICS OF TURKEY

THE LAND

Area, (thousand sq. km)	779
Agricultural area (thousand sq. km), 1995	275
Forests (thousand sq. km)	202

Major cities, 2000 (thousand inhabitants)	
Istanbul	10 033
Ankara	4 008
Izmir	3 388

THE PEOPLE

Population, 2003 (million)	70.7
Per sq. km, 2003	91
Annual rate of change of population, 1995-2003	1.7

Civilian labour force, 2003 (million)	23.6
Civilian employment	21.1
Agriculture, forestry, fishing	7.2
Industry	3.8
Construction	1.0
Services	9.2

PRODUCTION

Gross national product (GNP), 2003 (TL billion)	356 680 888
Gross domestic product (GDP), 2003 (TL billion)	359 762 926
Per head (GDP) (US$)	3 386
Gross fixed investment, 2003 (TL billion)	55 618 335
Per cent of GDP	15.5
Per head (US$)	523

Origin of GDP, 2003 (per cent):	
Agriculture, forestry, fishing	11.7
Industry	24.7
Services	63.6

THE GOVERNMENT

Public consumption, 2003 (per cent of GDP)	13.6
Central government current revenue, 2003 (per cent of GDP)	28.1

Gross public debt, end-2003 (per cent of GDP)	83.5
Domestic	56.4
Foreign	27.1

FOREIGN TRADE

Commodity exports, 2003, f.o.b. (per cent of GDP)	19.6
Main exports (per cent of total exports):	
Textiles and clothing	25.9
Machinery and equipment	13.7
Motor vehicles	11.2
Iron and steel	9.1
Other exports	40.1

Commodity imports, 2003, c.i.f. (per cent of GDP)	28.8
Main imports (per cent of total imports):	
Mineral fuels and oil	16.6
Machinery and equipment	22.8
Vehicle	7.8
Iron and steel	8.0
Other imports	44.8

THE CURRENCY

Monetary unit: Turkish lira

Currency unit per US$, average of daily figures:	
2003	1 493 608
2004 (January-September)	1 416 821

Executive summary

Turkey is at a crossroads. After hitting the most severe crisis of its recent history in 2000-2001, the economy bounced back and is now among the fastest growing economies in the OECD. A new institutional framework for monetary and fiscal policies as well as for product, labour and financial markets, infrastructure industries, and agricultural support opened a window of opportunity to escape from the three traps of *low confidence*, *weak governance* and *high informality* which underpinned the boom and bust cycle of the past and to embark durably on a higher growth path. Success will depend on fully implementing and completing the new policy framework.

Strong growth, sharply falling inflation, large productivity gains and relatively low job creation characterise the ongoing recovery. Yet it is too early to determine at this point to what extent the rebound reflects a transition to a higher medium term growth path. Tight monetary and fiscal policies increased confidence, reduced risk premia and thereby fostered growth; however, the current account deficit has widened. Macroeconomic policy should continue to be based on a high primary budget surplus to improve debt sustainability, and tight monetary conditions to keep disinflation on a steep downward path. Given the strength of the economy and the risk of a further widening of the current balance deficit, the authorities should resist any temptation to loosen the fiscal stance and use additional revenues from higher growth for debt reduction. Monetary policy should remain focused on the requirements of continuing disinflation and smoothing out erratic exchange rate fluctuations.

The quality of fiscal consolidation needs to be improved by reorienting expenditures to priority and growth enhancing areas. A new public expenditure management system has been introduced, based on functional multi-year budgeting and integrated general government accounting. It should be fully implemented by rapidly diffusing the necessary technical know-how in line ministries, and by putting in place an effective audit infrastructure which should help build credibility for the new system and diffuse best expenditure management practices. In the core public services which are particularly critical for growth, such as justice, education and infrastructure services, more proactive policies to rapidly improve service quality are required. As a response to entrenched cost-inefficiencies and low responsiveness

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to user and local needs in public administration, an ambitious fiscal decentralisation is now in the pipeline, transferring large service and spending responsibilities to sub-central layers of government. The reform will also fully separate public funding from private provision of services, and new regional development agencies will co-ordinate infrastructure enhancement and private-sector based economic development initiatives. The principles of these reforms are in line with OECD best practices, but implementation risks loom concerning fiscal drift, diseconomies of scale and quality shortcomings in decentralised services. The authorities need to ensure that fiscal discipline, cost-efficiency and service quality are guaranteed.

The business environment has improved and exhibits many strengths. However, a major problem is the significant extent of unregistered activities, which account for more than 50 per cent of total employment and lead to a narrowing of the tax base. A strategy based on enforcement and economic incentives is needed to reduce the size of the informal sector. This should include less onerous regulations in product and labour markets and shifting the burden of tax and social security charges away from labour. Privatisation should be advanced in order to increase economic efficiency. It would also help to attract FDI inflows. The bank restructuring following the 2001 crisis improved banking regulation and supervision significantly and there are early signs of improving credit funding for investment. However, ongoing reforms of corporate governance structures should be pursued in order to further improve the integrity of the banking system, and the privatisation of public banks would be an important step in that direction. Despite liberalisation efforts in infrastructure industries, competition and private investment in electricity, natural gas and parts of telecommunications remain underdeveloped and services are offered at high costs, especially for business users. Independent sectoral regulators and competition authorities should be fully operational in enforcing competition and adequate rules for price formation and market entry in those industries where monopolistic incumbents prevail.

For Turkey to truly establish a ***new "economic regime" for growth*** based on macroeconomic and structural policy renewal, it is of crucial importance that confidence in government policies remains intact. So far, the convergence with the EU *acquis*, and the close co-operation with the IMF and the World Bank have contributed critically to the momentum of policies. The recent recommendation by the EU commission to start EU accession negotiations – if confirmed by the European Council in December – promises to strengthen the international anchors and could underpin Turkey's shift to a new economic regime.

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This Survey is published on the responsibility of the Economic and Development Review Committee of the OECD, which is charged with the examination of the economic situation of member countries.

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The economic situation and policies of Turkey were reviewed by the Committee on 29 September 2004. The draft report was then revised in the light of the discussions and given final approval as the agreed report of the whole Committee on 13 October 2004.

•

The Secretariat's draft report was prepared for the Committee by Rauf Gönenç, Peter Walkenhorst and Erdal Yilmaz under the supervision of Willi Leibfritz.

•

The previous Survey of Turkey was issued in December 2002.

Assessment and recommendations

Turkey is at a crossroads

After hitting the most severe crisis of its recent history in 2000-01, the Turkish economy bounced back and is now among the fastest growing economies in the OECD. At the same time, the inflation rate has declined sharply and could fall to a single digit annual rate in 2005, for the first time in three decades. A new institutional framework for monetary and fiscal policies as well as for product, labour and financial markets, infrastructure industries and agricultural support has opened a window of opportunity to escape from the boom and bust cycle of the past and embark durably on a path of higher growth and stronger employment. But seizing this opportunity requires fully implementing the new policy framework and further advancing the reform process. So far, the convergence with the EU *acquis*, and the close co-operation with the IMF and the World Bank have contributed critically to the momentum of policies. The recent recommendation by the EU commission to start EU accession negotiations – if confirmed by the European Council in December – promises to strengthen the international anchors and could underpin Turkey's shift to a stronger growth path.

The rebound after the crisis was strong

After slumping by 7½ per cent in 2001, GDP recovered by around 8 and 6 per cent respectively in 2002 and 2003 and should rise by more than 8 per cent in 2004, exceeding government targets. It is driven by strong productivity gains and by robust private consumption, investment and exports, and has not been hindered by cuts in government consumption and investment. Tight macroeconomic policies, based on a high primary surplus and on strict monetary conditions which have kept inflation on a steep downward path, have significantly improved confidence and have

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proved to be expansionary. However, imports are growing faster than exports and the current account deficit could exceed 4 per cent of GDP in 2004; should foreign direct investment inflows remain weak, the deficit will be funded almost entirely by additional foreign debt which could raise concerns about its sustainability. Given the strength of the economy and the risk of a further widening of the current balance deficit, the government should resist any temptation to loosen the fiscal stance and aim at devoting additional revenue gains from stronger growth to debt reduction.

The labour market has remained weak

Output growth has led to little improvement in the labour market in aggregate, as job losses from ongoing restructuring were only very partly offset by job creation in new activities. Employment thus remains subdued in spite of its most recent improvement. The unemployment rate, at more than 9 per cent by mid-2004, was 3 percentage points above its 2000 level, and has reached almost 13 per cent in urban areas and 17 per cent for youths. In addition, labour force participation declined as many job-seekers became discouraged. Employment growth is expected to pick up somewhat as the recovery continues, but high structural unemployment and low labour force participation will remain key policy issues. Indeed, improving labour market conditions is urgent as continuously high unemployment could undermine the social and political support for reforms.

The potential for job-creating growth is high if Turkey overcomes the three "traps" of low confidence, weak governance and informality

Only strong and sustained growth together with structural reforms can help absorb the growing working age population into employment. Indeed, Turkey has an enormous potential for catching-up and job creation. The employment rate, at 46 per cent of the working age population, remains the lowest in the OECD area and labour productivity is currently around 35 per cent of the OECD average. On the basis of favourable assumptions of progressive convergence with the productivity and labour utilisation performance of the southern and central European countries, it is estimated that Turkey could grow at a trend rate above 7 per cent per year. In the past, Turkey could not seize this catch-up potential because it was caught in a vicious circle characterised by three traps:

– Low confidence in political and macroeconomic stability together with high government deficits and debt

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levels led to very high real interest rates, bouts of depreciation and inflation (a *confidence trap*).

– Shortcomings in core public services and institutions with mismatches in employment, wages, resources and duties undermined the quality of services and the efficiency of enforcement in the public sector (a *governance trap*).

– This adverse environment incited private businesses to shift more activities to the informal sector while, with a narrowing of the tax base, an increasing burden was imposed on firms that stayed in the formal sector (an *informality trap*).

Addressing these problems would make it possible for Turkey to enter into a virtuous circle of improved confidence, strengthened governance and increased formalisation that could underpin a sustained period of strong growth.

Ongoing efforts to build a new "economic regime" have the potential to take Turkey out of these traps…

The reform agenda following the 2000-01 crisis, based on the National Convergence Programme to the EU *acquis* and on the Stand-By Arrangement with the IMF, and later reinforced by the Urgent Action Plan of the current government, has indeed aimed to address these problems. This agenda includes ambitious macro-stabilisation and institutional reforms and has been endorsed by two successive governments. The new policies are perceived as prerequisites for the possible opening of accession negotiations with the EU and enjoy remarkable public support. Ongoing efforts to overhaul *the macroeconomic policy framework*, to strengthen the *key public institutions and services*, and to fully establish an *open and business-friendly environment* amount to building a new "regime" for economic growth. They have a potential to durably increase the *confidence* of domestic and international investors, enhance *public governance* and help the *business sector* to increase investment and productivity. Turkey's success in implementing and further developing this ambitious reform agenda will determine its ability to shift to a stronger, sustainable and job-rich growth path. Political stability is supporting this process. If micro-and macroeconomic reforms result in stronger growth, additional resources will become available to pursue social and envi-

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ronmental objectives. If the public perceives that social and environmental dimensions of sustainable development are not left behind but form an integral part of the reform agenda, support for pro-growth initiatives will strengthen.

The Central Bank is acting successfully in a new environment

The establishment of the new macroeconomic settings was of key importance for improving confidence. It started in response to the 2000-01 crisis and has concerned fundamental changes in both monetary and fiscal policy-making. On the *monetary side*, the Central Bank became independent from the government in April 2001, with an explicit price stability objective, and is no longer allowed to lend to the Treasury. While interest and exchange rates continue to be heavily influenced by fiscal policies due to the large public sector borrowing requirements, the Central Bank has been successful in building up credibility over time and is increasingly shaping inflation and interest rate expectations. The process of disinflation has been impressive with the inflation rate declining from 54 per cent in 2001 to 25 per cent in 2003 and to 12 per cent in the first half of 2004. The Secretariat estimates that the inflation rate will continue to decline to 8-9 per cent in 2005. For the first time in three decades Turkey would then have attained single-digit annual inflation. This assumes, however, that monetary and fiscal policies remain on track and that there are no headwinds from exchange rate developments. Both fiscal and exchange rate developments are interrelated; with the high government debt, any loss in confidence would increase interest rates and government net interest payments and raise concerns about fiscal sustainability, thereby triggering a depreciation of the Turkish Lira and an increase in import prices. This would make it difficult for the Central Bank to control inflation. However, with ongoing progress in fiscal consolidation and disinflation, financial market confidence should continue to strengthen so that the *monetary authorities could then gradually reduce interest rates further to improve investment conditions*. Moreover, after having achieved a good track record in meeting end-of-year inflation targets, *the monetary authorities should eventually move from the current "quasi inflation targeting" to a formal targeting framework, which would entail increased transparency and visibility, and hence further strengthen their commitment to achieving price stability*. In parallel, *the Central Bank should continue to smooth temporary imbalances of foreign currency supply*

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and demand in order to avoid sharp exchange rate fluctuations with their potentially adverse impacts on the economy.

Maintaining a high primary surplus remains crucial

On the *fiscal side*, the post-crisis agreement between the government and the IMF on an ambitious primary surplus target of 6.5 per cent of GNP has marked a break from the past and the success in broadly meeting this target has played a key role for macroeconomic stabilisation. The fiscal stance is now more closely managed, as most off-budget funds have been phased out and quasi-fiscal activities are much harder to undertake without corresponding budget appropriations. Nevertheless the Treasury's borrowing requirements and interest payments remain very high. It *is therefore essential to continue with strict fiscal consolidation and the generation of sizeable primary surpluses to foster trust in the government's new fiscal prudence and further reduce risk premia and interest rates over time*. In this context, *the new general government accounting system should be fully and swiftly implemented and integrated with national accounts. The government should continue to stick to existing international policy anchors, such as the close collaboration with the* IMF, *in order to add credibility to its fiscal policy objectives, to maintain and strengthen investor confidence, and to reduce interest payments on sovereign debt.*

Reducing public debt vulnerability should remain a priority

The level and growth rate of public debt became the primary source of macroeconomic vulnerability in Turkey following the crisis, with a public net debt to GNP ratio around 90 per cent in 2001 and concerns in domestic and international markets about its sustainability. The debt stock's short maturity and the large share of foreign-currency linked securities implied particularly high rates of rollover on domestic and international markets, increasing the vulnerability to interest rate and currency rate shocks. Although Turkey has made remarkable progress in restoring debt sustainability with high primary surpluses, lower borrowing costs, currency appreciation and high growth – which all helped reduce the public net debt to GNP ratio to about 70 per cent at the end of 2003 – risk factors remain, albeit to a lesser extent. Any rise in risk premia not only increases the government's current borrowing costs, but immediately reflects on the financing costs of the large stock of liabilities. The latter easily increase or decrease by several percentage points of GNP in response to fluctuations in risk premia. This exposure to market sentiment makes fostering confidence and reducing risk premia particularly important.

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Indeed, political tension, even that arising from non-economic issues, has a major impact on markets. As a result, maintaining today's welcome political consensus in support of the reform agenda is very important. I*mprovements in communication policies could in this context play a role, in particular stressing the widely shared commitment to the reform agenda*. The recent introduction of a more transparent debt management and reporting system will also contribute to better market information and reduce risk perceptions. T*his reporting system should be fully applied to all general government liabilities and non-guaranteed borrowings of sub-central governments and other public sector entities.*

The quality of fiscal consolidation must be improved

While the speed of fiscal consolidation is on track, the "quality of consolidation" has still to be improved. Since a large part of spending is "mandatory" and therefore politically difficult to curb in areas such as public wages and social security transfers, cuts had to be effected elsewhere on an *ad hoc* basis, including in important public services and infrastructure investment. As total non-interest spending could be reduced only slightly as a share of GDP because of pressures from mandatory items, the bulk of consolidation came from tax increases effected on an *ad hoc* basis – and with limited regard for the overall structure and incentive implications of the tax system. Many "temporary" taxes introduced for short term fiscal consolidation also tended to become entrenched. The authorities have now initiated an assessment of the existing tax policy and tax collection procedures, have launched a simplification of corporate and indirect taxes, and are projecting an important overhaul of the tax administration system along functional lines. T*hey should continue to improve the quality of spending so that key public services and infrastructures are no longer crowded out and public resources are allocated according to economic and social priorities.*

The public expenditure management system is being modernised

Public spending has not been managed in the past according to clear policy objectives and there has been no comprehensive accounting framework to measure actual costs and outcomes. But reforms are now under way. The Public Financial Management and Control Law of 2003 brings Turkish budgetary practices closer to international standards. It integrates all extra-budgetary and revolving funds in the budget, requires that functional areas are identified with their performance targets, and legislates a rolling three-year budget

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framework. This system will become operational with the 2006 budget and will pose implementation challenges. *The authorities should rapidly phase-in the specific technical training needed for its application in line ministries; adapt the public personnel regime to permit adjustments in government employment according to policy objectives; and establish the necessary conditions for effective auditing which should play a critical role in the credibility and performance of the new system*. Since public expenditures and government employment are areas traditionally suffering from suspicions of favouritism, *the authorities should make sure that the highest degree of transparency is applied during the implementation process*.

Pension and health care systems are being reformed

In spite of a favourable demographic structure, the low rate of registration of workers, the underreporting of their incomes and drifts in spending are causing growing imbalances in the social security system with an expected deficit of 4 per cent of GDP in 2004. Important parametric changes legislated in the pay-as-you-go retirement system in 1999 increased the minimum retirement age for men and women to respectively 60 and 58, while no such minimum age existed before and workers completing 25 years of service could retire in their mid-40s. Yet the system's fiscal balance will only improve gradually because of the inertia of grandfathered rights. *Authorities should further increase the retirement age and implement the envisaged unification of the three components of the system* (for wage earners, civil servants and self-employees), which would reduce the administrative costs and increase the efficiency of services. The government is also working on a thorough reform of the health system, based on universal health insurance and a full separation of the funding and provision of services. International experience and Turkey's recent difficulties with containing public health spending – notably pharmaceutical costs – call for a careful design of the new system to avoid new spending drifts. *The future costs of introducing universal insurance should be carefully assessed, and the health care package needs to be carefully designed to provide essential services of good quality while containing costs*.

An ambitious administrative decentralisation is in the pipeline

Turkey's highly centralised public administration has been criticised as being not adequately responsive to user and local needs and creating cost-inefficiencies. The government decided to introduce an ambitious decentralisation reform transferring major spending powers to special provincial administrations, metropolitan municipalities and

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municipalities. Regional Development Agencies (RDAs) will also be formed in the 26 newly created regions, to co-ordinate regional infrastructure projects and lead local development initiatives. These reforms have the potential to better tailor public services to user and local needs but they also involve important risks that should be contained. Given the small size and limited human capital of many municipalities, diseconomies of scales may also be created. A*malgamations and service unions between municipalities should be encouraged to exploit scale advantages*. The most important risk is, however, that the "tide" of decentralisation leads to spending drifts at the local level and a weakening of the budget constraint. I*t is therefore of crucial importance to fully apply the new fiscal and debt management framework to sub-central entities in order to limit their overall borrowing and prevent off-budget and quasi-fiscal spending*.

There is an urgent need for improving core public services

In the past, serious gaps and deficiencies accumulated in core public services of justice, education, health, rural development and infrastructure planning and management, contributing to the governance trap for economic growth. The severity of these shortcomings is largely recognised and the government sees the introduction of functional budgeting as an essential technique to monitor and target the quality of services. Given the unavoidable delays in the full introduction of this new technique in line ministries, *the government may wish to directly assess existing service quality, coverage and objectives in the most important core service areas*. In order to focus attention at the highest government level and address the functional and fiscal aspects in an integrated manner, the approach utilised for the elaboration of the social security white paper is recommended. The paper evaluates the present situation and reform options through close co-operation between central economic agencies and line ministries and has been made available for public comment. T*he government should request similar assessments on justice, education, infrastructure development and rural development services*.N*ew policy initiatives should, wherever possible, create room for competition and private provision of services, under regulatory safeguards ensuring service quality and non-discrimination among users*.

It is essential to provide better conditions for private business

The business environment in Turkey was in the past characterised by high administrative burdens and uneven application and enforcement of requirements across firms. Important differences remain between formal and informal

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sector enterprises. Product, capital and labour market reforms have recently been launched with the aim of streamlining regulations and providing the business sector with a more level playing field. These efforts have started to provide companies with more transparent and predictable framework conditions, as well as more supportive physical, technical and legal infrastructures. T*he authorities should continue the regulatory reform process in order to fully establish business friendly administrative practices* and to make it possible for firms to exploit their entire potential for productivity enhancement and employment creation.

Important financial sector reforms require follow-up

The bank restructuring following the 2001-crisis improved banking regulation and supervision significantly and there are already signs of improving credit funding for investment. With the recovery in the economy, postponed consumption is being realised and with declining government borrowing requirements banks turned more towards the consumer credit market. At the same time, sharply falling nominal interest rates fostered demand for credits. As a result, household indebtedness has increased markedly. The Authorities are confident that recent reforms have put in place adequate institutional safeguards to prevent any systemic risks in the financial sector, including those arising from consumer loans. Nevertheless, conditions should be improved for channelling more savings to private investment. R*eforms of corporate governance structures* under way in banks have the potential to improve the integrity of the financial system and *need to be carried through without deviation*. Although draft legislation addresses many corporate governance issues in the banking sector, *adjustments in the ownership of banks, including through privatisation of public banks, would make them less vulnerable to external influences*. In parallel, *the government should encourage long-term equity investment and public listings on the* I*stanbul stock market* in order to foster transparency and expose companies to market discipline.

A strategy based on enforcement and incentives is needed for formalisation

The large extent of informality is a major policy concern. The informal sector employs more than half of all workers. High labour taxes, in particular social security charges, and stringent regulations constitute barriers to becoming formal which trap firms and workers in the informal economy, where

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they are deprived of access to public and banking services and cannot reap benefits from economies of scale. Given the large negative effects of informality on fiscal balances, tax wedges and productivity growth and the complexity of the informality phenomenon, an integrated government strategy is required to reduce it. The authorities already envisage strengthening enforcement through a tax administration reform. While effective application of existing laws and regulations is doubtless of importance, *the government should consider complementing enforcement by improving the economic incentives for formalisation*. The burden is particularly heavy for firms that employ large numbers of workers at minimum wages, such as those operating in regions of high underemployment. The new Labour Code adopted in 2003 has eased the burden of regulations on temporary and part-time employment. These reforms are welcome, but further action in the labour market is indispensable in order to reduce the labour tax wedges. One important element in an overall strategy to reduce informality and tax evasion could be to significantly reduce the social security contribution burden on wages. Indeed, Turkey's labour tax wedges are among the most substantial in the OECD. T*he authorities might, therefore, consider to fund part of the social security charges on labour through other taxes and efficiency gains* (*e.g.* if half of the social security charges would be cut additional revenues of about 2 per cent of GDP would be needed without considering any second-round effects). In addition, *improvements in the conditions of financing of business investment by banks* (*notably via cuts in financial transaction taxes*) *would make formalisation more attractive*. T*he supply of high-quality public services for small-scale firms, in order to facilitate their technological modernisation and access to international markets, would also provide a pull towards formalisation*.

Demand for low-skilled labour should be stimulated with adjustments in minimum wages

To stimulate demand for low-skilled labour in general the authorities should also slow down the growth of minimum wages and reverse the sharp increase in the minimum wage relative to the average wage. Furthermore, they should regionally differentiate the minimum wages, in order to adjust them to differences in the costs of living in different parts of the country and to foster job creation in the poor, high-underemployment areas. As the reduction of the relative minimum wage will also reduce the tax base of those

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employees who are declared at the minimum wage but earn more, it should be accompanied by strengthened enforcement, particularly in sectors and among smaller firms where such under-reporting is most prevalent.

Infrastructure industries need to be opened up

Infrastructure services have for a long time been offered at comparatively high costs, particularly for business users. One major reason for this poor performance is that competition and private investment in electricity, natural gas, air transportation and parts of telecommunications have remained underdeveloped. In response to these problems, liberalisation reforms in accordance with EU rules have been launched since 2001. Some tangible benefits from increased competition have already become apparent, with real fares in air transportation declining by 60 per cent. However, in other infrastructure industries, competition-enhancing rules are not always sufficiently well enforced and in several cases the scope of and the funding sources for public service obligations, notably concerning supply to households and less developed regions, need to be clarified. A step in the right direction is recent legislation which prohibits cross-subsidisation in state-owned enterprises. A further crucial prerequisite for achieving a successful involvement of the private sector will be the phased introduction of a cost-based tariff structure, which would have the added benefit of reducing the rate of growth of greenhouse gas emissions. *The authorities should* address these problems by *providing transparent funding sources for well specified public service obligations rather than relying on cross-subsidies within incumbent firms.* Moreover, *independent sectoral regulators and competition authorities should co-operate to fully implement the existing market rules and facilitate new entries into the monopolistic or oligopolistic parts of infrastructure industries.*

The environment for FDI should be improved

Inflows of foreign direct investment (FDI) have been paltry, amounting to less than 1 per cent of GDP in recent years. The streamlining of procedures in the 2003 Law on FDI is an important step to improve the attractiveness of Turkey for foreign investors. *These reforms should be backed by policies to overcome implementation difficulties.The original approach of identifying problem areas in co-operation with the independent Investor Advisory Council has proved productive and should be continued. The*

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privatisation of public banks and large industrial and network service firms should be an occasion to attract highly-performing international operators to Turkey. Besides generating FDI inflows, privatisation has the potential to significantly improve the efficiency of the economy. A*ny remaining legal and judicial obstacles to smooth privatisation should be cleared in order to encourage international investments*.

A new rural development policy should be adopted

Even though more than 30 per cent of the labour force is employed in agriculture, this sector contributes only 12 per cent to Turkey's GDP, indicating very low productivity. Many farmers, among whom illiteracy is high, limiting access to modern agricultural know-how and technology, still rely on traditional production methods. The recent agricultural policy reforms have started to replace input and production-linked subsidies by direct income support payments, which will expose farmers more directly to domestic and international market competition and thereby improve production efficiency. Deficiency payments for some products and livestock subsidies are still applied. Turkey has very favourable natural conditions to expand its output of labour-intensive, high value-added agricultural produce, such as fruit and vegetables, and could increase its exports of these products, particularly if there is greater opening of foreign markets. However, in order to realise this potential, *an upgrade of the training and advisory services in agriculture is crucial to support farmers in the new, more market-oriented environment with advice on appropriate cropping patterns, new farming technologies, and the improvement of marketing practices*. W*here the overall supply of irrigation water is limited, realistic pricing is necessary to contain demand and ensure that the resource is used efficiently*. N*on-farm rural activities also deserve to be promoted as alternative employment and income sources*. F*oreign direct investment could play an important role in diffusing new technologies in rural areas and should not be impeded*.

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1. Achieving strong and sustainable growth

Turkey at a cross-roads

Turkey is undergoing a period of fundamental change. In the wake of the economic crisis and deep recession of 2001, a number of policy measures were taken to tackle the causes of financial and fiscal instability, to foster a quick recovery, and to create the conditions for further integration with the European Union. A clear course towards debt sustainability was set, fiscal positions were greatly improved, and important progress in institutional renovation, bank restructuring, and public sector reform was realised. As a result, interest rates fell sharply, confidence in the Turkish lira was restored, and strong economic growth resumed.

However, this Survey argues that there remain a number of challenges to putting Turkey on a sustainable path of strong economic growth. During the past twenty years, the country has several times experienced short periods of high growth rates, just to fall back into deep recession soon afterwards. Economic performance has been very unstable and, on average, disappointing (Figure 1.1). Since a democratically elected government resumed political power in 1983, per capita incomes in Turkey have increased by about the same percentage as for the average of other OECD countries, even though income levels in the latter are four times as high as those in Turkey. In other words, there has been no catch-up towards the OECD average over the past two decades.

There are indications that Turkey is now finally putting its economy on a sound and stable growth path. In particular, the government has been achieving its fiscal consolidation and structural reform targets set out in the latest Stand-By Arrangement with the IMF, and important institutional changes have been launched in the context of the Accession Partnership with the EU. Also, inflation has dropped to levels not seen for decades and is projected to further converge towards rates prevailing in other OECD countries (Figure 1.1). On the other hand, confidence in the emerging institutional set-up still needs to be built up, sovereign risk premia and the burden of public debt remain very high, and unemployment has increased, which could possibly undermine political support for the government's reform initiatives.

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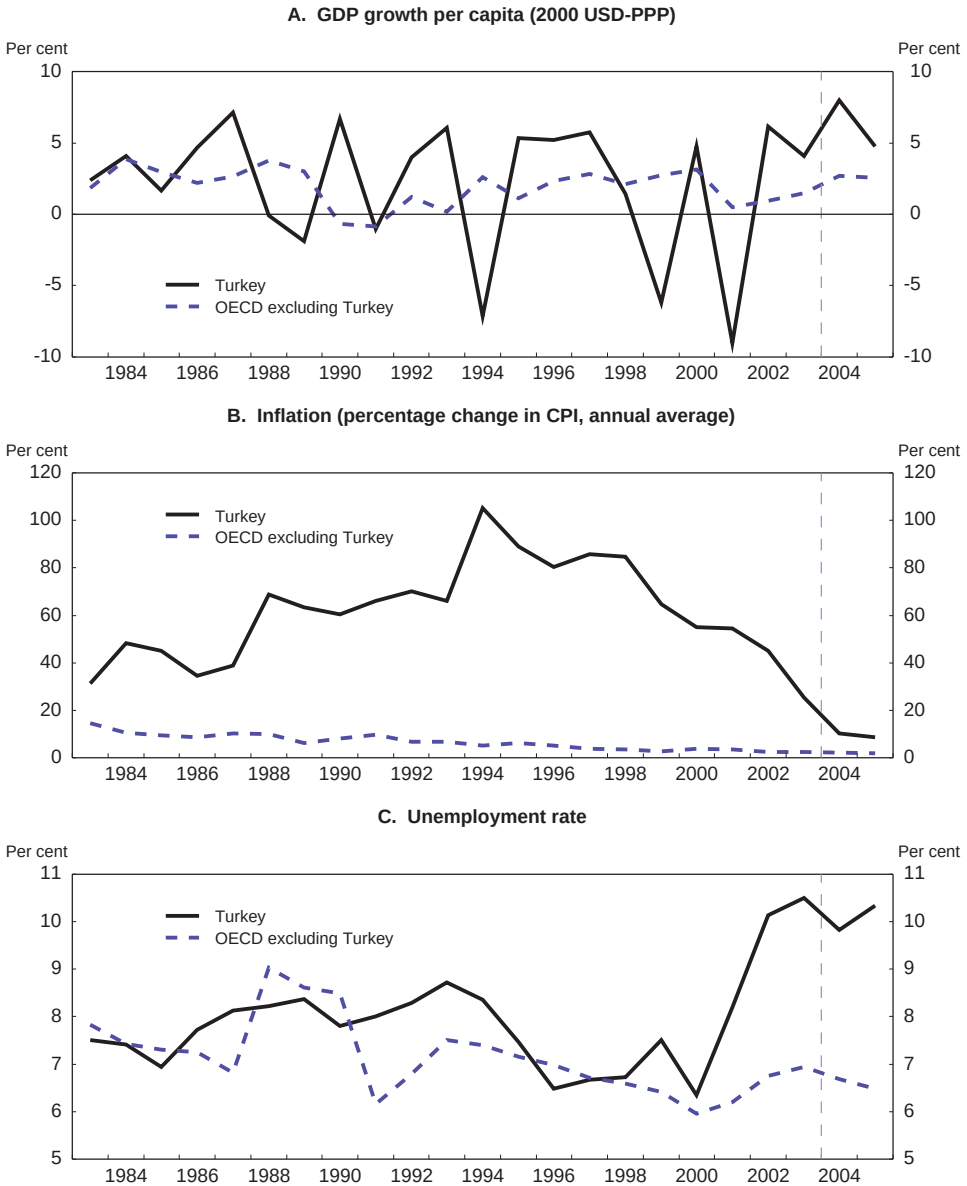
Figure 1.1. **Growth, inflation and unemployment**



1. Projections for 2004-2005.
Source: OECD.

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In this context, a number of questions arise. Can the historical boom-and-bust cycle really be overcome and a stable macroeconomic environment on the basis of the new institutional framework be established? Will the country manage to fundamentally reform its public sector, which is a prerequisite for launching the catch-up process towards the high-income OECD members? Is the modernisation of economic and social institutions that would facilitate further integration with the European Union succeeding? Can growth be reconciled with societal demands for improved environmental quality?

The remainder of this chapter provides an overview of the economic situation and prospects in Turkey to help address these questions. It starts out by putting the country's long-term economic performance into an international perspective and discussing its future prospects before highlighting four key challenges that the country is facing in its quest to achieve strong and sustainable growth. These prominent tasks concern strengthening macroeconomic confidence and reducing risk premia, improving the quality and efficiency of public spending, establishing an open and non-discriminatory business environment, and achieving sustainable development objectives more effectively. The chapter concludes by stressing the linkages between these major tasks, with each of the four subsequent chapters devoted to the comprehensive analysis of one of the interrelated challenges.

Prospects for growth

For most of the post-war period, OECD countries with relatively low GDP per capita grew faster than richer countries. Yet Turkey's growth performance over the past two decades did not conform to this pattern. During the 1990s, in particular, average growth was disappointing, so that some observers describe this period as "the lost decade". Labour resource utilisation fell and productivity growth slowed down, resulting in one of the lowest average growth rates among OECD countries (Figure 1.2). There has been a widening of the gap instead of a catch-up towards average OECD income levels, and Turkey remains the poorest country among OECD members. At US$6 100 per capita (measured in purchasing power parities), per capita income amounts to merely a quarter of the OECD average and less than 17 per cent of US levels.

The income gap is due to shortfalls in both of the two components of per capita income (Figure 1.3). Turkey's labour resource utilisation is the lowest in the OECD to the extent that the share of total employment in the working-age population is about 40 per cent lower than that in the United States. Concerning labour productivity, the gap *vis-à-vis* the United States is similar to the one observed for Mexico and amounts to almost 70 per cent. One reason for the very large productivity gap is the limited extent of capital deepening in Turkey. Non-residential capital inputs per worker and per capita, respectively, have been estimated at only 25 per cent and 16 per cent of US levels (Farrell, Meen and Başer, 2003).

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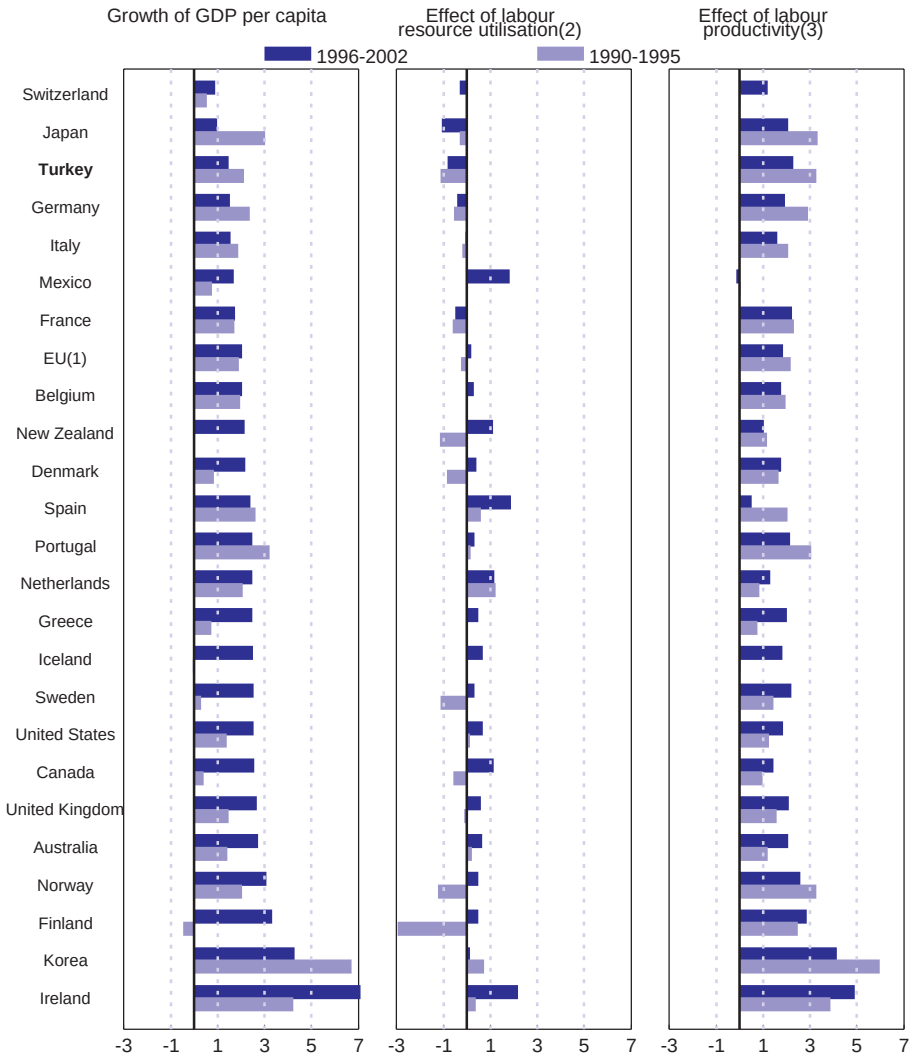
Figure 1.2. **The sources of differences in per capita income growth, 2002**

PPPs, 1995



1. European Union: 1994-2002, excluding Austria and Luxembourg, 1990-1993, excluding Austria, Greece, Luxembourg and Portugal.
2. Labour resource utilisation is measured as trend total number of hours worked divided by population. Information on hours worked for Austria, Luxembourg and Poland is not available.
3. Labour productivity is measured as trend GDP per hour worked.

Source: OECD.

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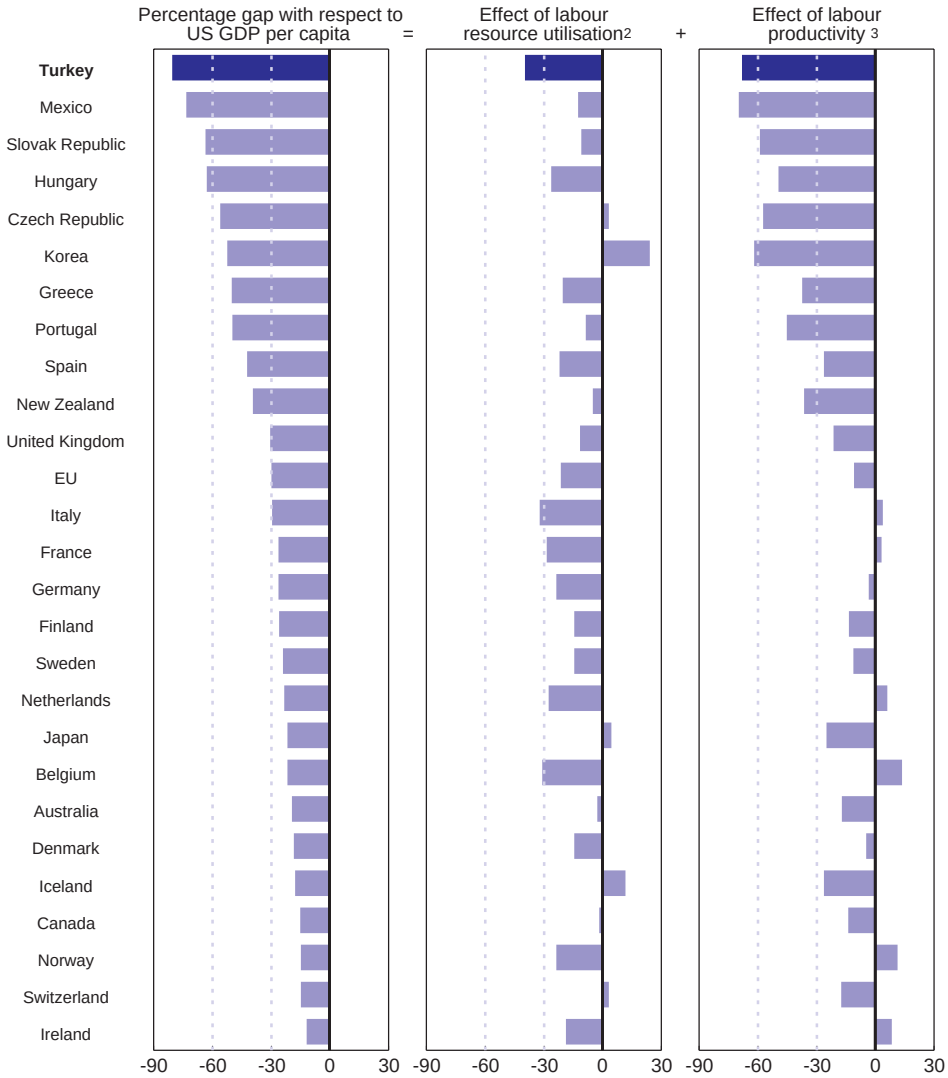
Figure 1.3. **The sources of real income differences, 2002**

PPPs, 1995



1. Percentage gap with respect to the United States level.
2. Labour resource utilisation is measured as trend total number of hours worked divided by population. Information on hours worked for Austria, Luxembourg and Poland is not available.
3. Labour productivity is measured as trend GDP per hour worked.

Source: OECD.

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Productive investment has been hampered by political instability, high and volatile inflation and high real interest rates. Domestic bankers and businessmen have tended to invest a large share of their funds in high-yielding government securities, rather than face the uncertainties of longer term investments in physical plant and equipment. Thus, public borrowing has to a significant extent crowded out private investment. An unfavourable business environment has also affected capital inflows from abroad, so that Turkey has attracted very little foreign direct investment (FDI). The ratio of FDI stocks to GDP is one of the lowest in the OECD and notably falls short of that in Central European countries, which have much shorter experiences as market-based economies. Moreover, Turkey is one of the very few countries in which FDI penetration since 1980 has decreased against a global trend of surging cross-border investments (Figure 1.4). If Turkey manages to jump onto the FDI-bandwagon and attract foreign investors to a similar extent as some Central European Countries have in recent years, the country's economic potential would increase substantially.

Increased foreign direct investment would not only bring additional physical capital to Turkey, but also deepen its managerial and technological expertise. Among OECD countries, Turkey and Mexico spend the smallest proportion of their income on research and development (R&D), with Turkey devoting a mere 0.67 per cent of GDP to R&D activities in 2002. The country also lags behind on indicators of technology use and patent registration. On the other hand, Turkey has a young and growing population. At around 1.4 per cent per year,[1] the population growth rate is among the highest in the OECD. About 30 per cent of all Turks are under 15 years of age. With such a large share of the population of school age, there is a chance to quickly upgrade the skill-level of the workforce by equipping graduates with up-to-date knowledge. Yet, the education system will have to adapt in order to provide the high quality services needed to fully exploit Turkey's people-based potential for innovation and dynamism.

The high population growth also means that in order to avoid a further increase in unemployment, increasing numbers of jobs will need to be created to absorb the newcomers to the workforce. The unemployment rate has been rising and has been in double-digit territory for most of the recent period, even without considering individuals that have been discouraged from looking for a job due to poor employment prospects. Moreover, female labour force participation is very low and has fallen from 36 per cent in 1991 to 24 per cent in 2004. This sharp decline indicates that the low participation rate is not entirely culturally determined, but also due to socio-economic factors, like increasing migration to urban areas where there are fewer employment opportunities for women and weaker social networks to care for children and the elderly.

In addition, there is significant underemployment in the large informal sector and in agriculture. Value-added per worker in industry increased by a quar-

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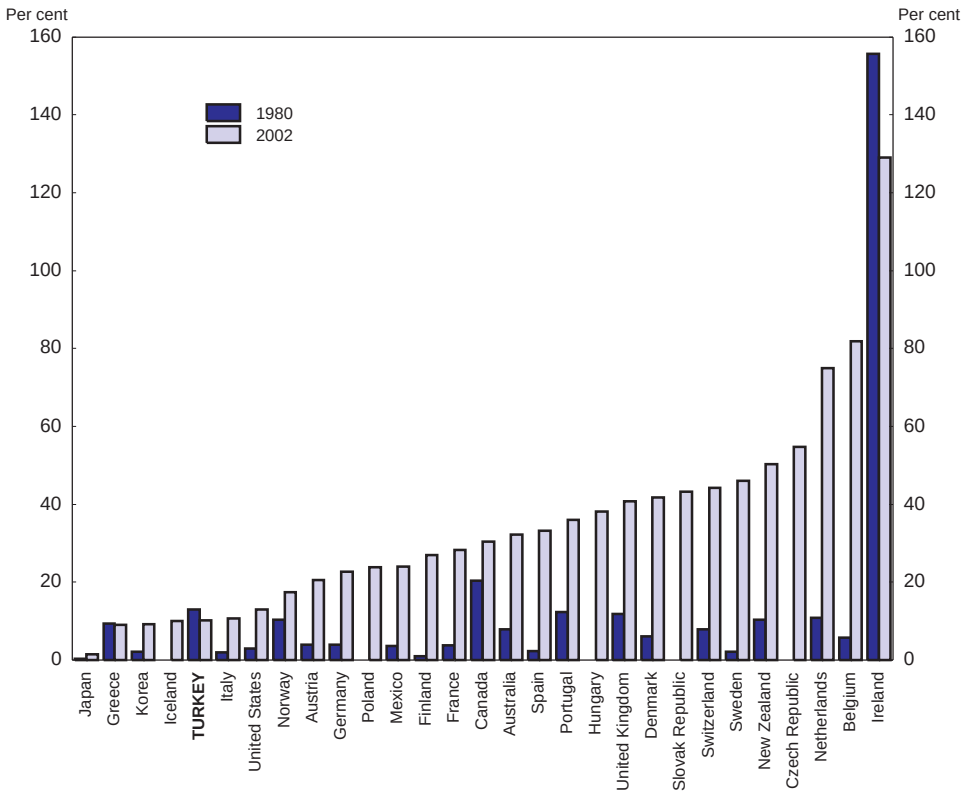
Figure 1.4. **Ratio of FDI stocks to GDP**



Source: UNCTAD, 2003.

ter between 1985 and 2000, while in agriculture it declined by 20 per cent over the same period (Figure 1.5), indicating that the rural economy has absorbed large numbers of the otherwise unemployed. This buffer function of agriculture might now be reaching its limits after the recent reduction in agricultural subsidies, which has further reduced output per worker in that sector. Low-productivity employment is also prevalent in the informal sector, not least because of limited access of unregistered enterprises to sources of external financing and technological know-how, and consequently low physical and human capital intensity. Official statistics put the share of the working age population that is not in full employment but is in principle available to the labour market at 13 per cent in urban areas and 33 per cent in rural areas (Figure 1.6).

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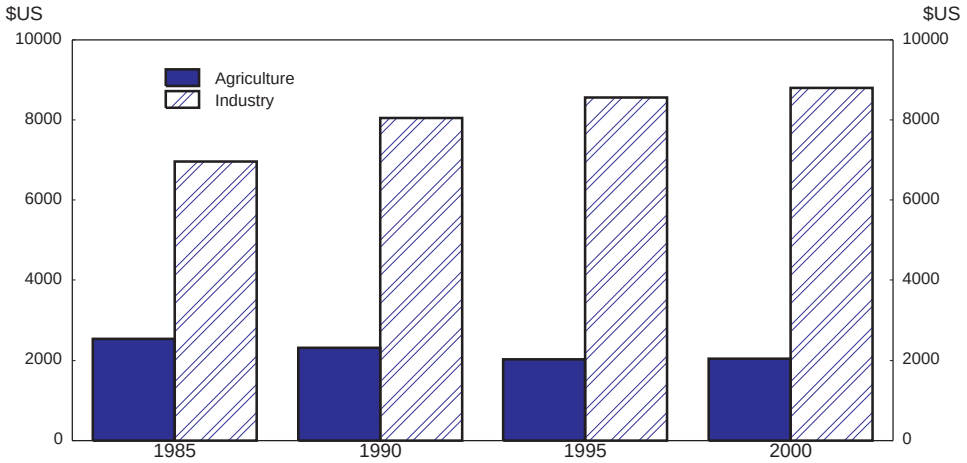
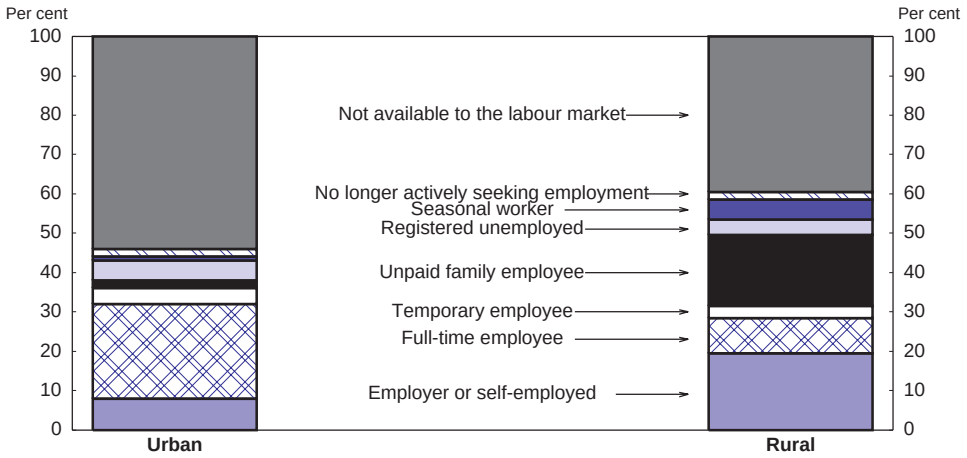
Figure 1.5. **Value-added per worker**
1995, US dollars



Source: World Bank(2003).

Figure 1.6. **Status of the working age population (over 15 years)**
2003



Source: State Institute of Statistics, 2004.

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The extent to which Turkey can realise improvements in labour productivity and labour utilisation depends crucially on the policy choices that are made. There seems to be a broad consensus among policy makers that a fundamental strengthening of the key institutions of the market economy is of central importance. After some initial hesitations, the new, single-party government that came into office in autumn 2002 fully endorsed the reform programme developed in co-operation with the IMF, and has since then continued to work closely with international financial institutions and the European Union. Depending on how well the reform intentions are put into practice, several development paths appear possible with marked differences in growth outcomes (Box 1.1). External factors such as international interest rate developments, export market growth, and political stability in the region, will play a role, but Turkey's willingness to further develop and fully enforce the ambitious structural and institutional reform agenda will ultimately make the most important difference.

Policy challenges for achieving strong and sustainable growth

The OECD's Growth Study (OECD, 2003) identified a number of factors that have been crucial in OECD countries for achieving strong and sustainable increases in living standards. In particular, countries' choices with respect to macroeconomic policy, product market competition, barriers to business start-up and closure, labour market flexibility, research and development, and education and training were found to explain why some economies grew faster than others. The aim of accelerating economic development in Turkey requires policy makers in this context to continue to deal with the three traps of *low confidence*, *weak governance* and *large informality* which have in the past prevented stronger sustained growth:

- Escaping from the *low confidence trap*: The lack of trust of international and domestic investors in the country's ability to preserve political and macroeconomic stability constituted a self-reinforcing destabilising force as political and economic shocks provoked capital flight and generated strong currency and interest rate adjustments that fed into acute crisis situations. These shocks became more severe after the full liberalisation of capital movements in 1989, which gave borrowers greater access to international markets but at the expense of higher risks. In such circumstances, only activities with very high expected returns and those receiving large government subsidies attracted sizeable private funds, leaving other areas of the economy relatively neglected and undercapitalised. The resulting poor growth made it more difficult to overcome Turkey's fundamental macroeconomic problems, not least because it failed to stimulate the confidence required to support a successful and durable stabilisation effort. More recently, political stability, a new fiscal and

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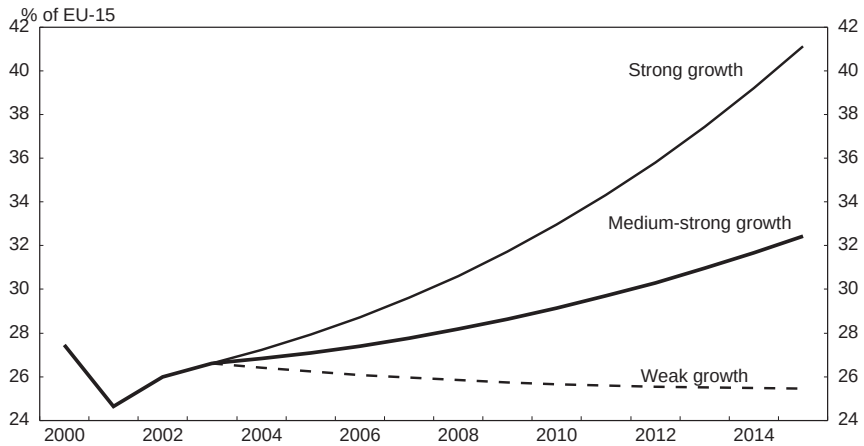
Box 1.1. Medium-term growth scenarios

The extent and quality of investment growth will play a crucial role in determining the growth potential of the Turkish economy. If Turkey manages to attract substantial amounts of foreign direct investment, additional employment would be created and new technologies and management practices would boost total factor productivity, resulting in higher economic growth. For example, if investment grows by 10 per cent annually (a rate close to the maximum achieved by southern and central European countries in the run-up to EU accession), labour force participation is raised to the level of the southern and central European countries with the currently highest participation rate (63.5 per cent) by 2015, and the high total factor productivity growth of the 1999-2003 period is maintained (3 per cent per year), it is estimated that GDP growth would reach around 7.4 per cent annually and 5.6 per cent per year on a per capita basis. Assuming that per capita incomes in the EU-15 continue to grow at their 15-year average of 1.7 per cent, Turkey would experience a marked catch-up and increase average income levels in purchasing power parities from 27 per cent of those in the EU in 2003 to more than 40 per cent by 2015 (Figure 1.7).

Figure 1.7. **Turkey's income level relative to the EU-15 under alternative growth scenarios**

Per capita GDP, in purchasing power parities



Source: OECD.

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Box 1.1. **Medium-term growth scenarios** (*cont.*)

If, on the other hand, investment grows only by 4 per cent annually (corresponding to the worst case among the southern and central European EU-accession countries), labour force participation remains at its current low level, and total factor productivity grows at the same low rate of 1 per cent as during the second half of the 1990s, Turkey's GDP would increase by merely 3.1 per cent per year (1.4 per cent on a per capita basis) and the gap to average EU income levels would widen. An intermediate scenario with 7 per cent investment growth, labour force participation increasing to 58 per cent by 2015, and total factor productivity increasing by 2 per cent annually would result in annual economic growth rates of 5.2 per cent (3.5 per cent on a per capita basis), so that per capita incomes would rise to about a third of EU levels by 2015.

In all three scenarios, the capital to labour ratio would increase over time, with the most pronounced change in the strong growth scenario, where the assumed investment increases are the highest. Marked differences between the scenarios exist in the employment projection. In the strong growth case, about 1 million additional jobs would be created by 2015, while less than half as many new employment opportunities would be obtained in the weak growth scenario. The medium-strong growth scenario represents an intermediate outcome with about 750 000 new jobs.

Growth performance of the sort assumed in the strong growth scenario of 7.4 per cent annually over an extended period of time is rare. Ireland grew on average by 8.1 per cent during 1993-2002 (7.9 per cent on a per capita basis) and Korea's GDP expanded by an average of 8.9 per cent during 1982-1991 (7.1 per cent on a per capita basis). However, given favourable external circumstances and conscientious implementation of pro-growth policy reforms, Turkey has the potential to match such exceptional ten-year economic performances and significantly reduce the income gap with the EU.

monetary policy setting, and structural reforms have improved confidence; the challenge is to consolidate this process.

– Escaping from the *weak governance trap*: The government's core duty of funding key public institutions and services has been undermined by past practices of directing a large share of public resources to special interest groups and utilising the public sector as an employment buffer. The remuneration of qualified civil servants suffered and the quality and availability of key services in tax administration, the management of public spending, justice, education, health, rural development and physical infrastructures fell short of needs. In turn, the poor quality of services impeded economic growth and the mobilisation of financial

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resources to upgrade these services. Supported by convergence towards the EU *acquis*, reforms are now being introduced to improve public governance; the challenge is to fully implement these reforms.

– Escaping from the *large informality trap*: Given the costly and often unpredictable tax, social security and labour and product market regulations, a large number of enterprises and the majority of workers have remained in the grey, non-registered sector. The costs of "graduating" to the formal sector are apparently greater than the benefits of gaining access to public services, social security, and banking services and reaping benefits from economies of scale. As a result, large segments of manufacturing and service activities, including many self-employed as well as the vast majority of farmers, have remained informal. This has meant that the productivity and growth potential in informal activities can not be fully exploited, while government regulations and tax liabilities have become increasingly demanding for formal sector firms. As a result, framework conditions remain highly uneven across agriculture, non-farm informal activities, registered domestic businesses, foreign-owned firms and state economic enterprises. With increasing tax and regulatory burdens, informality has become entrenched and due to the narrowness of the base to which labour taxes apply, and in spite of recent increases in rates, their yield remains very low. The challenge is to overcome the present fragmentation by creating a more level playing field for business activity; recent structural reforms aim at this objective.

The nature of these three challenges is set out in the paragraphs below and taken up in detail in the chapters which follow. In addition a fourth challenge – achieving sustainable development objectives more effectively – is also dealt with in the final chapter of the report.

The challenge of strengthening macroeconomic confidence and reducing risk premia

With a sizeable stock of public debt, high real interest rates, and debt interest payments corresponding to more than half of total tax revenues, confidence-inspiring macroeconomic policies are of utmost importance. Risk premia on Turkish bonds appear to mirror political and economic events in the country closely (Figure 1.8). For example, political uncertainty over the stability of the previous government, Turkey's potential involvement in the Iraq war, the controversy over improving the access of clerical school graduates to universities, and most recently tensions on various aspects of the plans to revise the penal code[2] have temporarily pushed up risk premia on Turkish bonds against a marked downward trend. The sensitivity of investor sentiment to perceived political risks highlights the importance of public policies being consistent with established reform objectives and backed with the broadest possible consensus in society. Indeed, the

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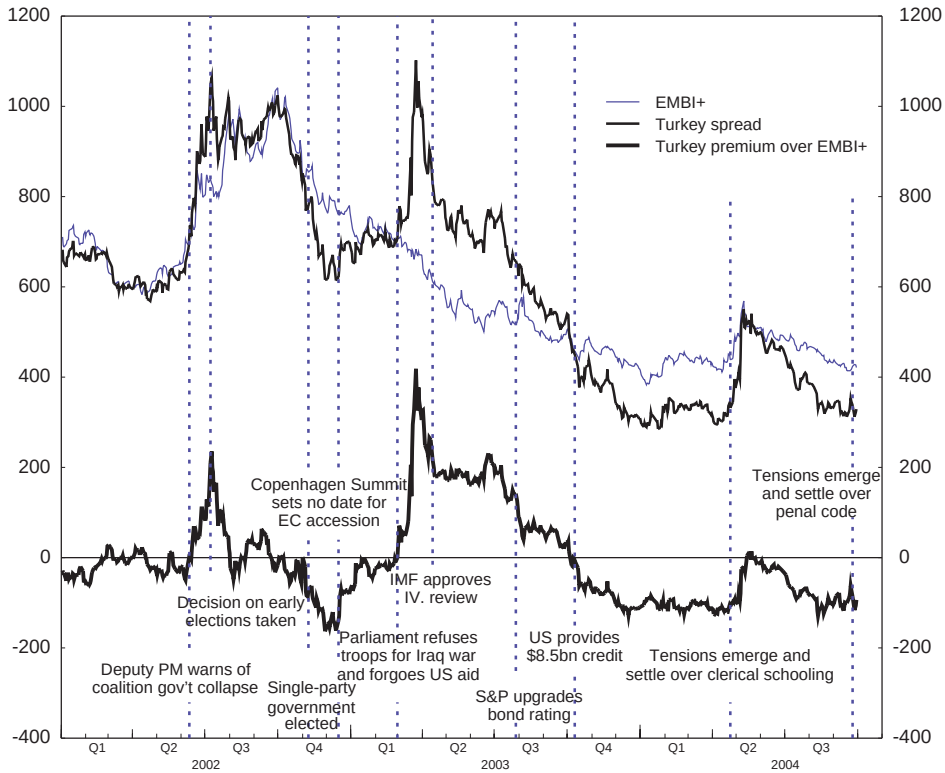
Figure 1.8. **Risk premia on Turkish bonds**
Basis points



Source: J.P. Morgan and OECD.

continuation of reformist macroeconomic and structural policies despite major political changes in November 2002 has signalled the existence of such a consensus and has contributed to the improvement of confidence and the reduction in risk premia.

Confidence depends crucially on the fiscal stance, as fiscal policy in Turkey not only determines taxation and public spending but due to the large public sector borrowing requirements also affects interest and exchange rates and, hence, trade and investment activity. This fiscal dominance has made the policy task of monetary authorities particularly challenging. Indeed, not only is the Cen-

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tral Bank faced with the challenges of achieving price stability objectives under free capital flows, while avoiding an excessive real appreciation of the currency that would endanger the competitiveness of the export sector, but it also has limited influence over interest rates, exchange rates, and inflation expectations which are more heavily influenced by fiscal policy than in other OECD countries.

Fiscal dominance means that the monetary authorities can influence interest rates only to a limited extent through discount rate policy. Another monetary policy tool, minimum reserve requirements, is also of limited use in Turkey, as the credit volume to GDP ratio is very low, meaning that changes in minimum reserve policy, and hence bank credits, affect money growth and inflation only to a limited extent. This leaves communication policy and open market operations as the main monetary policy instruments to complement discount rate setting. The Central Bank has been quite successful in building up credibility since 2001 through announcing and achieving realistic inflation targets and has gained influence on private sector inflation expectations. It has occasionally intervened in foreign exchange markets to bridge perceived temporary imbalances in lira supply and demand in order to avoid sharp currency fluctuations. Moreover, following the fall in risk premia on Turkish bonds and the ensuing capital inflows, with stronger reverse currency substitution, the Central Bank has, since spring 2003, conducted transparent foreign exchange buying auctions to strengthen its foreign reserve position. Such interventions have resulted in a build-up of foreign reserves from US$28 billion in 2002 to US$35 billion in 2003, which has strengthened the Central Bank's credibility as an actor in foreign exchange markets and its ability to support the currency in case of depreciation pressures. At the same time, the relatively smooth appreciation of the lira against the US dollar and the euro has not seriously undermined the competitiveness of exporting firms, since unit labour costs remain low. However, sterilisation has come at a cost. For the first time in history, the Central Bank incurred a loss in 2003, which amounted to 0.4 per cent of GDP. In case of strong future capital inflows as a result of investors' reduced risk perceptions, the Central Bank would need to act carefully and use a comprehensive package of policies to contain excessive fluctuations of the real exchange rate, while avoiding excessive sterilisation costs.

Concerning fiscal policy and public debt management, the appreciating lira has made it easier to service public debt by reducing the burden of servicing foreign currency denominated bonds. The value of the public net debt stock fell from its peak of 91per cent of GNP in 2001 to just below 70.5 per cent by the end of 2003. The ambitious primary surplus target of 6.5 per cent of GNP was almost achieved in 2003, and the government is committed to generating a primary surplus of similar size in 2004. Producing such large surpluses is crucial to reassure investors about Turkey's potential to service its debt and to reduce its stock of debt. Assuming annual economic growth of 5 per cent, a gradual reduction of real interest rates from 10 to 5 per cent and a primary surplus of 6.5 per cent, the public net debt stock would decline to below 55 per cent of GDP by 2008 (Figure 1.9).

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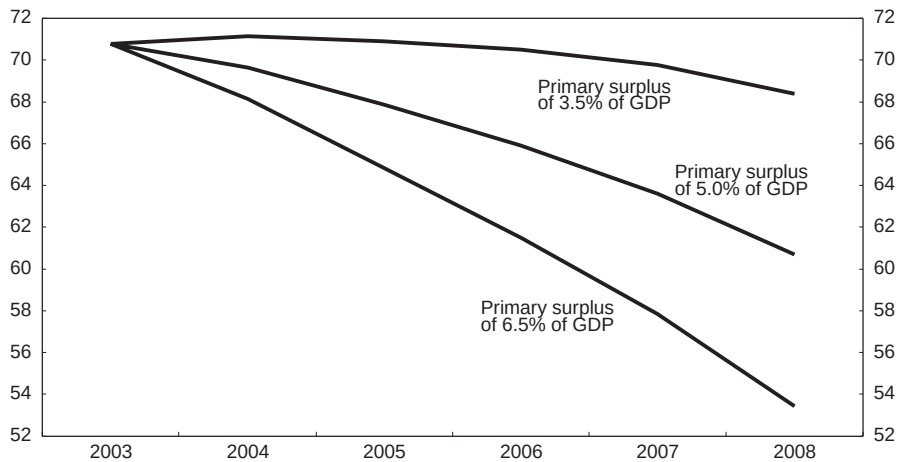
Figure 1.9. **Development of net public debt in relation to the achieved primary surplus**

Per cent of GDP



Source: OECD.

This scenario is in line with projections by the Turkish authorities.[3] However, if under the same growth and interest rate assumptions the primary surplus only amounts to 5 per cent (the average for the period 2000-2003) or 3.5 per cent (the average for the period 1999-2003), the debt stock would, respectively, remain above 60 per cent of GDP or fall only just to below 70 per cent. Moreover, a lower than targeted primary surplus would likely increase the risk premia on Turkish government bonds, so that the assumed decrease in real interest rates would not materialise, making the depicted debt paths in Figure 1.9 appear optimistic. Such calculations, however hypothetical, show that a high primary surplus is of central importance for debt sustainability in Turkey.

The quality of the fiscal adjustment that has been made to realise the sizable primary surpluses has so far been questionable. There have been no overall spending decreases. Instead, the primary surplus generation has relied on fiscal revenues growing faster than fiscal outlays. The tax burden in Turkey has increased dramatically over time, rising from 17 per cent of GDP in 1995 to 27 per cent in 2003. Within the OECD, Turkey has thereby changed from a low to a medium-taxed country, even though its per capita income is much below average. Moreover, the tax take has become heavily skewed towards indirect taxes, as these have turned out to be

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the most reliable revenue source in an economy where undeclared activities are prevalent. In fact, Turkey has one of the lowest direct and one of the highest indirect tax takes in relation to its GDP among OECD countries. Yet, while high indirect tax rates affect consumption choices and tend to put a relatively heavy burden on poorer citizens, any attempt to shift taxation from indirect to direct taxes would tend to further augment Turkey's already sizeable informal sector and thereby shrink the tax base. Instead, broadening the tax base, for example by phasing out exemptions on value-added taxes, and using the additional fiscal revenues to lower labour taxes or social security contributions might provide a means to create a more efficient and equitable tax system and at the time help to generate more jobs.

In sum, the key macroeconomic challenges, which are addressed in Chapter 2, are:

- To avoid deviations from the ongoing consensus-based macroeconomic stabilisation and structural reform programme in order to reduce risk premia on sovereign bonds and lower real interest rates.
- To continue to strengthen the position of the Central Bank and its ability to influence inflation and exchange rate expectations through limited open market interventions with the aim of avoiding sharp currency fluctuations.
- To improve the financing structure of the widening current account deficit by attracting larger inflows of foreign direct investment.
- To continue to realise high primary surpluses so as to reduce the burden of public debt and reassure domestic and international investors.
- To complement spending reforms by establishing an equitable and efficient tax base for public finances.

The challenge of improving the quality and efficiency of public spending

Highly expansionary fiscal policies, often using channels outside established parliamentary and budgetary control procedures, have been at the source of the large fiscal deficits that fuelled inflation during the 1990s and led to the build-up of a substantial debt burden. Moreover, the post-2001 bail-out of public and private banks that had engaged in aggressive deposit taking and international borrowing and widespread related-borrower lending led to a doubling of public debt to almost 100 per cent of GDP. Risk premia on Turkish bonds and real interest rates soared, so that the government in 2003 paid out no less than 17 per cent of GDP in debt interest payments. This share was already down from 24 per cent of GDP in 2001 and 19 per cent in 2002, after favourable interest rate developments in international markets and the launch of governmental reforms attacking the root causes of fiscal drift and of the banking crisis reassured investors and led to a decline in debt servicing costs. Yet, continued fiscal discipline and a funda-

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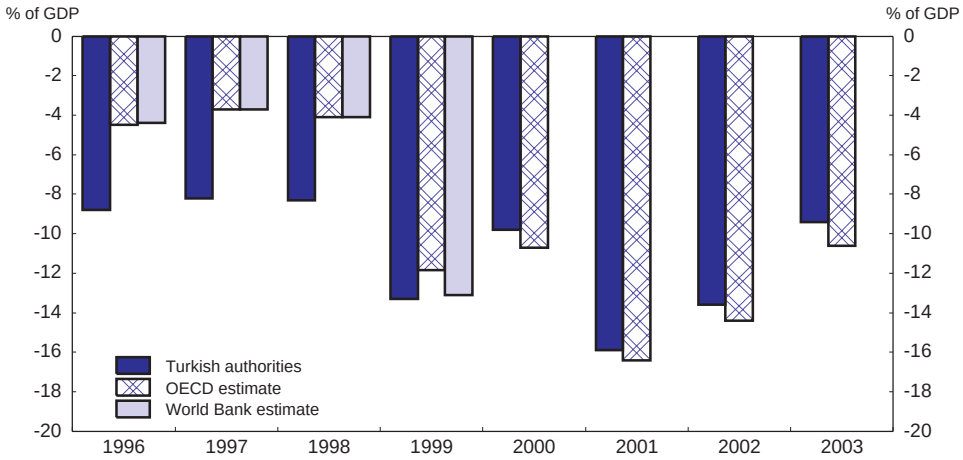
mental reform of the public expenditure system to eliminate the risks of future spending slippage are necessary to reduce the burden of debt servicing costs to levels comparable to those in other OECD countries.

One element to augment investor confidence would be to foster full transparency of public finances. So far, official general government accounts have been produced at an annual frequency, with an *ad hoc* methodology not integrated with national accounts.[4] More frequent reporting of central government balances failed, in turn, to accurately reflect the evolution of public finances. Estimates by the authorities, the World Bank and the OECD Secretariat indicate that the utilisation of different calculation methods alter the general government balance by several percentage points (Figure 1.10). Compiling consolidated information on revenues, expenditures and target achievements across all levels of government, on the basis of standard methodologies compatible with national accounts, will become all the more important as the current drive towards decentralisation of administrative responsibilities and resources is carried forward. Establishing frequent and regular reporting as required by the new "Public Financial Management and Control Law" which was passed by Parliament in May 2003 represents a key improvement and deserves to be swiftly implemented.

While reining in the growth of public spending has been of major concern for policy makers in the recent past, improving the quality of expenditures also

Figure 1.10. **General government balance according to different calculation methods**

Per cent of GDP



Source: SPO, World Bank, OECD.

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warrants attention. The high debt servicing costs have to some extent crowded out public spending on vital social services, such as education and health. Social service expenditure on a per capita basis falls far short of the level in other OECD countries. Also, the enforcement of administrative and judicial rules and regulations suffers from a lack of resources and poor organisation, which generates inconsistencies in the business environment that are particularly discouraging for newcomers, such as small-scale enterprises or FDI-firms. Spending on public services has in many cases an investment character, so that short term savings could lead to a deterioration of the human and physical capital stock with adverse consequences in the longer term. Given the importance of key collective services for social welfare and economic growth, a clear prioritisation of discretionary expenditures as well as the mobilisation of non-budgetary resources, such as private sector funds, seems highly desirable.

Fostering business activity in disadvantaged regions has been the objective of a series of investment promotion programmes in Turkey. The effectiveness of the accorded preferences has, however, been limited and regional disparities remain large. In 2000, the average per capita income in the district of Kocaeli in the industrialised north-west was more than ten times higher than that in Ağri in the remote east of the country. The ongoing decentralisation of public administration, with the devolution of a large share of public expenditure and governance responsibilities to sub-national entities and the separation of the provision from the financing of services, has the potential to better tailor public spending to regional needs. Regions and municipalities will gain additional flexibility to set their priorities for public services and investments and, hence, to promote economic activity in their communities. Yet, the devolution of responsibilities and finances should go hand in hand with a strengthening of financial monitoring and control in order to avoid a spending drift at the sub-national level, which would undermine fiscal discipline and put the whole reform process at risk.

In sum, the key public expenditure reform challenges, which are addressed in Chapter 3, are:

- To strengthen the public expenditure management system in order to avoid a repetition of the fiscal drift that preceded the 2001 crisis.
- To improve the country's priority setting and functional outcome control by raising fiscal transparency to international standards.
- To re-direct government spending to key public institutions and services, including basic education, health and the justice system, and create the institutional environment for the competitive provision of publicly funded services.
- To contain risks of overspending that might arise in the context of the ongoing decentralisation of public responsibilities and finances.

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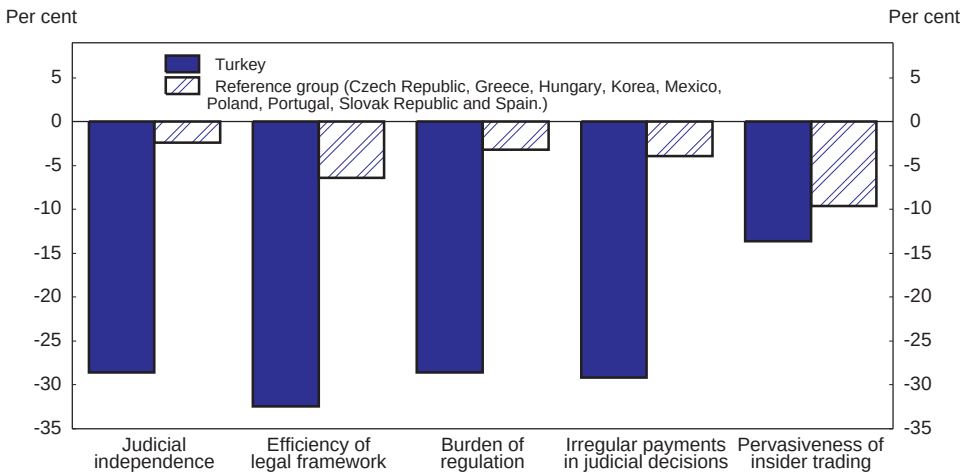
The challenge of establishing an open and non-discriminatory business environment

The quality of the legal and regulatory framework is an important determinant of economic performance. In Turkey, the density of business regulations is high and even though the resulting impediments to market entry and private entrepreneurship have been recognised, the process of regulatory reform has been rather slow. Surveys of business executives attribute not only a below-average ranking to the legal and regulatory environment in Turkey, but the score has to date been substantially worse than that of other lower-income OECD countries (Figure 1.11). A World Bank survey found that 92 per cent of investors ranked complexity and non-transparency of government regulatory policies as a serious constraint to business operations (FIAS, 2001). Renewed efforts to streamline investment procedures are welcome and, if broadened to other areas, should help to invigorate the business sector.

Regulations in the labour market deserve particular attention. Rigid employment protection legislation and substantial labour tax and social contribution wedges hinder companies in responding flexibly to changing market conditions. In fact, the brisk recovery from the 2001 crisis has been job-poor, with total employment still below pre-crisis levels by mid-2004. A new Labour Code was

Figure 1.11. **Quality of the regulatory environment**
Deviation from sample average for the particular indicator



Source: World Economic Forum (2003).

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adopted in 2003 that instilled greater flexibility into labour relations, notably with respect to part-time and temporary work. On the other hand, fiscal requirements have not made it possible to reduce the large tax and social charges on labour, which continue to impede employment growth. The large labour wedges, which are mainly due to high social security contribution rates, hamper in particular the creation of employment opportunities for low-skilled workers, including women, and are among the primary reasons for the very low employment and labour force participation rates.

High labour tax and social security charges are also among the causes of the very significant size of the informal sector in Turkey (Box 1.2). Estimates about the extent of unregistered activities go beyond 50 per cent of total employment. While the informal sector might serve as a buffer in times of adjustments, its large size considerably narrows the tax base and creates distortions and inequities between competing firms. Also, foreign investors have frequently complained about their difficulties in dealing with informal suppliers, competitors and workers, which has been one of the reasons for the very low FDI inflows into Turkey.

Box 1.2. Forms and causes of informality

A large part of Turkey's economy is not properly registered with the authorities. Informality takes three different forms: *i*) entire companies fail to register as legal entities; *ii*) registered companies employ undeclared workers; and *iii*) registered companies declare lower wages than those actually paid to their registered workers. The extent of informal activities varies across sectors, with unregistered employment being particularly widespread in agriculture (more than 90 per cent of workers unregistered) and construction (more than 60 per cent). About 35 per cent of private manufacturing and service sector employment is not registered.

The reasons for companies to remain outside the formal economy are complex and multidimensional (Farrell, 2004). First, informal firms gain a cost advantage by evading fiscal and regulatory obligations. They do not pay income and value-added taxes, they avoid social security contributions and minimum wage requirements, and they circumvent product market regulations, including quality standards, copyright obligations, and intellectual property laws. Second, informality can only prevail if the enforcement of legal obligations is weak. Insufficiently funded and staffed enforcement agencies, ineffective judicial systems, and insignificant penalties for non-compliance thereby contribute to enforcement slippages. And third, social acceptance of informality removes the stigma of non-compliance with legal obligations and makes it possible for unregistered activities to become a mainstream part of the economy (see Chapter 4 section on the unregistered/informal sector).

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The government has taken a number of initiatives to reduce the size of the informal economy, but success has been limited and it is unclear whether the prevailing emphasis on improved administrative controls will have the desired effect. Policies to enhance incentives for registration by alleviating tax and regulatory burdens for formal enterprises, and thereby unifying the labour market should be seen as a vital complement to strengthened implementation efforts.

Enlarging the formal sector at the expense of undeclared, low-productivity activities appears to be a crucial requirement for improving Turkey's growth potential. There are currently five distinct segments in the Turkish economy: *i*) a small, internationally oriented, highly productive sector with foreign investment; *ii*) domestically-owned, formal enterprises that manage to achieve strong growth and remarkable export performance despite the heavy regulatory and tax burden; *iii*) a large, low-productivity informal sector whose viability depends largely on the avoidance of state controls and charges; *iv*) a sizable, traditionally oriented agricultural sector that provides employment for many low-skilled workers; and *v*) a public sector, where recent attempts to lift productivity by privatising state-owned enterprises have shown mixed results. Dismantling the barriers that hamper firms and workers from joining the registered economy and lifting overall productivity up towards the levels prevailing in the formalised private sector would help to better integrate the economy, reduce distortions and inequities, and greatly improve Turkey's growth prospects.

Infrastructure services are among the least advanced in the OECD and are offered at very high cost, especially for business users. Competition and private investment in electricity, natural gas and parts of telecommunications have remained weak until recently and hampered the competitiveness of industry. Several liberalisation attempts have been launched since 2001 in line with the EU *acquis communautaire*, but the implementation of reforms has lagged behind schedule. One obstacle is the existence of large cross-subsidies from business to household customers and between regions, which make competitive entry and competitive pricing in profitable market segments more difficult to implement. Recent initiatives such as the Electricity Sector Reform and Strategy Plan which sets a calendar for liberalisation and legislation prohibiting cross-subsidisation in state-owned enterprises are steps in the right direction. Alternative mechanisms to fund basic infrastructure services for low-income households without adding a large burden to the budget might need to be found. Enforcing competition and ensuring adequate price and access rules in the monopolistic segments of these industries remains an ongoing task for sectoral regulators and competition authorities.

In sum, the key structural policy challenges, which are addressed in Chapter 4, are:

– To create a rules-based, transparent and non-discriminatory institutional environment for the business sector that contributes to enhanced economic efficiency.

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- To raise employment in the formal sector by reducing the burden of social security contributions that fall on the already small number of formal sector workers.
- To support productivity increases by reducing disincentives for firms to enlarge their activities in the formal sector.
- To facilitate the entry of foreign-owned firms in order to augment the capital stock as well as the pool of managerial and technological expertise.
- To further improve corporate governance in the banking sector and to foster the development of corporate credit and equity markets.
- To foster competition and effective regulation in network industries in order to reduce the very high infrastructure charges and improve investment conditions.

The challenge of achieving sustainable development objectives more effectively

As in many other countries, achieving a balance between economic, environmental and social outcomes is an important policy issue in Turkey. In addition, the country faces idiosyncratic earthquake risks that need to be addressed through particular precautionary and regulatory measures (Bibbee *et al.*, 2000). Sustainable development is one of the aims of the eighth five-year development plan, which covers the period 2001 to 2005, and corresponding considerations have been incorporated into overarching policy initiatives. Progress towards sustainability objectives has been realised over the past decade, but a number of issues remain to be addressed. Early action to tackle emerging problems seems warranted, since the latter might become more difficult and costly to resolve in the future.

While economic growth tends to assume principal importance in many emerging market economies, the social and environmental dimensions of sustainable development should not be left aside. With respect to social policy, a recent study by Turkey's State Institute of Statistics found that income inequality remains high, but that absolute poverty is rare (Box 1.3). Low-income households are overwhelmingly found in rural areas, so that decentralised, nation-wide anti-poverty initiatives promise to be most effective.

Concerning the environment, major issues in Turkey include establishing appropriate policies to contribute to the global combat against climate change, to reduce air pollution, and to better manage natural resources, including land and water. Greater reliance on economic incentives would result in a more marked decoupling of environmental pressures from economic growth by changing

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Box 1.3. Results from the 2002-household income survey

Based on a survey of 9 600 households, the State Institute of Statistics estimated that income inequality in Turkey has fallen over the past decade. The Gini coefficient declined from 0.49 in 1994 to 0.44 in 2002. The index is thereby lower than the one for Mexico (0.55), but higher than those, for example, for the United States (0.41), Portugal (0.38) and Italy (0.36). Hence, income inequality remains high. The best-off quintile of Turkish households continues to dispose of more than half of all income in the country (Table 1.1). Inequality is more pronounced in urban than in rural areas, even though the differences are no longer as strong as in the mid-1990s.

Table 1.1. **Distribution of annual disposable household income**
1994 and 2002

	Turkey		Urban areas		Rural areas	
	1994	2002	1994	2002	1994	2002
First quintile	4.9	5.3	4.8	5.5	5.6	5.2
Second quintile	8.6	9.8	8.2	9.7	10.1	10.3
Third quintile	12.6	14.0	11.9	13.9	14.8	14.7
Fourth quintile	19.0	20.8	17.9	20.5	21.8	21.7
Fifth quintile	54.9	50.1	57.2	50.4	47.7	48.0
Gini coefficient	0.49	0.44	0.51	0.44	0.41	0.42

Source: State Institute of Statistics.

Absolute poverty in the sense of food deprivation is uncommon in Turkey, with only 1.35 per cent of the population not being able to satisfy their basic food needs. This rate is lower than in many other emerging economies with similar living standards. Yet, income inequality and poverty levels in Turkey are considerably above the OECD average. Almost 18.5 million people or 27 per cent of the population have an income that is not sufficient to satisfy their basic food, housing, transportation, clothing and furniture needs. Poverty is significantly more prevalent in rural than in urban areas, with poverty rates of rural households being more than twice as high according to some indicators (Table 1.2).

Large households tend to be confronted particularly often with very low income levels. Indeed, in rural areas more than half of all households with seven or more members were found not to have sufficiently high incomes to satisfy their food and non-food needs. Poverty is also associated with a lack of education. Poverty rates of illiterate individuals are at 41 per cent considerably higher than those for primary school (26 per cent) and high school graduates (10 per cent).

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Box 1.3. **Results from the 2002-household income survey** (*cont.*)

Table 1.2. **Poverty rates according to different indicators**
2002

Indicator	Number of the poor (thousand)			Percentage of the poor		
	Turkey	Urban areas	Rural areas	Turkey	Urban areas	Rural areas
Food poverty[1]	926	376	550	1.35	0.92	2.01
Food and non-food poverty[2]	18 441	9 011	9 429	26.96	21.95	34.48
Daily per capita income less than $1 (PPP)	136	10	126	0.20	0.03	0.46
Daily per capita income less than $2.15 (PPP)	2 082	971	1 111	3.04	2.37	4.06
Daily per capita income less than $4.3 (PPP)	20 721	10 106	10 615	30.30	24.62	38.82
Per capita income less than 50% of mean	10 080	4 651	5 430	14.74	11.33	19.86

1. Income not sufficient to guarantee basic food needs.
2. Income not sufficient to guarantee basic food, housing, transportation, clothing and furniture needs.
Source: State Institute of Statistics.

Overall, the inequality and poverty patterns show two characteristics that are also observed in some Southern European countries, but are more pronounced in Turkey. First, social transfers are not very important relative to average incomes and due to weak targeting only have a marginal effect on poverty alleviation. Second, regional differences are very strong, so that the income gap between Eastern Anatolia and the Marmara region around Istanbul is larger than the disparities observed in the whole EU-15. Reducing income inequalities between households and regions by making social assistance and services more accessible for the poor is an explicit objective of government programmes as well as the latest five-year development plan, but the pro-growth policies that form part of the current economic reform initiatives might well have a stronger impact on poverty alleviation than the envisaged improvements in social policies.

unsustainable consumption and production patterns. Also, a better integration of the environmental dimension of sustainable development in general policy making seems desirable.

Political-economy considerations appear to have reduced the efficiency of existing environmental programmes in some cases. More generally, costs associated with sustainable development initiatives could be kept lower if greater use were made of market-based instruments. In the future, abatement costs could rise

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markedly as standards become stricter, emphasising the need to employ the most cost-efficient policy options.

In sum, the key environmental policy challenges, which are addressed in Chapter 5, are:

- To contain the growth of greenhouse gas emissions by improving the economic efficiency of policies, notably in the energy sector.
- To reduce air pollution by better integrating pollution abatement objectives into the overall policy framework.
- To review economic incentives for the use of water and land resources with a view to more closely aligning user charges with scarcity values.

Linkages between the challenges

While the different challenges faced by Turkey have been described sequentially and will be analysed in detail in separate chapters, the underlying issues are interrelated and success will depend on simultaneous progress on all fronts. Further macroeconomic stabilisation depends crucially on public confidence that the poor governance of the volatile past has been left behind. Positive expectations, in turn, are fostered by credibility-enhancing improvements in public financial management and structural reforms in labour, product, and financial markets. Conversely, the successful implementation of structural policy and public expenditure reforms relies on a stable and predictable economic environment that does not distort incentives and rewards investment. Success in building an open and non-discriminatory business environment might finally trigger the long-awaited surge in FDI inflows, which would help to enhance productivity growth and contribute to the non-debt-creating financing of the current account. Also, if policy changes succeed in reducing the size of the informal sector, the tax base will broaden to the benefit of public finances and distributional equity. As such micro- and macroeconomic reforms result in stronger growth, additional resources will become available to pursue social and environmental objectives. This is important since if the public perceives that social and environmental dimensions of sustainable development are not left behind but form an integral part of the reform agenda, support for pro-growth initiatives will strengthen.

Progress in successfully addressing these interrelated challenges could help Turkey to create a virtuous circle, where reforms build up public confidence, which in turn facilitates further reform steps, which consolidate expectations, and so on. Over time, this process should deliver the strong and sustainable growth that the country has been searching for for decades. The challenges ahead are formidable, but it would be unfortunate if the current window of opportunity were to be missed.

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Notes

1. The Turkish population grew by 1.38 per cent in 2003 according to the 2003 demographic survey.
2. In September 2004, yields on government bonds surged by over 5 percentage points on the primary market and 3 percentage points on the secondary market after the withdrawal by the government of a reform package of the Penal Code required by EU convergence. The up-tick took place in spite of a 200 basis point cut in policy rates by the Central Bank at the beginning of the month. Rates fell sharply, however, following a statement by the European Commission on the resolution of the Penal Code disagreement and the adoption by the Turkish Parliament of the initial reform package.
3. Undersecretariat of the Treasury (2004).
4. The State Planning Organisation (SPO) compiled yearly general government balances for the purposes of five-yearly development plans and yearly economic programmes. See Chapter 3 for a more detailed discussion.

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2. Macroeconomic policies: strengthening confidence and reducing risk premia

A post-crisis reform drive was launched

The emergence of huge fiscal imbalances in combination with the accumulation of systemic banking sector risks over the 1990s triggered the severe economic crisis of November 2000 and February 2001 with the collapse of the crawling peg exchange rate regime. The Turkish lira depreciated by about 50 per cent against the US dollar, inflation accelerated from 35 to 70 per cent during the year, and the economy fell into recession with GDP contracting by almost 10 per cent in the second quarter of 2001 compared with the same period in 2000. The authorities responded to the situation by announcing a "Programme for a Stronger Economy" in May 2001 that was designed to restore macroeconomic stability by tightening fiscal and monetary policy, to restructure state banks and insolvent private banks, and to initiate large-scale public sector reforms, comprising institutional and structural changes to public expenditures and governance as well as privatisation. Just when the Programme began to take roots and the economy showed initial signs of recovery, international markets were hit by the terrorist attacks in the United States on 11 September. The impact of this external shock on the Turkish economy was, however, limited, as investors expected that official creditors would provide Turkey with additional balance of payment support in case of need. Indeed, in February 2002 the International Monetary Fund (IMF) approved a new three-year Stand-By Arrangement with a total volume of credit of SDR 12.8 billion.

The IMF's support added credibility to the government's reform strategy and thereby helped to sustain the recovery. The strong GDP growth of 7.8 per cent in 2002 was primarily export-led, as the depreciation of the lira had boosted the competitiveness of Turkish exports and also made the country an attractive tourism destination. Over the course of the year, confidence in the lira returned and it appreciated, but this did not undermine the performance of exporters, as real wages remained well below pre-crisis levels. Private consumption and private investment also recovered over time. Although the government's fiscal consolidation efforts generated a primary surplus of 4 per cent, this fell short of its 6.5 per

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cent target, as fiscal discipline was relaxed during the run-up to the November 2002 elections.

The elections brought about a change in government and the initial actions of the new administration seemed inconsistent with the reform programme previously agreed with the IMF. A "tax peace plan" (a tax amnesty) was introduced, pensions and agricultural support were increased on an *ad hoc* basis, and the independence of the regulatory boards was put into question. But, after increasing nervousness of investors had pushed up interest rates, the government reaffirmed its commitment to the reform programme in early 2003 in order to restore market confidence and establish the conditions for a sustained recovery.

The government's Urgent Action Plan was adopted in January 2003 and implementation started in earnest in April with the passage of the full-year budget, which set the primary surplus target in line with the Stand-by Arrangement at 6.5 per cent of GDP. Other aims included a public sector debt to GDP ratio of less than 70 per cent, economic growth of 5 per cent, and inflation of no more than 20 per cent by the end of 2003. Major structural policy changes were initiated shortly afterwards with the passage of the first phase of direct tax reforms, new FDI and bankruptcy legislation, and institutional adjustments to the social security system. Moreover, the structural reforms launched under the previous government in the areas of public procurement, public debt management, and privatisation of state enterprises were pursued further.

The remainder of this chapter explores the early effects of the government's reform package and highlights a number of macroeconomic management issues that warrant the attention of policy makers. It starts out by reviewing Turkey's recent economic performance and discussing the country's short and medium-term outlook. Then it examines the respective roles of political anchors and of monetary policy for reducing real interest rates and inflation and smoothing exchange rate developments. Finally, there is a discussion of fiscal consolidation efforts and debt sustainability, with a detailed analysis of public expenditure reform being taken up in the following chapter.

The export-led recovery has been broadening

The economy responded well to the revival of reform initiatives. Real GDP continued to grow throughout 2003 and accelerated to 6.1 per cent in the fourth quarter to reach 5.8 per cent for the year, exceeding the government's 5 per cent target. This strong performance was driven by robust private consumption and investment that was the result of newly found confidence as export growth accelerated. Cuts in government consumption and infrastructure investment in the context of the fiscal consolidation efforts did not hinder the recovery.

Strong growth continued into 2004, with GDP increasing by 10.1 per cent in the first quarter compared with the same period in the previous year. Above

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average output increases were recorded for the services and manufacturing sectors (Table 2.1). Moreover, the construction sector, which had been contracting since the 2001 crisis, showed positive growth for the second consecutive quarter. GDP growth remained buoyant in the second quarter and contributed to growth of 12 per cent in the first half against the previous year.

Domestic demand was supported by the strengthening of private consumption and gross fixed capital formation (Table 2.2). Demand for durable consumer goods and investment in machinery and equipment was particularly strong. It should be noted, however, that year-on-year growth rates in the first quarter of 2004 are affected by the weak base in the previous year when uncertainties related to the Iraq war had depressed economic activity. Exports continued to grow, but so did imports, as a significant portion of the inputs in the export-oriented sectors is procured from abroad. Moreover, real appreciation of the lira and an improvement in consumer financing conditions, such as lengthening loan duration and lower loan interest rates, bolstered consumer good imports. Overall, import growth exceeded export growth so that the contribution of net foreign trade to GDP was negative.

The boom in durable consumer goods, such as cars, household appliances and furniture, was fuelled by rapidly expanding consumer credits. With falling real interest rates on government bonds, banks started to show increased interest in the previously shallow consumer credit market. In parallel, demand for loans seems to have been fuelled by declining real and nominal interest rates on consumer credits, the availability of longer term repayment schedules, lower relative prices of consumer durables due to the strength of the Turkish Lira, and the realisation of postponed demand for these durables. Credit card use grew forcefully and the volume of car loans, for example, quintupled from January 2003 to May 2004 in nominal terms. In addition, car sales were boosted by a temporary tax

Table 2.1. **Decomposition of real output growth by sector**

	1999	2000	2001	2002	2003	2004 Q1
Agriculture	–5.0	3.9	–6.5	6.9	–2.5	–7.5
Industry	–5.0	6.0	–7.5	9.4	7.8	10.3
of which: Manufacturing	–5.7	6.4	–8.1	10.4	8.6	11.3
Private sector services	–5.0	6.6	–6.9	7.5	5.1	8.8
of which: Construction	–12.5	4.4	–5.5	–5.6	–9.0	2.9
Trade	–6.3	12.0	–9.4	11.0	8.1	16.3
Transport and communication	–2.4	5.5	–5.3	6.0	8.4	4.3
Financial institutions	6.5	0.9	–9.9	–7.1	–6.3	0.6
Professions and services	–4.5	6.1	–7.6	7.4	5.2	8.6
Government services	2.7	2.0	1.6	0.7	0.9	1.4
Total GDP	–4.7	7.4	–7.5	7.8	5.8	10.1

Source: State Institute of Statistics.

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Table 2.2. **Demand and output**
Percentage change, Volume (1987 prices)

	2000	2001	2002	2003	2004/Q1[3]
	Current prices trillion TRL				
Private consumption	89 098	–9.2	2.1	6.6	10.6
Government consumption	17 539	–8.5	5.4	–2.4	2.4
Gross fixed capital formation	27 848	–31.5	–1.1	10.0	52.6
Final domestic demand	134 485	–15.1	1.7	6.5	17.5
Stockbuilding[1]	2 685	–4.0	7.1	3.0	3.1
Total domestic demand	137 170	–18.5	9.3	9.3	19.1
Exports of goods and services	29 959	7.4	11.1	16.0	10.3
Imports of goods and services	39 285	–24.8	15.8	27.1	31.2
Foreign balance[1]	–9 326	12.3	–0.9	–3.1	–9.3
Statistical discrepancy[1]	–3 261	0.0	0.1	0.0	–0.5
GDP at market prices	124 583	–7.5	7.9	5.8	10.1
GDP deflator	–	54.8	44.1	22.5	5.2
Memorandum items					
Consumer price index[2]	–	54.4	45.0	25.3	8.3
Unemployment rate	–	8.2	10.1	10.5	
Current balance ($ billion)	–	3.4	–1.5	–6.8	
Current balance (% of GDP)	–	2.5	–0.8	–2.9	
Real effective exchange rate					

1. Contributions to changes in real GDP (as a percentage of real GDP in the previous year), actual amount in the first column.
2. Private consumption deflator.
3. Growth rate calculated relative to the corresponding quarter of the previous year.

Source: OECD.

rebate scheme that was introduced in August 2003. If the credit-fuelled consumption boom leads to significant increases in household indebtedness, risks to the health of the financial sector might emerge in an economic downturn. The authorities are confident that the institutional safeguards put into place, such as the bank-operated credit registration bureau and banks' weekly reporting requirements on outstanding consumer credit, are solid. In addition they argue that the current volume and patterns of credit card use, with relatively low credit ceilings and little debt swapping among cards, does not pose any serious threat to the banking sector.

Lending to the corporate sector, in particular large-scale enterprises, has also picked up, although less strongly than consumer credit. Hence, investment continues to be largely financed by retained earnings. The more stable macroeconomic and political outlook and improving corporate profitability have thereby helped to improve investors' confidence. After declining in both 2001 and 2002, real private investment expenditures bounced back in 2003 and continued to grow in early 2004. However, part of the investment increase represents a mere catch-

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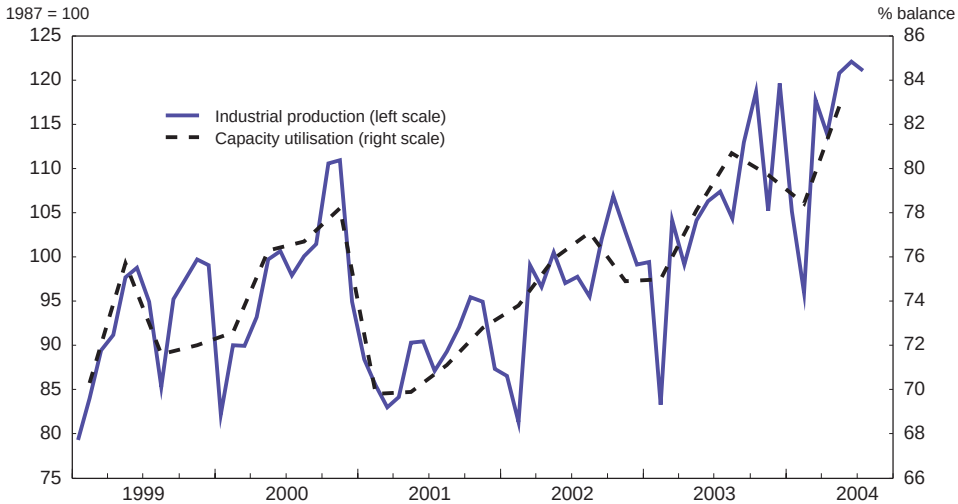
Figure 2.1. **Industrial production and capacity utilisation**



Source: State Institute of Statistics.

up on postponed projects in earlier years. Real interest rates remain very high and a further reduction in public sector borrowing requirements and sovereign risk premia seems of central importance for reducing the costs of capital and thereby creating the conditions for a sustained recovery of private investment.

The recent pick-up in corporate investment will tend to relieve otherwise emerging capacity bottlenecks. Industrial production has shown an upward trend since the second quarter of 2001 and capacity utilisation surpassed 80 per cent in early 2003 (Figure 2.1). With strong domestic and international demand for Turkish goods, capacity-enhancing investments are needed to avoid the emergence of inflationary pressures on wholesale prices.

The current account deficit has been widening

The current account deficit widened to almost 3 per cent of GDP in 2003 as a result of import growth outpacing export growth and in the first half of 2004 it has widened further.[1] The external competitiveness of Turkish exporters was sustained in spite of Turkish lira strength and enhanced due to rising productivity and declining unit labour costs. Exports of goods and services increased by 16 per cent in volume terms during 2003 and by about 13 per cent (year-on-year) in the first half of 2004. However, imports increased even faster, growing by 27 per cent

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in 2003 and by 32 per cent in the first half of 2004, and the trade deficit continued to widen. Imports of intermediate goods, which are widely used in the production of exports, expanded at a rate comparable to export growth, while above average import growth was observed for consumer goods, in particular cars, and more recently also for investment goods. Turkey's terms of trade (ToT) improved significantly during 2003, partly due to the fact that the euro (in which most Turkish exports are denominated[2]) appreciated against the US dollar (which is the currency of most Turkish imports).[3] This positive ToT trend continued in the first quarter of 2004 but was reversed in the second quarter as a result of soaring oil prices and the strengthening of the US dollar.

The widening of the trade deficit has been driven primarily by a deterioration in the merchandise trade deficit, with this trend being partly offset by strongly increasing tourism receipts (Table 2.3). Despite a world-wide decline in international tourist travel in 2003 due to uncertainties related to the Iraq war, the number of foreign visitors to Turkey increased by 5.3 per cent. Tourism was depressed during the first half of 2003, but picked up markedly in the second half. The strong activity accelerated further in early 2004, with both the total number of visitors and tourism receipts increasing by more than 35 per cent during January to July compared with the same period of the previous year. Some analysts expect tourist arrivals for the entire year 2004 to exceed 2003-levels by more than 20 per

Table 2.3. **Balance of payments**

US$ million	1999	2000	2001	2002	2003	2004 H1*
Merchandise exports	28 842	30 721	34 373	40 124	51 206	30 934
Exports	26 587	27 775	31 334	36 059	47 253	29 014
Shuttle trade	2 255	2 946	3 039	4 065	3 953	1 920
Merchandise imports	–39 311	–53 131	–38 916	–48 461	–65 240	–42 563
Trade balance	**–10 469**	**–22 410**	**–4 543**	**–8 337**	**–14 034**	**–11 629**
Trade balance (as % of GDP)	**–5.7**	**–11.2**	**–3.1**	**–4.5**	**–5.9**	**–9.1**
Services (net)	3 950	7 366	4 130	3 325	5 078	698
Tourism (net)	3 732	5 923	6 352	6 599	11 090	3 349
Private unrequited transfers (net)	4 813	5 011	3 596	2 990	1 808	1 433
Official unrequited transfers (net)	362	214	207	500	298	148
Invisibles balance	**9 125**	**12 591**	**7 933**	**6 815**	**7 184**	**2 279**
Current balance	**–1 344**	**–9 819**	**3 390**	**–1 522**	**–6 850**	**–9 350**
Current balance (as % of GDP)	**–0.7**	**–4.9**	**2.3**	**–0.8**	**–2.9**	**–7.3**
Direct investment	138	112	2 769	863	1 063	1 029
Portfolio investment	3 429	1 022	–4 515	–593	2 569	3 065
Other investment	1 782	11 801	–2 667	7 256	3 277	3 380
Net errors and omissions	**1 721**	**–2 762**	**–1 671**	**146**	**3 988**	**2 723**
Change in reserves[1]	**–5 726**	**–354**	**2 694**	**–6 153**	**–4 047**	**–847**

* January-June. Not seasonally adjusted.
1. A minus sign indicates an increase in reserves.
Source: Central Bank of Turkey.

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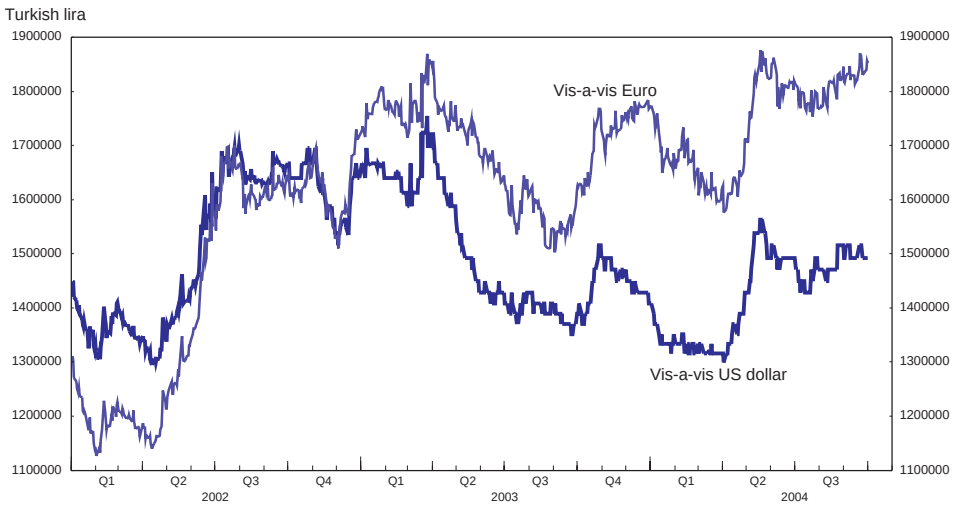
cent and tourism receipts to grow by more than 25 per cent.[4] On the other hand, the government took measures to slowdown car purchases from mid-2004, such as gradually phasing out the previously introduced tax incentives for such purchases, and increasing intermediation taxes on consumer loans. While growing tourism revenues and decelerating car imports in the second half of 2004 should reduce the current account deficit from its level of 7.8 per cent of GDP in the first half, the current balance deficit for the whole year is expected to remain greater than 4 per cent of GDP.

Capital flows into and out of Turkey are in general highly mobile and both domestic and international investors have shown their willingness to quickly convert lira-denominated assets into foreign currencies or *vice versa* according to the economic and political situation. During 2003, receding uncertainty about the war in Iraq, the implementation of the domestic economic reform programme and improving economic fundamentals helped to diminish perceived risks with respect to the Turkish currency. Between April and December 2003, the lira gained about 0.5 per cent against the euro and about 13.6 per cent against the US dollar (Figure 2.2). This appreciation was driven both by stronger international demand for lira denominated assets and domestic reverse substitution of dollar holdings. The latter is difficult to capture statistically, but is reflected in the balance of payments as an exceptionally large "net errors and omissions" item. This item

Figure 2.2. **Developments in the nominal exchange rate**



Source: OECD.

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increased by more than US$4.1 billion between 2002 and 2003 (Table 2.3). The appreciation of the Turkish Lira against the US dollar was partially reversed over the second quarter of 2004 and the reverse substitution of dollar holdings appears to have slowed down.

Net inflows of foreign direct investment were around US$1 billion in 2003, which means that the current account deficit of more than US$6.8 billion was almost entirely financed by debt-creating capital inflows.[5] Short term funds such as portfolio investments and trade credits thereby played a major role. Total foreign debt reached US$147 billion or 61.5 per cent of GDP by the end of 2003, which reflects a significantly higher level of indebtedness than in most other emerging countries. About 36 per cent of this debt was owed by the private sector. The external debt of the central government amounted to US$63 billion by July 2004. About half of this amount was owed to multilateral agencies or official bilateral creditors and half to private individuals and commercial banks. However, a significant share of the private sector half was in fact owed to people and companies residing in Turkey. Hence, the Turkish government is not as highly dependent on international financial markets for its debt financing as some other highly-indebted countries.

If economic growth continues at the officially projected rate of 5 per cent, and if the current account deficit remains below 4 per cent of GDP then the total foreign debt to GDP ratio in Turkey would not increase (at constant exchange rates), even assuming no inflows of non-debt creating capital such as FDI inflows. If FDI inflows pick up, then the debt-stabilising deficit-ceiling would rise. Indeed, FDI inflows increased to almost 1 per cent of GDP in the first half of 2004, mainly due to real estate purchases by foreigners. However, there still remains a risk that the current account balance will widen to a level at which the foreign debt to GDP ratio begins to pick up again.

There is no fixed benchmark for current account sustainability and a change in the total debt-to-GDP ratio in either direction is no reliable indicator as to whether problems of current account financing might eventually emerge. In the past, a widening of the current account deficit to levels significantly above 3 per cent of GDP has on several occasions contributed to a worsening of investor sentiment *vis-à-vis* the country, in turn triggering sharp economic downturns. Although the governmental reforms since 2001 might have already made investor sentiment more resilient, the authorities should be careful to act in a way that preserves the competitiveness of the economy and limits the debt-financed expansion of consumer good imports. This will help to keep the current account deficit from rising excessively and to limit the vulnerability of the economy to potential changes in investor confidence. In addition, given the risk of the current account deficit rising above 4 per cent of GDP in 2004, the government may wish to consider adjusting its primary surplus target to cyclical conditions and aiming for a more ambitious

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fiscal objective. Indeed, if stronger than expected economic growth continues, a constant primary surplus of 6.5 per cent of GDP would imply a loosening of the policy stance and may add to external pressure.

The strong output growth has been relatively job-poor

The recent investment pick-up has gone hand in hand with very strong productivity gains. Output per worker in the total economy increased by 11.9 per cent year-on-year in the fourth quarter of 2003, after having grown by an average 5.8 per cent in the first three quarters. These gains brought the cumulative labour productivity increase since 2001 to more than 30 per cent per hour worked and more than 35 per cent per employee. Parts of the gains reflect cyclical effects, as companies reduced their workforces in the aftermath of the crisis. But, corporate and public sector restructurings as well as lower inflation rates have also led to a better allocation of resources and, in combination with the rebound in investment, triggered a productivity-driven expansion. Moreover, the increase in total factor productivity from less than 1 per cent during the 1990s to 5.2 per cent in 2002-03 suggests that the overall efficiency of business processes has improved.

The surge in labour productivity in manufacturing to an annualised rate of more than 10 per cent during 2002-2004 has made it possible for output to expand without a commensurate increase in employment. On a seasonally adjusted basis, total employment had just recovered to pre-crisis levels by mid-2004. However, the unemployment rate was at 9.3 per cent by mid-2004, 3 percentage points above its 2000 level and labour force participation had fallen over the past three years. This decline was consistent with Turkey's earlier trend of falling participation rates due to increasing urbanisation and entry problems into the labour market (Table 2.4).

Strong population growth and the lack of employment prospects in rural areas lead many young workers to look for job opportunities in cities. Such job-seeking migration pushed up the unemployment rate in urban areas to almost 16 per cent in the first quarter of 2004. Moreover, urbanisation tends to reduce female labour force participation, as low skill levels and family obligations often cause migrant-women to drop out of the labour force. Skill mismatches also play a role in the high unemployment rate of educated youth, which reached 17 per cent in 2004. Detailed data from the Labour Force Survey show employment declines in agriculture and in the public sector, reflecting structural changes in the economy, while signs of net job creation in industry and in the private sector emerged in the second quarter of 2004. Given extremely strong growth in 2004, it is difficult to assess if this already reflects an upturn in the job-creation potential of the economy. More structurally, high unemployment rates of educated youth and decreases in labour force participation have continued well into the ongoing economic recovery. Many Turkish labour economists, however, expect a trend-reversal

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Table 2.4. **Labour market and employment**

Thousands of people

	2002	2003						2004			Change (%)
	Year average	Q1	Q2	1st semester	Q3	Q4	Year average	Q1	Q2	1st half	1st half 2004/ 1st half 2003
Population 15 years and over	48 041	48 587	48 799	48 693	49 022	49 250	48 912	49 482	49 694	49 588	1.8
Labour force	23 818	23 088	24 115	23 602	24 739	23 206	23 640	22 732	24 457	23 595	–0.03
Labour participation rate (%)	49.6	47.5	49.4	48.45	50.5	47.1	48.3	45.9	49.2	47.6	–1.9
Male	71.6	68.7	71.2	69.95	72.5	69.5	70.4	69.8	72.8	71.3	1.9
Female	27.9	26.6	27.9	27.25	28.8	25.1	26.6	22.5	26.0	24.3	–11.0
Employed	21 354	20 244	21 696	20 970	22 411	20 811	21 147	19 902	22 188	21 045	0.4
Urban (%)	52	54.4	52	53.2	51.6	55.1	53.4	55.4	53.1	54.3	2.0
Rural (%)	48	45.6	48	46.8	48.4	44.9	46.6	44.6	46.9	45.8	–2.2
Unemployed	2 464	2 844	2 418	2 631	2 328	2 396	2 493	2 830	2 269	2 550	–3.1
Unemployment rate (%)	10.3	12.3	10	11.15	9.4	10.3	10.5	12.4	9.3	10.9	–2.7
Urban	14.2	15.4	13.2	14.3	13.5	12.5	13.8	15.6	12.8	14.2	–0.7
Rural	5.7	8.3	6.3	7.3	4.6	7.5	6.5	8.2	4.9	6.6	–10.3
Unemployment rate of youth*(%)	19.2	22	19.6	20.8	19.8	20.9	20.5	23.7	16.9	20.3	–2.4
Employment in:											
Agriculture	7 458	6 639	7 731	7 185	8 389	6 799	7 165	6 412	7 820	7 116	–1.0
Industry	3 954	3 769	3 798	3 784	3 881	3 836	3 846	3 844	3 961	3 903	3.1
Services	8 984	9 160	9 162	9 161	9 034	9 150	9 170	8 924	9 334	9 129	–0.3
Construction	958	676	1 006	1 006	1 107	1 026	965	723	1 073	1 073	6.7
Employment in:											
Public sector	3 228	3 335	3 216	3 276	3 032	3 245	3 212	3 005	2 910	2 958	–9.7
Private sector	18 128	16 909	18 480	17 695	19 379	17 566	17 935	16 897	19 278	18 088	2.2

* People within the 15-24 age group.

Source: Labour Force Surveys, State Statistical Institute.

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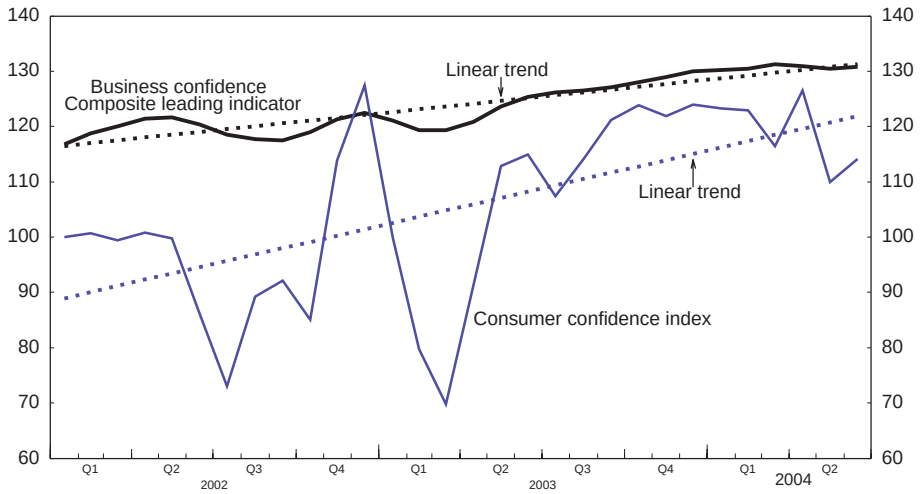
towards higher labour force participation rates in the future, reflecting increasing skill-levels of job market entrants following the recent lengthening of mandatory primary schooling and improvements in the education of women. Net job creation will need to pick up to accommodate this expected growth in the labour force while avoiding an increase in unemployment rates.

Stability and confidence are crucial for medium-term prospects

GDP is expected to continue to grow at rates of about 6-7 per cent during 2004/05. This rate, however, is barely above the pace needed to match prospective productivity and labour force growth. If the authorities succeed in fully implementing the recently launched macroeconomic and structural reforms, growth could accelerate further, in particular if inflows of FDI pick up. In contrast, if sentiment weakens for either domestic or international reasons, so that the lira depreciates and real interest rates rise, the economy might be pushed back onto a less favourable path.

Indeed, maintaining and enhancing positive expectations is of central importance for Turkey's short and medium-term economic outlook. Both business and consumer confidence have strengthened since the beginning of 2002 and show an upward trend over time (Figure 2.3). This stronger confidence, in turn, has

Figure 2.3. **Business and consumer confidence**



Source: Central Bank of Turkey, State Institute of Statistics.

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supported the economic recovery and provided the foundation for accelerated growth. Yet, in the same way that positive expectations have recently made it possible for Turkey to embark on a virtuous circle of confidence and growth, adverse domestic and international developments could put the country back onto shakier ground.

Political instability has been one of the root causes of the recurrence of economic crises in the past. Fragile coalition governments until 2002 created a state of permanent uncertainty about policy developments and nurtured a culture of short-term fixes to fundamental economic problems. During the 1990s, no less than 11 different formations of government were in power in Turkey. Against this background, the one-party government that was elected in 2002 with a comfortable majority has a unique chance to modernise Turkey's economic institutions and develop a set of coherent policy measures that mark an irreversible departure from the boom and bust cycle of the past. So far, the government has shown a remarkable consistency in pushing its far-reaching reforms forward. It has largely adhered to its agenda and pursued vital macroeconomic and structural policy changes.

The IMF Stand-By Arrangement (SBA) with its funding, conditionality and regular programme reviews has provided an important reform anchor both for overcoming domestic opposition and for gaining the trust of international investors. The three-year SBA concluded in 2001 will run out in February 2005 and it has already been decided to extend the agreement with a new SBA, with details to be finalised by the end of 2004. The announced extension has already contributed to a positive sentiment in financial markets. Given that Turkey's outstanding IMF loans already exceed 1 500 per cent of its quota, a new SBA will probably be modest in volume and only partially cover the refinancing needs for outstanding IMF loans falling due during the programme period. In August 2003, Turkey and the IMF agreed to reschedule parts of the outstanding debt and to postpone some of the 2004 and 2005 repayments to 2006. A total of US$20.3 billion in repayments is now due during 2005-2007 (Figure 2.4). Yet even if a new IMF programme does not cover the full amount of the upcoming repayments, the regular reviews and strict conditionality that would likely be attached to a new SBA would reassure investors and facilitate the refinancing of the public debt through financial markets.

In addition to raising funds in private capital markets, Turkey also has the option of tapping into a US$8.5 billion concessional loan offered by the United States in October 2003. However, since the loan is conditional on certain international policy considerations, the use of the concessional funding seemed unlikely as of Fall 2004.

As with the IMF Stand-by Arrangement, EU candidacy status and the prospect of opening accession negotiations have provided additional incentives for structural and institutional renovation. Turkey has had an Association Agreement

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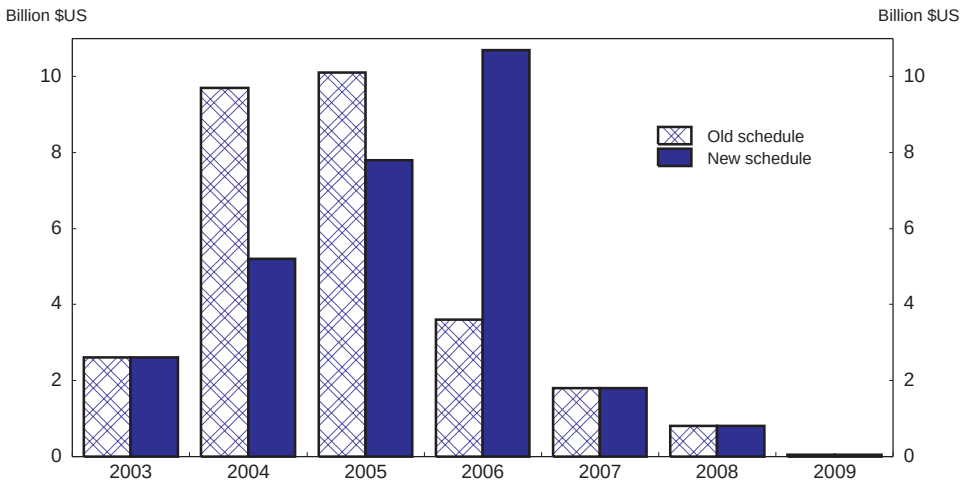
Figure 2.4. **IMF repayment scheduling**
Rescheduled as of 3 August, 2003



Source: Department of the Treasury.

with the EU since 1964, entered into a customs union in 1995, and became an accession candidate in 1999. The subsequently adopted Accession Partnership sets out a priority framework for enhancing Turkey's social and economic cohesion with the EU and provides financial assistance to help implement the established priorities. As a result, a number of legislative reforms aimed at EU accession have been pursued, concentrating mainly on non-economic areas, such as improving individual rights, guaranteeing freedom of association and speech, and redefining the political role of the military. Despite implementation deficiencies in some areas, changes to the political culture seem under way and institutional capacity building is strengthening the country's capability to deal with the obligations of eventual EU membership. EU accession would have a profound impact on the Turkish economy (see Annex), but is likely not to take place in the near-term future. However, the experience of earlier candidate countries suggests that the process of institutional reform and structural alignment before accession can already yield a significant "growth bonus".[6]

The credibility of monetary policy has strengthened

Monetary policy is another area in which credibility is key. The newly established independence of the Central Bank in April 2001 has strengthened its authority and has helped to drive down inflation. In the context of an improving fiscal position

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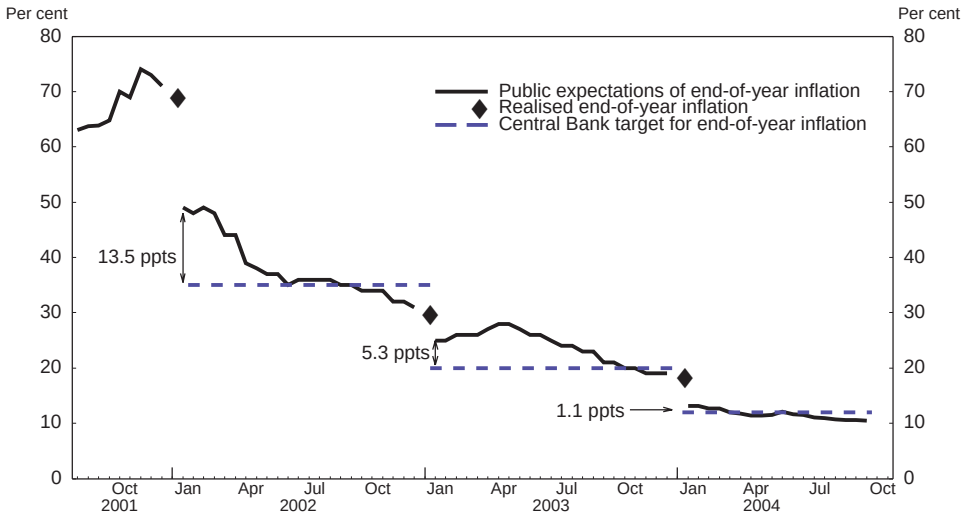
in combination with a stronger lira, decreasing unit labour costs, and weak domestic demand, consumer price inflation fell to below 30 per cent at the end of 2002 and then to below 20 per cent at the end of 2003 after having fluctuated between 60 and 105 per cent throughout the 1990s. In May 2004, the year-on-year consumer price index dropped to single digit levels for the first time in thirty years. While the Bank has had to tread carefully in its monetary policy actions due to fiscal dominance, it has been successful recently in strengthening its credibility and gaining influence over inflation expectations. There has also been a marked narrowing of the Central Bank's "credibility gap", *i.e.* the difference between the public's expectations of end-of-year inflation and the target rate (Figure 2.5). Indeed, in both 2002 and 2003, end of year inflation outcomes undershot the Central Bank's targets, making the latter look conservative. The downward trend in consumer price inflation continued into the second half of 2004, despite currency depreciation in the middle of the year and strong oil prices. While further reductions in inflation will be increasingly difficult to achieve, the target rates of 12 per cent for 2004 and 8 per cent for 2005 seem within reach. In the medium term and after fiscal dominance has further receded, monetary authorities might wish to adopt a formal inflation targeting regime as a means to further increase the visibility of their commitment to price stability (Box 2.1).

The Stand-By Arrangement with the IMF for the period 2002-2004 imposed a number of requirements on items in the Central Bank's balance

Figure 2.5. **A shrinking credibility gap**



Source: Central Bank of Turkey.

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Box 2.1. Inflation targeting

Monetary policy in Turkey is based on implicit inflation targeting.[1] The government and the Central Bank jointly determine an end-of-year target for consumer price inflation. The government's role in the inflation targeting process takes the form of setting public goods prices, taxes and public sector wages in line with the inflation targets. The Central Bank then adjusts its short-term policy rates to steer inflation towards the target, taking into account developments in economic fundamentals. However, the Central Bank does not publish any medium-term inflation path and does not provide information on the timing of its interest rate decisions. These features distinguish the current system from explicit inflation targeting.[2]

Given fiscal dominance, the conditions for an explicit inflation targeting strategy are not yet in place. The large stock of public debt with short average maturities forces the Treasury to borrow substantial amounts on an ongoing basis, which makes borrowing rates potentially sensitive to confidence shocks. This constitutes a drawback for monetary policy for two reasons. First, the link between short-term interest rates, the main monetary policy instrument, and medium term interest rates is weak due to uncertainty created by the high volatility in risk premia. Second, the volatile risk premia may induce fluctuations in the exchange rate, which, in turn, are to some extent passed through into domestic price level changes. In this context, an increase in overnight interest rates by the Central Bank in order to contain a pick-up in inflation under explicit inflation targeting might significantly increase the government's borrowing costs and jeopardise its fiscal balance. As confidence in the Turkish economy further improves, and bears fruit in the form of reduced risk premia and diminished fiscal dominance, explicit inflation targets could help to improve the effectiveness of monetary policy by making it more transparent and predictable. The authorities have not yet announced the operational details of the prospective targeting framework, including the nature of the inflation measure to be targeted. The State Institute plans to begin producing a core inflation indicator, which would exclude the impact of volatile oil prices and adjustments of administrative prices towards cost-recovery levels. Such a core inflation measure could become a useful indicator for monitoring price level developments and monetary policy performance.

1. See Kara, 2004.
2. On the other hand, the Central Bank already releases public announcements after key policy decisions, to explain their underlying rationale, and publishes monthly commentaries and quarterly Monetary Policy Reports highlighting the factors likely to affect decisions concerning money market interest rates. It has therefore already made interest rate moves more predictable, in direction and size, if not in timing.

sheet. For example, a ceiling for base money growth, and thus indirectly for increases in net international reserves and net domestic assets, was established. Monetary policy has been directed towards satisfying these requirements while pursuing the implicit end-of-year inflation target in the context of existing growth

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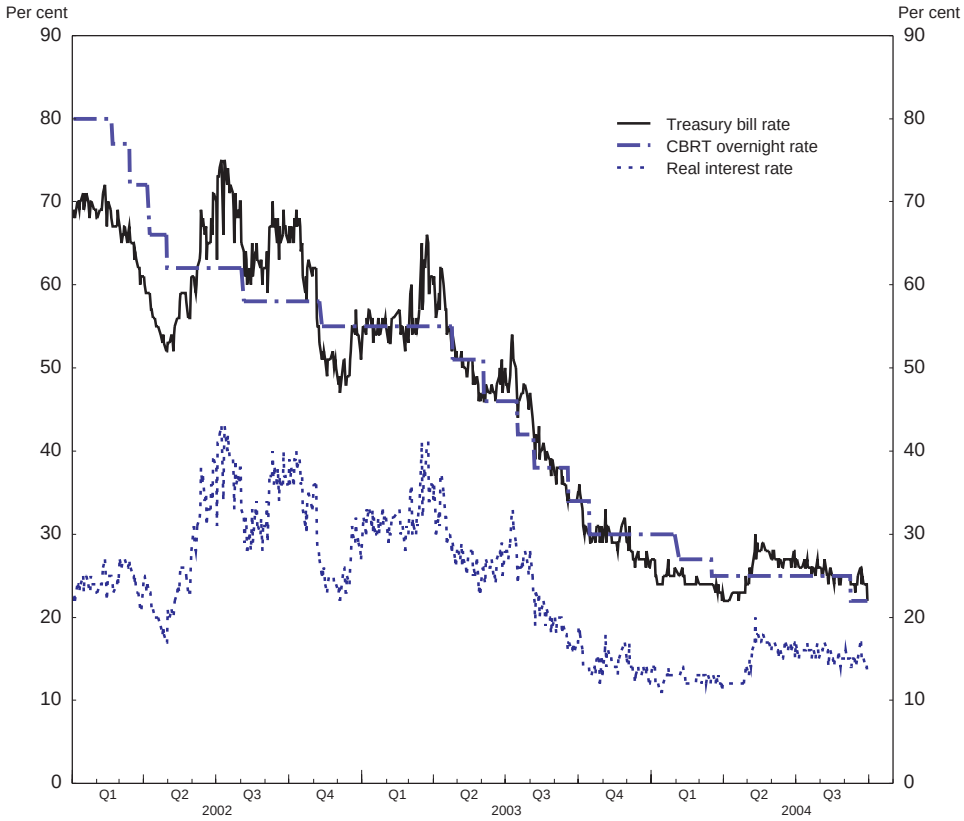
projections. Given the instability of money demand and the commitment to a floating exchange rate regime, which make it difficult to control the monetary base, short-term interest rates have been the Central Bank's main policy instrument to pursue its price stability objective. The Bank has maintained a tight monetary policy and kept overnight borrowing rates high. However, as the economy stabilised, rates were able to be cut gradually from 59 per cent (78 per cent on a compound basis) at the beginning of 2002 to 20 per cent (22 per cent on a compound basis) in September 2004. Interest rates on government securities have followed a similar trend, although showing significant volatility and, particularly during 2002, departing temporarily from the Bank's policy rate path (Figure 2.6). Real interest rates, based on expected 12-month inflation and the government's borrowing rate, have

Figure 2.6. **Interest rate developments**



Source: Central Bank of Turkey and Istanbul Stock Exchange.

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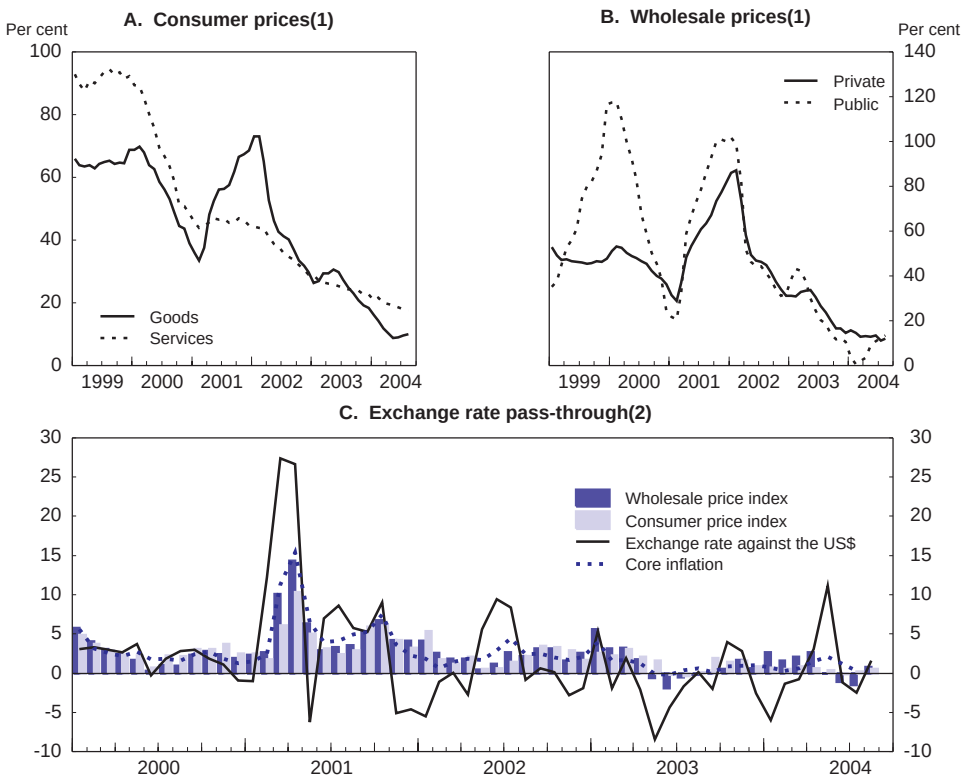
shown a declining trend since the second quarter of 2003, but remain high at 12-15 per cent. Careful easing of monetary policy to further reduce real interest rates while maintaining business confidence would make it possible to foster economic activity and investment. But interest rate trends in Turkey will to a significant extent also be influenced by developments in international markets. In that context, a general increase in interest rate levels would make lending to emerging markets less attractive for investors, reducing the room for domestic interest rate cuts by the Central Bank and possibly even pushing up capital costs.[7]

As the Central Bank does not pursue a particular exchange rate target, it has largely limited its actions in the foreign exchange market to smoothing exchange rate spikes and rebuilding its foreign reserves. Both direct interventions

Figure 2.7. **Inflation trends and exchange rate pass-through**



1. Year-on-year percentage changes.
2. Month-to-month percentage changes.
Source: Central Bank of Turkey, State Institute of Statistics.

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and foreign exchange auctions have been used for this purpose. The results from econometric analysis over the period from February 2001 to November 2003 (Ağcaer, 2003) suggest that the Central Bank's open market operations have generally been effective in influencing exchange rate developments. Foreign exchange auctions and direct interventions thereby seem to have had similar success. However, asymmetry was observed with respect to the effects of sales *versus* purchases of foreign exchange, with only the latter showing significant effects.

Box 2.2. The "New Turkish Lira"

High and chronic inflation in Turkey has led to a situation where every-day economic values are expressed in terms of billions, trillions and quadrillions of Turkish Lira (TL), requiring the issuance of new banknotes in increasingly larger denominations. As a result, Turkey qualifies as the country with the highest-denomination banknotes. This not only undermines the reputation of the currency but also adversely affects its functions as a medium of exchange and a store of value, and creates technical and operational problems arising from the use of figures with multiple zeros.

The Turkish government and the Central Bank have decided to remove six zeros from the currency in 2005. A *new Turkish Lira* (YTL) will therefore be created. Coupled with the ongoing efforts to drive inflation down to single digit numbers the introduction of YTL will help to restore the reputation of the currency, and simplify monetary expressions and records, making transactions easier.

Following the initial introduction of YTL on the 1st of January 2005, both TL and YTL will be in circulation for one year. Turkish citizens will be able to use both types of money. During this period it will be a legal obligation to show the prices of goods and services both as TL and YTL on price tags and lists. It is hoped that this requirement should minimize the inflationary pressure that may be caused by the rounding up of prices during the transition to YTL. Banknotes and coins currently in circulation will be withdrawn on the 1st of January 2006. However, these TL banknotes will be able to be exchanged at Branches of the Central Bank over the following 10 years. In addition, Ziraat Bank (the Agriculture Bank) will carry out this task in cities where the Central Bank does not have branches. In the second stage of the transition, the expression "Yeni" (New) will be removed and the use of the expression "TL" will be resumed. The date of this change will be determined in the future according to the development of the transition and the overall situation of economy. The Central Bank of Turkey expects that by the end of February 2005, 90 to 95 per cent of the money in circulation will be YTL.

Although the introduction of YTL is not expected to have significant effects on the economy's fundamentals, there is some potential for initial negative impacts on inflation due to rounding up effects.

Source: Serdengecti (2004).

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Exchange rate developments have largely supported the disinflation process since 2001. As the lira strengthened from its crisis-trough, lower import prices facilitated the authorities' efforts to bring down inflation. Yet a question that arises in this context is whether inflation expectations have meanwhile adjusted sufficiently to the higher degree of price stability so that shocks to exchange rates would not reverse the trend of disinflation in the future. Indeed, in Turkey, as in other OECD countries, there are early indications that the exchange rate pass-through has weakened. In particular, the depreciation of the lira in April and May 2004 does not seem to have derailed the disinflation process and both the consumer and wholesale price indices slowed in June (Figure 2.7). Also, tradables' prices have continued to show lower inflation than non-tradables. Economic agents seem to have interpreted the exchange rate changes as temporary and refrained from adjusting prices in the face of domestic and international competition. Thus, the short-term impact of exchange rate fluctuations on inflation seems to have become less pronounced, facilitating the task of the Central Bank in further reducing inflation. The planned transition to a new Turkish Lira worth one million old Lira over 2005 (eliminating therefore six zeros from the currency) will streamline the denomination system and will help validate the increased credibility of the currency (Box 2.2).

Debt sustainability depends on programme success

The share of total government expenditure in GDP nearly doubled to almost 60 per cent between 1995 and 2001. This development reflected both a marked increase in primary expenditures (to more than 35 per cent of GDP) and higher interest payments (to more than 24 per cent of GDP), as debt levels and risk premia on sovereign bonds surged (Figure 2.8). Total government receipts followed, turning Turkey in less than a decade from a low-tax country into one whose overall tax burden approaches the OECD average. After the 2001-crisis, the government agreed with the IMF on a primary surplus target of 6.5 per cent of GDP and this fiscal objective was nearly attained in 2003. The primary surplus was generated through further increases in revenues, notably through *ad hoc* indirect tax adjustments.

Nevertheless, the determined fiscal adjustment signalled the government's commitment to pursuing its consolidation policy, triggering a decline in Turkish risk premia in international markets as well as in domestic real interest rates. The net public debt to GDP ratio fell by more than 25 percentage points from its peak in 2001 to reach 70.8 per cent by the end of 2003. Yet, strong increases in minimum wages and in pensions before local elections in December caused some overspending in the first two months of 2004 and required an early fiscal adjustment package. Fuel, alcohol and tobacco excises were increased and all discretionary spending for 2004, including infrastructure investment, was cut by

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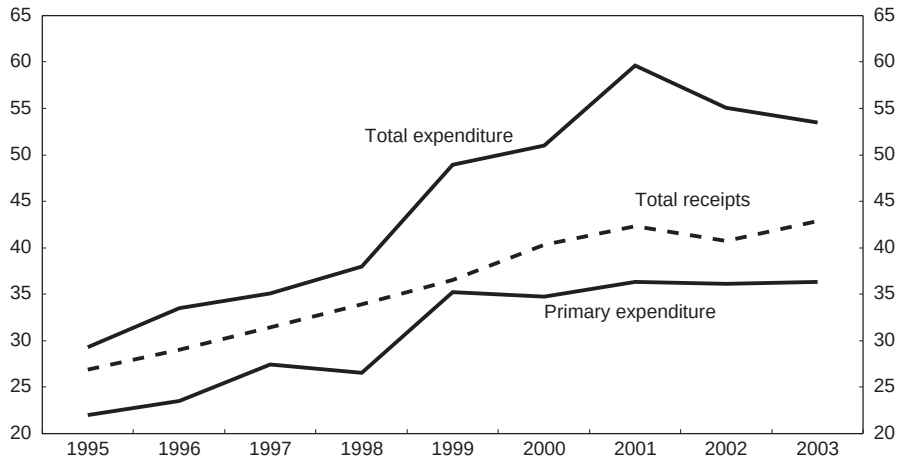
Figure 2.8. **General government expenditures and receipts**
% of GDP



Source: OECD.

13 per cent. These measures succeeded in offsetting the spending increase. In the first seven months of 2004, the primary surplus – according to the IMF's definition – had already reached about 75 per cent of its target, indicating that by mid-2004 the government was on track to meeting its primary annual surplus target of 6.5 per cent of GDP. However, windfall fiscal gains from strong growth have been smaller than expected, due to reductions in some specific consumption taxes. One of these was a reduction in mineral oil taxes in response to international price increases. Another was a reduction in the tax on purchases on new cars, although this has now been partly eliminated. Overall, the budget deficit of the general government sector continues to be large, due to very substantial net government interest payments, which in 2003 still amounted to 17.2 per cent of GDP, but it will very likely improve from the 11.1 per cent of GDP experienced in 2003.

One risk that the authorities are facing is the potential sudden reduction in liquidity available in markets to roll over the existing debt stock. The low average maturity on Turkish bonds requires the Treasury to refinance substantial parts of the country's debt stock every month, and changes in demand for government bonds translate immediately into large interest rate swings. As financial market conditions for Turkish bonds have improved since 2002 and interest rates have

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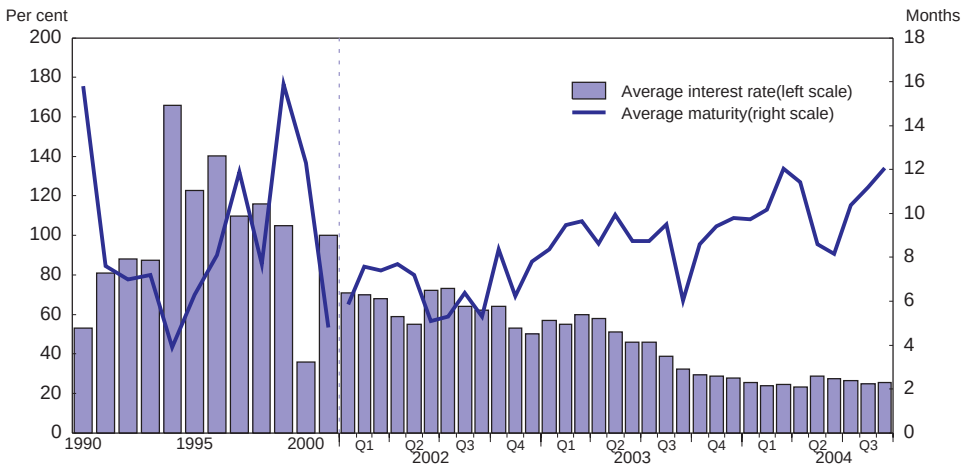
decreased, the Treasury has gradually increased the average maturity on new fixed interest securities, which are the dominant instrument for debt refinancing (Figure 2.9). However, the average maturity on the overall government portfolio decreased in parallel, due to a shortening of the average maturities on floating and foreign exchange denominated or indexed bonds. Floating and foreign exchange denominated or indexed securities of long maturities were issued in connection to the restructuring of public and private banks in 2001 and, as new borrowing has been of shorter-term debt, average maturities declined. Floating and foreign exchange denominated or indexed bonds have declined in relative importance over time, but still account for more than half of all outstanding debt (Figure 2.10), which implies that the government's interest payments remain highly sensitive to movements in both interest and exchange rates. Reducing this exposure to interest and exchange rate movements is one of the major medium term aims of the Turkish Treasury, which announced in 2004 its intention to borrow mainly in Turkish Lira and at fixed rates in the future.

The Turkish authorities project the public debt stock to decrease from just over 70 per cent of GDP at the end of 2003 to 51.5 per cent of GDP in 2008. This projection is based on a set of assumptions concerning the development of interest rates, inflation, exchange rates, economic growth and the size of the primary surplus. Different assumed parameter values would naturally imply a different path for the development of the debt stock over time or require policy measures,

Figure 2.9. **Average maturity and cost of Turkish Lira fixed interest borrowing**[1]



1. Auctions and public offer sales.
Source: Undersecretariat of Treasury.

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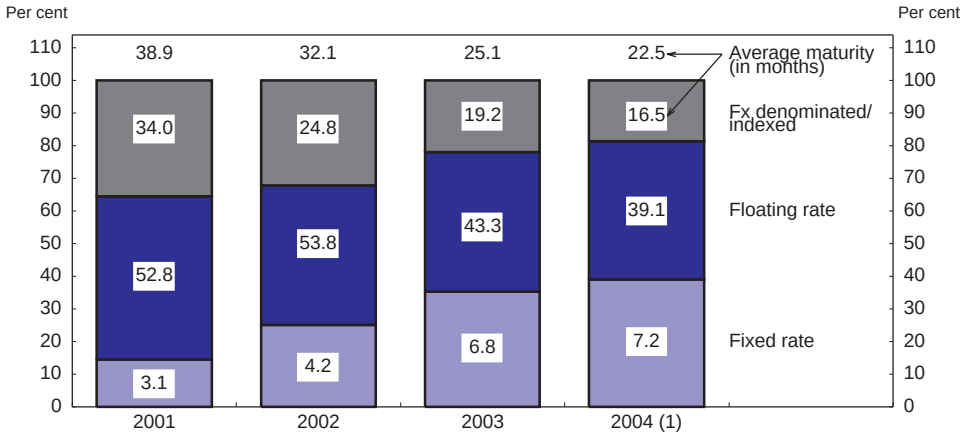
Figure 2.10. **Composition of the Turkish debt stock**
Days to maturity and instrument structure of domestic debt



1. As of May 2004.
Source: Undersecretariat of Treasury.

such as adjustments in the primary surplus, that offset the impact of the assumption change. The sensitivity of the debt stock to external shocks is illustrated in the analysis below, which takes into account the fact that the external parameters influencing debt sustainability are not independent of each other. For example, changes in real interest rates in Turkish lira debt would likely also affect other parameters, such as exchange rates and economic growth. The relationship between the parameters is, of course, complex and difficult to capture without the aid of a well specified macroeconomic model. In the absence of such a tool, the subsequent analysis uses the historical correlation patterns over the period from 1987-2003, for which consistent data are available, as a proxy for the underlying economic relationship.

A first simulation evaluates how a change in real interest rates and corresponding adjustments in other debt stock parameters would affect the net debt stock while keeping the primary surplus constant. The findings suggest that a fall in real interest rates by 1 percentage point, possibly due to increased confidence of investors in the Turkish economy and correspondingly falling risk premia, would lead to a reduction in the debt to GDP ratio by 2¼ percentage points in 2008 if the primary surplus remains unchanged. Conversely, higher real interest rates would result in a higher stock of debt (Figure 2.11). Taking into account the present com-

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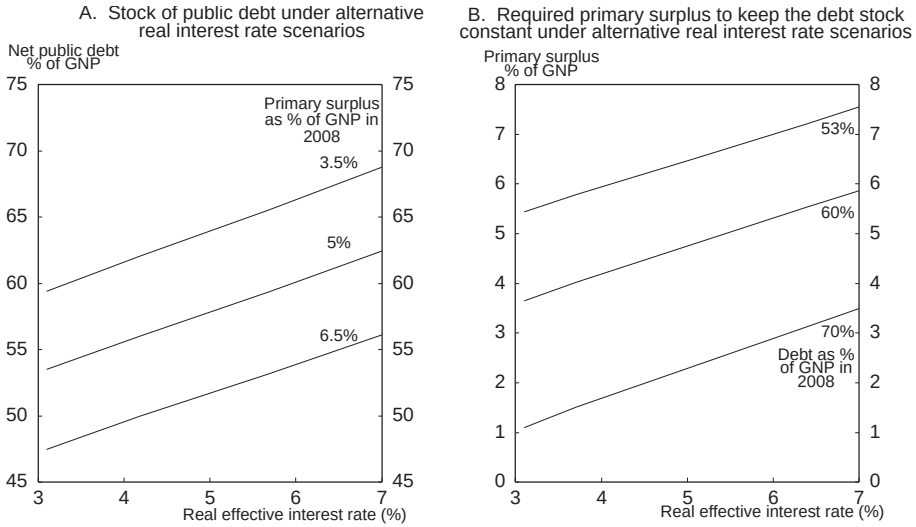
Figure 2.11. **Debt sustainability: alternative scenarios for net public debt by 2008**



Note: Scenarios assume GDP growth of 5 per cent per annum and a gradual decline in inflation to around 3 per cent by 2008, in line with the authorities' official projections. The nominal exchange rate is assumed to gradually depreciate in line with inflation differentials.
Source: OECD.

position of public debt, the *average* real interest rate on the public debt stock is projected to be around 8 per cent by the end of 2004.[8]

A second set of simulations looks at the primary surplus that would be required to offset changes in real interest rates and corresponding adjustments in other debt stock parameters in order to keep the debt stock unchanged at the projected level. This scenario is motivated by the assumption that the primary surplus is the debt stock-relevant policy variable that the government can most directly control and influence to achieve the desired debt stock outcome. The results from the analysis indicate that a 1 per cent decline in real interest rates would make it possible to reduce the primary surplus by 0.55 per cent of GDP without compromising the previously established debt stock target for 2008. Conversely, if interest rates turn out to be higher than initially assumed, a correspondingly higher primary surplus would be required to maintain the debt stock at the projected level (Figure 2.11).

Fiscal adjustments to attain primary surplus objectives have been of rather unsatisfactory quality in the past. Instead of prioritising and aligning spending with available revenues, frequent recourse was made to *ad hoc* tax increases

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and temporary spending cuts. Budget loopholes were predominantly plugged through indirect tax increases, most of which were implemented under pressure and without carefully considering the implications for the overall tax system. Moreover, the institutional framework for fiscal policy has been hampered by fragmentation, which weakened spending control and allowed large-scale quasi-fiscal and off-budget spending. The sheer frequency of changes made it difficult for individuals and companies to follow the evolution of the system, particularly since the proliferation of special taxes and surcharges increased complexity, and the partial inflation indexation in combination with differential nominal tax rates distorted real effective tax rates. The need for structural and institutional reforms became more and more apparent and has been widely acknowledged by the government and civil society institutions.

In 2002, the Turkish authorities put into place a medium-term strategy for improving the tax system in collaboration with the IMF and the World Bank. The overarching objective of the strategy was to improve the stability, transparency and equity of the tax system by minimising tax distortions, broadening the tax base and improving the efficiency of tax administration. The details of this tax reform are discussed in chapter 4, while the following chapter analyses important recent developments in public expenditure management and the provision of public services.

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Notes

1. When assessing the current balance deficit of 7.8 per cent of GDP of the first half of 2004 one has, however, to consider that there is a very strong seasonal factor in the semi-annual current balances related to receipts from tourism which are always higher in the second half of the year. For example during 2003 the current balance deficit was over 5 per cent in the first half and declined to around 1 per cent in the second half. Furthermore imports of consumer goods such as cars were exceptionally strong in the first half of 2004 and ebbed during the summer. Nevertheless for 2004 as a whole the current balance deficit should be higher than in 2003.
2. In 2003 about 50 per cent of exports were denominated in euro compared with about 43 per cent in US dollars.
3. In 2003, about 55 per cent of imports were denominated in US dollars compared with 40 per cent in euros.
4. See Çevik, 2004.
5. Excluding net errors and omissions.
6. See Piazolo, 1999.
7. See Slok and Kennedy, 2004.
8. OECD Secretariat calculation. The authorities only publish the real interest rate on TL-denominated public debt, which was calculated at 14 per cent in July 2004. The average real interest rate is lower when the lower interest rates on foreign-currency denominated debt are also taken into account.

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3. Improving the quality and cost-efficiency of public expenditure

As has been discussed in Chapters 1 and 2, the rapid increase in government expenditures and debt has been the main cause of persistent inflation and vulnerability of the economy during the past decades, and the recent improvement of fiscal discipline has played a key role in the recovery from the 2001 crisis. The challenge now is to prevent the repetition of the pre-crisis fiscal drifts by putting in place more effective budget institutions, and by upgrading the quality of spending by directing resources to areas essential for economic growth. Beyond aggregate fiscal consolidation, enhancing the quality of spending is a matter of urgency in Turkey as the present weaknesses of core public goods and institutions appear to be hindering the investment and employment potential of the economy.[1]

Important efforts addressing these challenges to the public finance system have been launched since 2001, including the programmes in co-operation with the International Monetary Fund, the World Bank and the National Plan of Convergence with the European Union *acquis*. The proper co-ordination and sequencing of these projects is a demanding task. On top of these efforts to upgrade public expenditure institutions, the government has launched a far-reaching governance reform. A range of draft laws being discussed in Parliament under the aegis of a "Public Administration Framework Law" aim to achieve, first, a thorough administrative decentralisation, and, second, a separation of public funding from public delivery of social services. The reform, if implemented, will be applicable from 2005 and involve the transfer of a significant share of central government spending authority to *special provincial administrations* and *municipalities*. Given Turkey's traditionally highly centralised public finances these reforms represent a major step forward in improving public sector efficiency and responsiveness. However, to avoid any conflict with demanding fiscal consolidation objectives, they must be backed by a strong national policy framework enforcing rigorous spending ceilings and strict service standards across the territory.

This chapter examines the current transformation of the public expenditure system. It first reviews recent trends and pressures in public spending and identifies the expenditure management practices which failed to contain the fiscal

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drift of the past decade and failed to provide public services and institutions at an acceptable level of quality (Section I). It then reviews the present efforts to strengthen public services with new spending management institutions (Section II). The concluding section provides policy recommendations.

Pressures and shortfalls in public expenditures

The drift of expenditures in the past decade…

Up to the mid-1990s Turkey had one of the lowest shares of general government expenditures and tax revenues in GDP in the OECD area (Figure 3.1),[2] and this was perceived as one of the causes of the insufficient quality of public services and institutions. Less than one decade later, Turkey's tax revenues and primary expenditures as a percentage of GDP are not far from OECD averages and the ratio of total public spending to GDP, because of the heavy source cost of public debt, was one of the highest in the OECD. In contrast, neither GDP per capita nor the quality of public services and institutions had converged toward OECD levels. Six factors were behind this explosion of public expenditures:

i) Primary expenditures soared by 8 percentage points of GDP from 1995 to 2003. There were increases across all primary spending items, most notably in the government wage bill, in transfers to social security institutions, and, until 1999, in transfers to agriculture – including via off-budget channels. The increase in primary spending during this period was therefore mainly due to policy efforts to increase or protect the income level of various social groups (Figure 3.2).

ii) Transfers to social security institutions concerned both the pension and health legs. Pressures arose from generous provisions for retirement granted in earlier years[3] and swift growth of health expenditures in spite of the rationing of health services in many parts of the country (Figure 3.3).

iii) Infrastructure investment was also subject to upward pressures, driven by real infrastructure needs but also escalating demands by local interest groups which became more influential in the context of successive anticipated elections. However, infrastructure investment was curbed in the past two years as the only non-mandatory item remaining available in the budget for spending cuts.

iv) The largest drifts in public finances occurred outside the general government sector, in quasi-fiscal activities. In the second half of 1990s, both public and private banks operating under treasury guarantees engaged in aggressive deposit taking, took excessive risks and extended unsound loans without adequate regulatory supervision. Public banks augmented politically-driven lending and many private banks[4] channeled funds to related parties and to assets of dubious

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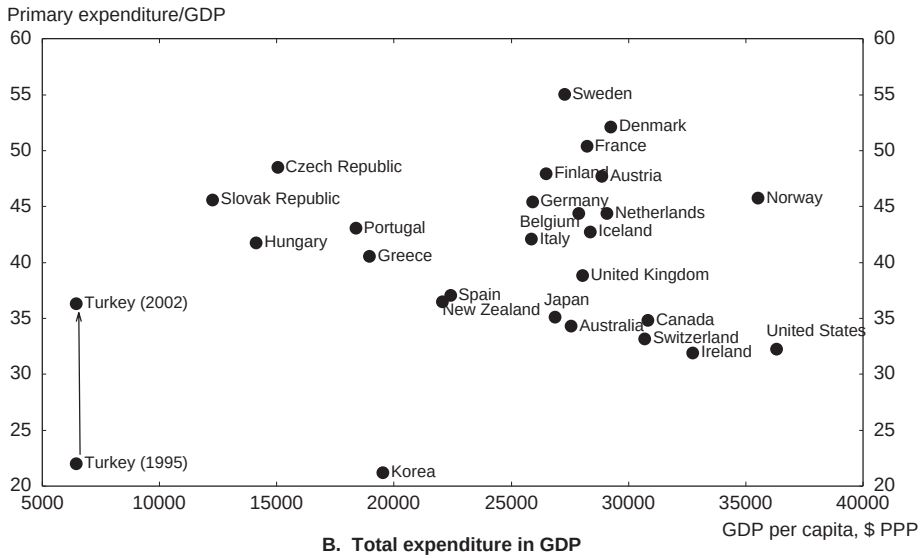
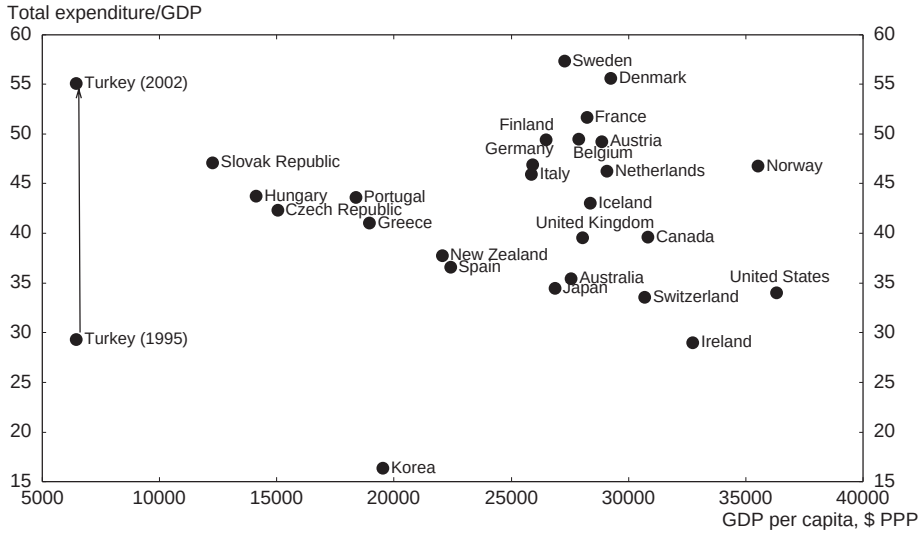
Figure 3.1. **Primary and total public expenditures, international comparison**
2002, for Turkey 1995 and 2002

A. Primary expenditure in GDP



B. Total expenditure in GDP



Source: OECD.

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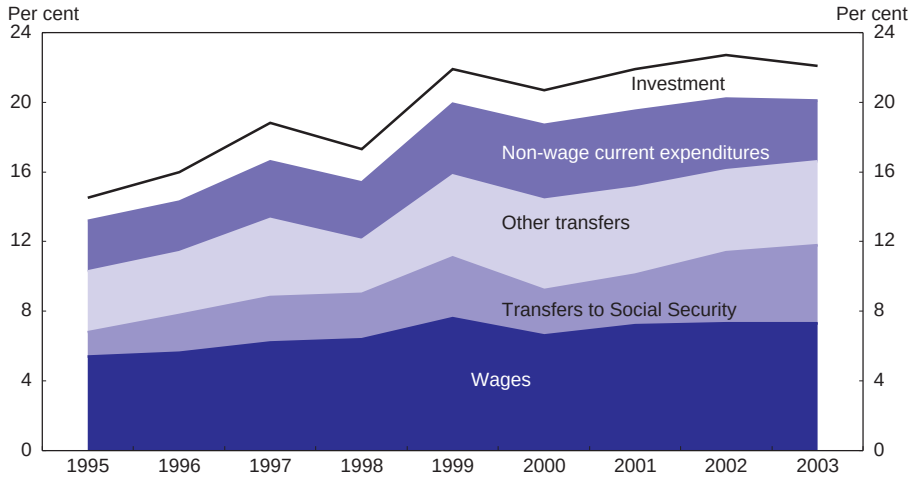
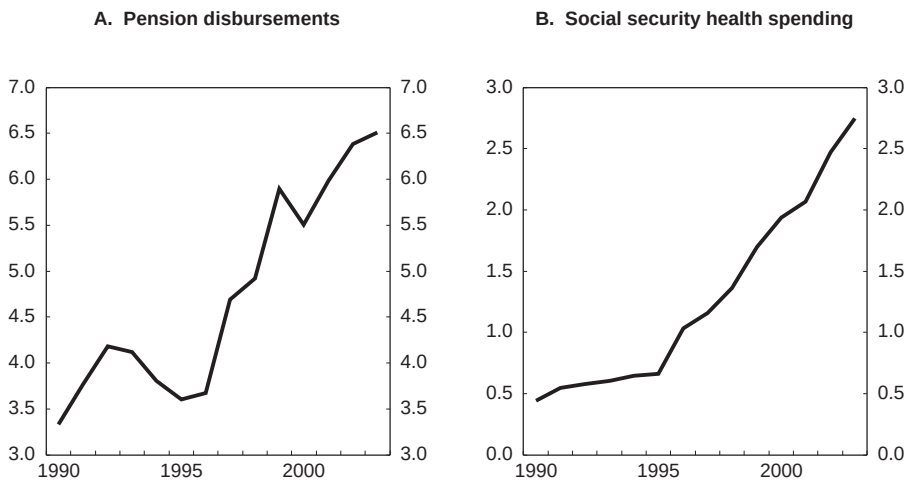
Figure 3.2. **Components of primary expenditure**[1]
Share of GDP



1. On a consolidated government basis.
Source: General Directorate of Public Accounts, MOF.

Figure 3.3. **The growth of social security and health spending**
Per cent of GDP



Source: Undersecretariat of Treasury and OECD.

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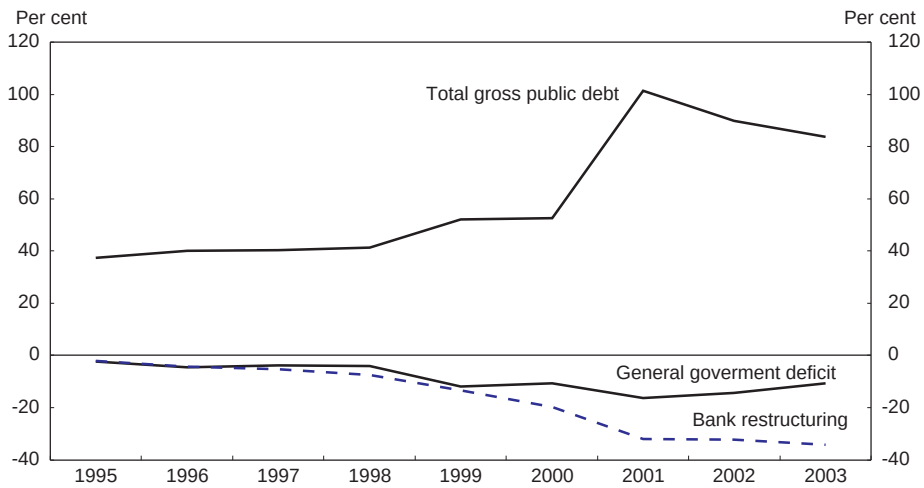
quality. The 2000 currency crisis revealed massive open positions and unfunded liabilities, which amounted to nearly 40 per cent of GDP. The government assumed these losses and as a result the stock of public debt increased sharply (Figure 3.4).

v) The maturity and currency composition of the debt stock made it highly vulnerable to interest and exchange rate fluctuations. After the 2000-2001 crisis and following massive multilateral borrowing, the foreign currency component of debt rose to around 40 per cent, and the share of short-term and floating interest-rate debt increased to 45 per cent. Such a composition made the service costs difficult to predict and stabilise. The rising level of debt, together with successive shocks on interest and exchange rates, led to sharp increases in interest expenditures (Figure 3.5).

vi) Turkey also faced exceptional spending needs in the 1990s. Severe earthquakes in August and November 1999 were onerous and their fiscal cost, estimated at around 3 per cent of GDP, was mainly borne by the government – although international aid helped.[5] Also, security and defense expenditures related to the fight against terrorism, which had increased strongly in the Eastern provinces in the 1990s but subsequently come under control after 1999, put exceptional claims on public resources.

Figure 3.4. **Components of public debt growth**
As a share of GDP



Source: Undersecretariat of Treasury, SPO, OECD.

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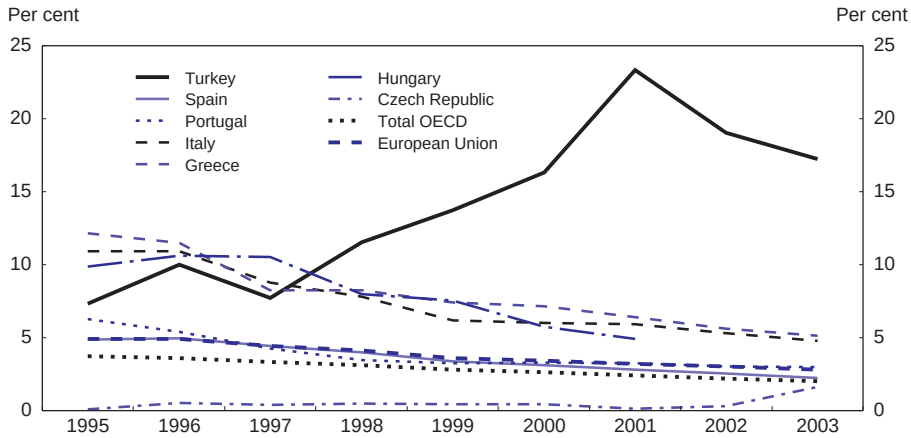
Figure 3.5. **The explosion of government interest expenditures**
Per cent of GDP



Source: OECD.

Further pressures are looming

The fiscally costly bailing out of banks will hopefully be a single event after the fundamental banking reform of 2001, and interest expenditures should come down as confidence improves. However, the other drivers of spending remain pressing and need to be addressed:

- The government wage bill will remain exposed to some pressure. Employment has been reduced in state-owned corporations in recent years, and this trend should continue, but general government employment might increase following decentralisation reforms. Even if total employment is kept under control, wage pressures may persist in the medium-term. Private sector wages declined more rapidly than public sector wages in real terms after the 2000-2001 crisis, but over the longer term, wages of university-educated and skilled civil servants lagged behind their private sector counterparts. In particular, the EU negotiation and accession process will increase the need for highly qualified and adequately paid civil servants. A catching-up of the wages of highly qualified civil servants may be required in the future, at least for high performing employees (Figure 3.6 and Box 3.1).

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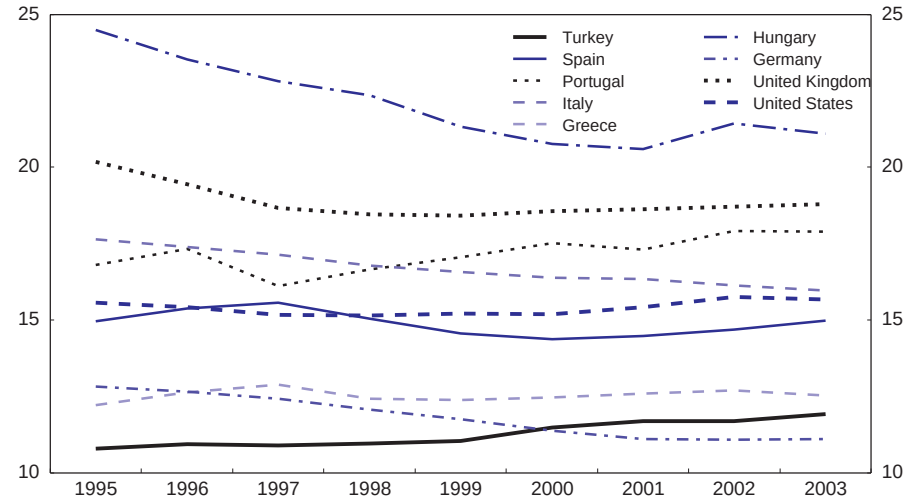
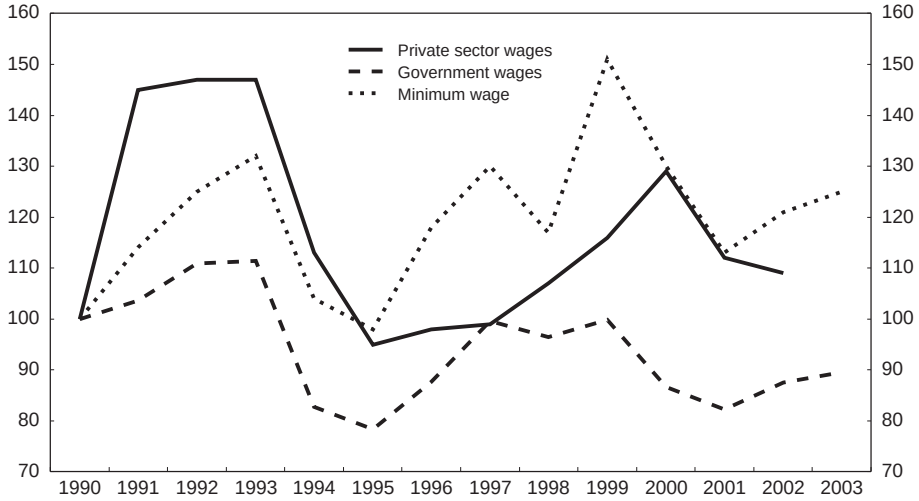
Figure 3.6. **Pressures on the government wage bill**

A. Government employment as a percentage of total employment: International comparison



B. Real wage growth in the private and public sectors
(1990 = 100)



Source: OECD.

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Box 3.1. Public sector employment and wages

Central government employs 1 600 000 workers in 2003, without including state economic enterprises (400 000), military personnel (200 000) and local government workers (205 000). Main government employers are the Ministry of Education (640 000 employees, 40 per cent of the total), the Ministry of Health (230 000 employees), the General Directorate of Public Security (190 000 employees) and Public Universities (150 000 employees). All included, public sector employment amounted to around 2.5 million in 2004, or 12 per cent of total employment.

Public sector employment includes *civil servants* with life-time contracts (1 850 000 in 2004, 74 per cent of the total) and unionised *workers* with practically sheltered positions (400 000, 16 per cent). Employees with fixed-term contracts have a marginal weight in most ministries. Employment is rigid quantitatively, the main source of adjustment being the seasoned practice of "not filling" available budget positions and making use of natural attrition of those leaving for retirement. In 2003, 25 per cent of all available budget positions were vacant (1 600 000 workers for 2 100 000 budget positions). In spite of such restraint, central government employment increased by 30 per cent between 1990 and 2002 (from 1 240 000 to 1 600 000), an annual growth rate of 2.4 per cent.

The wage system for *civil servants* is also relatively rigid, with a "scale and coefficient" system determining the grade and wage points of each individual. There are statutory starting levels according to education and automatic steps according to seniority. The envelope for total civil service pay is subject to budget constraints and since the grade structure is demographically determined, wage coefficients are a residual. In contrast, for public sector *workers*, powerful unions negotiate high levels and rapid growth rates of wages, less subject to budget constraints as they are generally paid by off-budget state economic enterprises – even if wage growth in this sector has remained below inflation in the past three years. The result is a very compressed wage structure between university-educated civil servants and low-skilled workers. The ratio of the highest to the lowest wages

Table 3.1. **Composition and growth of central government employment**
1990-2003

	1990	1995	2000	2003
Ministry of Education	485 692	527 079	578 931	637 192
Ministry of Health	156 521	192 325	211 102	227 056
General Directorate of Security (Police)	107 553	150 770	181 078	192 462
Universities	86 306	114 664	135 151	148 548
Ministry of Justice	56 472	56 927	59 535	58 545
Ministry of Defence	20 600	20 966	26 197	22 038
Others	324 362	334 018	319 870	312 480
Total central government	**1 237 506**	**1 396 749**	**1 511 864**	**1 598 321**

Source: Turkish authorities.

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Box 3.1. **Public sector employment and wages** (*cont.*)

for civil servants has been estimated at 7 in 2004, considerably below internationally observed averages of around 12-13. There is practically no room for performance-based pay in this employment system. It is likely that significant reforms to public sector employment arrangements will be required in order to lift the overall effectiveness of the public sector.

Table 3.2. **Total public employment in 2004**

Total public sector	2 518 427
Consolidated budget – Total	1 865 819
Civil servants	1 663 517
Contracted employees	14 620
Workers	187 682
Local administration – Total	205 220
Municipalities – Total	200 481
Civil servants	92 740
Contracted employees	1 041
Workers	106 700
Social security institutions – Total	77 080
Civil servants	73 063
Contracted employees	289
Workers	3 728
State economic enterprises – Total	339 824
Treasury portfolio (total)	260 892
Civil servants	7 356
Contracted employees	104 472
Workers	149 064
Privatisation portfolio (total)	78 932
Civil servants	1 254
Contracted employees	10 509
Workers	67 169
State banks[1] – Total	30 484
Civil servants	175
Contracted employees	423
Workers	29 886

1. State Banks include Ziraat Bank and Halk Bank. Vakıflar, which has a semi-private status, is not included.
Source: Turkish authorities.

– Social security institutions remain exposed to medium- and long-term pressures although demographic developments are more favorable than in many other countries. There is an exceptionally large difference between the age structure of the population and the ratio between pen-

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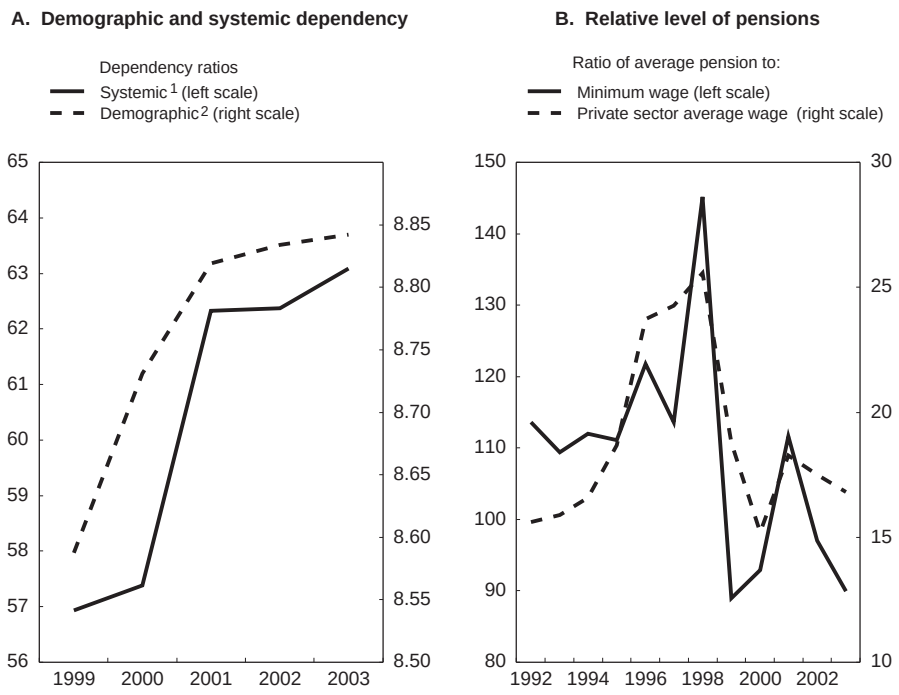
sioners and contributors. Cash balances of the pay-as-you-go pension system were temporarily restored following the parametric changes effected in 1999, but there is a need to accumulate reserves for subsequent years.[6] Pressures are also continuous to make pensions grow in line with wages, in spite of government efforts to limit indexation to inflation[7] (Figure 3.7).

– Pressures will continue to bear on health spending as in all OECD countries, but with an additional catch-up potential. There is room for short-term rationalisation in health spending, and the government is presently making use of it, but medium-term trends are upward, notably with the

Figure 3.7. **Pressures on the pension system**



1. Systemic dependency ratio = pensioners/contributors * 100.
2. Demographic dependency ratio = population aged > 65 / aged 15-64 * 100.

Source: SPO, Treasury and OECD.

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planned introduction of universal health insurance. More generally the population's average health status needs improvement and claims for better health services are expected to mount.[8] Health spending per capita is expected to converge toward levels in comparable countries (Figure 3.8).

- More public spending will be needed on education, even though more private funding will also be necessary at the tertiary level. First, the growth rate of the school-age population is still high. Second, educational enrollment lags comparable countries as Turkey has not yet achieved the leap forward that other countries have completed in high school education and its population growth is still very high. The enrolment of girls in primary education also needs to improve.[9] Lastly, the upgrading of the quality of teachers, educational material and school facilities will claim additional resources. The high unemployment rate of educated youth hints, among other factors, at quality problems in secondary and tertiary education which will need to be addressed (Figure 3.9).
- The future path of government infrastructure investment is not determined as such spending is exposed to both upward pressures and saving opportunities. In international comparisons the government investment level is high, partly reflecting the low level of the stock[10] (Figure 3.10). Infrastructure development and maintenance needs are indeed large. On the other hand, there is also evidence of less necessary items in the existing project portfolio, that the government has begun to cut. Also, more recourse to private investment in energy, water and other infrastructures may diminish the need for direct public funding in the future. By contrast, the requirements of regional development will likely require massive additional infrastructure investment in the less developed eastern and southeastern regions.
- Defense expenditures have remained stable at 4-5 per cent of GDP.[11] Reportedly, certain defense-related projects have been postponed to support the fiscal stabilisation effort. Turkey spends more on defense than comparable countries (see Figure 3.14 below).
- The natural catastrophe risks remain high. Notably, the Istanbul metropolitan area is exposed to a serious geological risk and the recently introduced (government-guaranteed) earthquake insurance scheme only partially provisions against this hazard (Box 3.2). Meanwhile, the Law on Catastrophes provides extensive government coverage.
- There are also other contingent liabilities borne by the government. Although the recent strengthening of the prudential supervision sys-

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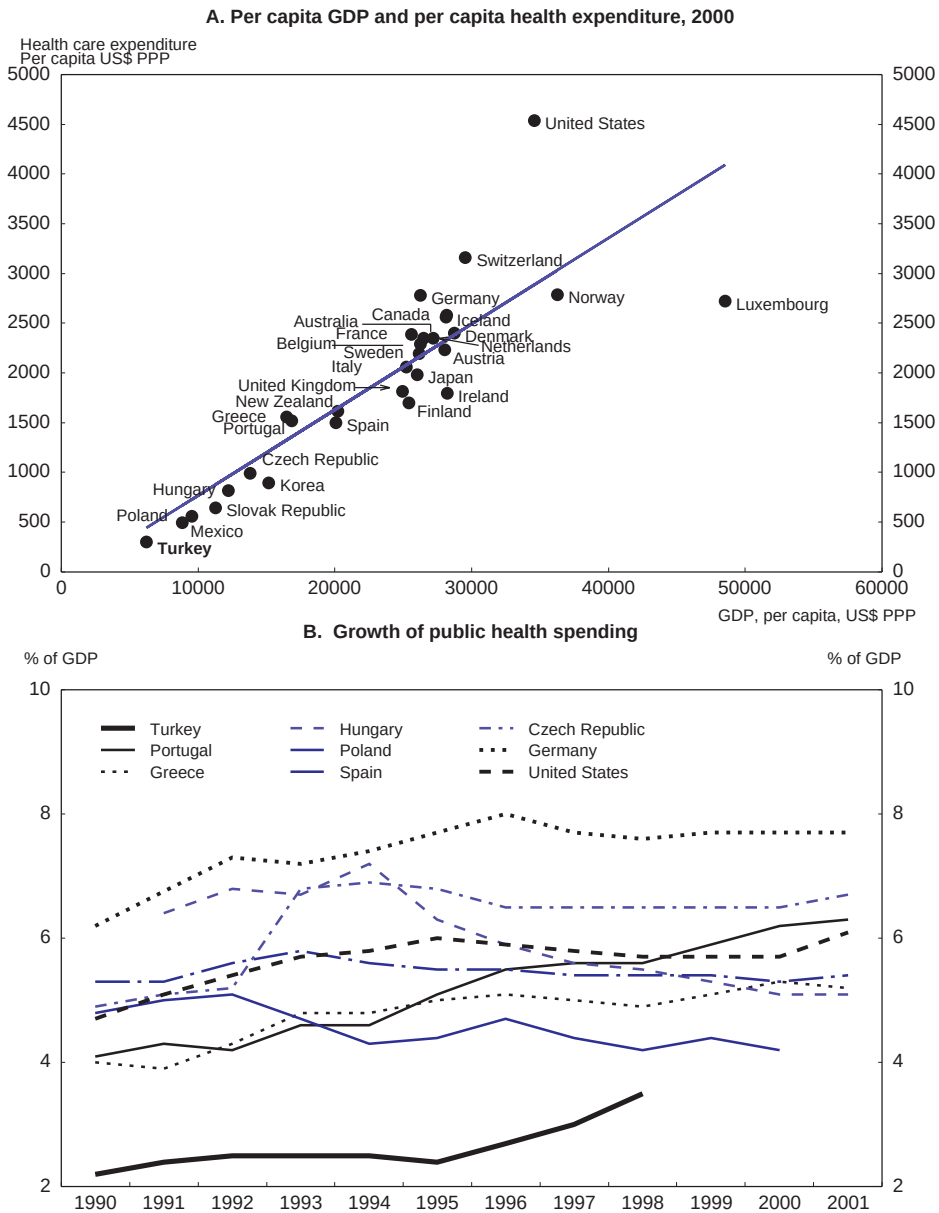
Figure 3.8. **Pressures on the health system**



Source: OECD Health Data 2003.

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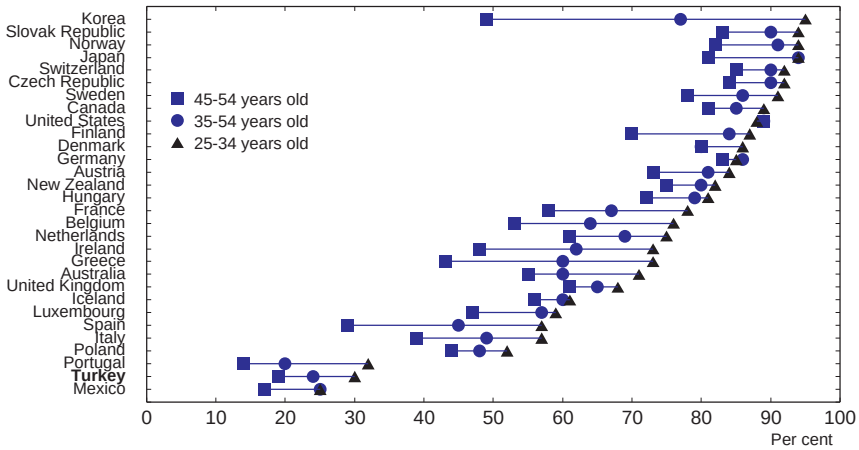
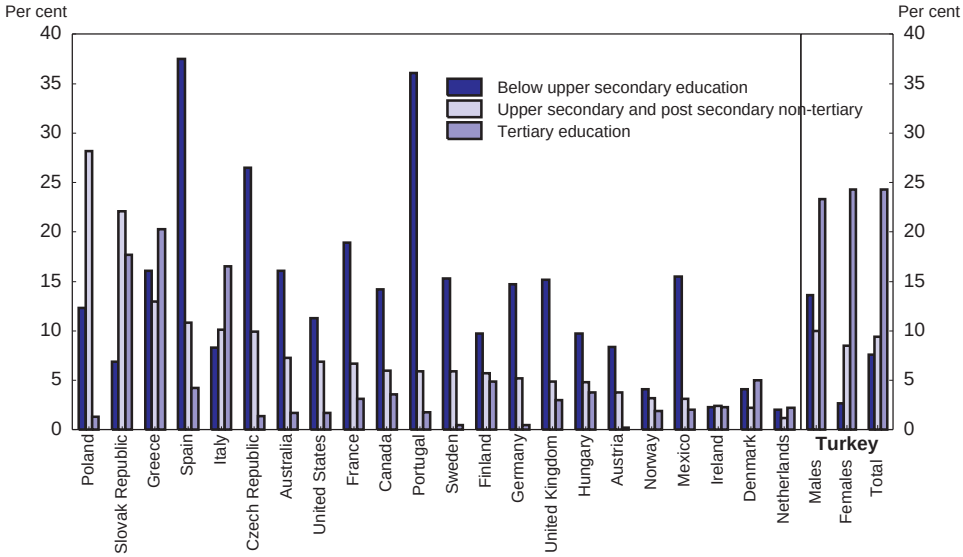
Figure 3.9. **Pressures on the educational system**

Per cent in 2001

A. Share of the population with at least an upper-secondary qualification



B. Youth unemployment(1)



1. The unemployment rate of those below 25, according to educational background. The unemployment rate of poorly educated females is low in Turkey because of lower labour market participation.

Source: OECD.

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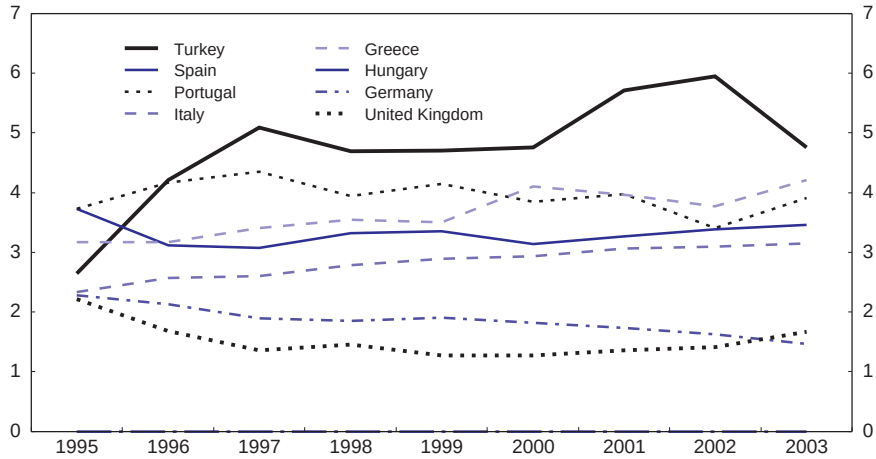
Figure 3.10. **Government investment: international comparison**
Per cent of GDP



Source: OECD.

tem for banks (see Boxes 4.1 and 4.2) and the capping of deposit guarantees reduced government exposure, it nevertheless remains non-negligible in case of macroeconomic and systemic strain. Treasury exposure via long-term purchase contracts in Build-Operate-Transfer (BOT) and Build-Own-Operate (BOO) agreements guaranteed by the government also need to be measured.[12] Many debt-funded municipal infrastructure projects also operate under explicit and implicit state guarantees.

On the other hand, lower spending pressure should be expected in the service costs of public debt. After attaining a very high level in 2001, interest payments declined as a per cent of GDP following the reduction of the public debt to GDP ratio, strong primary surpluses, real currency appreciation and the drop of government risk premia. Assuming that fiscal discipline is fully maintained, real interest rates continue to converge to international levels, and the economy remains on its current growth path, the OECD Secretariat projects yearly savings in debt service costs up to 10 per cent of GDP by 2008 (Figure 3.11).[13]

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Box 3.2. Fiscal risks from earthquakes

Earthquakes in August and November 1999 devastated north-western Turkey, with a severe human toll of more than 18 000, plus 50 000 injured and 600 000 homeless. The extensive physical damage, which was re-estimated at US$10.2 billion,[1] was largely absorbed by the public sector which re-built physical infrastructure, government buildings and private houses. The Natural Catastrophe Law requires the government to re-build decent housing for citizens who have lost their homes in natural catastrophes. Emergency aid and debt relief for injured families and businesses added to fiscal costs. The total budget cost between August 1999 and December 2002 amounted to US$6.4 billion, or 3 per cent of GDP.[2]

To mitigate the contingent fiscal costs arising from the probability of other seismic shocks,[3] a Compulsory Earthquake Insurance Scheme was put in place in 2000. The scheme is a state-owned legal entity,[4] managed under contract by the Turkish Reinsurance Corporation. All registered residential dwellings across the territory (those located within municipal boundaries – excluding houses in small villages) must be insured by owners. The scheme divides Turkey into five risk zones, with the yearly mandatory premium for a private house ranging from US$50 in highest risk regions to US$10 in lowest risk regions. Premia are differentiated following rating categories based on hazard zone and quality of buildings.[5] In case of earthquake damage, coverage is guaranteed up to a maximum of US$45 000 per policy. To induce building owners to participate, the government mandated its deed offices to register only transactions effected on insured buildings, required municipalities to deliver water and gas supplies only to insured dwellings and decreed that the blanket coverage provided by the Natural Catastrophe Law would not be applicable anymore to potentially insurable, but uninsured, buildings.

Participation in the scheme soared in the beginning but than stalled somewhat. The number of policies reached 2 430 000 in 2001, covering 16 per cent of the country's housing stock. In the Istanbul area coverage reached 32 per cent. Certain policies have not been renewed subsequently and in 2003 15 per cent of insurable buildings in Turkey and slightly below 30 per cent in the Istanbul area were in the scheme. Slowing participation is probably due primarily to poor enforcement of the rules although increased budget constraints of households may also be playing a role.

The utilisation of the scheme in two recent earthquakes in 2002 and 2003 illustrates some difficulties of implementation. From 2000 to 2003, fifty earthquakes occurred in Turkey and the scheme paid total damages of US$7 million to 4 200 beneficiaries. In two serious earthquakes with human toll however, in Afyon (Aegean region) in 2002 and Bingol (in the East) in 2003, the government waived the strictest provision of the Decree instituting compulsory insurance, declaring all citizens eligible for government support, insured or not. While the difficulty of excluding victims in such straining circumstances is common to all compulsory insurance schemes, waiving the rules creates moral hazard and reduces the incentives for participation. Thus it is imperative to enforce participation *ex ante*, to make sure that all potential victims are insured.[6] Payouts to non-insured victims in the 2002 and 2003 earthquakes cost the Treasury an additional US$200 million, dwarfing disbursements from the insurance scheme.

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Box 3.2. **Fiscal risks from earthquakes** (*cont.*)

Authorities intend to root the scheme in a new Law, instead of the 2000 government Decree, in order to advance enforcement. Since the Earthquake and Natural Catastrophe Insurance Institution (DASK) announced that its total coverage capacity attained US$1 billion in 2003, a lift in enforcement would provide the Treasury with significant additional cushion against earthquake risks (up to US$6-7 billion in theory). Yet the sad fact is that the fiscal costs of a serious earthquake in a densely populated region are likely to be significantly higher. Notably, government buildings and physical infrastructures are not covered by the scheme, as they are "pooled" in the government portfolio. More "macroeconomic" (aggregate public sector) coverage, through adapted risk-coverage instruments in international insurance and financial markets and international co-operation, may need to be sought.[7]

1. On the basis of detailed estimates published by the Natural Catastrophe Co-ordination Council of the Ministry of Construction and Public Works in August 2004. Private housing destruction was estimated at US$4 billion, commercial building damage at US$4.2 billion and infrastructure costs at US$1.7 billion.
2. The OECD *Economic Survey of Turkey* of 2001 provided a detailed review of estimates by different institutions. The measurement of second round economic effects and opportunity costs diverge, but direct fiscal costs are less controversial. See also Akgiray *et al.* (2004) and Lenain (2004).
3. Notably in the demographic and economic heartland of Istanbul area. Forty-five per cent of the population lives in high-risk regions (Category 1) and 26 per cent in other threatened regions (Category 2). Dozens of earthquakes occur each year, with generally limited damage. In the last 100 years, 100 000 lives have been lost in earthquakes. For the future, risk estimates through accepted methodologies appear to converge on a probability of 30 per cent for a serious earthquake (above degree 7.2 on the Richter scale) in the Istanbul area within 10 years, 50 per cent within 20 years and 65 per cent within 30 years. See Armijo and King (2000), "Seismic hazard in the Marmara Sea following the 17 August 1999 Izmit earthquake ", *Nature*, 16 March.
4. Earthquake and Natural Catastrophe Insurance Institution (DASK) controlling the Turkish Catastrophe Insurance Pool (TCIP).
5. No coverage is provided for the contents of dwellings. Additional insurance for buildings and contents can be purchased from private insurers on voluntary basis.
6. The goal of achieving high participation, however, raises certain delicate registration and building quality issues, as 65 per cent of all buildings in Turkey (in number, and not in capacity or value) do not have building permits, and 30 per cent are on non-constructible areas. The coverage of these buildings by formal insurance would be administratively and technically difficult and would also distort the actuarial balances of the scheme and complicate international reinsurance. Special policies will be needed in the face of this problem, and resettlement will appear imperative in a number of cases, increasing the fiscal toll.
7. A recent review of international insurance coverage of large-scale disasters concluded: "Adequate financial response to risks … exceeding the current financial capacity of the insurance industry and the government of a given country … may only be provided via an international mechanism involving states as last resort capacity, and possibly the financial markets in the future." See Vignial-Denain (2004).

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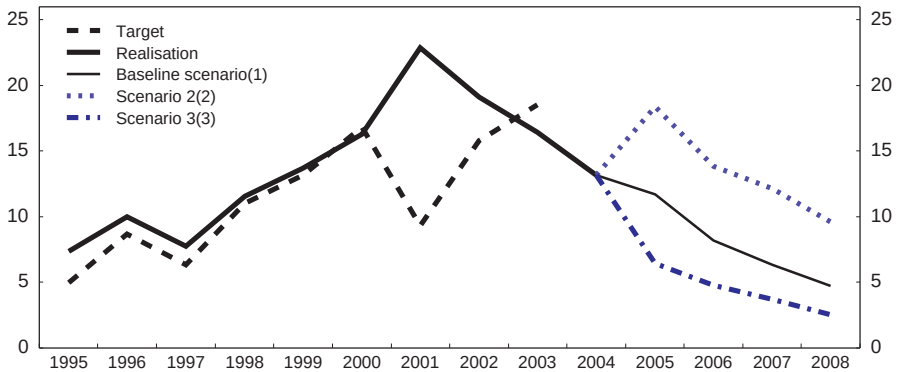
Figure 3.11. **Scenarios for service costs of public debt under different interest rate assumptions**

Per cent of GDP



1. The baseline scenario is based on a decline in the nominal interest rate from 19.2 per cent in 2004 to 6.3 per cent in 2008.
2. Scenario 2 assumes a 50 per cent higher nominal interest rate over the baseline scenario in 2005 and a slower decline afterwards.
3. Scenario 3 assumes a 30 per cent lower interest rate in 2005 and a slightly more rapid decrease afterwards (reaching 4.1 per cent in 2008).

Source: OECD.

Shortcomings of traditional budget institutions

An absence of political will by successive coalition governments to reign in budget, off-budget and quasi-fiscal spending was behind the spectacular fiscal worsening of the past decade. Drifts were facilitated by changes in the economic environment, notably the liberalisation of capital markets which permitted easy foreign exchange borrowing by budget and off-budget institutions and which also led to excessive risk-taking by banks. Public expenditure institutions were permissive to these drifts.

Relatively surprisingly for an OECD member country, general government fiscal balances were not reported in national accounts until very recently. The "consolidated government budget", the most comprehensive concept utilised by the Ministry of Finance and the Undersecretariat of Treasury in conjunctural fiscal management included the budgets of central government ministries and agencies, three extra-budgetary funds,[14] the *budget transfers* to social security institutions and the *budget transfers* to local governments (without, however, integrating the *total revenues and expenditures* of social security institutions and local governments). In pre-

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paring the consolidated budget, the current expenditures, the capital expenditures, and the transfers to social security institutions were also handled separately, albeit through co-operation, respectively by the Ministry of Finance (MoF), the State Planning Organisation (SPO), and the Undersecretariat of Treasury (UT). SPO published a yearly estimate of all-encompassing general government balances for the purposes of its five-yearly development plans and annual programmes, but this was not part of the national accounts and had no adequate intra-annual frequency for macroeconomic management.[15] In 2000, an *ad hoc* team of Treasury, SPO and MoF officials gathered as part of a World Bank project to produce more detailed but still tentative general government accounts for the period 1995-2000. The International Monetary Fund (IMF) has also established a monitoring system of the fiscal stance in *general government terms*,[16] which does not aim at exhaustive general government accounting but focuses on the key and fiscally most risky components of public finances (Box 3.3).

For the purposes of this Survey and on the basis of official data, the OECD Secretariat estimated the contribution of different government layers to general government accounts for the last five years. This estimation confirms that the "consolidated" budget generates only around 60 per cent of total government revenues and expenditures (Figure 3.12).

Quasi-fiscal activities have not been adequately tracked so far, either. While this is a familiar problem in other OECD countries as well, the omission has had more serious consequences in Turkey. Certain government-owned banks and enterprises which are formally in the corporate sector used to implement policy-driven spending. Quasi-fiscal activities came under better scrutiny after the agreement with the IMF in May 2001 and quasi-fiscal losses began to be explicitly capped, budgeted and reported. The amount of total duty losses of state-owned banks and state economic enterprises has been decreasing in real terms in the last three years. This sector should be monitored more systematically at the domestic level, with a view to enforcing market-type corporate governance. In particular, large and recurrent losses of a small number of state economic enterprises must be closely watched and contained through governance changes and privatisations.[17]

The budget itself has been so far a historically-based document, carried forward with little adjustments year after year. It was run, until 2004, according to a law passed in 1927 and modelled according to the centralised and formalised French fiscal procedures of that time. Budget appropriations were extremely detailed and itemised and spending authorisations were handled by the officials of each ministry as well as by special budget officers appointed by the Ministry of Finance within each Ministry ("saymans"). Once the budget was voted, line ministries and spending agencies had limited discretion as to the utilisation of their appropriations. Budget codes followed administrative lines. An attempt,

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Box 3.3. The IMF methodology of fiscal monitoring

The main pillar of the Stand-By Agreement with the IMF is compliance with rigorous fiscal benchmarks. To monitor the development of the fiscal position at general government level, a primary surplus objective is set as a performance criterion. A detailed fiscal monitoring methodology has been defined.[1] The objective of this methodology is not to put in place fully fledged general government accounting by systematically monitoring and reporting the *total revenues* and *total expenditures* of general government entities, but rather to monitor the bottom-line fiscal position through primary surplus of the consolidated government sector (CGS). The IMF's definition of primary surplus of the consolidated government differs slightly in terms of coverage and items from that used by Turkish authorities (the yearly compilation by SPO).

In the IMF methodology, the primary balance of the consolidated government sector covers the primary balances (primary revenues minus non-interest expenditures) of the central government, the three Extra Budgetary Funds covered in the "consolidated budget" (the Defense Fund, the Privatisation Fund and the Social Solidarity Fund), the Unemployment Insurance Fund, the Social Security Institutions, as well as the primary balances of the 27 State Economic Enterprises (SEEs).

The IMF's definition of **primary revenues** excludes:

- *Interest receipts* of the consolidated central government (including on tax arrears), of SEEs, and of the Unemployment Insurance Fund. The interest receipts of Extra-Budgetary Funds and Social Security Institutions remain included.
- *Profit transfers* of the Central Bank of Turkey.[2]
- The *revaluation* account.
- *Proceeds* from the sale of assets of consolidated government (privatisation proceeds or transfers thereof). However, revenues from sales of immovable property below TL 500 trillion are included.

The IMF's definition of **primary expenditures** excludes:

- Payments related to *bank recapitalisation*, and to the restructuring of private and public banks.
- The *risk account*.

The floor on the primary balance will be adjusted upwards for any increase in revenues arising from changes in revenue sharing arrangements between the CGS and other elements of the public sector, including local authorities. In addition it will be adjusted downwards (upwards) by the officially projected profits (losses) from state economic enterprises that were included in the performance criterion but were not subsequently realized due to their privatisation.

The IMF and Turkish government (SPO) methodologies give slightly different results. For 2003, the primary balance of the general government was estimated at 6.2 per cent of GNP by the IMF methodology and 6.4 per cent of GNP by the Turkish government methodology.

1. The most complete and updated exposition of this methodology is in the Letter of Intent of the Turkish government to the IMF of 2 April 2004.
2. Central Bank profits are included in the Turkish government methodology.

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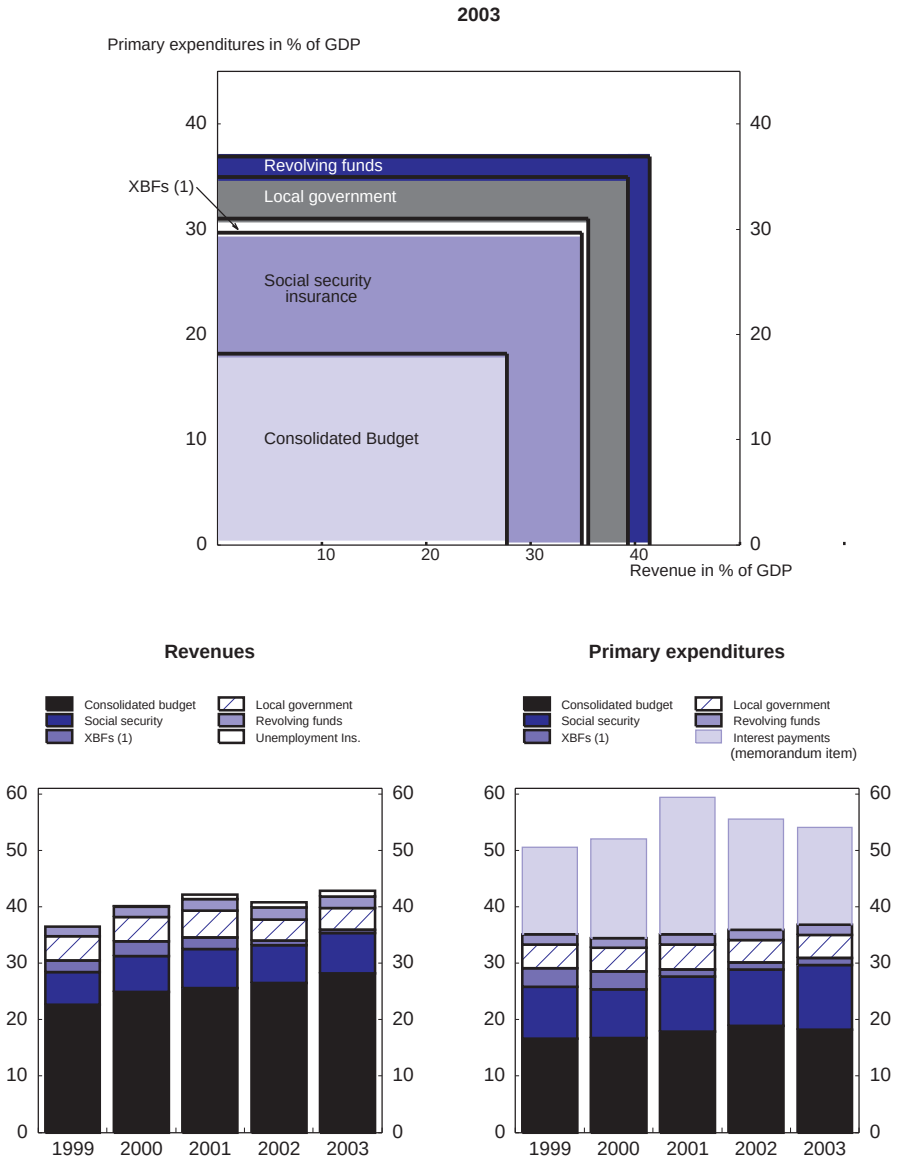
Figure 3.12. **A construction of general government accounts**
Estimation by the OECD Secretariat



1. Extra-budgetary funds.
Source: OECD.

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in the 1970s, to shift to programme-based budgeting did not succeed, as it was impossible to transcend administrative boundaries in preparing and implementing "programmes". Programmes ended up converging with existing administrative lines. The lion's share of allocations are pre-committed as wage bills for ministerial civil servants with life-time contracts, in social security and other social transfers granted as legal entitlements, and for the increasing interest costs of public debt. In 2003, approximately 85 per cent of the consolidated budget had such a *pre-committed* character, while around 10 per cent was dedicated to new capital investments.[18]

In the past and under such circumstances, policy initiatives implying sizeable spending needed to rely on sources other than the mainstream budget, deepening a functional divide between the official budget voted by the Parliament and catering to routine spending, and extra-budgetary (off-budget) funding channels utilised for government action. The standard example is the massive effort to increase road, irrigation, energy, telecommunications and public housing investments in the 1980s and 1990s, which were funded by large extra-budgetary funds.[19] A more recent example is the ambitious government campaign to lengthen the duration of primary education from five to eight years. This decision was made in 1997 and swiftly implemented via a special budget programme partly provisioned by a World Bank loan. More than 1 per cent of GDP of new funding could be channelled annually to this project.[20] In this fragmented setting however, shaping an overall direction for expenditures under strategic prioritisation and transparent accounting was impossible.

Another problem is that governments often increased mandatory spending *over the course* of budget years. This happened recurrently between the mid-1990s and the early 2000s. As a result, original spending limits were frequently breached (Figure 3.13).[21]

These loopholes in the spending procedures prior to the 2000-2001 crisis were well-known by insiders, but their detrimental impact on public finances became fully visible at the occasion of the crisis. Analytical inquiries were then launched to analyse the sources of these drifts, and the factors which hampered the standard allocation, transparency, integrity and accountability of public expenditures. The most thorough research was launched by the non-profit Turkish Economic and Social Studies Foundation (Box 3.4).

Failures in adequately resourcing core public services and institutions

In the past, the public expenditure management institutions lent themselves poorly to government deliberations on the strategic objectives of public spending, and to parliamentary and public consultations about them. No functional distribution of general government spending has ever been discussed or determined by the government and the Parliament in the past. The functional pat-

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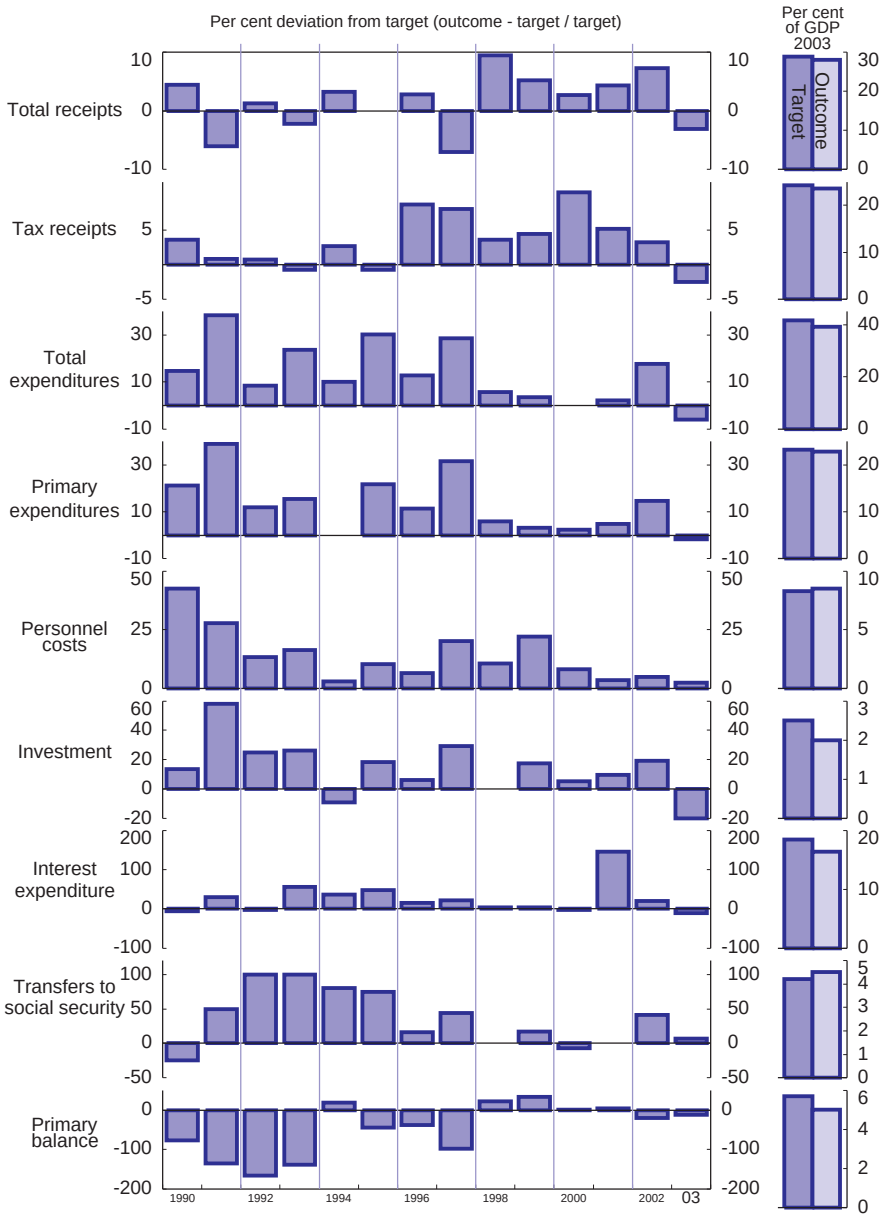
Figure 3.13. **Differences between central government budget targets and outcomes**



Source: OECD.

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Box 3.4. A fiscal transparency index

The Turkish Economic and Social Studies Foundation (TESEV) launched a set of projects on the status of fiscal management in Turkey, the need for improving fiscal transparency, and the main areas where international best practices could be adopted.

TESEV analysts started from the IMF Code on Fiscal Transparency, detailed further its four main criteria of fiscal transparency and established a reference framework to gauge fiscal institutions and practices. The framework encompasses: *i*) the transparency of boundaries between fiscal and non-fiscal organisations; *ii*) the accessibility of fiscal information; *iii*) the transparency of the budget preparation and approval cycle; *iv*) the effectiveness of budget implementation and control; *v*) the efficacy of Parliamentarian auditing and surveillance; and *vi*) the administrative autonomy in the production of fiscal data.

Twenty-three experts from the public sector, academia and economic press were asked to use this framework to review and rate various dimensions of fiscal management, according to 108 different criteria. The index is compiled by averaging their judgments along each dimension, and scores by review groups (public servants, academics etc.) are published separately. The index was first computed in 2003, before the implementation of the Public Financial Management and Control Law, and scored a low 44 on a scale of 100 for the overall transparency of fiscal management. Assessments of professional groups did not differ significantly. Judgments along different dimensions were also broadly congruent and scores remained below 50 in all areas.

Future computations of this index will be useful to help monitor the progress of fiscal reforms, not only in terms of legal and regulatory measures but also of *actual implementation*. Areas with effective progress and those where progress is lacking can be identified. Regular publications of the index can help review the "performance" of the reform effort. In particular, the impacts of the laws introduced in the past two years can be systematically gauged. The Index could be detailed further in the future according to needs. Sub-central governments' fiscal practices and the quality of functional audits for core public services are potential candidates. The design and introduction of this index illustrates the role that civil society organisations may play in the improvement of fiscal transparency.

tern of spending emerged only *ex post*, and always remained imperfectly known, as overall expenditures resulted from a multitude of non-co-ordinated spending initiatives by a variety of institutions. Functional budgeting started to be introduced in central government from 2004 (see below), and *general* government accounts compiled on functional lines will only be available from 2006. Figure 3.14, using various sources, presents a tentative *ex post* functional de-composition of recent general government spending.

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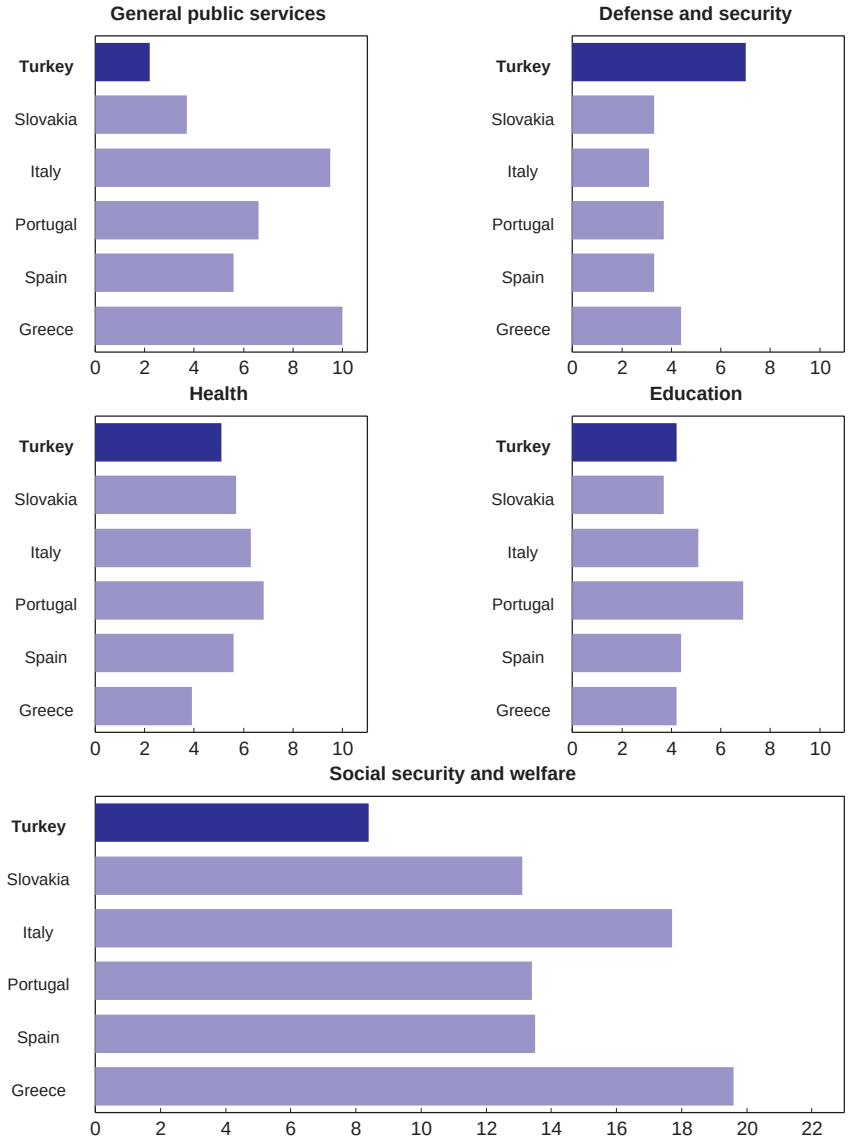
Figure 3.14. ***Ex post* functional composition of general government expenditure in 2000**[1]

Per cent of GDP



1. 1999 for Turkey and Portugal.

Source: Government Financial Statistics, IMF and OECD estimates.

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It is not surprising in these circumstances that a number of key public institutions and services failed to be purposefully funded and effectively controlled. The quality of essential public services and their perception by the population appear highly unsatisfactory. While in many OECD countries the key problem in public expenditure management is the effective control of aggregate spending, in the case of Turkey the provision of core public services and institutions at *adequate quality* has equally been a fundamental concern (Figure 3.15).

Law and rule enforcement

The legal infrastructure and rule enforcement environment have lagged behind the needs of economic development in Turkey.[22] Entrepreneurship thrives in a dynamic market, but many individuals and enterprises, including those from abroad, seek to operate in a more coherent, efficient and predictable legal and judicial setting than that which Turkey has offered to date. The main obstacle noted by the business circles were administrative procedures and burdens, the improvement and simplification of which has been a primary agenda item for the government. This area has been regarded as a major impediment to attracting FDI and as one of the reasons why Turkey could not ride the FDI wave of the late 1990s which brought significant financial and technological resources to the emerging market economies of Europe and Asia.[23]

Formal legal and regulatory *rules* as well as their actual *enforcement* need to be improved and the government recognises this. The biggest problems are found in the administration of licensing regulations, land-planning and zoning decisions, environment protection regulations, tax accounting rules, corporate law and bankruptcy law.[24] A long series of laws and regulations "sedimented" over time have created biases against free market entry, and competition – particularly in the heavily regulated sectors such as energy, telecommunications and transportation. The actual enforcement of rules is occasionally deficient, creating incentives to circumvent rules and regulations; and discouraging firms from operating in such an environment.[25]

A thorough modernisation of the Turkish legal and regulatory environment and its methods of enforcement are in order. This requires not only major deregulation efforts but also additional resources and capabilities in the justice system, in line ministries, and in sectoral regulatory authorities. The relations between independent regulators, the competition authority and the existing ministries and administrative bodies need to be clarified. Against these needs, technical and human capital shortcomings and low wage levels in the justice system and line ministries appear to erode the motivation of the officials involved.[26]

Shortcomings in the justice system have been particularly worrying. There are many indications that justice services are slower than required, that courts are not equipped with adequate physical facilities. Expert advice on specific issues is

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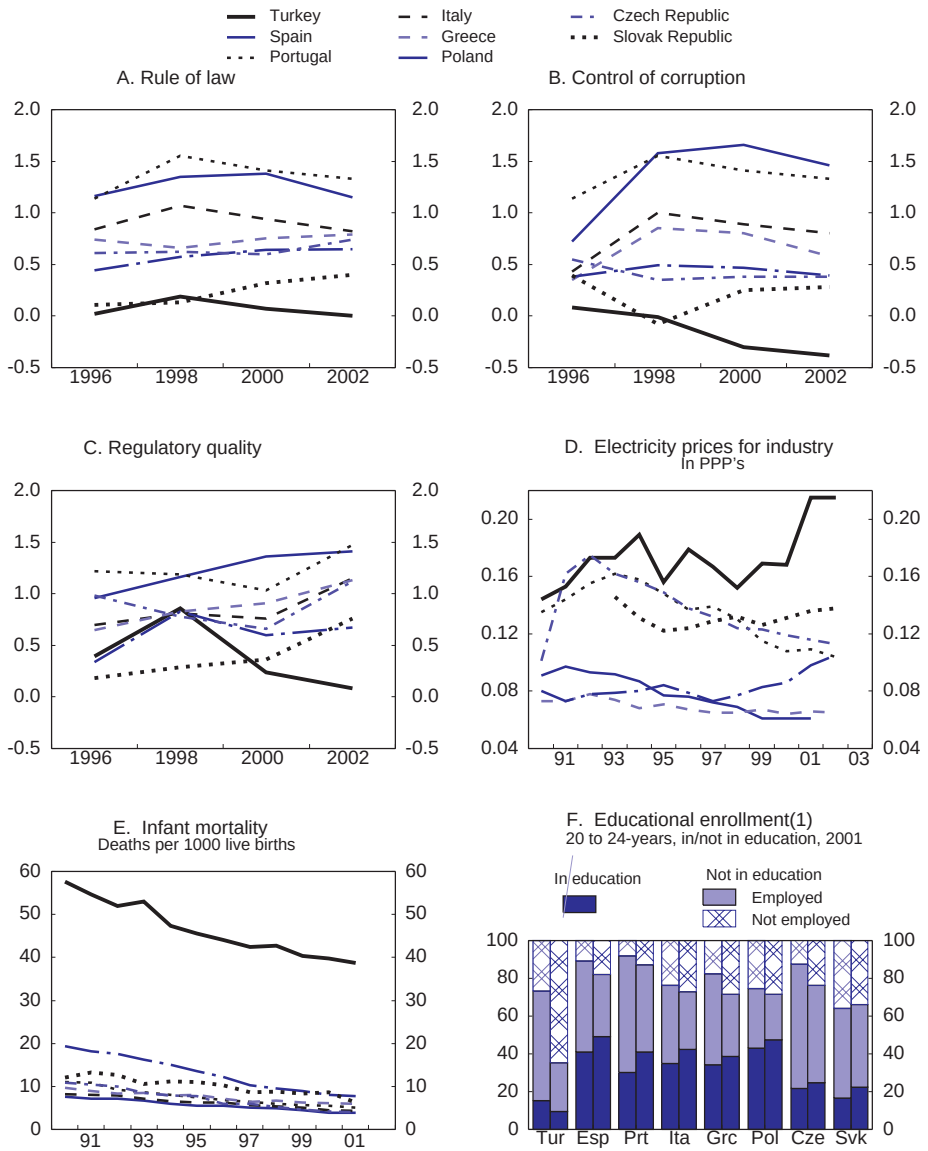
Figure 3.15. **Indicators of shortcomings in core public services and institutions**



1. The first bar represents men, the second bar represents women.

Source: World Bank Governance Indicators Project, 1996-2002 (2003) and OECD.

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lacking, notably on commercial and regulatory matters. The government and the professional associations of the justice system recognise that important reforms are required, including simplification of legal codes, of the administrative rules governing justice, and of the specialisation and organisation of courts. Upgrading the professional training capacities for justice officials is recognised as an important requirement.[27]

Such justice reforms raise important fiscal issues. First, providing adequate wages to the 7 200 judges is a permanent challenge. Judges are vested with prime responsibilities as the trustees of the third power, they should be independent from the executive branch, and their remunerations should be in line with those of skilled executives. Their salaries were once indexed on Parliamentarians' revenues but then diverged downward.[28] Their office and transportation facilities should also be improved, notably with regard to security. By contrast, there is evidence of sizeable waste in the present organisation of the justice system: too many provincial court centers ("Adliyes") occupy excessively large buildings with large operating expenses. The Ministry of Justice estimated that as many as 140 provincial court centers could be closed. Liquidating such centers face the usual obstacles against any administrative closures.

The Justice system receives relatively low central budget allocations (fluctuating around 0.8-1 per cent of GDP per year) but resorts to financing from large off-budget foundations and revolving funds. These are financed by optional or mandatory contributions by the users of the justice system. The role of off-budget sources' in the financing of the justice system is now questioned on equity and fiscal transparency grounds, and the government has decided to integrate these revolving funds in the budget. However, it is not clear to what extent any "losses" can be compensated with increases in ordinary budget allocations. The future of the revenues of the main revolving fund of the Ministry of Justice (Isyurtları Kurumu), which is also in charge of production activities in prisons, remains an open question.[29]

The intended modernisation of the *legal and judicial codes*, of methods of *administration of the justice system*, *and* of its physical and human infrastructures will require additional human, financial and material means. International co-operation in the process of convergence with the EU *acquis* may bring useful contributions in this area.[30] A clear justice reform strategy within a medium-term fiscal plan will be needed to provide a stable and purposeful framework to these efforts.

Education

Turkey has invested considerable resources over the past decades in the establishment of a public education system and spends around 4 per cent of GDP annually on public education. In spite of starting with a weak educational infrastructure it has achieved major strides in literacy and primary school enrollment.

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The quality of the overall education infrastructure has improved. Yet, sizeable inequalities remain and have increased in the recent period. Differences are visible in secondary education, between a large number of public general and vocational high schools which operate with limited means, and a small number of elite institutions employing high quality human and material resources.[31] The registration fees in private high schools are considerable and there are – at times sizeable – market-determined wage differences between public and private sector teachers.[32] Physical resources (school and classroom facilities, computer and internet access, other educational material) are also unequally available. The government now considers it a priority to reduce these sizeable inequalities in educational resources across regions and education levels.

The performances of high schools remain particularly dispersed.[33] Differences in the quality of secondary education extend to subsequent labour market performance of students.[34] Overall, the unemployment rate of high school graduates remains very high, at around 13 per cent, while this rate is only slightly lower for vocational school graduates at around 12 per cent. Unemployment rates are lower for workers with no education.[35] The overall weakness of public education remains in all instances undisputed.[36] There is consensus in society on the need for a fundamental reform.[37] The Ministry of Education declared in summer 2004 that a critical review is focusing on six main areas: *i*) Increasing *effective* enrollment rates;[38] *ii*) modernizing the curricula; *iii*) increasing the quality of teachers; *iv*) equipping schools with new technologies (notably computers); *v*) developing personal counseling for students; and *vi*) rehabilitating school buildings (against earthquake and other catastrophe risks).

Such far-reaching efforts will have fiscal implications. According to the Ministry of Education, *non-wage* current spending would need to rise (mainly for teaching material); wages will need to include a larger performance element;[39] and the investment budget for additional classrooms and building rehabilitation will need to increase.[40] By contrast, parent donations to individual schools and the revolving funds of the ministry, which represent important complementary sources of financing in the education system, may play a smaller role in the future, calling for larger top-ups from the budget.[41]

The looming tension between resource needs and budget constraints call for a thorough review of budgeting methods and resource allocation in education. It justifies a shift to educational performance benchmarks, the utilisation of multi-year budgets at the level of the Ministry and in schools, and more school autonomy in exchange for higher performance accountability. In that regard, the stronger performance of private high schools in reducing costs and enhancing academic performance is being recognised across Turkey.[42] This may justify investigating not only the sources of excess costs and low performance in public schools, but also initiating reflection about separating financing from provision of services, by "pur-

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chasing" more services from private schools on a *per-student* basis, to develop competition and strengthen overall quality.[43] Such a move would of course represent a departure from the *status quo*, and from prevailing understandings about desirable patterns of school organisation. It may also necessitate constitutional adjustments (see below) and would certainly require a particularly effective monitoring and auditing infrastructure to ensure the conformity of privately provided education to national rules and standards.[44]

In tertiary education too, there are capacity bottlenecks and large quality differences between universities. Most universities are public and there are small-size elite institutions under private foundations, for a limited number of students.[45] The rapid built up of public enrollment capacity since 1990 could not be backed by adequate resources in the public system[46] and expenditure levels per student have stagnated or declined, notably for the most disadvantaged universities in remote regions.[47] The large proportion of students who are directed to distance (mail-based) education (35 per cent of total enrollment) receive an education with limited labour market relevance. While graduates of lower rated public universities face high unemployment rates,[48] graduates from elite universities receive a highly praised training and are in demand in the national and international labour market. However, fees in private universities are extremely high[49] and as their enrollment capacity is low Turkey remains the OECD country with the lowest share of student contributions in the financing of tertiary education. In public universities, registration fees are marginal; they constitute only 5 per cent of current costs.

However, universities generate growing revenues from their revolving funds, which they activated after the severe budget pressures of recent years. Their revolving funds generated revenues of TL 600 trillion in 2000 and 2.3 quadrillion in 2003 (US$1.5 billion at current exchange rates), representing 70 per cent of government budget appropriations to universities in 2003. However, these off-budget sources are unevenly available to different universities[50] and face uncertainties for the future, as do revolving funds in other general government entities.[51]

Student loans with low interest rates constitute another fiscal cost of higher education.[52] They help students finance housing and boarding needs and represent a non-negligible budget cost. They are difficult to allocate optimally – students truly in need are difficult to identify – while delinquency rates on loans are abnormally high, transforming them into *de facto* government grants.

The need to overhaul the public finance and governance system for universities is widely recognised.[53] To overcome the presently severe under-resourcing, the weakness of education quality and accountability in several universities, the growing duality in the credibility of different universities in the labour market and the irrelevance of distance education, more purposeful resource allocation is

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needed. The process of "creating" universities and university departments in response to local demands without securing an adequate funding basis – a practice which escalated in the 1990s – cannot be sustained. Capacity growth in tertiary education should follow a strategic medium-term plan, within a clear fiscal framework.

As economic returns on tertiary education are mostly private, the role of student fees should be increased.[54] Equity objectives can be pursued with scholarships, and student loans sponsored by the government and possibly managed by banks. Within a clarified fiscal framework, public universities should be given performance objectives taking into account their resource level and their students' background, and should be granted more managerial autonomy to pursue these objectives. Private (foundation) universities, which have a peripheral role in the system but a successful record so far,[55] could serve as real-life experiments on the benefits of academic and managerial autonomy under public supervision.[56]

The fiscal reform of higher education appears well-suited for introducing new principles of public management to this human-capital-intensive environment. The combination of national long-term planning, strong quality control, accountable governance bodies, academic and managerial autonomy, performance-based budgeting, cost-based user fees, and direct public transfers to targeted social groups to promote equal access to services could produce inspiring results.The total amount of public resources dedicated to education in Turkey is below the level in other OECD countries as a share of GDP, and need to be increased, but the relevance of their direction, their efficiency of use, and their capacity to leverage private funding at the primary, secondary and tertiary levels need to be fundamentally improved.

Health

The health system shows similar features to those in the education system. Big efforts by the government over the past decades have helped to achieve important progress in public health and 5 per cent of GDP is spent annually in this area.[57] Yet the average health status of the population falls short of comparable countries. There is no formal universal health insurance but nearly the entire population has some access to public health facilities,[58] even if services remain severely rationed. Differences in health status and service availability across regions and population groups are wider than in other OECD countries (Figure 3.16).[59] There is also evidence of significant inefficiency and waste in the allocation of health spending in the two main cost items: *hospital expenditures* and *drug reimbursements*.[60] As in the education system, private and commercial services proliferated in response to deficiencies in public services, but they are available

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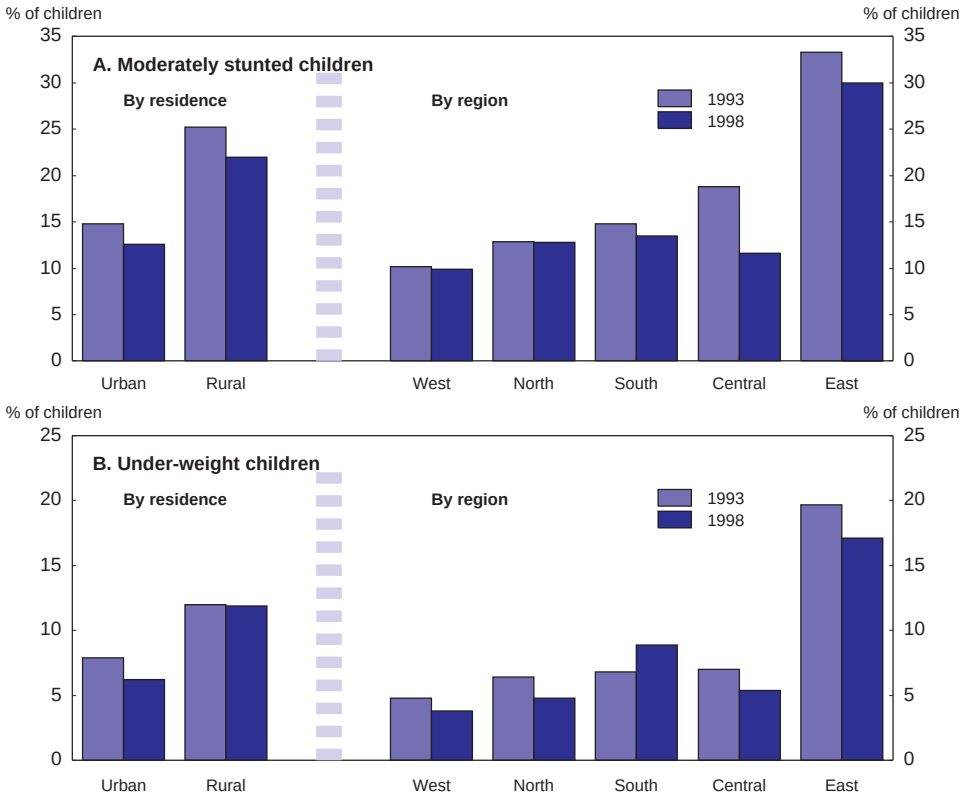
Figure 3.16. **Regional differences in health status**[1]



1. Prevalence of stunting and under-weight among children, classified by residence and regions.
Source: TDHS.

to households with an ability to pay. Large wage differences developed between health professionals in the public sector and professionals engaged in commercial services.[61]

The public hospital sector is both fragmented and centralised. Ministry of Health hospitals, wage earners' insurance (SSK) hospitals and university hospitals are all funded from general government revenues, but are separately planned and governed, and service different user groups. Hospital budgets are detailed and itemised, while staff (physician and nurse) hiring decisions, employment relations and wage practices follow central rules.[62] Procurement practices are directed from the top in most cases. Hospital managers appear to have relatively limited discretion in resource allocation, with no room to arbitrage between personnel, capital

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and procurement spending, and no freedom to introduce innovative, performance-based spending of their budget. At the same time, preventive care has been marginalised in the system.[63] Rigidities appear to prevail also in pharmaceutical purchases, which account for no less than 30 per cent of total public health spending, and suffer imperfections in the selection of reference (reimbursable) drugs, limited recourse to generic products, and distortions in price negotiations with the suppliers of patented and branded products.[64]

Detailed plans were developed to streamline and rationalise the public health sector, in line with international best practices.[65] But little action has been taken to date. Reform plans have aimed at merging and co-ordinating different components of the public hospital system, in order to enhance the autonomy of hospital managers by reinforcing *ex ante* corporate governance and *ex post* supervision mechanisms, and to reform the competitive procurement of pharmaceuticals and medical aids. An effective initiative was the recent authorisation of the cross-procurement of hospital services. Through this implementation, SSK (wage earner), ES (civil servant) and Bag-Kur (self-employed) insurance fund members will be able to utilise the hospitals of the Ministry of Health and SSK. This decision, which applied from January 2004, is a step toward the separation of the financing and provision of hospital services. Transparency is also expected to increase in drug procurement, as a new Public Procurement Institution is authorised to review practices in this area.[66] Authorities should make sure, however, that the planned decentralisation of hospital ownership (to sub-central governments – see the Public Administration Framework Law below) does not conflict with the separation of financing and provision principle, by putting local governments in a position of being both funders and owners of local hospitals. In all circumstances, a period of transition will be needed to build administrative competence in sub-central governments on health management matters. Although a non-negligible 5 per cent of GDP is dedicated to public health, the direction and efficiency of these resources call for significant improvements.

Infrastructure

As in other catching-up economies, the government used to dedicate a sizeable proportion of GDP annually to infrastructure development[67]. This has helped to equip the country with basic transportation, energy, water and communication networks. These networks are considered reasonably developed compared to similar countries, but suffer important shortcomings in quality, technological sophistication, and cost and price performance. Turkey offers at present some of the OECD's most expensive telecommunications, electricity and natural gas services for business users.[68]

Budget constraints have limited new infrastructure investments since the mid-1990s. Financing constraints have motivated, notably in the energy and water

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sectors, growing recourse to Build-operate-transfer (BOT) and Build-own-operate (BOO) contracts, where private investors rapidly build up additional capacity in exchange for long-term purchase agreements at guaranteed prices.[69] Several reforms were introduced since 2001 in these sectors along the EU *acquis*, but implementation has lagged. The existence of large cross-subsidies from professional to household customers is a major factor hindering free entry and competitive pricing, even if recent laws and regulatory decisions aim at preventing such tariff-distorting transfers. Recent legislation that prohibits cross-subsidisation in state economic enterprises, Turk Telekom's recently introduced tariffs favouring business users, and the new Electricity Sector Reform and Strategy Plan prescribing a calendar for liberalisation are steps in the right direction.[70] Nevertheless, Turkey has not yet devised a successful overall strategy to engage private investment in infrastructures at satisfactory regulatory and pricing conditions.

A number of economically dubious infrastructure projects have been burdening the public investment portfolio. These projects were launched in response to political and other local pressures (construction of airports with limited use, launching of irrigation projects with particularly long completion periods, etc.). Such drifts seem to have worsened in the 1990s. The total cost of the government's ongoing infrastructure project portfolio was estimated at TL 155 quadrillion (US$100 billion) in 2002, while annual central budget appropriations were about TL 8 quadrillion (US$5 billion), implying an average completion period of 12 years per project. This gap between project costs and annual appropriations was smaller a decade ago, and project completion periods were much shorter.[71]

The State Planning Organisation (SPO) was charged, in the context of the 2001 stabilisation programme, with identifying the most dubious projects and those with the lowest prospects of completion. SPO prepared an "investment rationalisation program" proposing to freeze spending on such projects and to concentrate the limited resources on priority areas. The government followed these recommendations and the resulting narrowing of the project portfolio – in spite of an aggregate reduction in investment spending – was welcomed by many market participants.[72] As a result, average project completion period declined from 2002's 12 years to 8 years in 2004.

The ongoing reforms of public procurement (see Box 3.12 below) should also play a role in improving returns from investment spending. Slack exists in physical construction costs which represent the largest share of government investment. The Ministry of Construction noted in August 2004 that Turkey suffered, until 2003, from exceptionally high construction costs by international comparison, in spite of lower wages.[73] New procurement procedures putting an end to the practice of *ex post* price majorations after the granting of contracts should help reduce this abnormal wedge. The Ministry declared that, already in 2003, 1 600 km of double-lane motorways were contracted at lower than usual costs.[74] It is impor-

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tant to maintain good quality control over rapid and low-cost construction works in order to avoid quality losses, and to make savings long-lasting.[75]

Turkey's infrastructure development policies need further clarification. Respective responsibilities of public and private investors in infrastructure funding, the social ("universal") service commitments of the state, the pricing principles for business and household users, the room for cross-subsidies and competitive price setting must be specified. Further private investment is desirable in telecommunications, electricity, natural gas and air transportation. This will require a supportive regulatory framework and the realisation of basic public investments of a public good character.[76] The role of central and sub-central governments in planning and funding these basic investments, the role of sectoral regulatory agencies in capacity planning, and the contributions of commercial suppliers should be clarified.

Agricultural services

Even though 34 per cent of the working age population is employed in the agricultural sector, agricultural production contributes only 12 per cent to Turkey's GDP. Hence, farming is a sector with a very low labour productivity. Moreover, the productivity of agricultural activities falls short of that in other OECD countries (See Figure 4.8 in Chapter 4). Many farmers still rely on traditional production methods and have only limited access to modern agricultural know-how and technology. For example, the use of production-enhancing inputs, like chemical fertilisers and pesticides, and the degree of mechanisation are low.

The recent agricultural policy reforms have replaced input and production-linked subsidies by direct income support payments (DIS), which are, however, still subject to certain planting requirements. This partial decoupling of producer support makes the income transfers to the agricultural sector more transparent and has the potential to increase the *transfer efficiency*[77] of agricultural support, so that a larger share of the intended support actually reaches the farmer and is not absorbed by the up- or downstream sectors.[78] The policy reforms will tend to make agricultural production more market-oriented. Although deficiency payments for some products and livestock subsidies are still available, farmers will no longer have an incentive to base their production decisions on support for different crop or animal products. They will receive a lump-sum payment based on acreage and decide on production patterns according to comparative advantage.[79]

However, while the new agricultural support system will improve the efficiency of farming, it exposes farmers to a much larger degree of market risk than the previous regime. In this context, a well-functioning agricultural extension service is important to advise farmers on appropriate cropping patterns, to diffuse new farming methods and technologies, and to improve the marketing of prod-

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ucts. Turkey has very favourable natural conditions to expand its output of labour-intensive, high value-added agricultural produce, such as fruit and vegetables, and could increase its exports of these products. Yet, there is a skill-deficit along the supply chain that impedes international competitiveness. Overcoming these deficiencies requires a fundamental upgrading of the rural development policy to enable farm advisers to respond to the new challenges in the more market-oriented agricultural sector.

Introduction of reforms to improve public spending efficiency

Fiscal stabilisation since 2001 was chiefly based on tax increases and only to a limited extent on spending reductions (Chapter 2). Cuts were effected in the central government spending but, due to continuing pressures in other general government expenditure categories, notably in transfers to social security institutions, total primary spending could only be frozen as a share of GDP. To contain spending durably and sustainably, while remedying resource shortfalls in core public services, serious structural reforms are necessary.

Important reform initiatives to that effect were undertaken in parallel with the 2001 stabilisation. To make public expenditures more transparent and directed towards clear policy objectives, a number of projects have been introduced in co-operation with the International Monetary Fund, the World Bank and in the framework of the convergence programme with the European Union *acquis*. These are now at an early stage of implementation and require significant additional expertise in central economic agencies, in line ministries and sub-central layers of government. Their proper co-ordination will be important for exploiting synergies and harvesting their full benefits.

This section reviews these initiatives by summarising their *objectives*, identifying the *issues* that their enforcement raise in the present Turkish context, and formulating, in the light of other OECD countries' experiences, *recommendations* for successful implementation.

Integrating the general government accounts

A landmark Public Financial Management and Control Law was passed in December 2003 and will be applicable from the preparation of the 2006 budget. For the first time in the history of public finances in Turkey, it aims at consolidating *all* fiscal operations of the government in an integrated general government approach, from the preparation to the closing stages of the budget (Box 3.5 and Table 3.3).

This new system modernises the budgeting process according to international standards. However, it is not immune to the difficulties common to all OECD countries in running public finances *on a general government basis* while the social

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Box 3.5. The new budgeting system

The central budget will remain the pivot of public finances and will be prepared according to a schedule common to other OECD countries. All extra-budgetary funds will be integrated in the central budget. A medium-term economic programme will be prepared by the State Planning Organisation and will cover macro policies, targets and main economic indicators in the context of development and strategic plans and general economic conditions. It will be adopted by the end of May 2005 by the Council of Ministers. A *medium term fiscal plan*, consistent with the medium term economic programmes will be prepared by the Ministry of Finance. It will include total revenue and total expenditure projections, budgetary targets and proposed budget appropriation ceilings for public administrations. It will be endorsed by 15 June 2005 by the High Planning Council. These documents will set the framework for the discussions and negotiations with line ministries and spending agencies, before political reconciliation in the Cabinet and the Parliament.

Table 3.3. **The new budget preparation cycle**

Budget preparation process	Target dates each year
Medium Term Economic Program prepared by the State Planning Organisation (SPO) adopted by The Council of Ministers and published in the Official Gazette.	End May
Medium Term Fiscal Plan prepared by the Ministry of Finance (MoF) adopted by the High Planning Council and published in the Official Gazette.	15 June
Prime Minister's Budget Call and MOF's Budget Preparation Guide published in the Official Gazette.	End June
SPO's Investment Circular and Investment Program Preparation Guide published in the Official Gazette.	End June
Public administrations submit their budget revenue and expenditure proposals to MOF.	End July
Public administrations submit their investment proposals to SPO.	End July
High Planning Council (Economic sub-cabinet) sets macroeconomic indicators and budgetary ceilings.	October (First week)
Central Government Budget Law Bill is submitted to the Turkish Grand National Assembly (Parliament).	17 October
Parliament's plenary debate and budget approval.	December
The Central Government Budget Law is published in the Official Gazette before the commencement of the fiscal year.	End December
Public investment program to be prepared by SPO in accordance with the Central Government Budget Law, adopted by the Council of Ministers, and published in the Official Gazette.	15 January

Source: Turkish government.

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Box 3.5. **The new budgeting system** (*cont.*)

A rolling multi-yearly budget framework – for the two following years after the budget year – will accompany the budget law. The voted budget will be implemented through a unified treasury system and the closing accounts will be presented shortly after the end of the budget exercise. A detailed audit report will be submitted to the Parliament before closing the accounts.

The accounts of the social security institutions, extra-budgetary funds and local governments will be prepared, implemented and closed according to their respective laws, but will be co-ordinated with the central budget. Their provisional budgets will be communicated to the Parliament before the vote of the central budget. Integrated general government accounts will be published in three-monthly periods, together with a yearly report shortly after the end of the budget exercise. The State Audit Institution (Sayistay) will have authority to audit all general government accounts and bodies.

To align the accounts with Government Financial Statistics (GFS) standards, the budget codification system is being overhauled. Each spending item will be identified in institutional, administrative, economic and functional terms and budgets and budget reports will be compiled according to these different classifications. The new codification system will be gradually applied to all general government entities from 2006.

security institutions and local governments continue to operate outside the central budget. The new system improves fiscal co-ordination between general government entities by mandating municipalities to communicate their yearly budget plans by the month of June of the previous year, and by requiring the social security institutions to submit three-yearly rolling provisional accounts. Implementation from 2005[80] will reveal the strengths and weaknesses of the new design. At this stage, and in the light of international experience, the following features which concern the management of expenditures truly on a *general government* basis may deserve close attention:

- Social security institutions and local governments will prepare their budgets based on the multi-yearly budget framework. However, they have no legal obligation to comply with any overriding fiscal rule (constraining total general government spending or deficits) other than budgetary limits on central government transfers to them and relatively flexible rules concerning their borrowing. Their budgets should be made fully compatible with the macroeconomic framework and the fiscal strategy adopted by the government. P*rovisional multi-year general government*

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accounts integrating social security and local government budgets can be prepared as an input to central budget discussions.

- A multi-year spending ceiling path should be established, with individual ceilings for the central budget and other components, for both *primary* and *total expenditures*. All general government entities should be required to comply with these ceilings.
- The central government's audit institutions should be required to audit all general government finances with the same standards, and with adequate resources. The Public Financial Management and Control Law and the Public Administration Framework Laws (see below) rightly stress the importance of (internal and external) audits, but procedures for the external auditing of sub-central government levels are not clearly spelled-out. Also, when *investigations* are required, they should be swiftly implemented. The respective responsibilities of the four existing audit and inspection bodies[81] as regards *procedural* and *functional* audits and subsequent *inspection, investigation and prosecution* tasks in all general government entities (*i.e.* including social security institutions and local governments) have to be clarified. The government will submit a new draft law on the Court of Accounts to the Parliament to clarify these issues.

Setting medium-term strategic objectives

The Public Financial Management and Control Law prescribes the introduction of functional budgeting in all areas of public spending. The Government, the Parliament and the public will be provided with a clear description of the policy objectives pursued by expenditures for both *ex ante* deliberations on budget priorities and arbitrages, and *ex post* discussions on achievements (Box 3.6).

The introduction of functional and results-oriented budgeting will inevitably face the teething difficulties which are also found in other OECD countries. Because of the particularly large gaps between actual and desirable performances in core public services, and the constraints on technical expertise in spending and expenditure management agencies, the introduction of performance-based budgeting will raise additional challenges in Turkey. In particular:

- An assessment of the current quality and performances of core public services is indispensable. Any significant weaknesses in these core services and their sources must be diagnosed. These assessments should determine to what extent shortfalls in services are due to under-funding, underinvestment *or* inadequate organisation, weak personnel motivation, and improper management. Respective roles of resource (budget) constraints and allocative and technical inefficiencies should be established.

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Box 3.6. Multi-year functional budgeting

In addition to the traditional institutional, administrative and economic classifications, the central government budget will also be presented, starting with the 2006 budget, according to functional targets. Ministries and spending bodies will report their budget proposals and budget reports according to functional objectives, by consolidating individual spending programmes along specific targets. This functional allocation of resources will be presented in a multi-year framework and should shed light on the government's policy priorities.

The Public Financial Management and Control Law mandates the introduction of multi-year functional budgeting as an innovative practice for line ministries and other spending bodies and requests the leadership and co-operation of the State Planning Organisation (SPO) and of the Ministry of Finance (MoF) for its gradual implementation. The Article 9 of the Law declares:

- "In order to elaborate missions and visions for the future within the framework of development plans, programmes and relevant legislation; to determine strategic goals and measurable objectives; to measure performances according to predetermined indicators, and to monitor and evaluate this overall process, public administrations shall prepare strategic plans in a co-operative manner.
- In order to provide public services at the required level and quality, public administrations shall base their budgets and their programme and project-based resource allocations on strategic plans, annual goals and objectives, and performance indicators.
- The State Planning Organisation is authorised to determine the strategic planning calendar and the public administrations to be in charge of preparing strategic plans, and to set out the principles and procedures concerning the correspondence between (sectoral) strategic plans and (national) development plan and programmes.
- Public administrations shall prepare their budgets on a performance basis and in concordance with the mission, vision, strategic goals and objectives included in the strategic plans. The Ministry of Finance is authorised to define the procedures and principles on the compatibility of administration budgets with the performance indicators stated in strategic plans, and the activities to be carried out by these administrations or other issues of performance based budgeting.
- The performance indicators that shall be set by the Ministry of Finance, the State Planning Organisation and relevant public administrations shall be included in the budgets of these administrations. Performance audits shall be carried out in the framework of these indicators."

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- The government and the Parliament should clarify their policy objectives in core public services. Long- and short-term performance objectives should be spelled out for Justice, Education, Social Security (including health and retirement insurance), Physical Infrastructure and Rural (Agricultural) Support systems. Building on OECD economies' experiences, authorities should seek to build the largest possible support among political parties and civil society organisations around these strategic objectives.
- Technical ministries and the State Planning Organisation should be asked to assess and propose options for institutional arrangements (based on international experiences) for the provision of core public services. Such background work for institutional designs should be carried out in consultation with all involved parties, across the political spectrum and in civil society.
- In each key service area, a multi-year fiscal strategy setting out functional targets and selected institutional arrangements should be formulated. The amount of fiscal resources dedicated to each area, and performance objectives – including norms of distribution across the territory – should be determined. In each area, room for "premium" services (which can be offered with additional comfort features, possibly at additional user fees, and even commercially) must be clarified.[82]
- Strategic planning and results-oriented budgeting should be introduced in all areas, but given constraints on resources, it will be necessary to start from high priority areas. The Public Financial Management and Control Law requires the State Planning Organisation (SPO) and the Ministry of Finance (MoF) to introduce pilot projects in selected areas. Not only central budget organisations, but also social security organisations and local governments should be authorised to initiate pilot projects. The results of pilot experiments should be widely publicised.
- Multi-year performance budgets can only be successfully implemented if human resources in service organisations are flexible and responsive enough to pursue performance objectives. At all hierarchical levels, employees should be trained, equipped and rewarded for performance and it should be possible to sanction lack of commitment. In the Turkish context, where concerns about favouritism in government employment are traditionally pervasive, the highest possible degree of transparency would help build support for flexible personnel management.
- Training will be needed in spending ministries, economic agencies, sub-central governments and audit organisations to truly and seriously shift to multi-yearly functional budgeting. Audit organisations will need to achieve a quantum leap in expertise, in order to produce functional

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audits. The new laws designate them as agents of change and coaching in the diffusion of results-oriented budgeting.

Enhancing accountability

Turkey has a very centralised approach to the provision of public goods and services, with sub-central governments effecting only 9.5 per cent of total primary public spending (3.5 per cent of GDP). The share of local government tax receipts (including the automatic revenue sharing receipts from the central government) in total tax revenues (including social security) was around 13 per cent in 2001, which was equal to the average of unitary OECD countries (Figure 3.17). As local governments have no taxing powers, these figures overstate the degree of decentralisation. Moreover, revenue-sharing is effected according to straight demographic criteria (*i.e.* on a *per capita* basis), without taking into account local economic, social and physical conditions. Municipalities basically provide purely local services such as water distribution, waste management and land planning. They are also extremely fragmented, with 81 district administrations (prefectures) and 3 225 municipalities, with 62.5 per cent of municipalities having a population lower than 5 000 inhabitants. This combination of extreme centralisation and fragmentation was found to be a major source of inefficiency and lack of accountability in all the major reviews of the public sector in the past decade.[83] A Framework Law to launch a thorough decentralisation process was passed by the Parliament in 2004. According to early estimations, it may imply the devolution of half of total public service spending responsibilities to sub-central layers, and has a potential to transform Turkey from one of the most centralised to one of the most decentralised OECD countries on the expenditure side (Box 3.7). Revenue-raising powers of local governments will likely remain limited at this stage of reforms (Boxes 3.8 and 3.5).

The framework law represents a major undertaking to transform the public finance system and has the potential to enhance public sector efficiency and responsiveness. Together with the Public Financial Management and Control Law, it opens the way to new principles of public sector management gaining ground in other OECD countries. These are based on medium-term strategic plans for service delivery; explicit quantitative benchmarks for service quality; clearly identifiable and accountable governance structures in service organisations; delivery of services at the most decentralised efficient scale available; full transparency of fiscal costs; *ex post* performance audits; and, wherever feasible, a *separation of service funding and from service supply* in order to reap the incentives and disciplines of market competition.

As experience in other countries shows, and the earlier review of shortcomings in the areas of justice, education and health care indicates, such changes have the potential to improve public resource allocation and the quality and cost

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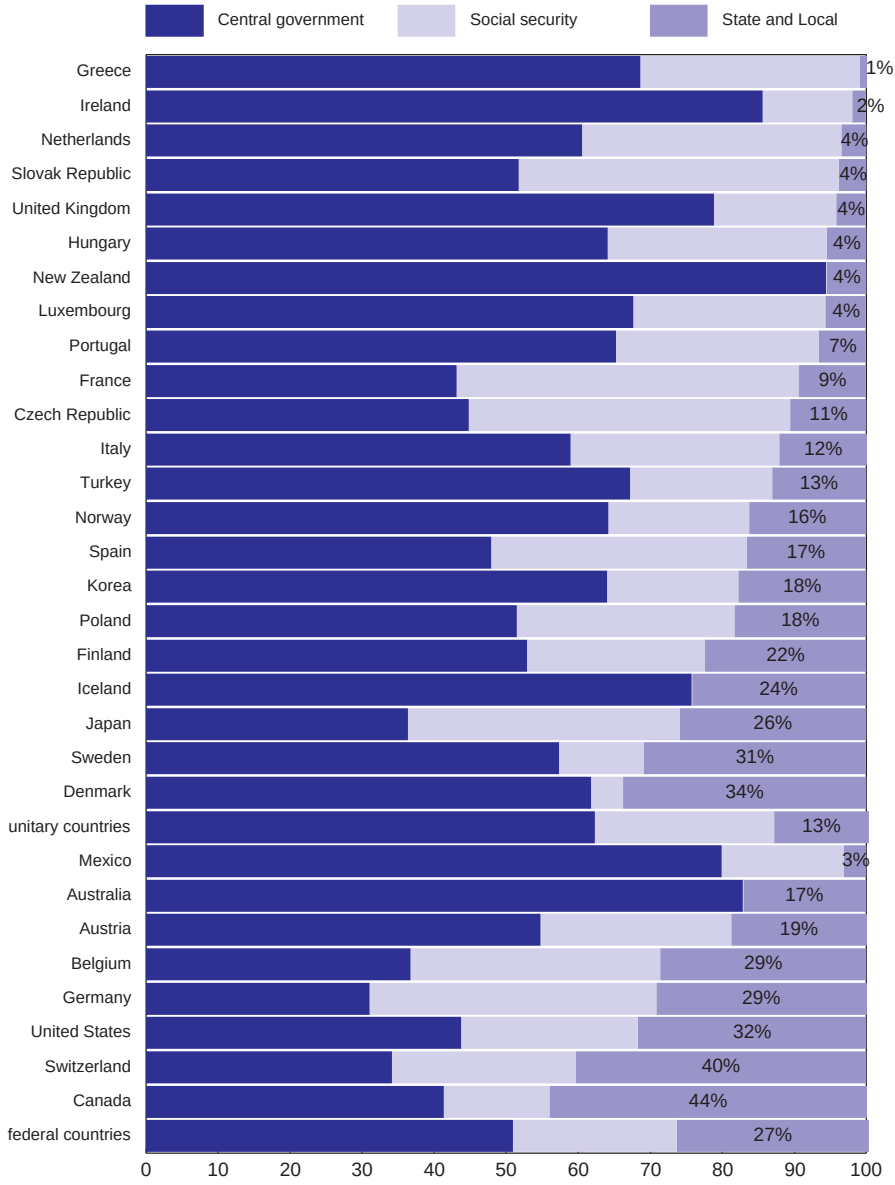
Figure 3.17. **Percentage shares in total tax revenue by level of government**
2001



Source: OECD (2003), *Revenue Statistics 1965-2002.*

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Box 3.7. Public Administration Framework Law

The *Public Administration Framework Law* was passed by Parliament in June 2004. It will come into force with implementation laws on *Special Provincial Administrations*, *Municipalities*, *Metropolitan Municipalities*, *Audit Institutions*, *Public Employment Regime*, and *Independent Regulatory Authorities*. The legislative package aims at a thorough transformation of public administration in Turkey.

A "Framework Law" is by itself an innovation in Turkey and will provide the basis for the implementation laws. A long preamble provides the background for the initiative and identifies a set of new principles for the public sector which, according to the preamble, is increasingly failing to fulfil its missions in a globalising economy, and in a democratising and diversifying society.

The draft law abundantly quotes the 1995 Charter of Local Governments of the Council of Europe as a main inspiration and benchmark. Following the principles of this Charter, and changing the traditional hierarchy of prerogatives between central and sub-central governments, it lists the central government's strategic and service responsibilities restrictively, and vests remaining public sector missions and responsibilities with sub-central governments.*

The central government is charged with the core strategic missions of defining the principles and objectives of public services across the country, and co-ordinating and monitoring the services provided by other layers of government. It retains direct service responsibilities in the areas of justice, foreign relations, finance, treasury, foreign trade, market regulation, national infrastructure planning, education, religious services and social protection.

Sub-central governments' responsibilities are elaborated in the Framework Law and in respective Laws on Special Provincial Administrations, Municipalities and Metropolitan Municipalities (these are also sent to the Parliament.) Special Provincial Administrations, of which 81 already exist in the current public administration system, in order to co-ordinate and supervise central government duties in regions, are now vested with extremely large powers. Metropolitan municipalities will have larger responsibilities than ordinary municipalities. A minimum population size of 5 000 inhabitants will be required to operate a municipality.

A major innovation of the Framework Law is its insistence on the possibility of recourse, by sub-central governments, to service provision channels other than monopolistic public services.

The law also prescribes new principles for strategic planning, personnel management and audits across the entire public sector. All general government entities will create strategic planning and research units developing and monitoring their functional objectives and benchmarks. The employment of public servants will be governed by principles of merit, while civil servants above a given level will be considered political appointees and will change (or be confirmed at their position) at each change of government. Large *internal* audit functions will be developed in each organisation, with a mission to diffuse and advocate best management

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Box 3.7. **Public Administration Framework Law** (*cont.*)

practices. *external* audits will only be effected by the State Audit Institution (Sayistay), instead of the four different audit and inspection organisations that now exist, including the powerful corps of the "Ministry of Finance Inspection Councils" and the President's and Prime Minister's "Inspection Councils". The organisation of the *investigation* function is not discussed in the Framework Law and may be dealt with in a subsequent law.

Funding criteria and channels for sub-central government layers following the devolution of service responsibilities are not discussed in the Framework Law. The government announced that this issue will be addressed in a special draft on sub-central finances which should be sent to the Parliament in 2004.

* This feature of the Law was vetoed by the President in Summer 2004 and will be reconsidered by the Parliament.

efficiency of core public services. Functional objectives should be clarified and explicitly announced in all areas, service organisations should be set at most decentralised optimal scales; mergers and consolidations should be effected when necessary and identifiable and accountable governance structures should be put in place. At the same time, a rigorous fiscal, institutional and regulatory framework at the national level is essential for these reforms to deliver their promises. In the Turkish context certain issues require careful consideration:

- To enhance compatibility with national fiscal policy, *e.g.* with *general government* revenue and spending targets, sub-central governments should follow budget preparation, implementation and reporting cycles that are compatible with the national fiscal framework. Under the existing provisions of the Public Financial Management and Control Law, the Public Financing and Debt Management Law, and of the Public Administration Framework Law, sub-central governments prepare and adopt their own budgets and report them to the central government and Parliament (for information). They have discretion as to the management of their Treasury systems, but remain subject to centrally determined borrowing rules and *ex post* audits. As their main source of revenue is central government grants, and their borrowing is capped (harder caps for foreign currency borrowing – see below) their fiscal stance and deficits are in principle constrained by central government policies. However, there are serious risks of drift in practice, notably for those municipalities

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Box 3.8. Fiscal decentralisation initiatives in the past

In Turkey's history there has generally been a strong centralist approach to fiscal management. A fundamental reform was implemented in 1981 with the aim of mobilizing more local resources for public services. It improved revenue sharing between the central government and municipalities by transferring a certain amount (first 5 per cent and later 6 per cent) of general budget tax revenues to local authorities. The Ministry of Finance transfers this amount to the Bank of the Provinces (Iller Bankasi) on a monthly basis and the bank distributes the revenue sharing to municipalities according to demographic criteria (on a *per capita* basis). The previous scheme which was in practice since 1948 (with some modifications), was more complex and municipalities received 45 per cent of property tax, 15 per cent of customs tax, 11 per cent of motor vehicle tax and traffic fines, 8 per cent of fuel consumption tax, 5 per cent of income tax and corporation tax, 2 per cent of excise taxes on cigarette, alcohol and tea, and 1 per cent of advertisement charges. In addition to the new revenue sharing system two funds, the Municipal Fund and the Local Government Fund were established to provide investment grants to smaller municipalities. The base of these funds was a fixed share of general budget tax revenues but they were distributed in the form of matching grants. Municipalities were also given more autonomy to raise their own revenues. While the new system improved resources for local governments the overall effect was limited. The ratio of municipal revenues to GDP which had declined from 1.4 per cent in 1967 to 0.9 per cent in 1980 increased to less than 5 per cent in the early 2000s. The allocation of resources was often unpredictable for the recipients. Besides the uncertainty related to economic boom-bust cycles such uncertainty also arose from the fact that the Bank of the Provinces has discretionary power to deduct any outstanding liabilities of the municipality from the revenue sharing. The deduction of such liabilities repayment (from outstanding debt redemption or outstanding compulsory payments to the central government such as pension payments and income tax) led to very low net transfers in some cases. Furthermore, the central government also tends to cut investment grants when there is pressure on the budget.

which are still below their borrowing limits and those which are sufficiently large to ignore or breach borrowing caps (including through municipal corporations and arrear building). Risks will be particularly high in the early stages of spending devolution, as spending expectations from sub-central governments will be strong, and central government safeguards and financial information weak. It is essential that the provisions of the Public Financial Management and Control Law, the Public Financing and Debt Management Law and the Public administration Framework Law are made fully consistent in spirit and letter. Financial and Administrative instruments should be used as appropriate to

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insure compliance with the national fiscal framework. Otherwise, there is a clear risk that fiscal decentralisation will lead to a weakening of fiscal discipline.

– N*ational strategic objectives for core public services and institutions* should prevail through decentralisation. The core services of justice and education will remain under central government control, but health, transportation, rural support and environmental protection are key areas which will be devolved to sub-central governments. The functional objectives, quality benchmarks (including citizen and user satisfaction measurements) and accessibility standards of these services must be clearly set and enforced before and after devolution. F*unctional audits* of these services will be critically important and should be carried out at highest standards, in order to enhance the quality of services.[84] Audit institutions should be thoroughly trained to carry out these reviews and should support both central and sub-central governments in shifting to best practices. Their reports should be widely publicised (Box 3.9). The central government should make the results of the services for which it retains responsibility, *i.e. justice and education*, transparent across (and comparable between) regional jurisdictions, making them more responsive to local needs and conditions, and publicising their respective performances.

– Attaining *optimal organisational scales in* the provision of services must be a prime consideration in the Turkish context.[85] The new Framework Law fixes a minimum size (of 5 000 inhabitants) for municipalities and prescribes mergers when this threshold is not attained, but given the recent strong political opposition to the closure of the 375 municipalities which went below their current minimum size (of 2 000 inhabitants),[86] these mergers will likely require a very strong political commitment by the government. Co-operative approaches for providing local public services (such as inter-municipality service unions) in order to help exploit economies of scale should be further developed. Devolution of spending responsibilities could be made conditional on the attainment of minimal service scales.

– The Public Administration Framework Law asserts the Special Provincial Administrations as the adequate (and new) sub-central layer for the provision of an unrestricted range of public services, including those implying higher scales of operations than at the municipal level. This provision should be actively enforced, including, when appropriate, mandatory transfers of responsibilities from municipalities to special provincial institutions. In areas where even higher scale co-ordination is needed at regional level, the newly envisaged "Regional Development Agencies" (RDAs) could play a useful role (Box 3.10).

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Box 3.9. The changing role of external audits

In the traditional Turkish budget management system, the auditing of the public accounts by the State Audit Institution (*Sayistay*) is a legally well-powered and well-endowed function. It is dedicated to the verification of the conformity between the itemised budget law and actual spending, line by line. *Sayistay* auditors built their competence and reputation on producing expenditure conformity reports based on audits effected in the provinces, where the spending by line ministries (handled by local budget officials appointed by the Ministry of Finance – the *saymans*) are consolidated. Yearly budget reports have been produced through a bottom-up synthesis of these reports.

In this system, line ministry spending is not analysed with regard to the sectoral responsibilities of each Ministry. A number of extra-budgetary funds with sectoral missions are also not subject to audits. The purpose of auditing is not to check the quality, efficiency and relevance of expenditures with regard to the public policy objectives pursued. Although its law requested *Sayistay* to provide yearly reports to the Parliament on the adequacy of public spending "with the services and needs provided for by the budget", these reports never gained prominence in the Parliamentary process and have been sidestepped. They stopped being produced in 1983. No reports are produced on the stock of public assets and liabilities either, although this is also requested by law. Finally, audits are effected only on a cash basis, excluding consumption of physical capital and disallowing any monitoring in accrual terms.

The new public expenditure management system vests auditing with greatly expanding missions. First, the consolidation of extra-budgetary and quasi-fiscal spending in the budget widens the scope of audits towards general government activities. Second, the planned shift toward results-oriented budgeting will shift the focus of audits from "*conformity of spending with appropriations*" to "*compliance of policies with objectives*". Under this significant widening of the scope of audits, the degree of exposure of sub-central governments to central government audits will need to be fully clarified. A draft Law on State Audit Institution is now being prepared to describe and assign these new responsibilities and duties, and to spell out the new prerogatives of the State Audit Institution in the general government sector.

The successful shift of *Sayistay* to these new functions will require a significant upgrading of its capacities, human resources and administrative organisation. A roadmap has been proposed by an experts group headed by the former head of Canada's Supreme Audit Body, has been welcomed by Turkish specialists and *Sayistay* insiders, and could be built on to undertake the necessary fortification.

– On the basis of the framework law the local tax system and the grant system have to be redesigned by providing more tax autonomy to local governments and improving their incentives for cost efficiency.

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Box 3.10. Regional development agencies

Regional Development Agencies (RDAs) will be created in the 26 newly created NUTS 2 regions,[1] in successive stages starting from the least developed regions that are currently using EU financial assistance. They will function as coordinator and leading organisations for regional economic development, infrastructure planning and local institution-building. RDAs are not mentioned in the Public Administration Framework Law but are congruent with its decentralisation objectives and will be created under special legislation. The State Planning Organisation is currently drafting a law in consultation with local and central business organisations, civil society organisations and governmental bodies.

RDAs are not conceived as an additional layer of government. They will be organised as private sector entities and will have governance bodies that are elected by central and local government and regional stakeholders. They will be exempt from the provisions of public employment and public procurement laws. Their budget will be established functionally, according to performance objectives. They will be staffed with contracted personnel and will be entitled to engage in any private and public projects facilitating regional economic development. They are expected to play an important role in all aspects of regional development including regional development planning, investment promotion, entrepreneurial development and regional infrastructure dimensions (integrating energy, transportation, industrial parks, rural development, education, research, etc.), either as leading or as supporting organisations.[2] They will lead regional "soft infrastructure" projects (such as technical diffusion centers, professional development fora, organisations to devise regional quality standards and trademarks, etc.) They will co-operate with relevant foreign organisations.

The RDAs represent a promising form of public organisation, but government authorities should beware of the fiscal and other risks which might arise from their flexibility. Notably, their exemption from public employment and procurement laws should be carefully managed. To that effect, they should make full use of their strong and diversified corporate governance structures to put in place good *ex ante* controls, and they should be fully audited as general government entities for adequate *ex post* controls. Future functional audits of the new regional development system will be instrumental in gauging their relevance and contribution.

The first RDAs will be put in place in the least developed regions in Turkey with very high inactivity rates, and persisting socio-economic development problems. Relevant initiatives also exist in the more developed Western regions, including the one led by the non-profit Aegean Economic Development Foundation (EGEV). This body has engaged a set of regional consultation and development initiatives, around projects of local interest. These could later be formally co-ordinated and funded through an RDA. On the basis of such pilot experiences, and assuming their both positive and negative results are fully exploited, RDAs can emerge as a new and competitive institutional form channelling bottom-up collective action, and reversing the traditional top-down approach to regional development.

1. The creation of NUTS 2 (Nomenclature des Unités Territoriales Statistiques, level 2) regions was a requirement of the European Union for the distribution of pre-accession structural support funds.
2. In this regard, the special agency created to lead regional development initiatives in the framework of the large Southeastern Anatolian Project (GAP) is a relevant initiative. It includes energy development, irrigation and agricultural transformation dimensions. It is, however, highly specific and *ad hoc* to a mega project.

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Box 3.11. Economic effects of fiscal decentralisation

Effects on efficiency, growth and equity: Fiscal decentralisation (FD) can increase economic efficiency and welfare. It will then also increase economic growth; at least until the higher equilibrium income level is reached. The main reason for this efficiency gain is that local governments usually know best what the most urgent needs are and can therefore target the provision of public goods and services to these needs. The better matching between supply and demand of public goods in decentralised fiscal systems (as compared to the single uniform level provided by a single central government) should lead to Pareto-superior levels of consumption in each jurisdiction. Furthermore in decentralised systems accountability may be higher as badly performing local governments are penalised by residents voting at local elections and/or by leaving the jurisdiction (voting by feet). In addition tax competition between jurisdictions protects tax payers from being exploited by local governments and bureaucrats which also increases efficiency (public choice school). But there are also counter arguments that too much FD reduces efficiency and growth. It is argued that excessive FD leads to higher costs arising from extra-co-ordination costs and the loss of economies of scale (as a single municipality or region may be too small to provide this good efficiently) and to an under-provision of public goods arising from external effects as the benefits are shared by other municipalities or regions which do not bear the costs. Depending on the specificities of public goods such problems may, however, be overcome at least in some cases by joint production of neighbouring local providers and/or by financial compensation between the provider and the users so that externalities are internalised. Where this is not possible a centralised provision is preferable. For example growth can be reduced if infrastructure projects with wide nation-wide externalities are too decentralised. There is also the view that tax competition between local governments may be harmful leading to a "race to the bottom" with the result of an under-provision of public goods. However, this view is not generally shared as infrastructure competition may prevent an excessive reduction in tax rates. Finally while in theory decentralised systems are more responsive to local citizens' preferences this may not be the case in practice. This is the case if local officials are not elected by local citizens or if there is only limited "voting with the feet" as citizens are too poor or housing markets are too rigid. Thus efficiency and growth can be reduced by excessive spending of subnational governments on wrong expenditure items. Last but not least FD – if not accompanied by appropriate fiscal equalisation – may reduce growth by reinforcing regional inequalities. The lower level of public services in poorer regions could restrain their catching-up to higher income levels and increase migration to richer regions. On the other hand ill-designed fiscal equalisation systems could also reduce growth by implying high implicit tax rates for both the richer and the poorer regions which might reduce their incentives to adopt growth-enhancing policies.

Effects on corruption: FD can reduce corruption by enhancing transparency as local citizens become more aware of any wrongdoings of their officials. In addition the competition for political office increases responsibility and reduces corruption.

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Box 3.11. **Economic effects of fiscal decentralisation** (*cont.*)

FD is, however, no panacea for corruption. Corruption may result from proximity of local officers to private local interests, lack of service orientation and weaknesses in democratic institutions and internal bureaucratic controls.

Effects on macro-stabilisation and fiscal discipline: FD can improve fiscal discipline as local governments may follow a more prudent fiscal policy than central governments. But decentralised policy making can also cause macroeconomic co-ordination failures which increase cyclical volatility. Furthermore, without appropriate institutional regulations FD could weaken fiscal discipline and reduce growth.

Overall economic effects: Given these potential positive and negative effects of FD its overall net effect on the economy will depend on the circumstances. Among the various empirical studies some support the view that FD provides better public services, reduces corruption and increases economic growth but other studies produce ambiguous or negative results. This may be explained by different conditions in the various countries as well as measurement problems. What seems clear, however, is that an appropriate institutional and regulatory framework is required to reap the potential benefits of FD.

Source: For more details, see Joumard and Kongsrud (2003).

Using competition and market signals

Little utilisation of competition and market signals in the provision of public services has been to date an important area of weakness in the public expenditure management system. *De facto*, recourse to private supply and competition was only confined to the purchase of goods and services by government, and even this confined area was rigged with many imperfections (Box 3.12). The more fundamental opportunity of private competition in core public services such as education, health, energy, and telecommunications has not been directly addressed. Even if a large private sector has already developed in these areas for *privately funded* services, their role in the provision of *publicly funded* services has not been explicitly discussed.

The Public Administration Framework Law states that public authorities, and notably sub-central governments with new service responsibilities, will be authorised to use private providers for more efficient service supply. However, the option of using private providers is always mentioned among a range of non-governmental supply sources such as universities and professional organisations. The specific dynamism that commercial players generate is not directly invoked.

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Box 3.12. Public procurement reform

Public procurement practices have long been insufficiently transparent and competitive, and subject to suspicions of distortions and corruption. In the area of public works, for example, the widespread practice of *ex post* and *ad hoc* price adjustments (legally authorised in order to protect suppliers against unpredictable cost shocks in a volatile economic environment) gave way to abuses. E*x ante* tendering and bidding became meaningless in many procurement areas, making public auctions ineffective in supplier selection. Projects usually faced massive cost overruns, and were frequently completed at many times initial tender prices.

A new Law on Public Procurement, based on EU best practices, was passed in 2002. It increases the transparency of procurement, sets explicit rules for the publicity of purchases, tightens competition provisions, and incorporates state economic enterprises and the revolving funds within its scope. It was welcome in the domestic and international market but was thoroughly revised in 2003 through long and stiff negotiations in the Parliament. The minimum contract size for the eligibility of a purchase under the new Law was increased, and public utility companies in oil and transportation sectors became exempt. Operational necessities in quasi-commercial activities were invoked to justify exclusions, but some observers mentioned the opposition of private interests to full competition in procurement. The government announced in 2004 that a special law would be prepared to enforce competitive procurement in the utility sectors. The 2003 Public Procurement Law is in all instances an important progress toward real and transparent auctions and competitive procurement in eligible areas. A Public Procurement Institution (KIK) was created under the Law, to handle complaints concerning the application of the law. This institution began to report publicly on its activities and interventions in 2004.

As a result, the room for regulations to minimise risks of rent-creation, cream-skimming and user exclusion by "for-profit" suppliers is not directly addressed either. The questionable experience of the Build-operate-transfer (BOT) and Build-own-operate (BOO) contracts in the energy and water sectors in the 1990s, which have been forms of public service concessions to private providers under weak regulatory frameworks (see above), may explain the present reluctance and discomfort of policymakers in this area. Private provision of publicly funded services may also raise legal challenges, as the Constitution seems to not currently permit such subcontracting.[87] This may require a Constitutional clarification or change in the future. Nonetheless, the magnitude of the stakes, the need for better services and the opportunities that commercial and non-profit suppliers may offer, would justify a more proactive approach by the government in this area. In particular:

- The government may explore if and in which areas private competitive providers could contribute to the provision of public services and add

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to the quality and cost efficiency of services. On the basis of international experience, regulatory principles that help to align public policy and private commercial objectives can be outlined.

- Conditions for fair and sustainable competition between public, private non-profit and private commercial providers in the provision of public services, under conditions of equal access to public funding could be explored.
- The room for introducing user fees in public services, to reduce superfluous and excess utilisation without jeopardising universal access and public service obligations should be explored. User fees may be introduced for "premium services" (*i.e.* services provided above minimum quality levels), whenever they are provided by public service organisations (such as special comfort services in public hospitals).
- The Public Financial Management and Control Law prescribes that "revolving funds" should be liquidated by 2007. These are common in many public agencies and sell services in return for fees.[88] The Public Administration Framework Law is also highly critical of revolving funds; explaining that they have degenerated into indirect tax collectors, hindering service access and distorting competition on private markets. Even if the government intends to preserve room for public service pricing directly within the budget, the negative view of fee-generating funds may deserve reconsideration, as these funds may also facilitate market orientation, corporatisation and personnel motivation in public organisations, *if adequately regulated and properly managed*.
- Policies to preserve the quality and financial robustness of private providers, and the continuity and availability of services of public interest across the territory must be specified, in the light of international experience. Turkey's own record with local private hospitals, private intercity bus transportation, and (the limited number of cases in) local private electricity and gas provision is also relevant.
- The planned introduction of Regulatory Impact Assessment[89] (RIA) is commendable. This is expected to pre-empt unintended consequences from new laws and regulations, notably on free market entry and fair competition. The extension of this approach to existing laws and regulations could also be advisable. Notably, a reassessment of the set of laws and regulations affecting land use, site development, property rights, and construction in urban and rural areas would give guidance on highly needed policy measures to facilitate long-term private investment and foreign direct investments in this sector. The implementation of measures against earthquake and other natural catastrophe risks would also be facilitated.

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Managing public debt and liabilities

Good management of the public debt stock and other contingent liabilities is also essential for fiscal sustainability. Lessons from the past decade motivated two fundamental measures to rationalise debt management. First, the Public Financing and Debt Management Law of 2002 considerably tightens debt management, by subjecting all central government borrowing and guarantees to strict rules (annual borrowing is capped by the central government budget deficit target) and imposes reporting requirements (three-monthly and annual reports will be issued on all debt and guarantees, their composition and their costs). This should make the performance of debt management more transparent. The law also subjects all *foreign borrowing* by general government and quasi-fiscal entities (including state-owned enterprises, municipalities and municipal corporations) to formal authorisation by the Treasury (even when no Treasury guarantee is required and granted). Secondly, new policies in banking, including in the governance of public banks and the prudential regulation of private banks have brought the surveillance of the banking sector much closer to international and European standards.[90] The government also capped the public guarantees on banking deposits.[91] These measures are important steps forward in the containment of public liabilities, but further attention should be granted to:

- D*omestic borrowing by sub-central and quasi-fiscal entities*. The *external* debt of local governments and quasi-fiscal bodies is included in the quarterly published external debt stock, but not the non-guaranteed *domestic* debt held by local banks and investors. At present, such domestic borrowing by municipalities and state economic enterprises is not directly constrained and is only subject to some relatively soft constraints. Municipal borrowing is, in principle, capped in proportion to their annual revenues, whereas state economic enterprises can borrow without approval by their supervisory agencies – either the Undersecretariat of Treasury or the Privatisation Administration – provided that they fulfil their regulatory obligation to inform their designated supervisory agency before and after borrowing. These provisions are insufficient to contain the risks of drift in actual borrowing and arrears building. The central government remains the *de facto* guarantor of last resort.

- F*ormal treasury guarantees* are made transparent but are not capped by a fiscal rule.[92] Their total amount is reported, and this represents major progress, but the economic liability they represent for the Treasury on the basis of their riskiness is not added to direct public debt so as to produce a total outstanding amount of public liabilities. Similarly, the implicit pension debt (the discounted value of future pension balances) is not reported among fiscal liabilities, despite being recommended by the IMF's Government Financial Statistics Methodology. Although

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Turkey is not the only OECD country with such missing elements in the calculation of its total public liabilities, progress in these areas would contribute to the intended high quality of debt transparency.

- The *prudential surveillance* of public and private banks, including of those banks presently under the control of the Saving Deposits Insurance Fund (SDIF), should be rigorously enforced and enhanced. The intended strengthening of the regulatory framework for banking supervision is expected to more firmly limit government exposure in this area (see Chapter 4).
- Further action may be desirable to contain the *contingent liabilities* arising from BOT and BOO contracts, including at the municipal level; and from the legal and *de facto* government exposure to the financial risks arising from natural catastrophe risks.

Social security reform

A major parametric reform of the pension system was enacted in August 1999 in the wage earners' (SSK) and self-employed (Bağ-Kur) pension funds but not yet in the civil servants' fund (ES) – in the latter fund the only parametric change concerned the increase of the retirement age. The reforms to the other two funds: *i*) increased the minimum contribution period before retirement; *ii*) reduced benefits paid by extending the reference period for the calculation of replacement rates to the entire work history; and *iii*) reduced the benefit collection period through an increase of the retirement age. The minimum retirement age was increased to 58/60 for women/men with a transition period for the current contributors. The benefits at retirement will be calculated according to the years of service before and after the reform. However, with the exception of the increase in retirement age, the new provisions are not applicable to the civil servants' pension fund where deficits are high and benefits are calculated on the very latest period of work history. In 2003, legislation to address issues concerning institutional strengthening and improved collection for private sector social security institutions (SSK and Bağ-Kur) was enacted. The legislation addresses the problem of the large outstanding stock of contribution arrears of SSK and Bağ-Kur that contribute to the deterioration of the financial position of these institutions. A new system of penalties and interest that reflects the government's borrowing cost was introduced.[93] While the past stock of arrears remained unchanged, to ease the application of the new system, those who were in arrears were offered the opportunity to restructure according to the amount of arrears and their capacity to pay.

Those are significant measures in the area of social security. However, the government recognises that a more comprehensive and radical approach is required to address the financial imbalances and institutional inefficiencies in the system. To this end, an "Urgent Action Plan" has been outlined, to unify the three

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social security institutions, to establish universal health insurance, and to consolidate all social assistance functions into one institution. Prior to the introduction of this reform, a *White Paper on Social Policies* was prepared through co-operation between central economic agencies (the Ministry of Finance, the State Planning Organisation and the Undersecretariat of Treasury) and spending agencies (the Ministry of Labour and Social Affairs, the Ministry of Health and the Social Solidarity Fund) for public review and debate. It provided a comprehensive account of the fiscal costs of these policies and the results actually obtained. It outlined reform options, with fiscal implications and impacts on services. This White Paper can play an important role in informing the debate and advocating the required reforms.

The government plans to fully *separate* the health and social assistance functions from retirement insurance, and to *unify* the three existing social security institutions under a single organisation to increase the transparency and efficiency of the pension system. Additional changes to the basic parameters of retirement insurance will also be introduced in order to enhance long-run sustainability. A simulation model developed by the World Bank is being used to assess the fiscal outcomes from various parametric options and macroeconomic scenarios.

In the health leg, the main thrust of the reform agenda concerns the introduction of a *universal health insurance system*. The objective is to extend health insurance to the entire population through a single health insurance institution, instead of the existing system with multiple payer institutions.[94] It is clear from other OECD countries' experiences, and from tentative simulations on Turkey, that the introduction of universal health insurance would increase public health costs *if service supply is not reformed*. However, given the depth of current inefficiencies in the health sector, reforms rationalising primary care, and generating competition in hospital services and drug purchases, should be able to generate important savings. Also, if universal insurance is introduced step by step, by cautiously defining the basic coverage package, the fiscal costs of planned reforms can be minimised.

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Summary policy recommendations

Box 3.13. Priorities for improving the quality and cost-efficiency of public spending

- Fully implement the provisions of the Public Financial Management and Control Law according to the planned schedule.
- Set and enforce a multi-year aggregate and primary spending ceiling for the central government.
- Monitor fiscal performance according to total and primary spending targets, as well as total and primary balance targets.
- Fully implement the provisions of the Public Financing and Debt Management Law. Include all general government liabilities in regular reporting.
- Reform the public employment and pay system to back flexible, result-oriented budgeting.
- Enforce co-ordination rules with social security institutions and sub-central governments to insure their compliance with the general government fiscal framework.
- Implement a cost and performance audit for core public services (Justice, Education, Health Care, Infrastructure Development and Agricultural Support.)
- Set performance objectives for core public services, on a multi-year perspective and realistically taking into account present performances and resource levels. Fund these services on a multi-year basis according to the objectives set. Audit results against objectives.
- Create room for private and competitive provision of publicly funded services. Implement pilot projects and analyse and publicise their outcomes.
- Introduce user fees for public services, notably for premium (comfort and private-return enhancing) services, without jeopardising access of low income groups to core services.
- Implement the Public Administration Framework Law step by step, mitigating the risks associated with fiscal decentralisation:
  - Use, as appropriate, financial and administrative instruments to assure sub-central governments' compliance with the national fiscal framework.
  - Reduce pressures on the central government to increase grants, or take over debt and other liabilities when local governments face financial troubles.
  - Reconsider, and if needed redefine, the respective service responsibilities of Special Provincial Administrations, Metropolitan Municipalities and Ordinary Municipalities, according to optimal scales of service supply.
  - Tackle the existing fragmentation of local government units though compulsory amalgamation and, when appropriate, through inter-municipal service unions. Use administrative and financial means (incentives) to facilitate amalgamation.

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Box 3.13. **Priorities for improving the quality and cost-efficiency of public spending** (*cont.*)

- Define minimum quality standards for services devolved to sub-central governments. Audit and publicise their performances. Put in place rapid response mechanisms to deal with cases of underperformance.
- Raise local government taxing powers to make them financially accountable to local constituencies.

– Upgrade the public audit infrastructure as the core institution of the new public expenditure management system. Strengthen its organisation for sectoral and thematic tasks, and build up human capital for state-of-the-art functional and results-oriented audits at all government levels.

– Recreate the yearly synthesis report of the State Audit Institution to the Parliament as the core public document monitoring the functioning of the new public expenditure management system.

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Notes

1. Chapter 4 discusses the importance of upgrading core public institutions and services in order to create an open, non discriminatory, job-creating business environment.
2. State-owned corporations were large employers and had a large weight in the economy but they are not in the general government sector.
3. Under rules in force until 2002, any participant could retire after 25 years of contributions. This permitted many individuals to "retire" in their mid-40s.
4. Notably small banks which were created in large numbers in the 1990s after the liberalisation of capital movements.
5. Total fiscal and private costs of these earthquakes were higher at close 5 per cent of GDP. See OECD *Economic Survey of Turkey*, 2001.
6. A large gap between "demographic" and "systemic" dependency ratios, due to the high share of unregistered workers not contributing to social security hinders the attainment of this objective – see Chapter 4.
7. A law adopted in 1999 prescribed the adjustment of pensions to inflation in six-monthly intervals but several additional increases have been granted since that date.
8. Government preparations for a universal health insurance system reflects these pressures. See below.
9. A recent study by UNICEF has shown that up to 600 000 school-age girls are currently out of school. Practical needs of families (help needed in the household or farm) or their inability to pay for (limited) school expenditures is often the reason. In response the Turkish government and UNICEF have launched a campaign, partially based on some financial support to families, aiming to reduce the number by half by the end of 2005.
10. Turkish *general government* investment series for the period 2000-2003 were estimated and appear well above levels reported in the *central* government budget.
11. Total defence expenditures in general government terms, *e.g.* including the budget of the Ministry of Defence, spending from the extra-budgetary Defence Fund, and other related expenditures are not systematically computed.
12. The contingent fiscal costs of these guarantees are discussed below.
13. See Chapter 2 for alternative scenarios.
14. 61 extra-budgetary funds (XBFs) have been integrated into the central government budget in 2001, except three: the Defense, Social Solidarity and Privatisation. Other XBFs are managed outside the central government budget: the Promotion and Publicity Fund (for international tourism promotion), Saving Deposits and Insurance Fund (for banking guarantees) and the new Unemployment Insurance Fund.

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15. The public sector balances compiled by SPO cover all accounts under the consolidated budget, social security institutions, state economic enterprises (in terms of net transfers to/from them), extra-budgetary funds, local authorities, the revolving funds of budgetary institutions and the new Unemployment Insurance Fund. This compilation is included in the so-called "General Economic Targets and Investments Report" approved by the High Planning Council (the economic sub-cabinet) and are presented to the Parliament together with the budget proposals during budget talks. It is also utilised in the Pre-Accession Economic Programmes submitted to the European Union. However, these general government balances are not included in national accounts.

16. Eight reviews under the Stand-By Arrangement have been effected on that basis by the IMF since May 2001.

17. The yearly losses of state economic enterprises belonging to the Privatisation Administration portfolio amounted to US$600 million in 2003 (0.25 per cent of GDP), arising from the recurrent losses of four enterprises: Sumer Holding (consumer goods), EBK (meat and fish products), Divrigi (coal mining) and SEKA (paper mills). The Treasury portfolio also includes large loss-makers such as TCDD (railways) and TTK (coal mining). The next chapter provides a detailed discussion of state economic enterprises.

18. Investment expenditures were planned, co-ordinated and funded under the authority of the State Planning Organisation (SPO). SPO could achieve some resource re-allocation through this budget. However, only half of total public investments have been funded from central budget, the rest being carried out by public utility companies and municipalities.

19. Part of extra-budgetary funds for infrastructure and housing were integrated in the budget in 1993. The remaining funds were integrated in 2000 in form of special appropriation schemes, and will be entirely abolished in 2005. The public bank which financed collective housing investments was closed.

20. The special education levy was abolished in 2003. A quarter of the proceeds of the Advertisement Council continue to be earmarked for education spending.

21. This also happened in December 2003, when the government raised minimum wages and pensions by an unplanned 30 per cent, only one month after the adoption of the 2004 budget. In order to fund these increases without undermining the fiscal targets, indirect and excise taxes were augmented by 2 per cent of GDP and all discretionary budget appropriations (all appropriations except personel, social security and interest expenses) were cut by 13 per cent.

22. The relation between the quality of the institutional environment and business sector growth is discussed in the next chapter: "Building an open and non-discriminatory business environment".

23. They also discouraged potential participants in privatisation auctions. Privatisation auctions have often been undersubscribed because of legal and regulatory uncertainties surrounding future operations of privatised businesses. Administrative courts have cancelled the sale of the alcoholic arm of TEKEL (the tobacco monopoly) in 2003, and of TUPRAS (the largest oil refinery) in 2004.

24. Two large studies detected similar deficiencies in the legal and regulatory environment: FIAS (2002), YASED (2004) – see Chapter 4.

25. Such a setting has been particularly discouraging for international investors with institutionalised corporate governance structures and skilled domestic entrepreneurs with sophisticated and long-term projects. This is confirmed by surveys by Transparency

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International (Transparency International, 2003), World Bank (World Bank, 2003) and World Economic Forum (World Economic Forum, 2003).

26. The existing amount and complexity of regulations appears to preserve the power base of individuals at various levels of hierarchy, who derive a number of advantages (including sources of income) that the nominal civil service salaries do not provide.

27. A Judicial Academy for judges was recently created. Judges are also exposed to various risks to their personal and family security and their office, transportation and home facilities need to be adequately protected.

28. A senior judge's monthly net salary was TL 2.5 billion in mid-2004 (US$1 700), the President of the Supreme Court earned TL 3.3 billion (US$2 200), and a junior judge TL 1.3 billion (US$850). By contrast, a Parliamentarian's net monthly salary was TL 7.2 billion (US$4 800) in 2004.

29. Isyurtları Kurumu will not be closed down and will continue to run economic activities in prisons, but may lose its earmarked tax revenues which have represented to date its main revenue source.

30. Recent inquiries in the framework of the "Council for the Improvement of the Investment Environment" helped to identify the main biases and backed a new law on FDI which streamlined investment procedures. As confirmed by the latest Survey of the Association of Foreign Investors additional simplifications are nevertheless needed, on sectoral and practical grounds (YASED, 2004).

31. Some of the elite institutions are publicly-owned and offer free education to a small number of selected students, while many are private and access is rationed by high registration fees.

32. Many public sector teachers find it impossible to live on their nominal salaries alone, and take supplementary jobs or engage in private tutorships. Extra-curricular training became widespread in response to quality shortcomings in public education. In 2003, 88 per cent of successful candidates in university entrance examinations had attended extra-curricular courses, at a total private cost of TL 700 trillion (0.25 per cent of GDP).

33. As shown by recent tests and university entrance examinations. In university entrance tests in 2003, the rate of admission of high school graduates to the most demanded departments of universities ranged from 75 per cent for the graduates of the elite "science high schools" (3150 graduates in 2003), to 11 per cent for the graduates of ordinary high schools (203 000 graduates), and to around 3 per cent for the graduates of "vocational high schools" (80 000 graduates in total). In the 2004 university entrance tests, regional differences also became very visible: low income eastern provinces could only place 5-6 per cent of their high school graduates in Universities.

34. See Gürsel (2002).

35. This fact has inspired different explanations. One approach stresses the increase in the reservation wage of high school graduates, also invoking the self-selection bias of their (relatively higher income) families which can afford longer unemployment and search periods for their children. There is also a theory of rigid duality in the labour market where more skilled jobs are only available in the narrow upper segment. High school graduates would refuse taking jobs in the other segment, where vacancies are more numerous but subsequent chances of shifting to the main market are slimmer.

36. The weakness of secondary education in international comparison became visible when Turkey participated in international high school tests for the first time in 2000. 8 000 randomly selected students placed Turkey 31st among 38 countries in a range of

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secondary school level tests (the TIMSS system). Turkey also participated in the OECD's comparative PISA tests for the first time in 2003, but results are not yet available. On the labour market impacts of shortcomings in general secondary education see Tansel (1999).

37. Results of university and high school entrance examinations for the academic year 2004/2005 published in Summer 2004 provoked a thorough public discomfort and debate in Turkey. 35 000 university candidates and 65 000 high school candidates just scored "nil" in these examinations. Many schools and regions fared poorly with a very low proportion of successful graduates while, in contrast, certain non-public schools in the low income areas of the country fared remarkably well.

38. The objective would be to raise enrolment rates toward target levels, for both boys and girls. Ministry officials recognise that primary school enrolment stays, at 92-95 per cent, below the official target of 100 per cent. According to a survey by UNICEF in 2003, in certain Turkish provinces, more than half of all girls aged seven to 13 do not attend school. The secondary enrolment rate of 60 per cent also needs to be further increased and its composition has to shift, with 60 per cent of students having to go to vocational schools.

39. Teachers' wages are not at first sight low in Turkey if compared to the GDP per capita level. In primary education, a teacher with 15 years experience earn 2.12 times the GDP per capita in Turkey, against an OECD average of 1.31 (OECD, 2003). Many teachers get also overtime compensation, as the standard teaching time is shorter than actual workload. However, teachers also have a higher educational attainment than average working population and earn less than other *skilled* university graduates. Many teachers have second informal jobs which represent a distraction over their main duties.

40. The Ministry of Education budget was cut by 15 per cent in 2004 *versus* an increase of 12.5 per cent proposed by the State Planning Organisation.

41. These off-budget resources are questioned on equity grounds and there are complaints that "voluntary" parent donations have become in fact compulsory. In 2003, revolving fund revenues of public primary and secondary schools amounted to 0.34 per cent of GDP, *versus* 0.20 per cent in 1998. Government policy is to integrate the revolving funds in the budget and to reduce the weight of parent "donations".

42. Experts recognise that certain private schools are more cost-effectively managed and obtain better results than the public sector counterparts. Evaluation studies controlling for student characteristics are, however, not available. In the 2004 University entrance examinations, some private high schools in Eastern provinces achieved remarkable success – without only catering to wealthy families – while public schools obtained very unsatisfactory results. One of the good performers, a private high-school in Urfa, is a corporate-type organisation holding a ISO 2000 quality certificate.

43. According to some observers, including in the Ministry of Education, better service and performance than presently offered ought to be available with the current TL 2.5 billion (US$1 700 at current exchange rates) spent per student per year (average of public primary and secondary education).

44. Indeed, the Ministry of Education might be better positioned to fulfill such tasks, rather than centrally managing 650 000 teachers and tens of thousands of schools.

45. Twenty-three private universities enrol 3.9 per cent of all students – this proportion may approach 5 per cent in the years ahead.

46. The total number of students increased from 584 000 in 1989 to 1 568 000 in 2002. In the same period the number of teaching personnel increased from 28 000 to 65 000. Stu-

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dent/teacher ratios in undergraduate education average 35 but fall to 15 when distance education is excluded (and to 17 when graduate students are included). It varies from 12 in a prime private university, to 200 in a disadvantaged public university. This ratio is 8 in Germany, 10 in Poland, 16 in Greece and 20 in Korea. Average expenditure per student in Turkey decreased from US$2 650 in 1993 to US$2 000 in 1998 and was only US$755 in public universities (the average spending in OECD countries is US$5 900 per student).

47. See Yuksek Ogretim Kurulu (Higher Education Council), 2003.

48. When the graduates of distant education are included, the aggregate unemployment rate of university graduates is higher than that of high-school graduates (see Figure 3.9.B).

49. They match fee levels in the most expensive North American universities – at current exchange rates. At purchasing power parity rates, fees are easily double those in international universities.

50. The importance of revolving funds depends on universities' departmental structure. Universities including medical schools earn most of the revenues. Engineering departments also began to develop fee-earning co-operative research projects with enterprises.

51. Future governance structures and financial balances of university hospitals is under debate, and their status in the public hospital system will be further clarified. The Ministry of Finance also questioned universities' entitlement to accumulate reserves in revolving funds and occasionally transferred such reserves to the central budget.

52. Budget transfers to the Students' Loans and Boarding Institution (Yurt-Kur) doubled from approximately US$100 million in 1998 to US$200 million in 2002.

53. The Research, Planning and Co-ordination Council of the Ministry of Finance published a detailed study of the fiscal administration of the Turkish higher education system. See Kesik (2003).

54. Some experts estimate that student registration fees in public universities could be rapidly raised from the existing level of 5 per cent of current expenditures to at least 25-30 per cent, if accompanied by an effective student loan system. See Kesik (2003).

55. Their successful record reflects in part the fact that they are "cream skimming" the student and faculty markets because of the severe resource constraints in public universities. They pay their faculty internationally competitive salaries. By doing this they reveal, rather than cause, the underresourcing problem in public universities.

56. The prestigious private foundation universities have credible boards of trustees. They are also overseen by the Higher Education Board.

57. The efforts of private foundations should also be recognised. For instance, the Foundation Against Tuberculosis has been instrumental in the eradication of this disease.

58. Either as social insurance beneficiaries, their dependants, or "green card" holders insured by the state.

59. Full medicalisation of pregnancy, a key objective of health policy for decades, has not been achieved across the territory. A new "Population and Health Survey, 2003" will be published in Autumn 2004 and present the latest information in this area. According to this Survey, around 50 per cent of pregnancies and around 50 per cent of births are medically attended in the Eastern regions. The average infant mortality rates which were six times above OECD averages at 35 per thousand during the 1980-1997 period

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are now below 30 per thousand. The maternal mortality which was above 100 per hundred thousand births during the 1980-1997 period is now at 70 per hundred thousand.

60. The Parliamentary Commission of Inquiry on Corruption and Irregularities in the Public Sector spotted the health system as an area suffering serious misspending and overbilling. See TBMM Yolsuzluklari Arastirma Komisyonu (National Assembly's Corruption Investigation Commission, 2003). Anomalies in the composition of expenditures are also observed: pharmaceutical reimbursements amount to 40 per cent of total spending *versus* 15 per cent in other OECD countries.

61. Public sector professionals may be allowed to take secondary jobs in the commercial sector but rules governing these part-time arrangements are controversial and change frequently.

62. The wages of public health personnel, who are included in the civil service pay system, remain below private sector counterparts. Hospital revolving funds top up revenues for certain categories of personnel. The public system had difficulties hiring specialists in less developed eastern regions – where revolving fund revenues are also lower. The Ministry of Health now uses fixed term contracts outside the public pay scale in such regions, where a public sector specialist physician can be paid up to US$2 700 per month (approximately US$3 700 with revolving fund revenues), against a salary of US$700 for a specialist in western regions (approximately US$1 700 with revolving fund revenues).

63. Representing 3 per cent of the Ministry of Health budget in 2002.

64. In 2004, press revelations about large price differentials between high-cost drugs for different public purchasers attracted public attention. Drug manufacturers invoked legitimate marketing and medical experimentation practices. An official investigation was launched following these revelations.

65. A detailed and reportedly consensual health sector reform plan was developed with technical support from the World Bank in the 1990s. Implementation units were also created in the Ministry of Health. Practical application could, however, not proceed. See World Bank (2003a).

66. Possibly in co-operation between the Competition Authority. Only a limited part of pharmaceutical markets are serviced by multiple manufacturers (since many products are patented and branded). Competitive procurement may not follow standard auctions and negotiations. The Competition Authority can help Health Authorities to develop a best-practice procedure in the light of international experiences.

67. Total infrastructure investment has oscillated between 4 and 6 per cent of GDP in recent years – see Figure 3.10.

68. See Chapter 4.

69. The full commercial details of these contracts were never published. They now come under criticism as providing unjustifiably high rates of return to private investors – because the reference cost levels they have been built on appear well above international standards. As the government has guaranteed minimum sale and price levels to BOO and BOT investors, the Treasury will top up the difference in case market demand and price projections fall below these thresholds.

70. The new and important law n° 4736 passed in 2002 prohibits the pricing of state economic enterprises' and public utilities' goods and services at below-cost levels, and therefore bans cross-subsidisation. The Telecommunications Authority implemented this principle in its regulation of Turk Telekom's monopolistic tariffs from 2004.

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71. As short as 6 years in the 1980s. Like in other spending areas, spending drifts of the 1990s made the public investment portfolio less rational, with more than 3 000 projects pursued concurrently. Some of them have no prospect of completion in the foreseeable future. The large-size irrigation projects in the Bafra and Carsamba plains in the Black Sea region are telling examples: They were launched in 1980 and are still being carried on.

72. No player in the market complained about detrimental cuts in economically significant areas.

73. For example, in road construction, one km of highway costed US$10 million to build, against an international reference price of US$4 million.

74. Stagnation in construction markets which increased competition also helped.

75. Shortcomings in construction quality were reported after another "high speed" construction campaign, when replacement houses for the victims of the 1999 earthquakes were built.

76. For instance, the interconnection facilities between the Turkish and South Eastern European electricity grids to facilitate electricity trade, the intercity gas pipelines to facilitate the development of commercial gas demand and supply are such facilities of a public good character.

77. Support schemes' success in transferring resources to *intended* beneficiaries.

78. Nonetheless, concerns exist about the distributional impacts of the DIS system – *i.e.* its lack of focus on farmers truly in need. Farmland eligible for DIS was initially capped to 20 hectares per farmer but this was later raised to 50 and made practically the entire planted land eligible. It is estimated that around 50 per cent of DIS payments go presently to 15 per cent of farmers.

79. During a transition period, deficiency payments and livestock subsidies will be maintained in a number of product markets where the shift to direct income support is estimated to risk undesirable disruptions of production.

80. The provisions of Public Financial Management and Control Law will be implemented in the public administrations within the scope of the general government as of 1 January 2005. According to the provisions of the Law, the medium term programme prepared by the State Planning Organisation will be adopted by the end of May 2005 by the Council of Ministers, and the medium term fiscal plan prepared by the Ministry of Finance will be adopted by 15 June 2005 by the High Planning Council. The new budgetary instruments of the multi-year budget framework and performance-based budgets will be introduced in the central government budget from 2006.

81. The State Audit Institution (Sayistay), the Ministry of Finance Inspection Council, the President's Inspection Council, and the Prime Minister's Inspection Council.

82. Safeguards should be taken against "exclusion" and "cream skimming". This is important for reconciling the commercial dynamism of services with policy objectives. For instance in the education area, this may involve minimal enrolment quotas and loans for students from low-income families. Foundation Universities already set quotas and provide grants to such students on their own initiative provided that they fare sufficiently well in entrance examinations. In the health area, commercial providers are already requested by law to provide a minimum service capacity for "green card holders" (low income individuals lacking social insurance coverage).

83. Three major reviews were the Public Administration Assessment (KAYA) project implemented by the Turkey and Middle East Public Administration Institute in the 1980s, the

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Study of the Experts Commission on Public Administration of the 8th National Development Plan in the late 1990s, the Public Administration Reform Review of the Turkish Union of Chambers of Industry (TOBB) in 2001, and the Background Report of the National Conference on Public Administration organised by the Ministry of Interior in 2002. The Turkish Association of Industrialists and Businessmen (TUSIAD) and the Turkish Foundation of Economic and Social Studies (TESEV) also continued internationally comparative background surveys on public administration reform. See for a review Canpolat (2002).

84. The Framework Law stipulates that any deterioration in service quality should be detected by the Ministry of Interior and acknowledged by a Court. The Ministry of Interior can then take over responsibility for the provision of the service.
85. See, for a discussion of scale and service efficiency issues in present municipalities, Canpolat (2002).
86. Including an opposition and veto by the President in 2003.
87. The Constitution states that "public services should be provided by employing civil servants" (Article 28). Long and difficult discussions in the Parliament on the draft Public Administration Framework Law in early 2004 demonstrated the absence of a commonly shared understanding of this matter. The costs, benefits and regulatory needs of private supply of publicly funded services were not addressed. Several parliamentarians equated private supply with the elimination of public service responsibilities. The regulatory needs of the separation of *public funding from public provision* was not addressed.
88. A total of 1 440 "revolving funds" were operated in public universities, hospitals and service organisations as of May 2004, selling various (research, care, etc.) services for a fee, and generating extra-budgetary income for their organisation.
89. Technical co-operation is ongoing between the Turkish government and the OECD in order to initiate regulatory impact assessment studies on new pieces of legislation from 2005.
90. The new policies concerning the governance of public and private banks are detailed in Chapter 4.
91. The cap is TL 50 billion (US$34 000) per account. This represents 90 per cent of all bank accounts but only 40 per cent of all deposits in 2004.
92. Each year's budget will state the maximum amount of formal guarantees that the Treasury can provide.
93. The legislation states that monthly Treasury bill rates would be applied to the outstanding stock of arrears reflecting the Treasury's cost of financing the deficit of social security institutions as a result of uncollected premiums.
94. These include the central-budget funded "green card" system financing low-income individuals' health care costs. This system faces difficulties in establishing actual eligibility and reaching the most deserving potential beneficiaries.

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4. Establishing an open and non-discriminatory business environment

The basic institutions of the Turkish economy have been undergoing a fundamental renovation since the turn of the millennium, driven by two forces. First, the National Economic Convergence Programme with the EU *Acquis*, adopted after the formal recognition of Turkey as a candidate for accession at the EU Summit of Helsinki in 1999, required major legal and regulatory changes in the areas of monetary policy, competition policy, labour market rules and infrastructure regulations. In parallel, the Stand-By Arrangement put in place with the IMF in 1999 and reinforced with a second programme after the 2000-2001 crisis[1] implied a fundamental restructuring of fiscal and public debt management institutions and major adjustments in the public business sector.

A corollary and equally far-reaching transformation was triggered in the banking sector. Large bad loans in public and private banks had augmented the magnitude of the fiscal shock in 2000-01, when the government increased its debt by more than 25 per cent of GDP in order to clean up bank balance sheets. Costly pressures on public finances also motivated important reforms in social security – which are still ongoing – and in the agricultural support system. In order to attract more international direct investment through privatisation operations and greenfield investments, major changes have also been implemented in the foreign investment regime.

For the most part these reforms have now been implemented.[2] Table 4.1 summarises the resulting overhaul of the institutions of monetary and fiscal policy, product markets, agricultural markets, capital markets, labour markets, infrastructures and foreign investment rules.

The new institutional framework:

- considerably improves the stability and predictability of macroeconomic policies,
- makes possible far-reaching rationalisation in public spending and services,
- smooths the functioning of capital and labour markets,

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Table 4.1. **Main structural reforms of 2001-2004**

Date	Policy measure	Key features	Impacts
		Monetary policy	
2001	Amendments to the Central Bank Law	– Price Stability is stated as the primary objective of the Central Bank (CB). – CB independence established at institutional, personnel, operational and financial levels. – CB shall not grant cash advances or credit to Treasury or other public establishments.	Sharp disinflation from 54 per cent in 2001, to 45 per cent in 2002 and 25 per cent in 2003. Market participants expect 11 per cent for end 2004 and single digit inflation in 2005.
		Fiscal policy	
2003	Public Financial Management and Control Law	– Multi-year budget framework. – Functional classification and results-oriented budgeting. – Comprehensive general government accounting.	The budget process will be managed according to international best practices, including the preparation, execution, audit and closure of the accounts. Initially planned for 2005, implementation will begin in 2006.
2002	Public Financing and Debt Management Law	– Yearly public borrowing capped by the consolidated budget deficit target. – Foreign borrowing by public sector and quasi-fiscal entities subject to Treasury authorisation. – Treasury guarantees capped in budget law. – Quarterly and annual reports on public debt management.	The total amount, composition and service cost of public debt will become transparent. The report does not yet cover the implicit pension debt, the non-guaranteed debt of state-owned enterprises and municipalities, or an accruals-based measurement of guarantee liabilities.
		Tax policy	
2002	Special Consumption Tax Law	– Several indirect taxes are consolidated in a Special Consumption Tax with a single rate of 18 per cent (in addition to three VAT rates)	The indirect tax system which carries the most of the tax burden has been simplified with a broader base and higher yields.

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Table 4.1. **Main structural reforms of 2001-2004** (*cont.*)

Date	Policy measure	Key features	Impacts
2003	Amendments to the Laws concerning Income Tax, Free Trade Zones and Regional incentives, and Inflation Adjustments	– The corporate tax system is simplified with: • a single corporate tax rate of 33 per cent; • a single investment tax allowance of 40 per cent; • inflation adjustments permitted; • simple and transparent regional incentives.	The complexity and instability of the corporate tax system has been streamlined, and the room for discretionary incentives and distortions has been reduced.
		Product markets	
1996	Customs Union Agreement with the EU		Manufactured goods markets have been fully integrated with those of the EU. In services and agricultural products the integration process has started. Goods trade volume with EU increased from US$18.5 billion in 1994 to US$46.5 billion in 2002 and 60 per cent of all trade is effected with European countries.
1994-1997	Competition Law (1994) and operational Competition Policy Authority (1997)	– The competition policy framework and enforcement apparatus is in line with EU legislation.	The Competition Policy Authority (RK) intervenes in goods, services and infrastructure markets and privatisation operations. Annual number of cases resolved: 14 in 1997; 446 in1999; 448 in 2003.
		Labour markets	
2003	New Labour Code	– Employment protection legislation (EPL) following ILO recommendations and applicable to firms > 30 employees (an early legislation in 2002 was applicable to firms > 10 employees). – Flexible forms of employment (temporary work, part-time work, agency work and contract work) are provided for by law. – Working-time and over-time rules are made more flexible by lengthening averaging-out periods. – Social and gender rights clarified.	The new Code was endorsed by employer and employee organisations as a "fair" balancing of flexibility and protection objectives. However, temporary, agency and contract work need to be facilitated.

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Table 4.1. **Main structural reforms of 2001-2004** (*cont.*)

Date	Policy measure	Key features	Impacts
2000	Unemployment Insurance Scheme	– After 20 months of contributions, workers become eligible for unemployment benefits equivalent to 50 per cent of the past four months' average wages, for a period of six months. Benefits are conditional on participation in re-training programmes.	First beneficiaries received unemployment compensation from 2001. The flexibility of the labour market has improved as other OECD countries' experiences have been taken into account in the design of the system.
		Financial markets	
2000	Institution of an Independent Banking Supervision System	– The Banking Regulation and Supervision Agency (BRSA) and the Saving Deposit Insurance Fund (SDIF) created to form an independent regulatory structure.	Independent prudential surveillance was established according to international standards but faced an acute banking crisis within 6 months.
2000-2001	Law on Public Sector Banks	– Public banks recapitalised with treasury securities to compensate for their accumulated "duty losses". – Only duty losses explicitly funded from the central government budget are authorised for public sector banks. – Governance structure of banks modified and their equity ownership clarified in order to permit their privatisation.	The new framework considerably reduced direct political interference in the loan decisions of the Ziraat (Agriculture) and Halk (SME) Banks. However, these banks remain subject to political influence as long as they are not privatised.
2001	Private Banking Sector Restructuring Programme	– Private banks have been comprehensively audited by BRSA, recapitalisations required, and fragile institutions taken under SDIF. – The credit, currency and interest rate risks affecting capital adequacy have been reviewed in more detail than required by Basel I rules (and more in line with the emerging Basel II rules).	Strengthened supervision appeared rapidly effective in countering the greatest risks of drift which characterised the 1990s. However, more progress will be needed on more subtle risks (inadequacy of "free" equity capital, consumer credit risks, etc.).

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Table 4.1. **Main structural reforms of 2001-2004** (*cont.*)

Date	Policy measure	Key features	Impacts
2001-2004	"Istanbul Approach" for corporate loan restructurings	– Large and small industrial borrowers that were facing strain after the 2000-2001 interest and currency shocks were allowed an opportunity to re-schedule their debt if fundamentals were robust. Short-term loans may be re-extended for up to 8 years.	A total of US$5.7 billion of loans to 326 companies (217 large and 109 small) have been successfully re-scheduled. However, there are some concerns that a number of re-scheduled loans concern genuinely non-performing assets.
2003	Financial Reporting Rules and Corporate Governance Guidelines issued by the Capital Markets Board (SPK)	Companies issuing tradable securities are made subject to International Financial Reporting Standards (IFRS/formerly IAS), under professional auditing. Firms are required to report their degree of compliance with SPK's Corporate Governance guidelines according to OECD Principles.	
2003	Creation of Private Pension Funds	Voluntary third-pillar private pension funds are authorised and provided with tax incentives.	US$80 million was accumulated in private pension funds in less than a year. These funds are expected to generate long-term domestic investments in the Istanbul Stock Exchange.
		Foreign direct investment	
2003	Foreign Direct Investment Law	The screening and pre-approval procedures for FDI projects and the minimum investment threshold (*i.e.* US$50 000 per foreign partner) are removed, and the principle of equal treatment with domestic firms is established.	
2003	Amendments to Commercial Law	The company registration steps are re-designed and simplified on an equal footing for FDI and domestic firms.	The number of registration steps was reduced from 19 to 3.

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Table 4.1. **Main structural reforms of 2001-2004** (*cont.*)

Date	Policy measure	Key features	Impacts
2003	Amendments to laws concerning the Employment of Foreigners, the Registry of Title Deeds, and Public Procurement.	Foreign employees can be hired through a simplified procedure. FDI firms are included in the definition of "domestic tenderer" in public procurement and foreign persons can acquire real estate in Turkey on the basis of reciprocity.	Foreign personnel are now more easily hired by both FDI and domestic firms.
		Infrastructures	
2001	Electricity Market Law, to be enforced by an independent Energy Market Regulatory Authority (EPDK)	A competitive electricity market is established along EU rules. Eligible consumers can select their provider and freely negotiate tariffs or self-generate.	The regulatory and operational frameworks of the electricity system need further clarification to ensure actual opening to competition. Eligible customers cannot import electricity and TETAS maintains an all-encompassing monopolistic pooled management over existing supply. Self-generation by group users and independent power producing licenses are the main channels for new entry in electricity production.
2001	Natural Gas Market Law, to be enforced by EPDK.	The natural gas market will be opened to competition and the national gas monopoly's exclusive long-term gas purchase contracts will be divested to private bidders.	The new legal framework for natural gas is pro-competitive but regulatory and operational conditions for actual competition need clarification.
2000	Telecommunications Law to be enforced by an independent Telecommunications Authority (TK).	The domestic fixed telecommunications market is fully open to competition from 2004, with new licences granted by the Telecommunications Authority. Third-party access to essential facilities (naturally monopolistic local loops) is liberalised. TurkTelekom (the national incumbent) will operate under a contract agreement with the Ministry of Transport and Communications setting its concession obligations.	Three suppliers already operate in mobile communications. The regulatory framework still to be refined for actual opening of the entire sector to competition. Licences have been granted in fixed line telecommunications but there is no alternative supply yet in that segment. The public service obligations of TurkTelekom have not yet been fully clarified and their ongoing funding by cross-subsidies from businesses has not yet been replaced by direct funding. Tariff regulations applicable from January 2004 are reducing these cross-subsidies.

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Table 4.1. **Main structural reforms of 2001-2004** (*cont.*)

Date	Policy Measure	Key Features	Impacts
2004	Law on the privatisation of TurkTelekom.	The earlier 45 per cent ceiling on foreign ownership in TurkTelekom is waived. The current cap is 95 per cent.	TurkTelecom may be privatised as a powerful incumbent monopoly. It is now available for foreign takeover.
2001/ 2003	Amending Law of the Civil Aviation Law	Domestic tariffs of licensed operators are liberalised and new companies are licensed on several domestic routes.	New operators entered the main domestic routes and fares decreased in real terms by 60 per cent between 2002 and 2004.
		Agriculture	
2001	Agricultural Subsidy Reform	– Subsidies to agricultural production (purchase price supports) and inputs (including fuel, fertiliser and loan subsidies) are phased out and replaced by direct income supports (DIS) to farmers. – Agricultural Purchase and Marketing Boards (previously) operating under Treasury guarantees are made independent. – The agricultural trade regime converges gradually to the EU agricultural trade rules (which implies a *reduction* of protection in the Turkish market)	Input subsidies were drastically reduced between 2001 and 2003. However, during the same period market price support must have increased as protected domestic prices did not follow international price declines. Overall, the producer support estimate (PSEs) reached 17 per cent, remaining substantially below the OECD average of 31 per cent. In 2002 70 per cent of eligible farmers received DIS payments, which compensated them for the largest share of reform-induced revenue losses.

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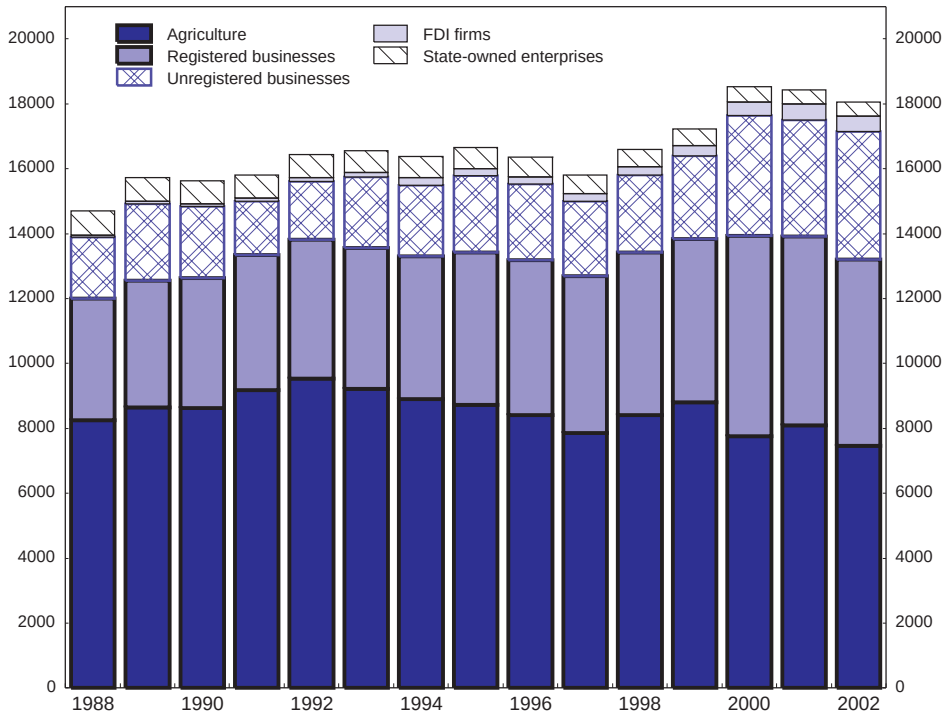
– enhances competition, including in network infrastructures, and in foreign firms,

– reduces agricultural subsidies and replace them with direct income supports.

– improves entry and supply opportunities in all market segments and should thereby gradually lead to business conditions similar to international standards, further reducing the risk premia for doing business in Turkey.

This chapter reviews the main features of the present environment for doing business, the expected consequences of ongoing reforms and the remaining

Figure 4.1. **The five segments of the supply side**
Employment, thousands



Source: OECD estimates on the basis of State Statistical Institute (DIE) data.

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tasks in five main areas: *i*) the formal registered domestic business sector; *ii*) foreign investor firms; *iii*) unregistered informal activities; *iv*) state economic enterprises; and *v*) the agricultural sector (Figure 4.1). Until recent reforms, activities in these areas have been operating under somewhat strict regulations and uneven tax treatments. Reforms have the potential to bring about convergence in business and tax conditions on the grounds of fairer competition, more equal access to factor markets and freer allocation of resources to their most efficient uses. However, further reforms appear necessary to ensure that such a level-playing field environment also creates sufficient employment opportunities. A positive decision by the European Union to begin negotiations about future EU accession may provide an additional boost to foreign direct investment (FDI) and to investment in general.

Growth of the registered domestic business sector

Even though they employ less than one third of all workers, domestic enterprises of the formal and registered sector are a key pillar of the Turkish economy. This sector employs the bulk of skilled human capital existing in the private sector, has reached a relatively high productivity level and importance in GDP, realises most exports and pays most taxes. It operates under the formally prevailing legal, regulatory and tax framework of the economy and complies with most of its rules. Formal sector firms may however underreport their wages and income in order to cope with the very high social contribution rates, and co-operate with informal sector firms as sub-contractors. In 2003, the State Planning Organisation, in co-operation with the Turkish Union of Chambers and Industry, identified four key operational difficulties faced by formal sector firms, which are discussed in the subsequent sections:[3]

- Capital market and financing conditions (which are subject to high risk premia and crowding-out by public borrowing);
- Uneven competition from the informal sector (notably, in the areas of labour regulations and employment costs);
- Capacity limits and high prices in infrastructure services; and
- An unstable and unpredictable corporate tax system.

Ongoing structural reforms potentially address many of these challenges. However, their impacts will be fully felt only in time and a truly level playing field will necessitate the full and consistent implementation of the reforms.

Financing investment

The first challenge for the Turkish business sector is its extremely high financing costs which have declined from earlier peaks but remain well above international standards (Figure 4.2). The main cause for high interest rates which

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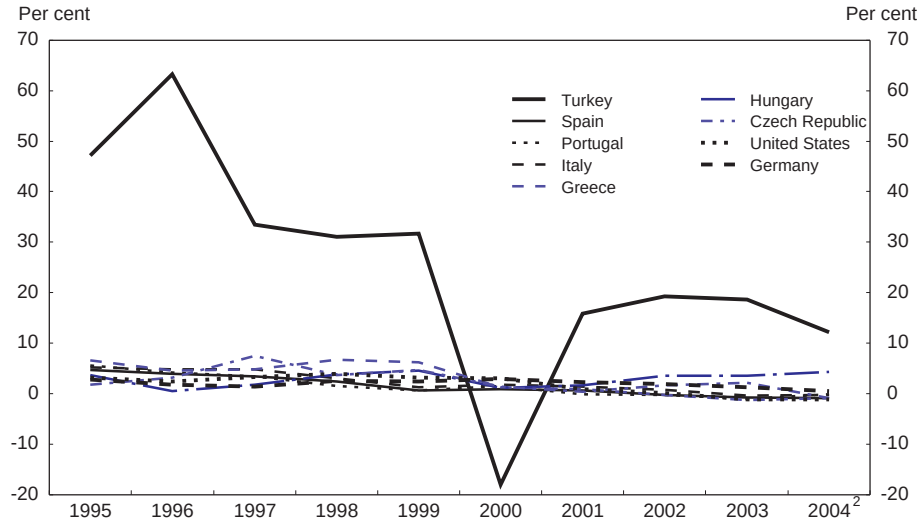
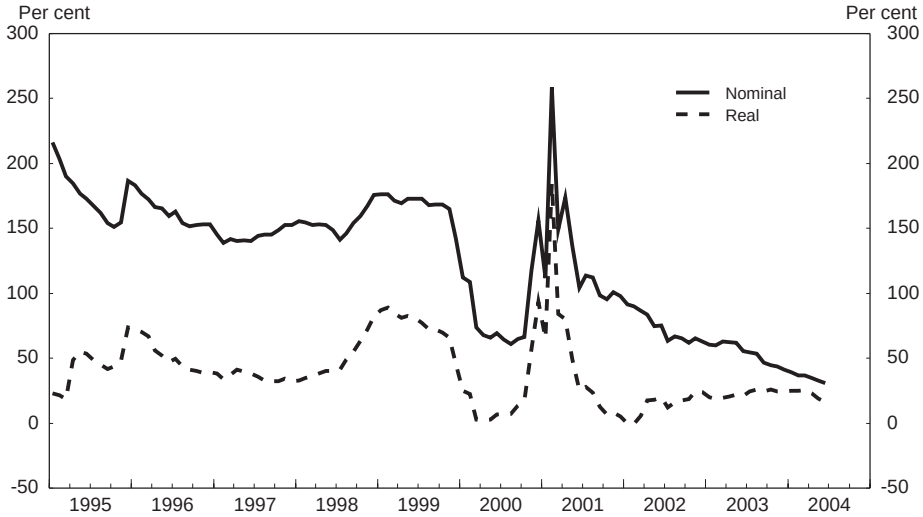
Figure 4.2. **Declining interest rates**

A. Real government borrowing rates(1)



B. Bank lending rates



1. Interest rates on treasury bills discounted for the changes in the consumer price index.
2. OECD estimate.

Source: OECD.

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crowd out business investment is the massive public borrowing.[4] In addition, macroeconomic and political instability increased the country risk premia,[5] enterprises' own governance and reporting flaws added to the risk premia, and inefficiencies in the fragmented banking sector[6] and large banking intermediation taxes burdened the cost of funds.[7]

It is clear that Turkey has further to go in stabilising the macroeconomic conditions for the *supply* of long term funds to enterprises, via both bank credits and equity financing. Continuing disinflation, declining government claims on domestic savings, increased confidence in Turkey's macroeconomic fundamentals, and declining risk premia should provide the macroeconomic basis for this improvement. Further microeconomic and institutional changes in the corporate sector, including further restructuring and competition in banking, more transparent corporate governance mechanisms and more dependable accounts in listed companies, as well as a more efficient legal system, smoother bankruptcy management processes, and a more stable corporate tax regime should all contribute to easier (and therefore less costly) financing conditions for industry.[8]

In addition to the macroeconomic and structural determinants of capital costs, special lending and investment practices have created distortions in the actual funding costs of different types of companies. Most notably, intra-group lending has created an additional layer of opacity and inefficiency in the allocation of commercial loans. Some of the most severe banking losses (and government costs) of the 1990s resulted from unprofitable credit allocation within holding groups. The banking restructuring programme initiated in 2001 (Box 4.1) is still attempting to solve the conundrum created by these credits. Regulators are trying to disentangle economically sound and non-performing intra-group commitments, in order to curb the latter without penalising the former.[9] Prior to the Banking Sector Restructuring Program, a similar type of credit misallocation resulting from insufficiently rigorous loan standards was common in public banks extending large volumes of "politically-motivated" loans.

The standard practice of arms' length commercial lending was almost marginalised during the past decade.[10] The share of government securities in the banking system's total assets reached over 40 per cent in the early 2000s and government security investing became the central know-how in banking. The maturity structure of credits is also very short, reflecting the short-term structure of savings. This composition of assets and liabilities, together with high inflation and other uncertainties has hindered the development of fully-fledged commercial banking services in Turkey. While marketing know-how and technical infrastructures in consumer services appear to match, and in certain areas outperform, OECD countries' standards, banking products and services for corporations have remained much more limited. Long-term investment financing,[11] project financing and export project financing have remained marginal and play a very limited role in the development of the corporate sector.

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Box 4.1. Banking restructuring following the 2001 crisis

One of the main pillars of the 2001 Banking Sector Restructuring Programme was to strengthen the capital adequacy of private banks.[1] Within the scope of the programme, important steps were taken to strengthen capital structures through banks' own resources and by limiting the market risks they face.

Twenty-five private banks were subjected to a three-phased audit process. As a result of the audits made, those banks which were found to have a capital deficit were required to increase their capital, and they did so. Prior to these developments, market risks were taken into consideration during the determination of capital adequacy and banks were required to form internal audit and risk management systems. Furthermore, regulations were introduced to prevent credit risk concentration and ensure conformity of bank balance sheets to international accounting standards. Supervisors tried to limit the participation of banks in subsidiaries other then financial institutions, even if regulations were not binding in this regard.

As a result, the total capital adequacy ratio (CAR) of the Turkish banking sector according to Basel rules increased from 9.3 per cent in 2000 to 30.9 per cent at the end of 2003. The CAR of private banks rose to 23.5 per cent at the end of 2003 from 19.6 per cent in 2002. While this improvement has been mainly due to the capital increase realised by banks through their own funds, other factors have also contributed, including the observed recovery in asset quality under the Istanbul Approach (see main text), the improvement observed in the macroeconomic environment and profitability, and the compound impact of the revaluation of assets as a result of inflation accounting. Even though the CAR of the private banks has reached a level remarkably above the international standards, it is still strictly monitored by the Banking Regulation and Supervision Agency (BRSA). An important issue is the lower level of the more economically meaningful "free capital" ratio in the banking system, which also tended to improve in the recent period.[2]

Currently, and on the basis of past experience, government agencies with different responsibilities, capabilities and resources appear better aware of the risks and potential areas of distress in the system, and are equipped with more effective tools for preventive and corrective intervention. The market itself has built up better operational and management capacities to detect crisis situations, absorb first-strike effects of initial shocks and manage itself out of them.

September 11 provided a test case. With important politico-military developments in and around the region it represented an "external" shock that the system withstood successfully.

As an example of an "internal" shock, I*marbank* has been a major case: a private commercial bank whose real records revealed, only upon the intervention of the Banking Authority in the summer of 2003, a retail deposit base that was ten times the historically and officially reported levels. The actual unreported deposits put I*marbank* among one of the largest deposit holding institutions and a confidence crisis could have ensued, but the system was able to handle the situation without chaotic consequences.[3]

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Box 4.1. **Banking restructuring following the 2001 crisis** (*cont.*)

A non-exhaustive list of achievements since the crisis include:

- the concept and implementation of "risk management" replaced "risk reporting" as a regulatory approach;
- the re-capitalization of the operating banks was realized at satisfactory levels;
- the "duty losses" of state banks were settled by the Treasury;
- twenty banks between 1998 and 2002 were excluded from the market through mergers, sales and direct liquidation (even if the majority of their bad assets were still not resolved);
- the ratio of "bad loans" in total loans considerably diminished;[4] and
- the open foreign exchange position of the system declined to levels below what can be characterized as "speculative", unlike in the pre-crisis period.

1. This account of the management of the 2001 banking crisis by bank regulators draws closely on Ilseven (2004).
2. The "free capital" ratio is calculated by excluding affiliated investments, fixed assets, and the unreserved part of non-performing loans (only 50 per cent of NPLs are provisioned from the capital base). The ratio of free capital to total capital increased from around 2 per cent in 2002 to around 48 per cent in 2003, partly – but not entirely – as a result of the rescheduling of non-performing loans (see footnote 4). The introduction of Basel II capital adequacy rules will permit a more refined measurement of non-liquid and fragile assets and a better assessment of capital adequacy (see Box 4.2).
3. A report regarding the *Imarbank* failure and relevant policy conclusions was prepared by a group of international experts and was published on August 31, 2004.
4. The ratio of non-performing loans to total loans is around 7 per cent in private banks and still above 30 per cent in public banks. The private loans re-scheduled under the Istanbul Approach are not classified as non-performing, creating a potential positive bias in the ratio.

Source: Ilseven (2004); Banking Regulatory and Supervisory Agency, Reply to OECD Questionnaire, March 2004.

On top of these structural weaknesses in banking, there were many cases of corporate distress following the 2000-01 crisis. The severe recession and currency and interest-rate shocks of this period put many borrowers, low- and high-quality alike, in difficulty and threatened banks with massive defaults. As a response, the banking sector developed the "Istanbul approach" to loan restructurings, in co-operation with the World Bank, as a collectively managed scheme to detect cases of temporary strain in corporations with strong fundamentals, and deserving re-scheduling. A total amount of US$5.7 billion of non-performing loans in 326 companies had been restructured as of August 2004.[12] Although the quality of the technical work underlying this scheme is widely recognised, and

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the co-operative process has been a successful professional initiative in the banking sector, the effective quality and value of the re-scheduled loans have still to be demonstrated.[13]

The volume of loans to SMEs and their share in total bank credits are very small. Many commercial banks do not want to deal with SMEs because of the high transaction costs, credit risks and poor protection of collateral. Formalisation of SME accounts and their third-party auditing would help. However, this would require accurate accounts and more complete registration of activities and reporting of actual financial performances. Loans to SMEs meeting standard reporting and documentation requirements could also facilitate their packaging and securitisation by commercial banks.[14] The entry of international banks familiar with specialised SME loans would facilitate and accelerate such innovations.[15]

Financing by new share issues has also remained very limited. Initial Public Offerings (IPOs) in the Istanbul Stock Exchange remained around a yearly average of US$500 million in the recent period (Figure 4.3). Most family companies in the formal sector, large and small, appeared unprepared to fully share managerial information and control *in the proportions required* by first-tier institutional investors. Many of them recognise today that they need to make their ownership structures and corporate governance practices more transparent in order to enlist informed outside investors. The "floated" share of the equity of the firms listed in the Istanbul Stock Exchange is presently around 27 per cent.[16] Thus, while these firms may formally qualify as "publicly listed" companies, they remain "closely held" in an economic sense. In the present circumstances, investors continue to require very high risk premia from Turkish listed companies, and price/earnings ratios are considerably below OECD averages (Figure 4.3).[17]

The extremely limited development of private equity and venture capital investment is at first sight disappointing in the dynamic Turkish market, where value-generating opportunities for mergers, spin-offs and start-ups abound. The total volume of private equity investments was estimated at around US$250 million in 2003, or 0.1 per cent of GDP.[18] A few pioneering investors, mostly from abroad, have led the way.[19] However, as of today, venturing in the business sector has been almost entirely internalised in large and small closely-held holdings. "Outside" (non-related) venture capitalists cite limited deal flows (potential users of funds do not solicit investors, not to share information and control) and legal uncertainties (minority rights in non-listed companies are difficult to enforce, there have been experiences of deceipt, and shareholder agreements are complex and time consuming). Long-term investors are also rare in the local market as suppliers of funds and as *limited partners* for venture capitalists.[20] Government efforts to diffuse the "Venture Capital Investment Trust" form of investment through special legislation adopted in 1993 have not succeeded to date, although recent simplifications may help.[21] Foreign know-how and experience will be

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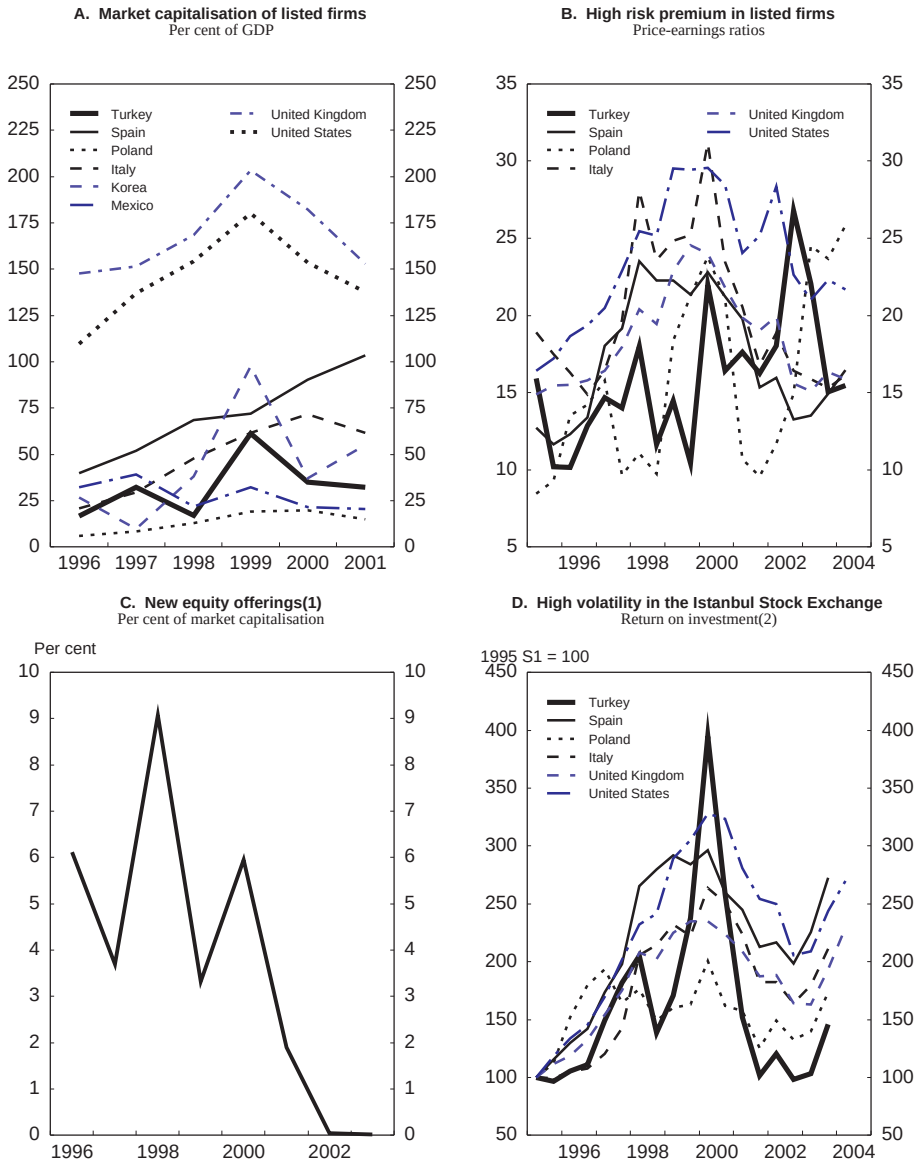
Figure 4.3. **Limited role of equity funds**



1. Initial Public Offerings (IPOs) and new secondary offerings. Only IPOs for 2002 and 2003.
2. Evolution of the US dollar value of investments in market portfolios, assuming all dividends are reinvested.

Source: Datastream and OECD.

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indispensable for state-of-the art venture capital investing, and authorities should seek to build on the interest of the international private equity funds for the Turkish market. Regulatory frameworks for shareholder agreements and minority protection should be modernised, in order to facilitate deals. Such investments can play a significant role in forthcoming industrial restructurings, with positive spillovers in the domestic market.

In spite of the limited development of arms-length and market-driven interactions between financial institutions and business enterprises to date, there are clear signs of improvements:

- The bank restructuring programme and new prudential rules have potential to facilitate business loans. The new supervisory and governance environment promises more commercially-driven credit allocation, even if the new system has not yet demonstrated its potential fully. Stimulated by demand- and supply-side factors, banks currently target households at a higher pace than corporations to extend loans, while corporate loans are also growing (See Table 4.3 below). Box 4.1 provides a positive assessment of the consequences of reforms on the quality of business risk-management in banking and Box 4.2 outlines further expectations from ongoing efforts to modernise the regulatory framework. Further structural changes in the banking sector, including mergers to reduce intermediation costs and the gradual elimination of intermediation taxes should help reduce the hefty margins over deposit rates (Table 4.2). Privatisations of public banks and entries by prime international banks are also expected and policymakers should facilitate them.[22] At the same time and as a challenge, increasing accessibility of government bond markets to households as a high return alternative to bank deposits should shift banks' costs of deposits toward market rates and amplify competition in deposit collection and credit allocation.

- Further microeconomic and institutional changes in the corporate sector, including more transparent corporate governance structures and more dependable corporate accounts in listed companies, as well as a more efficient legal system, better bankruptcy management and a more stable corporate tax system, should all contribute to easier (and therefore less costly) arms' length equity funding for industry. The Capital Markets Board, the Istanbul Stock Exchange and market professionals have taken important initiatives to improve corporate governance practices in Turkey.[23] A number of large size companies aligned their corporate governance practices with international standards. Many mid-size family companies have also decided to go public in spite of the costs of exposing themselves to stock market disciplines (including the tax liabilities entailed by accurate profit reporting). However, initial public

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Box 4.2. Strengthening the bank regulatory framework

Banking restructuring after the 2000-01 crisis (Box 4.1) was an *ad hoc* emergency fix, using regulatory instruments recently created under the Banking Regulation and Supervision Agency (BRSA) legislation, after a very short period of teething. Although the regulation on capital adequacy rules complied with the "Basel I" principles, regulators had to detect and reduce risks not covered by Basel I, arising from the peculiarities in the asset and liability structures of Turkish banks, such as "group loans" extended within holding groups and large foreign exchange exposures.

Bank capital adequacy rules are now being re-defined internationally, along more precise measurements of bank asset risks and risk management systems. This new orientation is reflected in the "Basel-II" recommendations issued by the Basel Committee on Banking Supervision in May 2004.[1] Taking into account this point of reference, the legal and regulatory framework of banking supervision will be strengthened. The draft Credit Institutions Act will be submitted to Parliament before the end of 2004. Further technical issues arising from the international inquiry on the I*marbank* case (See Box 4.1) could be dealt with by additional legislation, or regulatory decisions. The main areas where a strengthened regulatory framework is expected to have the greatest impact are:

- The tightening of the **fit and proper criteria** for bank ownership and board and management membership,
- The legislation of the safeguards concerning **connected lending**. These are at present only regulated. The objective of reducing individual (bank level) ceilings for related-party loans from 55 per cent of net assets in 2003, to 45 per cent in 2004, and 25 per cent in 2006, will need to be monitored with rigorous methodologies.
- Rules concerning banks' **equity participation** in non-financial corporations. At present, such equity holdings have to be reduced to 15 per cent of the banks' own funds by 31 December 2009. In addition, the proposal to fully phase out banks' non-financial participations by 2016 may have merit. Given the present weight of these participations, the pace of divestitures will affect the stock market value of corporations and the capital gains and losses of banks and should be carefully managed.
- **Emerging risk areas**. Risks associated with consumer loans, credit cards and foreign currency exposures had declined following post-crisis cleaning. Supervisors will need to monitor them closely to prevent growth of such risks.
- Alignment with **Basel II rules**. Turkish authorities have not yet announced their formal date of transition to Basel II rules, even if they are inspired by them in practice. As these rules provide supervisors with specific guidelines on relevant risk areas for the Turkish banking system, their swift adoption would support supervisors in their tasks.
- Basel II approaches also endow regulators with increased **discretionary powers** to assess banks' governance and risk management structures. Legal and ethical rules may need to be strengthened to help regulators fulfil these duties in full independence and integrity.

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Box 4.2. **Strengthening the bank regulatory framework** (*cont.*)

- The **specialisation** among bank supervisors, deposit insurers, managers of bad assets (of banks under custody) might need a re-assessment. In the recent past, these functions were separated for stronger focus on their respective difficult tasks. However, this created certain co-ordination difficulties. The regulatory framework should provide for better co-ordination between these functions.
- **Fair competition**. Certain banks appear to have shifted part of their assets and liabilities to off-shore subsidiaries, to minimise intermediation taxes and regulatory costs. Cross-border deposit collectors and lenders have also emerged in the local market, seeking informal deals. Regulators should try to level the conditions of competition. Alleviating any excessive burdens on formal sector banks is the straightest avenue.
- **Public banks** are at present subject to the same regulatory framework as private banks, and the government states its determination to avoid any interference in their commercial decisions, but their ownership makes them genuinely vulnerable to political influences at any point in time. The most direct way to eliminate these risks would be their privatisation. Privatisations via sales to first-tier international banks would strengthen the capital basis and the efficiency of the banking sector. In the future, the impact of the controlling ownership of the largest banks by industrial holding companies on their corporate governance practices should also be monitored in order to avoid any tension with the spirit and principles of the new regulations.[2]

Pro-competitive improvements in bank regulations would "be reflected in improved business investment. Sound borrowers and projects, *irrespective of their links with holding groups* and *their size*, would achieve an improved access to more economically-priced funds. Companies, large and small, with transparent accounts accessible to rating analyses would gain better risk status and enjoy lower risk premia. In turn this would improve incentives for enhanced financial transparency in the business sector.

1. See The Banker (2004) and Akdogan (2004).
2. As of 2004, among the seven largest banks representing 75 per cent of the total assets of the banking sector, three were owned by the government and three were controlled by large holding groups. Such ownership structures are compatible with existing regulations but could raise risks of external pressure on banks' commercial decisions.

offerings (IPOs) considerably diminished after the 2001 crisis, following the resulting decline of price/earnings ratios (Figure 4.3).

The improvement of macroeconomic conditions and structural transformation in the financial sector should enhance the financing of the business sector. Early signs of this development are visible, with the share of loans to the private

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Table 4.2. **Interest margins in the banking sector**

Turkish Lira margins

	February 2003	August 2003	February 2004
Deposit interest (3-months) (%)	39.3	31.6	24.2
Commercial loan interest (%)	54.2	45.2	34.7
Interest margin (points)	14.9	13.5	10.5

US$ margins

	February 2003	August 2003	February 2004
Deposit interest (3-months) (%)	2.5	2.7	2.5
Commercial loan interest (%)	6.9	6.8	6.1
Interest margin (points)	4.5	4.2	3.7

Source: Banking Regulation and Supervision Agency.

sector increasing as a proportion of banks' total assets. The real volume of total commercial loans increased by 64 per cent between December 2002 and December 2003, and by 33 per cent in the first eight months of 2004. However, consumer loans increased even more rapidly, by 147 per cent between December 2002 and December 2003, and 54 per cent in the following eight months (Table 4.3).[24]

In order to encourage *demand* for external financing by enterprises, the disadvantages of accurate financial reporting should also be reduced. At present, listed companies that adequately report their performance pay considerably

Table 4.3. **Total and non-performing loans**[1]

Billions US$

	Total Loans December 2003	Total Loans August 2004	Non-performing loans[2] December 2003	Non-performing loans[2] August 2004	Non-performing loans[2]/Total loans December 2003 (percentage)	Non-performing loans[2]/Total loans August 2004 (percentage)
All loans	31.2	41.5	2.3	2.0	7.5	4.9
Consumer loans and credit cards	6.6	10.2	0.2	0.3	2.9	2.8
Consumer loans	2.6	4.6	0.0	0.0	1.0	0.7
Credit cards	4.0	5.6	0.2	0.3	4.2	4.5
Other loans	24.6	31.3	2.1	1.7	8.7	5.6

1. Private Banks.
2. Gross amounts.

Source: Banking Regulation and Supervision Agency, Weekly Bulletin, Provisional data.

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higher taxes than closely-held concerns financed through non-market channels.[25] More rigorous tax auditing in order to produce financial reporting of higher quality in listed and non-listed firms alike, and in firms of different sizes, would put end to this *de facto* discrimination.[26] Developments in banking supervision, and the future adoption of *Basel* II rules for risk measurements, are expected to enhance the financial transparency of non-financial corporations (Box 4.2).

Creating jobs

The second fundamental issue for formal sector firms concerns employment. The labour market in the formal sector has been traditionally characterised by strict employment protection (EPL) and Turkey was until very recently ranked among the most rigid EPL enforcers among OECD countries (Figure 4.4). The Labour Code did not provide for temporary and contract work, accounting for a large part of Turkey's unfavourable ranking. Labour tax wedges in the formal sector also remained extremely high (Figure 4.5). By contrast, a remarkable degree of wage flexibility has been available in formal enterprises, somewhat off-setting their regulatory and labour tax handicaps, but less so in the strongly unionised state economic enterprises (Figure 4.6). Large wage differentials resulted from this segmentation of the labour market (Table 4.4).

An important parameter in the Turkish labour market is the minimum wage. Even if the actual number of minimum wage earners is low, the bi-annual settlement of the minimum wage plays the role of a reference benchmark in the labour market. This role was particularly important in the high inflation era, when absolute and relative prices and wages moved rapidly. There has never been wage indexation however and the minimum wage is not a rigid anchor (Box 4.3).

The strong export orientation and performance of the Turkish business sector was preserved across macroeconomic shocks and currency fluctuations (Figure 4.8). When faced with strong currency appreciation from the second half of 2003, exporters compressed margins to preserve market share and subsequently adjusted employment and productivity levels. This ability to compress margins and adjust costs has been a traditional competitive advantage of Turkish firms. Nonetheless, under persisting real currency appreciation a competitiveness divide seems to form between productivity-enhancing firms which can reconstruct their profit margins, and less well capitalised and less technologically equipped enterprises which lag behind.[27] There is a risk that low wage levels and downward wage flexibility in the second group, which traditionally helped offset its productivity lag, prove insufficient to contain unit labour costs in line with those of international competitors. Trend increases of the minimum wage affect particularly severely this lower end of the business sector. While successful exports of medium technology products drive present export performance, the lower segment clearly becomes more vulnerable to lower cost international competition (Figure 4.9).[28]

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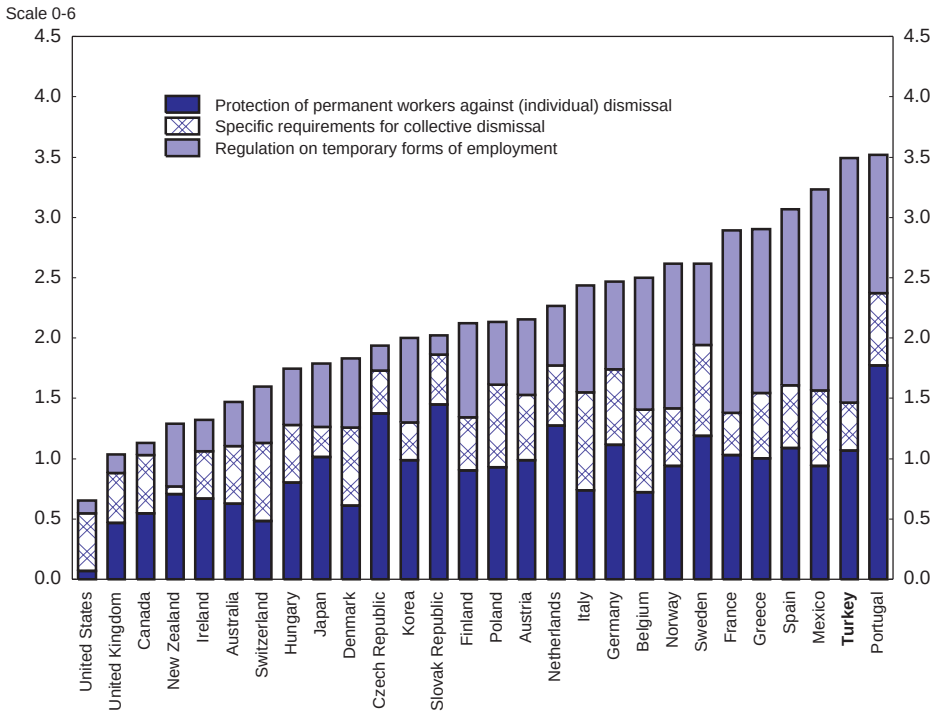
Figure 4.4. **Employment protection indicators**
Overall strictness of legislation in 2003[1]



1. For Turkey, these indicators do not take into account the important revisions in the Labour Code in June 2003.
Source: OECD, *Employment Outlook*, 2004.

The government has made serious attempts to address labour market rigidities, in particular the strict employment protection and large labour tax wedges, although with uneven success. An entirely new Labour Code was voted in 2003 to make regulations more flexible, by authorising temporary work and raising the size threshold of enterprises subject to employment protection to above 30 employees (Box 4.3). By contrast, given serious fiscal constraints, it was not possible to reduce the large labour tax wedges – they rather tended to increase (see Figure 4.4).[29]

Is there a problem of "jobless growth" in the formal sector? It may be wondered whether the large labour tax wedge and the downward rigidity of the

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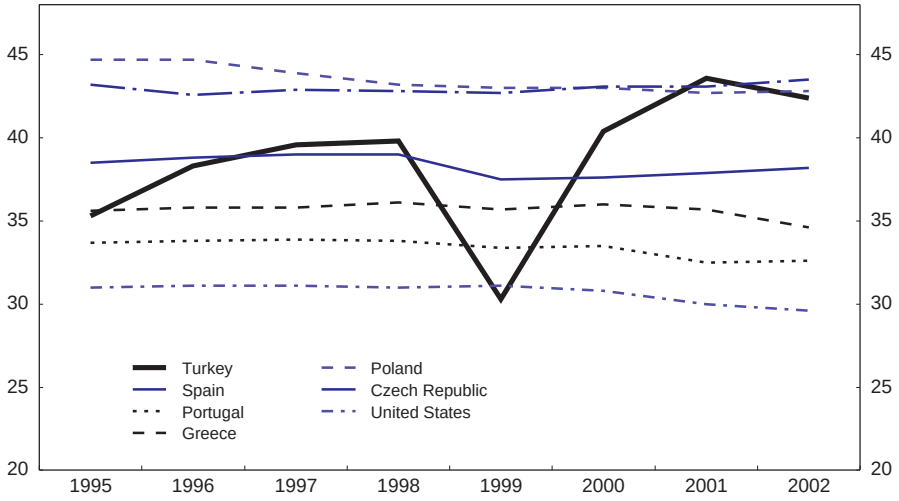
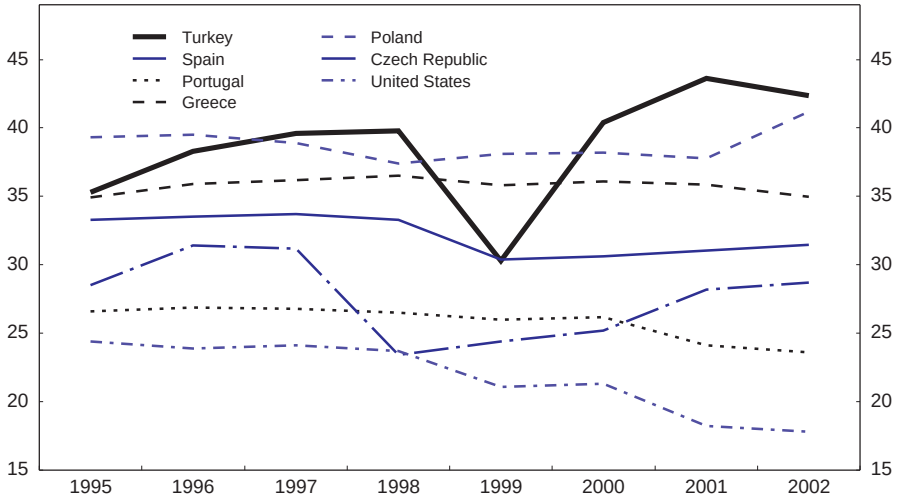
Figure 4.5. **Widening labour tax wedges**
Per cent of labour costs

A. Single person without children



B. Married couple with 2 children



Source: OECD.

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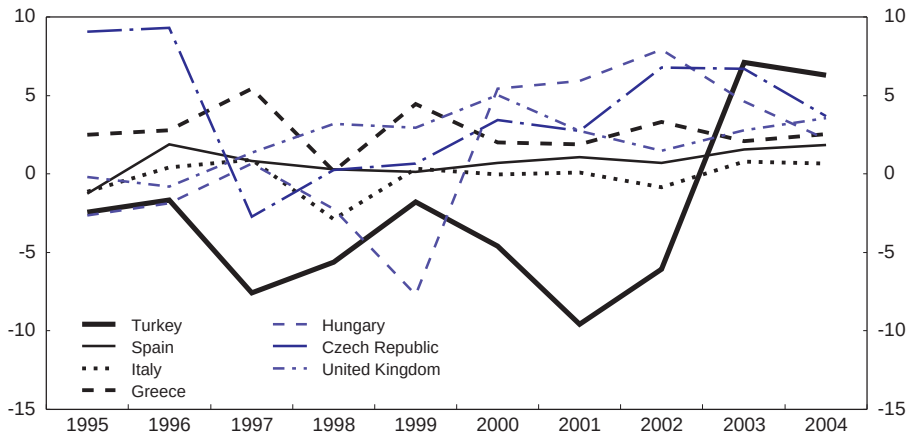
Figure 4.6. **Real wage flexibility**

Growth of real wages, business sector



Source: OECD (estimates for 2003 and 2004).

Table 4.4. **Large wage differences across business segments**

Gross wages, millions TL, 2002

	Average millions TL	US$[1]
Unregistered sector[2]	**250.9**	**166.6**
Registered sector	**895.5**	**594.7**
Public	1 444.6	959.3
Private	771.8	512.5
Collectively bargained wages	**1 340.5**	**890.2**
Public	1 466.1	973.5
Private	983.7	653.2
Individually bargained wages	**551.3**	**366.1**
Public	486.3	322.9
Private	551.5	366.2

1. According to average dollar exchange rate in 2002.
2. Gross wages equal net wages in the unregistered sector.

Source: OECD estimates using Turk-Is data and other sources.

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Box 4.3. The minimum wage

Minimum wage legislation in Turkey dates back to 1967 and has been implemented nationwide since 1974. The Law stipulates that minimum wages have to be adjusted at the latest every two years by a Committee reporting to the Ministry of Labour and Social Security. Turkey's experience with inflation called for frequent adjustment. Starting with 1988, the minimum wage has been adjusted every year (in mid year), and starting with 1999, twice a year. Despite the frequent adjustments, the real minimum wage has fluctuated over the years. The gross monthly minimum wage expressed in US$ increased substantially during the 1989-93 period, dropped precipitously to 1989 levels in 1994 (from US$160 in 1992 to US$100 in 1994), slowly recovered during the second half of the 90s, and peaked at around US$200 in 1999 before dropping to US$120 per month in 2001. Over the past three years, it increased steeply in spite of a deteriorating labour market situation, reaching US$160 in 2002, US$210 in 2003 and US$310 in 2004. The ratio of the minimum wage over average wages in private manufacturing, which was around 20 per cent in 1999 and had dropped to nearly 15 per cent in 2000, jumped back to close to 25 per cent in 2004 (Figure 4.7). A distinction, between the minimum wage paid to workers under age 16, and that paid to workers who are 16 and over, remains in force. The under-16 minimum wage which was about 70 per cent of the full minimum wage in 1989 steadily increased to 85 per cent of the full amount in 1999 and remained at that level afterwards.

Source: Tunali (2003) and OECD Secretariat.

Figure 4.7. **The evolution of the minimum wage**

Minimum wage as a per cent of average private sector wages

1. As of June 2004.
Source: OECD on the basis of Ministry of Labour and SPO data.

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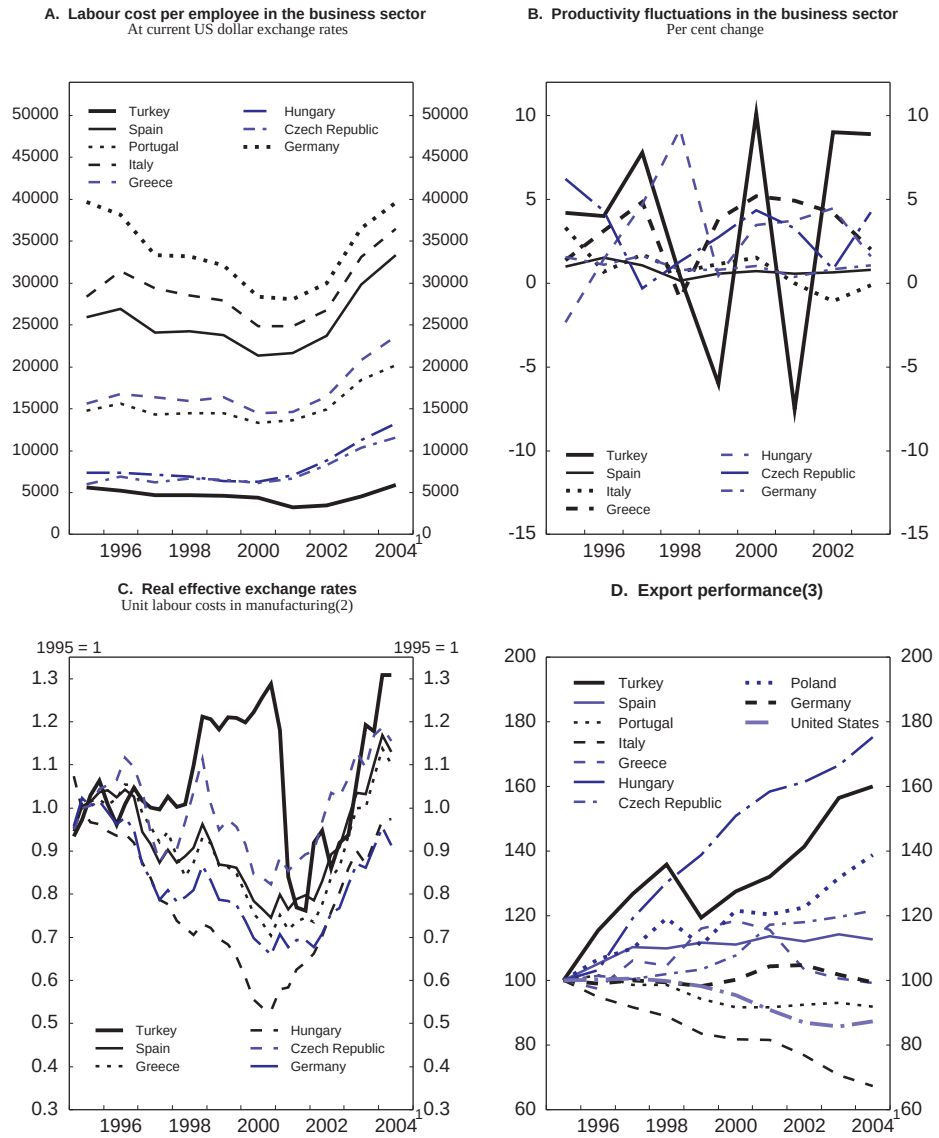
Figure 4.8. **The competitiveness of industry**



1. OECD projections.
2. Adjusted for exchange rate changes.
3. Growth of exports/growth of markets, 1995 = 100.

Source: OECD.

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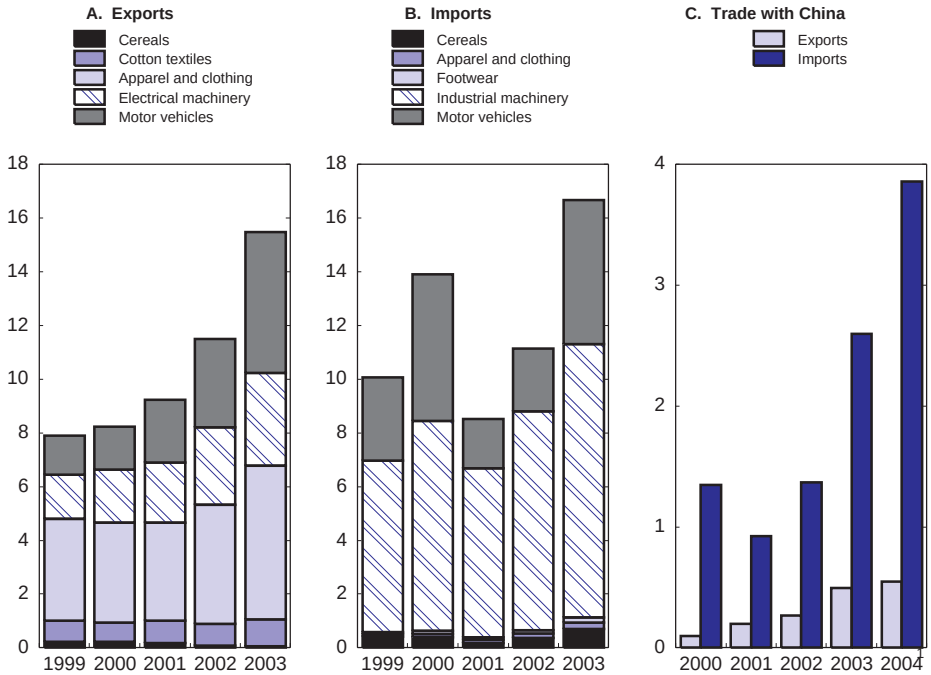
Figure 4.9. **Shift of competitiveness towards medium-technology goods**
Billion US$



1. Estimation on the basis of the first four months of 2004.
Source: State Institute of Statistics, 2004.

minimum wage hinder adjustments in the formal labour markets, given the stubborn stagnation of registered employment in spite of increasing unemployment (Figure 4.10 Panel A). Turkey may be facing a serious dilemma at present: either cut labour taxes in the formal sector and stimulate labour demand and supply in this sector, or let the non-taxed informal economy continue to play a buffer role and absorb employment at the low end of the market. More labour demand and supply at the lower end of the market are indispensable to increase overall participation and employment rates. How this could be done without expanding the informal economy further is discussed in the section below on the unregistered sector) (Figure 4.10 Panel B).

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Box 4.4. A new Labour Code

The last published OECD Employment Protection Legislation (EPL) index on Turkey (Figure 4.4) was shaped by the Labour Code in force between 1971 and 2003.[1] The index scored poorly for *regular employment* due to costly provisions on severance pay and unfair dismissal, and more negatively even for *temporary work* because of a lack of legal framework and extremely restrictive conditions on fixed term contracts. Overall, the EPL index ranked Turkey as the second most rigid labour regulatory environment in the OECD area.

However, it was well-known that this index expressed the letter of the law and not *actual* labour market practices. These were more flexible in practice, because of imperfect application of the law and widespread informal employment escaping labour regulations. Such escapes were not available to state economic enterprises and to most of the formal sector and foreign-controlled firms. Formal sector firms, nonetheless, took advantage of the flexibility of surrounding employment conditions through suppliers and sub-contractors. Measurements of labour market flexibility through job-turnover rates, inter-industry wage differentials and coefficients of labour adjustment reveal a more flexible labour market.[2]

An ephemeral Employment Protection Law was voted before the 2002 general elections, introducing the relevant provisions of International Labour Organisation Conventions in this area. Applying to enterprises with more than 10 workers, this text created uncertainties of interpretation and some anxiety in the marketplace,[3] in a context of increasing unemployment after the 2000-01 crisis. Following the elections it was replaced by a brand new Labour Code (Labour Law 4875 of 2003) which preserved the job protection provisions of the 2002 Law but added fundamental features enhancing the flexibility of formal labour markets:

- The enterprise size threshold for employment protection was increased from 10 to 30 workers.
- The definition of collective dismissals was narrowed.[4]
- Minimum and maximum amounts of severance payments were reduced.[5]
- Fixed-term contracts were authorised with no limit for the number of renewals – a revolution in Turkish labour legislation.
- Part-time work was legally provided for. A marginal practice so far, it has a potential to lift the particularly low employment rates of women and students.
- Working time became more flexible, as averaging-out periods for the calculation of average and maximum working times were lengthened.
- Standard provisions of the EU *employment acquis* concerning maternity rights, gender equality, health and safety regulations and protection of union activity have been adopted.
- A Severance Compensation Fund (SCP) was created, to be financed by employer contributions. Together with the Unemployment Insurance Fund (UIF) – the first beneficiaries of which became eligible in 2002 — it will make employment adjustments less costly at enterprise level.[6]

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Box 4.4. **A new Labour Code** (*cont.*)

– In contrast with these flexibility enhancing provisions, little progress was made in the legalisation of temporary work agencies[7] and sub-contracting became subject to some restrictive rules.[8]

The new Labour Code, forged through consensus between social partners, was welcomed by formal sector employers as an improvement. Two labour economists replicating the OECD methodology for the calculation of the EPL index found that the new law should lower the EPL index for Turkey from the traditional 3.6 to 1.5, ranking the country as the 10th most flexible labour market among 25 OECD economies.[9]

1. The Labour Law 1475, dating from 1971.
2. Turkey had one of the highest manufacturing job turnover rates in the OECD area in the 1990s and was a clear outlier on the negative correlation between EPL indicators and entry rates in unemployment. This reflects less rigid than official employment protection. The authors show, using the approach of Bertola, Boeri and Cazes (2000), that Turkey has a lower "statistically expected" EPL index than the official indicator. Turkey's entry rates into unemployment are typical of medium-low employment protectors. In the period 1991-2000, the job turnover rate (jobs created + jobs destroyed / total employment) was 19 per cent for large manufacturing firms with more than 250 workers, 29 per cent for medium enterprises employing 50-249 workers, and 52 per cent for small enterprises with 10-49 workers. It remained at a low 12 per cent for state economic enterprises (State Institute of Statistics data).
3. Redundancies peaked just before the entry into application of the new Law in March 2003.
4. Previously defined as all dismissals of more than 10 workers. The new law defined them as the dismissal of 10 per cent of the company labour force.
5. Minimum severance payments were reduced from 6 to 4 months of net salary, and maximum payments from 12 to 8 months of net salary.
6. Setting actuarially balanced, fair and affordable contribution premia to these funds will be a challenging task. Premia should aim at avoiding net additional burdens for employers without generating cross-subsidies between stable and volatile operators.
7. The initial draft of the Law had provided for "agency work", on the basis of contracts between enterprises and work agencies. The final version of the Law restricts such contracts to entities belonging to the same holding group and limit them to a six-months period.
8. The law introduced the concept of an "essential activity" for an enterprise. If/when such "essential activities" are sub-contracted, sub-contractors become subject to the same legal and regulatory rules as the principal enterprise (as if they were part of this enterprise). This restricts the room for the reduction of enterprise size through sub-contracting.
9. According to Taymaz and Ozler (2003), who re-calculate the underlying components of the EPL index. However, an official re-calculation of the OECD EPL index is not yet available.

Source: Turkish Employment Institution (Iskur), Kenar (2004), Taymaz and Ozler (2003).

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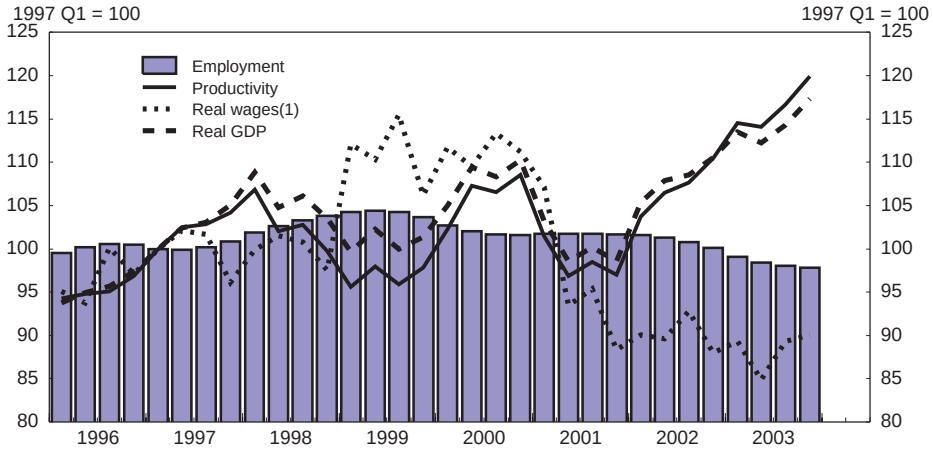
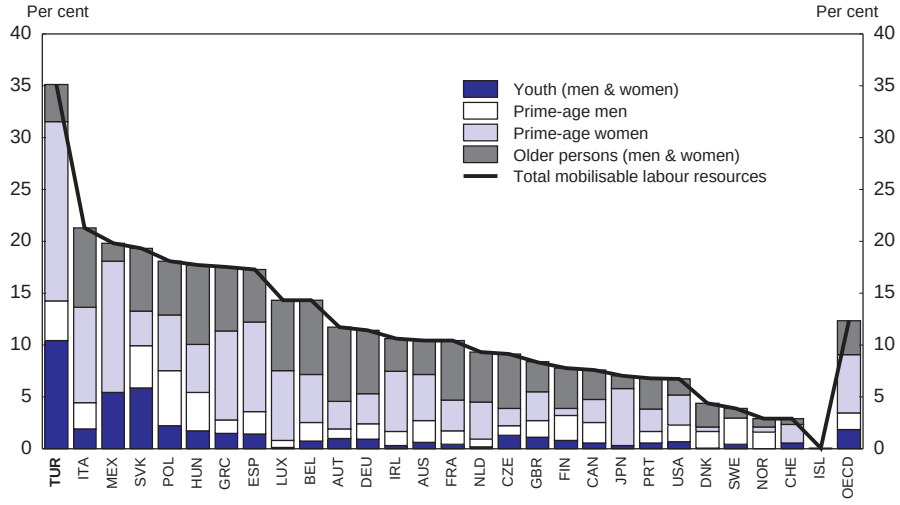
Figure 4.10. **Jobless growth?**

A. Productivity, real wages and employment
1997 Q1 = 100



B. Scope for raising participation rates
Demographic composition of mobilisable labour resources(2)



1. Real hourly wages in the manufacturing sector.
2. Mobilisable labour resources are defined as the potential increase in employment *vis-à-vis* OECD averages. For details of the calculation, see OECD Employment Outlook 2003. Age groups are defined as follow: youths: 15-24 years old; prime-age: 24-54 years old and older persons: 55-64 years old.

Source: OECD Economic Outlook, June 2004 and *OECD Employment Outlook 2003*.

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Infrastructure support

The third main problem for formal sector firms is the insufficient public infrastructure and the high prices of infrastructure services. Physical infrastructures are relatively well endowed for an emerging economy but fall short of OECD standards. Notably, they have been for a long time offered at particularly high costs for business sector users (Figure 4.11). After 2001, major reforms were voted by Parliament to liberalise network industries in line with the EU *acquis* and following international best practices. However, their effective implementation faces longer delays than expected (see above Table 4.1). One major obstacle to effective liberalisation in infrastructure services is the existence of large cross-subsidies from business users to households and between regions.[30] This pattern repeats itself in telecommunications, electricity and natural gas services (Figure 4.11), in spite of recent government efforts to reduce these cross-subsidies. The Law n° 4736 of 2002 prohibited the pricing of goods and services produced in the public sector at below-cost levels, and the price regulations issued by the Telecommunications Authority in 2004 are steps in this direction, but price structures in infrastructure markets still reflect transfers between user groups and make free entries and competition difficult if alternative funding sources are not found.

In contrast to the difficulties in enforcing competition in electricity, natural gas and parts of the telecommunications markets, air passenger transportation is an area where the liberalization measures announced in 2001 immediately prompted new market entries and new services, as room for price and service competition were large in the previously monopolistic market, but also, more uniquely, capital assets are mobile and can be rapidly moved in and out of the market.[31]

In order to effectively liberalise infrastructure activities, for *eligible* customers first and then for the entire user base, it will be necessary to fund the "universal" or "social" services and tariffs in telecommunications, electricity and natural gas from financing sources other than cross-subsidies from business users. Doing this without putting an additional burden on the budget is feasible, if OECD best practices are followed.[32] Policymakers should introduce practical solutions in this area, to make liberalization and its benefits more rapidly available for the business sector.[33] Long envisaged but regularly stalled privatisation of telecommunication and energy monopolies would also be facilitated by the clarification of their *social* obligations and of the financing channels of these obligations.

Corporate taxation

The fourth key issue concerns the corporate tax system. For formal sector firms it was characterised until 2003 by relatively high income and withholding tax rates on distributed dividends, and double taxation of dividends. However, many enterprises managed to avoid corporate taxes altogether, narrowing the effective

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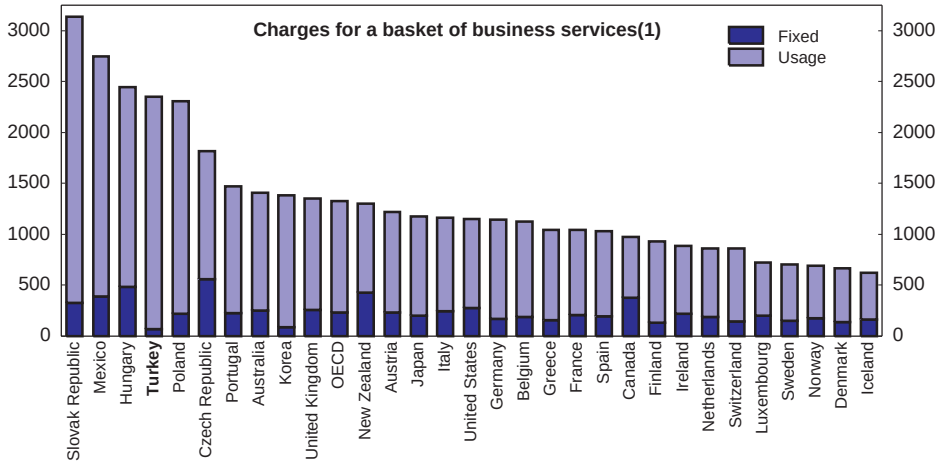
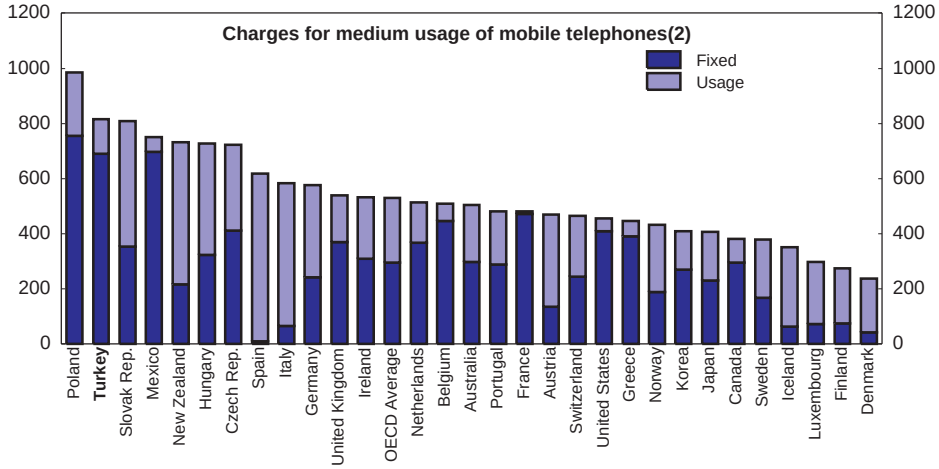
Figure 4.11*a*. **Infrastructure tariffs and cross-subsidies**
US dollar PPP's, May 2004

A. Telecommunication charges in the OECD





1. Composite basket includes international calls and calls to mobile networks.
2. Medium usage is defined as 75 outgoing calls per month and 35 SMS per month.

Source: OECD and Teligen.

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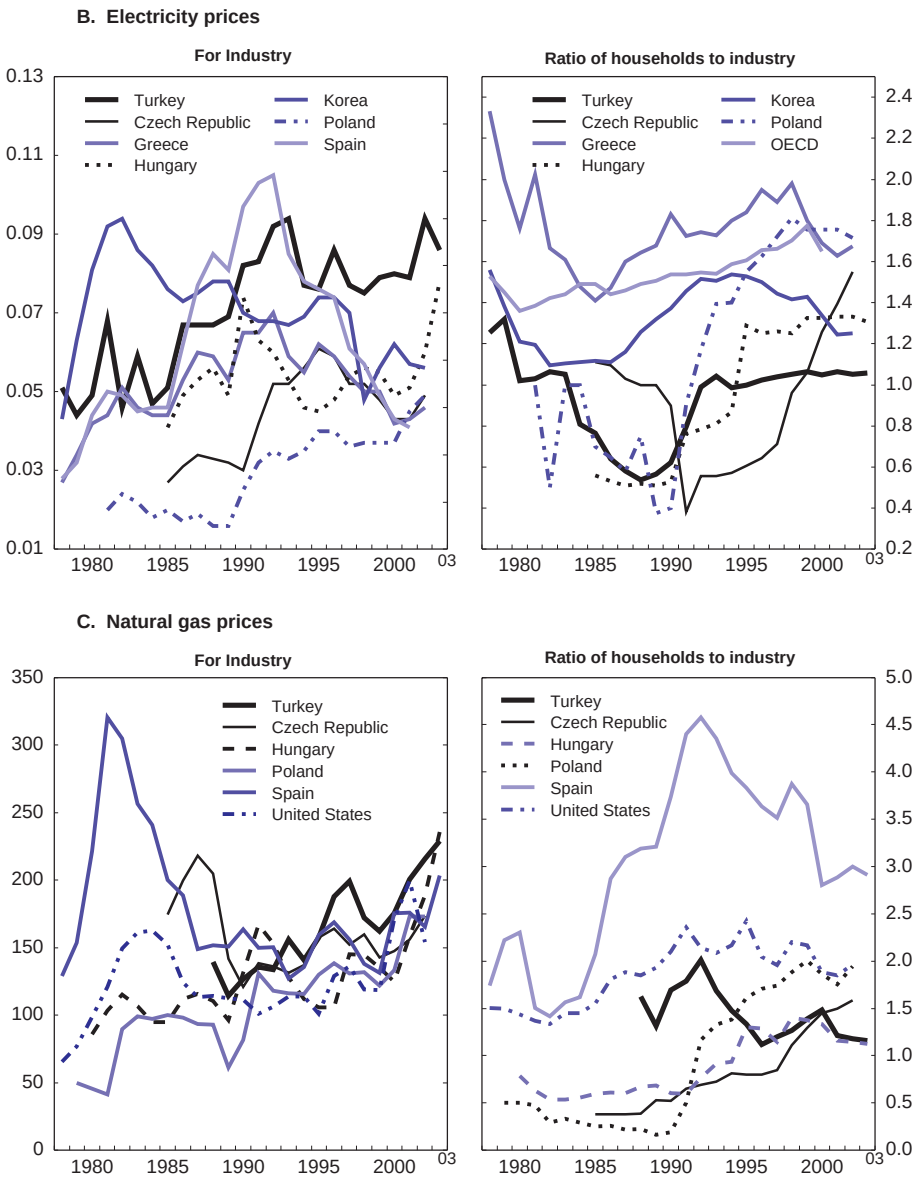
Figure 4.11*b*. **Infrastructure tariffs and cross subsidies**
In US dollars



Source: OECD.

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tax base for these taxes. In 2003 corporate tax revenues amounted to only 2.4 per cent of GDP, 10.25 per cent of the total consolidated budget tax revenues and 31.1 per cent of total consolidated budget direct tax revenues (Figure 4.12). This limited "productivity" of corporate taxes led the government to shift the burden of taxation toward indirect taxes when revenues had to be sharply increased in the framework of the fiscal consolidation following the 2001 crisis. Meanwhile, various distortions remained in the corporate tax system that many concessions were meant to offset. In addition, a "Free Trade Zone" system continued to exempt the firms investing in these zones from all corporate and value-added taxes.

No inflation accounting was authorised until 2003, during the period when inflation reached yearly rates above 70 per cent, making formal depreciation allowances at historical costs practically meaningless. To offset the distorting impacts of inflation on the financial accounts of enterprises, partial measures dealing with nominal price and cost changes were put in practice, such as declining amortisation and last-in-first-out (LIFO) treatment of inventories. Generous investment allowances of between 100-200 per cent were granted, often in discretionary ways, to help industrial firms replace their depleted capital base. This tax environment became extremely complex and vulnerable to too much administrative discretion in the determination of tax liabilities. Given the various interactions between inflation and taxes, the overall impact of the tax system on business investment during this period is difficult to assess (Box 4.5).

The corporate tax system began to be streamlined and simplified in 2003. Inflation accounting was authorised,[34] investment tax allowances were reduced to a uniform 40 per cent rate, the double taxation of earned profits and distributed dividends partially reduced, and Free Trade Zones were closed to new investment (Figure 4.13). Regional investment incentives were simplified and redesigned with all new projects in the 36 provinces with a GDP per capita level below US$1 500 (at current exchange rates) being granted land acquisition subsidies, lower cost electricity and social contribution exemptions.

Several challenges remain in the administration of the corporate tax system. There have been inequalities in enforcement to date, which exposed large and listed corporations to closer scrutiny then smaller concerns. Nonetheless a new approach has been implemented since 2003 by the Revenues Directorate of the Ministry of Finance, collecting sectoral economic information in order to assess the expected profitability performance of different companies, including of medium-size. About 3 000 enterprises have already been identified through this method as possibly underreporting their incomes and they will be thoroughly audited in 2004. On the other hand, income taxation for micro and small and medium sized enterprises (SMEs) should be streamlined and simplified further, with possibly more sector-specific presumptive taxation and lump-sum taxes. Finally, tax incentives for investment seem to be still in a state of flux, different

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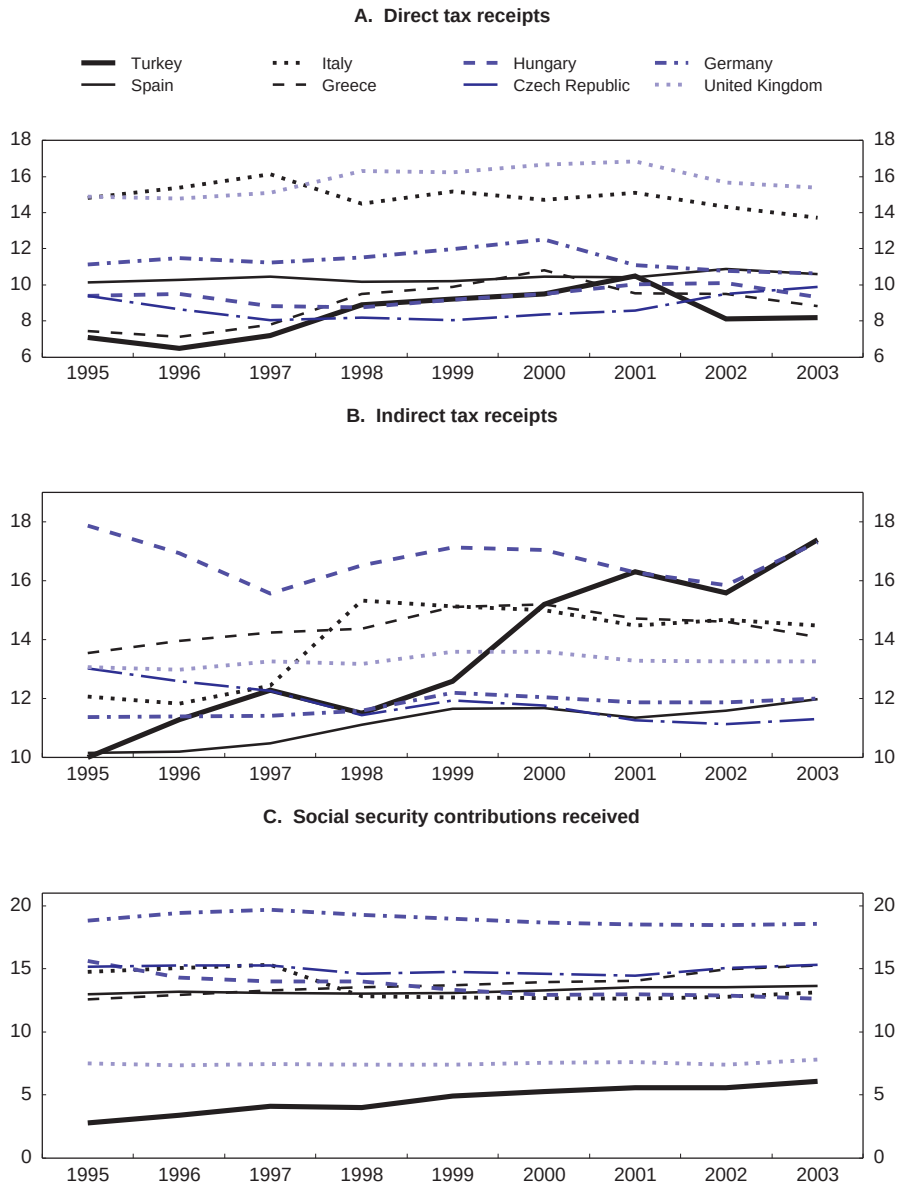
Figure 4.12. **Relative weights of different taxes**
Per cent of GDP



Source: OECD.

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Box 4.5. Effect of lower inflation on capital formation

Saving and investment are essential for improving long-term economic performance. Considering that the room for external financing is limited – although in the case of Turkey it could be significantly extended by increasing FDI inflows – domestic saving puts a final constraint on investment which in turn is a key factor for raising productivity and economic growth. In Turkey during the high inflation area of the 1990s real interest rates were generally high which stimulated private saving but at the same time increased capital costs and crowded out private investment. Thus most of private saving was channeled to the public sector with its large borrowing requirement. At the same time the government provided investment allowances to mitigate the negative impact of high inflation and real interest rates on business investment but these could not change the overall trend of falling investment rates.

More recently the inflation rate and nominal and real interest rates have declined significantly although their levels are still relatively high. When assessing the impact of this development on capital formation one has to consider, however, that real interest rates can deviate from the real return which the saver receives and from real capital costs for the investor. The reason is that capital taxes drive a wedge between the gross and net return to savers – the "savings tax wedge" – and between the market interest rate and the pre-tax rate of return of investors – the "investment tax wedge" – which together determine the total tax wedge on capital income (not considering the financial transaction taxes which are significant in Turkey). These real tax wedges can rise or fall with inflation and disinflation depending on how inflation interacts with the tax system. For example if inflation increases the nominal interest rate the tax burden on real interest earnings increases with higher inflation as the income tax is calculated on the basis of nominal income. Conversely with lower inflation the tax burden on real interest earnings falls. It is shown in Table 4.5 that the real effective tax rate on savings was more than three times higher than the statutory tax on interest of 10 per cent and it is also shown that the recent disinflation reduced the real effective tax rate although it is still twice is high as the statutory rate. As interest income from government bonds is tax exempt, this also means that the discrimination between the various forms of savings is becoming smaller with disinflation.

The recent disinflation may also have affected the investment tax wedge although the size of this effect and even its sign are difficult to assess as this depends on a number of factors, such as the size of the corporate tax rate [which is currently 33 per cent and which has been at around 28 per cent (including the fund rate) in the second half of the 1990s], the size of investment allowances (currently 40 per cent, but has in the past been significantly higher but unevenly distributed), the type of investment (equipment or construction, shorter or longer lifetimes) and the sources of investment financing (by debt, retained earnings or new share issues). For example, by reducing nominal interest rates disinflation has reduced the value of the tax deduction of interest payments for firms which tends to increase the investment tax wedge (if the investment is financed by debt). At the same time disinflation has increased the value of depreciation

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Box 4.5. **Effect of lower inflation on capital formation** (*cont.*)

allowances (as it is based on historical costs) which reduces the tax wedge. The net impact on the investment tax wedge and on capital costs depends on which of the two effects dominates and this again depends on the share of debt financing and the type of investment.

What seems to be clear, however, is that with lower inflation the real tax wedges on capital formation are coming closer to the statutory tax rates. Furthermore the objective of a "levelling of the playing field" between the various types of investment and sources of financing can be better met which facilitates the channeling of savings to their most productive use. Making further progress in this direction by continuing the process of disinflation and further reducing real interest rates is necessary to raise productivity and growth.

Table 4.5. **The effects of disinflation on the real effective tax rate on interest income**

In per cent (rounded)

	1995-99 average	2004 (estimate)
Nominal interest rate, before tax	113	24
Inflation rate	80	14
Real interest rate, before tax[1]	18	9
Nominal interest rate, after tax	102	22
Real interest rate, after tax[1]	12	7
Absolute tax wedge[3]	6	2
Real effective tax rate[2]	34	23
Memorandum item : Statutory tax rate	10	10

1. The real interest rate is calculated according to the formula: $r = \frac{1+i}{1+\pi} - 1$

   where i is the nominal interest rate and π is the inflation rate.
2. Difference between before and after tax real interest rates, in percentage points.
3. Absolute tax wedge as a per cent of real interest rate before tax.

signals emanating from different quarters concerning future policies.[35] Overall, even if the tax system is still far from enforcing a level-playing field between firms properly reporting their incomes and those hiding or underreporting them, ongoing reforms in tax administration and technology promise to promote a fairer tax environment in the future.

In 2002, Turkish authorities put into place a medium-term strategy for improving the tax system in collaboration with the IMF and the World Bank. The overall objective of the strategy was to improve the stability, transparency and

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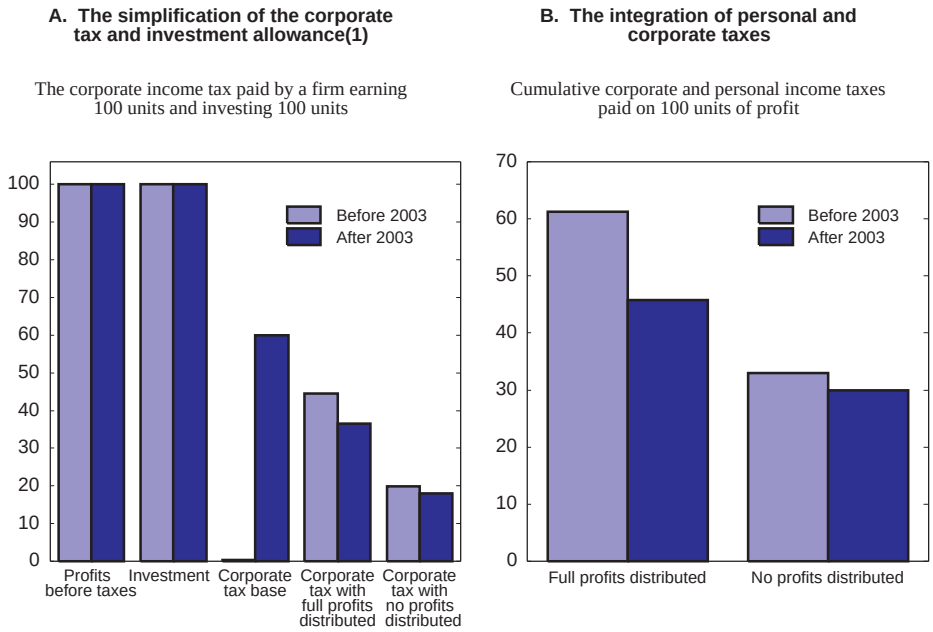
Figure 4.13. **The corporate tax reform**



1. From 2003, the corporate income tax rate is reduced from 33 to 30 per cent (by eliminating the so-called "special surcharge") and a uniform investment allowance of 40 per cent is granted across the territory. Various rates were allowed before – up to 200 per cent – according to regions and types of investment. In this example, the before-reform investment tax allowance is set at 100 per cent.

Source: Turkish authorities.

equity of the tax system by minimising tax distortions, broadening the tax base and improving the efficiency of the administration (Box 4.6). As a first step, eight separate taxes on oil products, vehicles, alcohol, tobacco and luxury consumer goods were consolidated into a Special Consumption Tax (SCT) in August 2002. The SCT is structured as a single stage tax charged on domestic production and imports of selective goods.

In parallel to the tax policy changes, a re-organisation of the tax administration was launched that is scheduled to be completed by the end of 2004. The reform aims for improvements concerning a broad set of issues including automation, transparency, compliance, taxpayer services and tax audits. Key elements are

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Box 4.6. A medium-term tax strategy

Building on earlier studies conducted by the IMF and the World Bank's Foreign Investment Advisory Service, the Turkish government and the World Bank launched in 2002 a medium-term tax strategy, which envisaged comprehensive reforms of both tax policy and tax administration. This scheme specified a number of recommendations:

Tax policy

- Simplify and consolidate the indirect tax structure by introducing a value-added tax (VAT) with a standard rate (18 per cent) and two reduced rates (1 per cent for food products and 8 per cent for other basic consumption goods). Introduce a unified special consumption tax (SCT) that will consolidate a range of excise and specific taxes into a single tax charged on a limited range of luxury goods. Establish a threshold for obligatory filing of VAT returns. Abolish earmarking of revenues and bring all revenues from earmarked taxes into the budget.
- Simplify and consolidate the direct tax regime in line with OECD standards and international best practice. Convert tax rebate for wage earners into a tax credit to simplify administration and reduce the tax burden on low income wage earners. Minimize tax exemptions.
- Harmonise real effective tax rates across all types of financial instruments and maturities.
- Reduce the scope of investment incentives, consolidate them into a single investment allowance rate across sectors and geographic regions, and gradually eliminate the withholding tax on these allowances. Make the incentive system more transparent and automatic.
- Overhaul the tax regime for free trade zones. Terminate the corporate tax and payroll tax exemptions. Provide reduced corporate tax rates only on condition that separate subsidiaries are established and inward trading is below 15 per cent of sales.

Tax administration

- Reorganize the General Directorate of Revenues (GDR) to introduce a functional structure in line with OECD practice.
- Revise a payment scheme for managers and key technical staff and design a bonus and incentive system which allows more competitive total remuneration.
- Upgrade the tax policy department within the Ministry of Finance (MOF).
- Strengthen tax audit management capacity within the MOF by establishing an audit coordination unit and upgrade the role of the audit department in the GDR. Prepare a coordinated annual auditing plan. Develop databases for tax audit planning and the use of information from the taxpayer identification number (TIN) system for effective auditing. Design a more comprehensive audit strategy for large taxpayers and improve the information on large taxpayers and their business transactions.

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Box 4.6. **A medium-term tax strategy** (*cont.*)

- Develop a strategy for taxpayer services and improvements in relations between taxpayers and the GDR.
- Upgrade the internal audit function for the tax administration to report directly to the head of GDR.
- Design and implement programmes to reduce tax arrears.
- Upgrade the management information systems throughout the GDR.

Source: Karaca (2004).

the institutional separation of the responsibilities for tax policy and revenue collection with the conversion of the Finance Ministry's General Directorate for Revenues (GDR) into a semi-autonomous body for tax collection and the restructuring of the latter along functional lines. Instead of particular units administering individual taxes, the GDR will be organised according to the core functions of tax administration, such as taxpayer registration, taxpayer services, tax collections, auditing, legal services, information technology and human resources. This reorganisation is intended to reap benefits from specialisation, to make better use of available information on the taxable income of taxpayers, and to improve the efficiency of the tax administration in order to encourage "voluntary compliance".

Increasing foreign direct investment

Foreign-owned firms form a sub-segment of the formal business sector, with two additional features. First, these firms had long been subject to special authorisations and sectoral limitations which have only been simplified by a new FDI law in 2003. Second, these firms usually comply strictly with the formal regulatory and tax rules, possibly more completely than most domestic firms, in order to avoid any friction with government authorities and local communities. They therefore have not enjoyed to date the *de facto* flexibility of incomplete enforcement. This may help explain why FDI inflows have remained low. The total stock of FDI in Turkey is only 7 per cent of GDP, much below the corresponding amount in comparable countries (Figure 4.14).[36]

According to a very detailed inquiry of the business environment affecting FDI firms in Turkey, undertaken by the Foreign Investment Advisory Service of the World Bank (FIAS) in response to an official request by the Turkish government, seven major problems impeded the operations of FDI enterprises up until the

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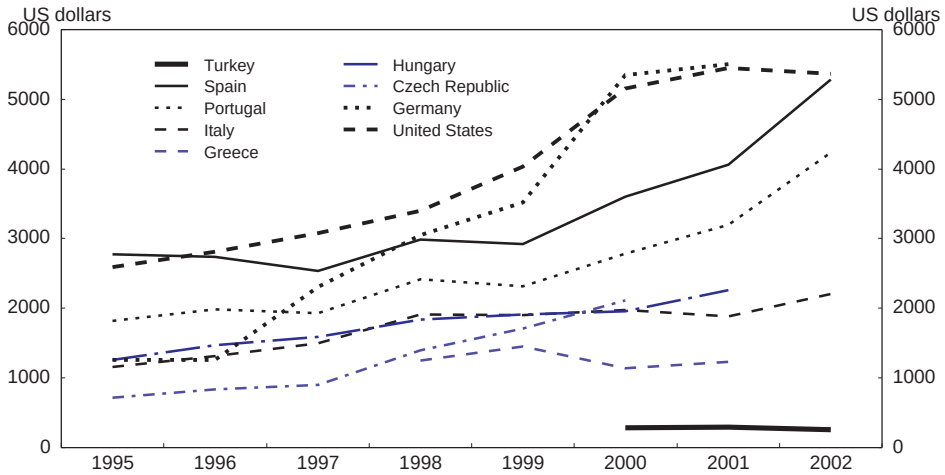
Figure 4.14. **FDI stock in international comparison**
Per capita, US dollars



Source: OECD.

early 2000s: *i*) political instability, *ii*) government hassle, *iii*) a weak judicial system, *iv*) heavy taxation, *v*) corruption, *vi*) deficient infrastructure, and *vii*) competition from the informal economy (Figure 4.15).

On the basis of this work, a new Law on FDI and important amendments in various laws (Commercial Law and in the laws concerning the Employment of Foreigners, the Registry of Title Deeds and Public Procurement) were adopted by the Parliament in 2003. The new legislation removed the screening and pre-approval procedures for FDI projects, re-designed the company registration process on an equal footing for domestic and foreign firms, facilitated the hiring of foreign employees, included FDI firms in the definition of "domestic tenderer" in public procurement, and authorised foreign persons and companies to acquire real estate in Turkey. An innovative approach was utilised in the technical preparation of these reforms, with a Council on the Improvement of the Investment Environment (ICIIE) with many governmental and non-governmental participants formulating and proposing specific measures.[37]

A follow-up review of uniquely *administrative* (non-legal) obstacles to FDI operations in 2002 detected delays in industrial land and site development; in access and connection to infrastructure services (electricity, water and telecommunications); in the enforcement of Intellectual Property Rights (IPRs), and in the

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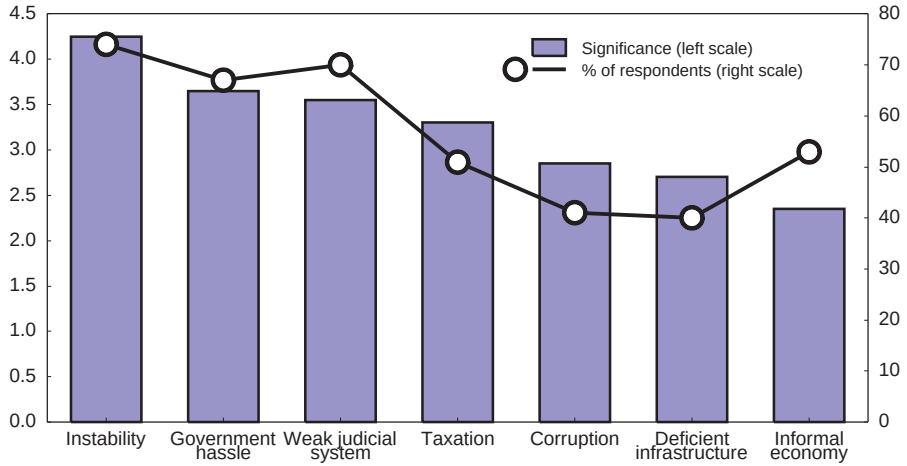
Figure 4.15. **Major obstacles to FDI in Turkey**
As of 2001



Source: FIAS field survey.

granting of work permits for temporary foreign workers.[38] A recent overview by the Turkish Association of Industrialists and Businessmen (TUSIAD) confirmed that these issues remain on the table after the 2003 legislative reforms.[39] Certain difficulties have also been mentioned in the administrative oversight of the mining sector and in environmental protection.

It is encouraging to observe that FDI firms appear satisfied overall with their labour relations (Figure 4.16). According to the World Competitiveness Forum's *Global Report* 2003 labour regulations and their implementation in Turkey were ranked favourably compared to similar countries. Only 35 per cent of investors operating in the country claimed that labour-related regulations posed a problem for them.[40] However, investors gave Turkey lower ranks on the level of education and the wage-adjusted productivity levels of production workers. The output of the Turkish secondary and vocational education system (discussed in Chapter 3) appears to fall short of the expectations of international investors who tend to consider the country not as a low-wage but as a medium-technology production site.[41] However, there is also other international evidence hinting at more adequate primary skills and professional abilities of production workers. A review by McKinsey Consultants of production resources in 11 manufacturing and service

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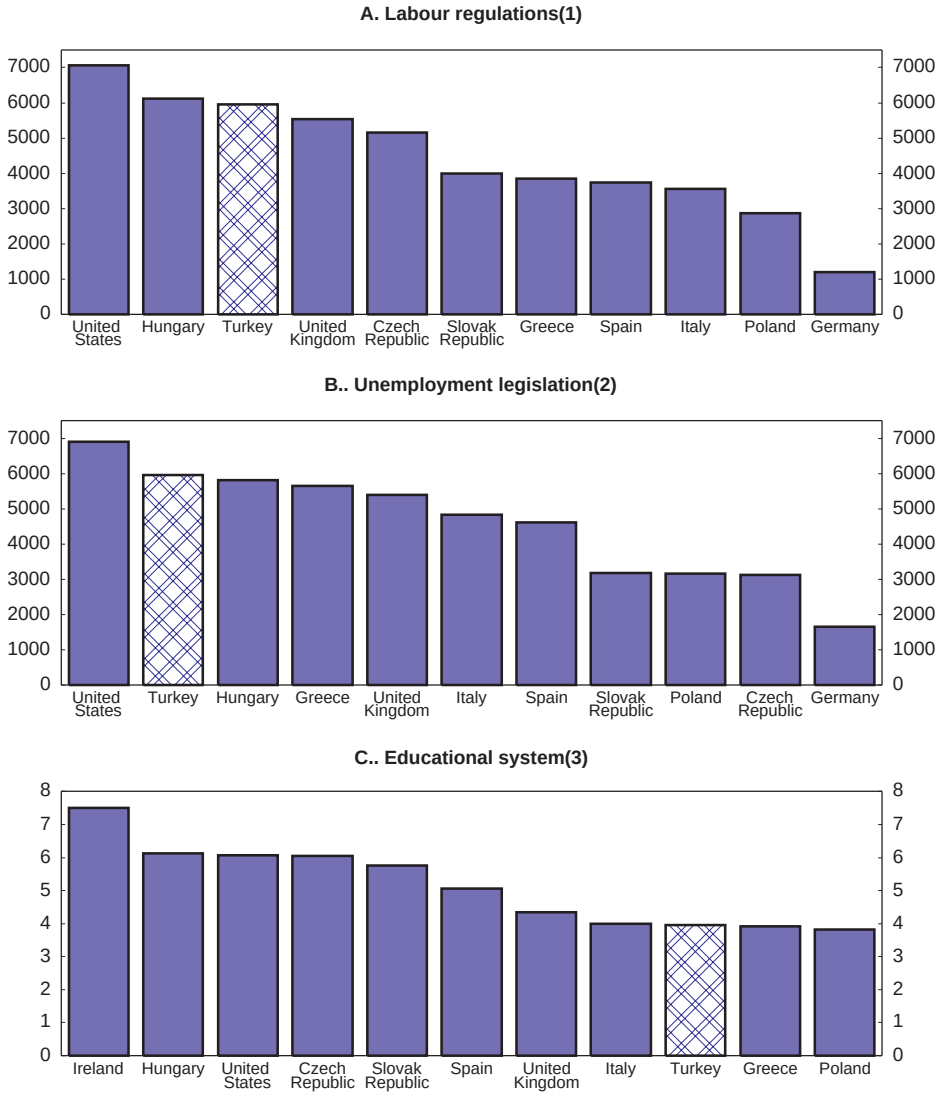
Figure 4.16. **Labour relations and educational quality according to foreign investors**
Survey of executive opinions



1. "Not flexible enough" to "flexible enough".
2. "Does not provide incentive to look for work" to "does provide incentive".
3. "Does not meet the needs of a competitive economy" to "does meet the needs".

Source: IMD World Competitiveness Yearbook, 2003.

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industries concluded that the labour force engaged in these activities had adequate basic human capital.[42]

A new concept which may facilitate the entry and operation of FDI enterprises is the creation of an "Agency" offering "single-shop" services helping current and potential investors carry out their legal, regulatory and administrative obligations through a single point of contact. This agency, which is not yet created, would serve as an active deal-making interface between investors and their many central and local government counterparts. The government is working on a Draft Law creating such a body, but technical details will need to be refined in order to permit the Agency to operate effectively without being stalled in the same administrative difficulties as FDI firms themselves. Relations between the future FDI Agency and the Regional Development Agencies being created under decentralisation reforms (see Chapter 3) will also have to be clarified. The government currently pursues consultations with various stakeholders to make the new Law a systematic instrument to promote Turkey as an attractive investment location.

Formalising the unregistered/informal enterprises

A very large share of economic activity in Turkey is carried out in the informal or unregistered sector. The total size of this sector is estimated at around 52 per cent of total employment including agriculture, and 37 per cent in private sector employment excluding agriculture.[43] The high weight of the shadow economy is partly the result of production taking place in very small and unregistered units, but also of formal enterprises' underreporting their true volume of employment and revenues. In the first group are activities of extremely small units with low productivity and human capital,[44] while the second type of black economy is due to the heavy tax, regulatory and administrative burdens of formality. Also, a frequent complaint by formal firms underreporting their activity is their lack of confidence in the proper utilisation of tax revenues for true public needs. Family farms, ambulatory retailers and low technology contractors often belong to the first group, while the second type of informal activity is common in low-cost manufacturing (*i.e.* textiles and clothing) and services (public transportation and retail trade). In contrast to other OECD economies where self-employed professionals constitute a high income group inclined to tax avoidance (dentists, consultants, etc.),[45] the self-employed remain massively unregistered in Turkey because many of them are low productivity operators. They opt for informality as subsistence allowances in the personal tax system are low and they would become taxable even at very low revenue levels.[46] Table 4.6 shows measurements of the share of undeclared employment in various sectors. On top of agriculture, where undeclared work is clearly dominant, there are very high rates of non-registration in construction, trade and manufacturing activities.

Non-registration appears to hamper productivity growth. Self-imposed limits to size in order to reduce visibility (notably to tax authorities) and possible exposure

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Table 4.6. **Unregistered workers in different sectors**

Percentage distribution of workers in each sector

	Total		Agriculture, forestry hunting and fishing		Mining and quarrying		Manufacturing		Electricity, gas and water		Construction		Wholesale and retail trade, restaurants and hotels		Transportation, communication and storage		Finance, insurance, real estate and business service		Community social and personal service	
	Regis-tered	Not regist.	Regis-tered	Not regist.	Regis-tered	Not regist.	Regis-tered	Not regist.	Regis-tered	Not regist.	Regis-tered	Not regist.	Regis-tered	Not regist.	Regis-tered	Not regist.	Regis-tered	Not regist.	Regis-tered	Not regist.
1988	41.9	58.1	6.5	93.5	96.1	3.9	76.1	23.9	100.0	0.0	43.8	56.2	62.5	37.5	65.5	44.5	90.2	9.8	85.7	14.3
1989	41.4	58.7	7.8	92.2	96.2	3.8	73.7	26.3	89.1	11.0	43.3	56.7	60.9	39.2	65.1	44.9	91.6	8.4	85.5	14.5
1990	44.4	55.6	9.7	90.3	95.8	4.2	76.6	23.5	100.0	0.0	47.3	52.8	65.5	34.5	71.7	38.4	91.9	8.1	86.9	13.1
1991	49.5	50.5	20.4	79.6	95.6	4.4	74.9	25.1	100.0	0.0	42.1	57.9	67.5	32.5	79.5	30.5	92.3	7.7	87.7	12.3
1992	51.2	48.8	21.9	78.2	92.2	7.8	75.1	24.9	100.0	0.0	46.0	54.1	68.2	31.9	79.7	30.3	92.3	7.8	87.0	13.1
1993	52.5	47.5	22.1	78.0	93.6	6.5	75.5	24.5	100.0	0.0	47.9	52.2	68.5	31.5	80.3	29.8	90.7	9.3	86.9	13.1
1994	54.3	45.7	29.8	70.2	94.3	5.8	72.8	27.3	100.0	0.0	44.8	55.2	52.5	47.5	80.3	29.7	90.2	9.9	85.8	14.2
1995	50.9	49.2	22.0	78.0	97.0	3.0	74.8	25.2	99.6	0.4	42.2	57.8	65.8	34.3	77.5	32.6	90.7	9.3	86.8	13.2
1996	47.4	52.7	11.7	88.4	97.4	2.6	77.1	23.0	100.0	0.0	42.1	58.0	68.5	31.5	79.6	30.4	88.7	11.3	87.7	12.4
1997	48.4	51.6	10.8	89.2	98.7	1.4	78.4	21.6	96.0	4.0	39.3	60.8	69.7	30.3	76.4	33.6	91.2	8.9	87.7	12.3
1998	49.8	50.3	11.6	88.5	95.1	5.0	79.3	20.7	99.1	0.9	47.0	53.1	71.0	29.0	74.5	35.5	92.0	8.0	88.3	11.7
1999	47.9	52.1	10.7	89.3	92.2	7.9	74.4	25.6	98.7	1.4	39.6	60.4	67.0	33.1	70.2	39.9	89.7	10.4	87.4	12.7
2000	49.4	50.6	11.4	88.6	90.2	9.8	73.6	26.4	97.8	2.2	34.5	65.5	62.9	37.1	68.6	41.4	86.2	13.8	89.3	10.7
2001	47.1	52.9	8.2	91.8	91.8	8.2	72.8	27.2	100.0	0.0	38.3	61.7	60.5	39.5	66.9	43.1	83.8	16.2	88.2	11.8
2002	47.9	52.1	9.8	90.2	88.3	11.7	68.3	31.7	98.1	1.9	38.5	61.5	57.3	42.7	66.1	43.9	81.1	18.9	86.3	13.7
2003	48.3	51.7	8.8	91.2	85.5	14.5	69.3	30.7	99.0	1.0	36.2	63.8	57.8	42.2	66.1	43.9	80.1	19.9	86.4	13.6

Source: OECD on the basis of State Institute of Statistics of Turkey (DIE) data.

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to union activism creates a link between non-registration and lower productivity. There is evidence of an apparently polarised (bi-normal) distribution of economic performance between "mainly unregistered" and "mainly registered" activities. The divide between "low scale/low productivity/low wage/low tax contribution" and "high productivity/high scale/high wage/high tax contribution" activities indeed transcends the supply side. The 2000 *Survey of manufacturing establishments* by the State Statistical Institute[47] provided a striking illustration of this phenomenon: enterprises appear to congregate around two distant groups, of *below* 10 and *above* 250 employees, with highly uneven productivity performances (Table 4.7). A thorough survey of eleven manufacturing and service sectors by McKinsey Consultants reveals a similar fact.[48] According to this study, formal enterprises easily attain 60/70 per cent of US productivity levels of their sector in purchasing power parity terms, while "informal" operators lag significantly behind at around 25 per cent of US levels. Based on this information, Figure 4.17 illustrates in a simplified manner the features of such a dual distribution of productivity and wage levels in the business sector.

Shifting from the weaker to the stronger cluster promises better performance for the enterprises involved and for the economy as a whole. However, the transition is not natural in Turkey. It involves additional *marginal* costs of converting from *unregistered/informal* to the *registered/formal* status for an enterprise and its workers. This includes: the administrative costs of becoming a legally recognised enterprise; corporate and personal income taxes due by owners; social security contributions and personal income taxes for workers;[49] value added taxes paid to suppliers and to be paid by customers; and various costs implied by the employment, health, safety and other regulations applying to formal sector firms. The Labour Code also implies additional obligations for firms attaining the size thresholds of 30, 50, etc., employees (see above Box 4.4).[50]

Table 4.7. **The segmentation of the manufacturing sector**
in 2000

Firms by number of workers	Number of enterprises[1]	Per cent	Workers (000)	Per cent	Value added € million	Per cent	Productivity per worker	Relative to average
1 to 9	198 700	94.7	527.6	31.8	3 138	7.1	5 947	22.2
10 to 49	6 950	3.3	179.2	10.8	3 293	7.4	18 376	68.5
50 to 99	1 743	0.8	121.7	7.3	2 517	5.7	20 682	77.0
100 to 150	770	0.4	94.2	5.7	2 609	5.9	27 696	103.2
151 to 250	704	0.3	135.4	8.2	4 482	10.1	33 101	123.3
251 to over	930	0.4	599.9	36.2	28 467	64.0	47 452	176.8
Total	209 797	100.0	1 658.0	100.0	44 506	100.0	26 843	100.0

1. Total private and public enterprises. In 2000, there were 262 public enterprises in the manufacturing sector out of a total of 209 817 enterprises.
Source: State Institute of Statistics.

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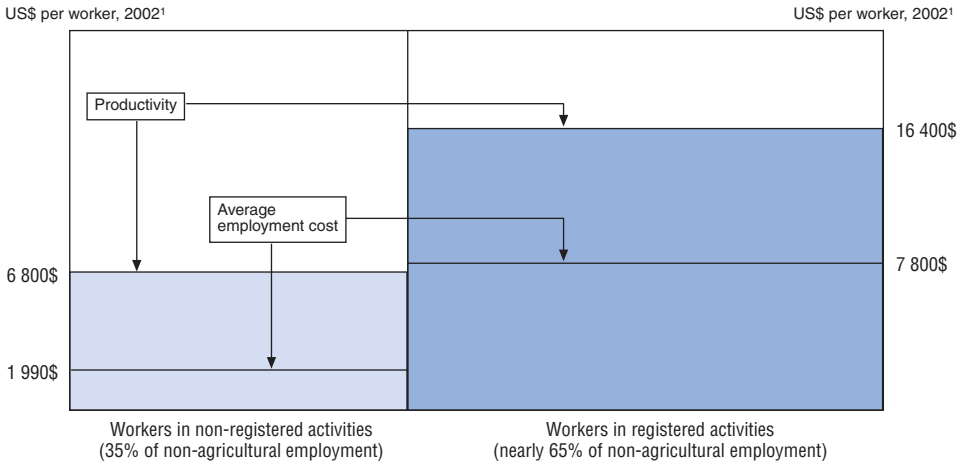
Figure 4.17. **A representation of duality in the non-agricultural business sector**
An estimation of yearly labour productivity and employment costs in registered *versus* non-registered activities



1. Calculated at current TL/US$ exchange rates.
Source: OECD estimations.

The costs of registering form a "trap" for unregistered activities, and for the economy as a whole. A vicious circle arises, further narrowing the base for VAT, corporate and personal taxes and social security contributions, and creating uneven competition conditions between formal enterprises subject to all obligations and the other operators.

As a difference from other catching-up OECD countries where informality tends to shrink,[51] it is somewhat disturbing to see that the divide has apparently widened in the recent period and the share of unregistered activities has increased (see Figure 4.1 above). Growing labour tax wedges,[52] the steep increase in the minimum wage, changes in income taxes with shifts from presumptive to book-based taxation in 1999, and intensified domestic and international competition after the 2000-2001 crisis from low cost countries such as China, appear to be the main factors behind this increase in non-registration. Among these, the large labour tax wedges for low-skilled and minimum-wage earning workers provide a striking illustration of the problem – and of the depth of the informality trap for low cost enterprises (Table 4.8 and Figure 4.17).

This trap is unfortunate because it tends to entrench many small enterprises in the low productivity sector.[53] The access of informal enterprises to outside financing remains confined to informal channels, and to inter-enterprise trade credits, which do not permit long term investments. Furthermore, informal opera-

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Table 4.8. **The monthly labour tax wedge for a minimum wage earner as of 31 December 2002**

	TL millions	US$[1]
1. Employment cost	330	219
Memorandum:		
Gross wage floor for social security contributions	328	217.6
2. Employer's social security contributions	82	54.4
3. Gross minimum wage	251	166.6
4. Employee's social security contributions	38	25
5. Employee's income tax	27	18.3
6. Employee's net income	184	122.4
7. Employee's net income as a percentage of employment cost (per cent)	55	
8. Labour tax wedge as a percentage of employment cost (per cent)	45	

1. According to average dollar exchange rate in 2002.
Source: Turkish authorities.

tions cannot take full advantage of government-sponsored exports, technology, regional development and other programmes (see Box 4.8 below). Also, their access to the judicial system to protect their commercial interests and property rights remains hindered by their own grey status. Overall, firms that operate by hiding all or part of their activities, employment and revenues do not grow naturally and hit a "glass ceiling" constraining their development (Box 4.7).

The Turkish government is aware of these challenges and has made the "non-registration" issue a policy priority for the present legislature. Given the very demanding fiscal constraints "enforcement" is being stressed as the primary objective of the new registration strategy.[54]

Improved enforcement is an important step forward, but it is also essential to acknowledge the economic incentives to remain informal and the *economic functions* presently fulfilled by unregistered and informal activities. For example, the lower taxes and labour costs in the informal sector have created jobs which may disappear if these costs are significantly increased. Hence, policies to foster registration should not only rely on improving enforcement but also at reducing costs of registration. A significant reduction in the economic costs of registration is particularly important, given the size of the gap that exists between the *expected* (legislated) and *actual* tax and social security liabilities of the corporate sector. This gap has turned Turkey into a *de facto* low corporate tax and social charge economy, in spite of the relatively high corporate tax rates and extremely high social contribution wedges. If formal liabilities were to be fully enforced throughout the economy, without any adjustments in tax and social contribution rates, this would represent a sizeable additional burden on the business sector, amounting potentially to a further 10 per cent of GDP, or more.[55] Such a government intake would represent an unsustainable tax shock and authorities would obviously refrain from

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Box 4.7. The vicious circle of non-registration

Enterprises which pay taxes in full compete with other enterprises that evade taxes and thus have lower direct costs. In an economy without effective tax discipline, success in evading taxes without being caught becomes a major determinant of business success, diverting management from genuinely productive activity.

Informality hampers productivity in various ways. Business needs to operate in a framework of property rights and enforcement of contracts, which is often not available in the informal economy. In EU accession countries, "[i]nformality comes at a cost too – this includes the need to stay small, uncertainty about prospects for the future, the absence of safety nets, the inability to tap formal credit channels and, more generally, the various types of SME assistance programs available to the private sector" (Belev, 2003).

Low tax receipts lead to pressure to raise tax rates. This, in turn, reinforces the incentive to move activities into the informal sector, leading to a vicious circle. "The vicious circle of high tax and regulation burdens causes growth of the shadow economy, additional pressure on public finance resulting in higher tax rates, which, in turn, increases the incentives to evade taxes and to escape in the shadow economy and so on" (Enste, 2003); "The informal economy – dodging taxes and social contributions while taking advantage of public goods and services – increases the budget deficit and is an immediate cause of higher taxes and social contributions which are a heavy burden on lawful activities" (Marc and Kudatgobilik, 2003); "Black activities… [undermine] the tax base, which, ceteris paribus, means that an unchanged level of public expenditure will necessitate higher taxes… nobody wants to be "the last idiot in the street' who keeps on paying his taxes regardless of the fact that everyone else is cheating" (Pedersen, 1999).

According to some surveys carried out by CEESP (Centro de Estudios Económicos del Sector Privado) among almost 500 companies located in several Mexican cities, between 30 and 40 per cent of producers and retailers consider that the informal economy has a big presence in their markets and that they have been partially or totally wiped out of markets by the informal business (Winkler, 1997). Johnson *et al.* (1998) concluded that economies in transition from communism had entered a downward spiral and most of the former Soviet Union "ended up in a 'bad' equilibrium with low tax revenue, high unofficial economy as a percentage of GDP, and low quality of publicly provided services".

As a result of these mechanisms, countries can find themselves in self-sustaining equilibria of either low or high levels of informal employment. In this view, not only high tax rates but also poor governance (*e.g.* excessive regulation, or a poor rule of law) are caused by and are the cause of high levels of tax evasion. For countries in between the two extremes, any measure reducing the incidence of undeclared work has an externality or multiplier effect, leading to improved finances and better corruption control, which facilitates a further reduction in undeclared work. As the number of noncompliant enterprises in an economy shrinks, tax and labour inspectorates become able to visit the remaining ones more frequently, persuading many of them to comply as well.

Source: OECD *Employment Outlook*, Special Chapter on "Informal Employment and Promoting the Transition to a Salaried Economy", Summer 2004.

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advancing in that direction. Therefore, as a difference from other OECD countries with a large informal sector,[56] a combination of better enforcement and a reform of formal taxes and other liabilities is a necessary step in promoting formalisation.

In these circumstances, a key reform measure might be to cut social contribution rates in the business sector by a significant part, for instance by half. What makes this apparently radical measure fiscally affordable is the following fact: although social contribution rates have reached the top OECD rate at around 27 per cent of gross employment costs, the actual social security revenues generated by these heavy taxes is only about 4 per cent of GDP. Thus, in a purely mechanical fashion (and ignoring the probably significant second-round registration and revenue effects), the fiscal cost of such a "positive shock" for the labour market would be not more than 2 per cent of GDP.[57]

To offset the resulting fall in tax revenues, indirect taxes may have to be raised. One could argue, however, that after the sharp increases in the past, indirect taxes are already relatively high and are also exposed to tax evasion and it is true that for some indirect taxes, such as the VAT, this problem is more severe than for the others, such as the mineral oil tax. But a policy that relies both on improved tax administration and a restructuring of taxes with a lowering of labour taxes and productivity enhancing measures in the informal sector may be more effective in improving registration than a policy which relies solely on administrative controls (Box 4.8).

Downscaling the state-owned sector

Although the relative size of the public corporate sector declined over the past two decades, it still accounts for 5 per cent of non-agricultural output and the weight of state economic enterprises (SEEs) among the very large size enterprises is still central.[58] These firms are the legacy of past government efforts to develop local supply capabilities in manufacturing, mining, agricultural trade and infrastructure services considered key for economic development. SEEs have also been created in ordinary manufacturing to support employment in less developed regions. Facing the classical incentive and efficiency problems of the public industrial sector, most SEEs became less- or un-profitable operations, or, when operating under trade and regulatory protection, increased tariffs and prices above competitive levels. They are also characterised by above-average union strength and higher-than-average wage levels (see above Table 4.4, which concerns the entire public sector). They went through large labour adjustments in the past three years under quantitative targets agreed upon with the IMF[59], their wage growth decelerated below inflation, their productivity picked up and, as a result, they have been profitable in aggregate since 2001. State economic enterprises are today distributed between the portfolio of the Privatisation Administration (PA), which includes companies in the privatisation process, and the Treasury portfolio, which includes the others (Table 4.9).

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Box 4.8. SME policies and the informal sector

Authorities are reviewing the existing support schemes and services for small-and-medium sized enterprises (SMEs), with a view to make public support more widely accessible, less fragmented and more responsive to entrepreneurs' needs in the age of information technology and globalisation. If these efforts are successful, public programmes could more effectively leverage the productivity and development of the start-ups and small-size operators.

The High Planning Council (the economic sub-cabinet) approved an SME Strategy in November 2003, with a short-term Action Plan for 2004-2006. Policies will be focused on strengthening research and development infrastructure, high-quality consultancy services for entrepreneurs, export promotion, and local and regional technological clusters. SME advocacy mechanisms will be introduced in all areas of public policy, together with trade associations. Authorities recognise the need to evaluate international examples and Turkey's own experiences, in order to adopt *best practices*.[1] On basis of such assessments, policies may be adjusted after the termination of the short term action plan.

OECD has carried out a review of SME policies in Turkey.[2] The review concluded that the highest priority is to continue with macroeconomic stabilisation and structural reforms in product, capital and labour markets and provision of infrastructure, to strengthen the overall business environment for SMEs. More targeted support policies may also have a role to play. Many programmes exist, mainly implemented by KOSGEB (Small and Medium Industry Development Organisation), which are designed according to international standards but appear fragmented among different schemes addressing technology, training, management support, finance, export promotion, etc. Support to core areas of research-development, innovation, management training, etc. appear very generous for a rather limited number of beneficiaries.[3] Programmes are directed primarily to manufacturing firms and industry facilities,[4] with a limited reach over agricultural and services.[5] Most schemes address the traditional "small and medium sized" sector, rather than the *micro* operators which employ the largest proportion of workers.[6]

Given budgetary stringency, a reorientation of SME policies would require shifting resources from existing uses. In some areas, progress with structural reform could make SME support policies and programmes less necessary. If policies were to be focused on the large *masse* of micro and informal operators, additional approaches will be needed. The tax, employment, commercial law and bankruptcy rules will need to be reviewed. Decentralisation of SME policies, along Turkey's administrative reforms, may also enhance the adaptation of programmes to local needs and nurture emulation, if effected under proper transparency and auditing.

SME policies dealing with the "informal segment" will face delicate "registration" issues. They cannot make formalisation and tax liability a prior for public support, as this would exclude the quasi-totality of potential beneficiaries. On the other hand, public schemes should provide clear incentives for registration. Gradual approaches progressively tightening initially unconditional programmes may be a solution.

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Box 4.8. **SME policies and the informal sector** (*cont.*)

SME policies are well adapted to results-oriented budgeting (now being introduced in many areas, as discussed in Chapter 3). Strategic objectives can be formulated more explicitly, in terms of *populations* of beneficiary firms, *behavioural changes* intended, and target *performances*. However, before making SME policies a pilot case for strategic budgeting, the (still missing) inventory of existing programmes, their actual fiscal costs, the number and distribution of their beneficiaries, and the results obtained to date should be documented and subject to systematic review and evaluation. Programme evaluation should be developed and implemented by an independent evaluation office, possibly integrated with the State Audit Institution.

1. The Turkish government co-organised an international conference with OECD in Istanbul in June 2004, to take stock of international best practices in SME Policies. See: *www.oecd-istanbul.sme*2004*.org/*.
2. OECD, *Small and Medium Sized Enterprises in Turkey: Issues and Policies*, Report for the OECD Istanbul Conference. Available on the website of the conference.
3. Several schemes subsidise target (eligible) research-development, training, technology acquisition etc. costs at very high rates of 70-90 per cent (under caps). Programme budgets are then restricted to a small number of beneficiaries, potentially raising competition issues. The subsidised loan programmes, which narrowed down and became less generous after the 2001 Banking crisis, also raise competition issues both among potential beneficiaries and loan distributing banks.
4. Such as industrial parks and small industrial estates. Overcapacity appears to build up in small industrial estates financed by government where a total capacity 550 000 workplaces were built by 2002, but only 400 000 of them were occupied.
5. Agriculture and services employ 70 per cent of the working population and contain large productivity reserves.
6. As a difference from most other OECD countries, the bulk of employment in small size enterprises in Turkey is in "micro" firms employing less than 10 workers.

While Turkey began its privatisation programme in 1985 and was one of the very first countries to do so, the programme faced many obstacles and advanced very slowly. A significant number of privatisations in smaller size enterprises in competitive activities went ahead (such as in cement, agro-food, electrical equipment, etc., industries) but operations stalled in very large size, monopolistic and regulatory- and policy-sensitive activities (such as oil refining, air transportation, telecommunications, banking). The privatisation programme in these activities seemed to lack consensus even within ruling parties, in Parliament, in relation with labour unions and with the judiciary. In such circumstances, prospective investors appear to apply high risk premia in privatisation auctions and mismatches were frequent between government valuations and actual tender prices. The privatisation of the

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Table 4.9. **State economic enterprises in 2003**

SOEs (Treasury portfolio)	Activity	State ownership	Profit/Loss	Total number of employees	SOEs (Privatisation agency portfolio)	Activity	State ownership	Profit/Loss	Total number of employees
		Per cent %	Billion TL*	Average*			Per cent %	Billion TL*	Average*
Manufacturing					**Manufacturing**				
MKEK	Machinery and chemicals	100	44 069	6 849	SUMER HOLDING	Textile, leather ceramics, carpet	100	–226 950	4 421
DMO	Office supplies	100	38 732	1 210	SEKA	Pulp and paper production	100	–161 019	3 493
SUMER HALI	Hand carpet	100	–4 381	269					
Mining					**Mining**				
TTK	Coal mining	100	–493 688	16 403	TDCI	Iron and steel	100	N. A	75
TKI	Lignite mining	100	87 767	13 785	ETI BAKIR A.S.	Copper	100	5 268	66
ETI HOLDING	Mining	100	158 075	4 548	ETI KROM A.S.	Chromium	100	–8 062	790
					ETI GUMUS A.S.	Silver	100	–2 597	367
					ETI ELEKTROMETA-LURJI A.S.	Metallurgy	100	–13 299	427
					ETI ALUMINYUM A.S.	Aluminum	100	–58 359	2 283
					DIVHAN A.S	Mining	100	16 561	979
					KBI A.S.	Copper	100	–37 016	950
Energy					**Energy**				
TEIAS	Electricity transmission	100	6 853	9 094	KEMERKOY A.S.	Electricity generation	100	298	395
EUAS	Electricity generation	100	420 524	11 781	YENIKOY A.S.	Electricity generation	100	–526	867
TETAS	Electricity contracting and wholesale	100	117 618	231					
TEDAS	Electricity distribution and retail sale	100	169 770	32 497					
TEMSAN	Electromechanical equipment	Subsidiary	372	435					
Petroleum					**Petroleum**				
TPAO	Crude oil exploration and production	100	191 508	4 433	PETKIM	Petrochemicals	87	–85 019	3 606
BOTAS	Oil pipeline	100	955 524	2 351	TUPRAS	Petroleum refining	66	654 825	4 536
					ESGAZ	Natural gas distribution	100	12 306	47
					BURSAGAZ	Natural gas distribution	100	6 039	121

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Table 4.9. **State economic enterprises in 2003** (*cont.*)

SOEs (Treasury portfolio)	Activity	State ownership Per cent %	Profit/Loss Billion TL*	Total number of employees Average*	SOEs (Privatisation agency portfolio)	Activity	State ownership Per cent %	Profit/Loss Billion TL*	Total number of employees Average*
Agriculture					**Agriculture**				
TSFAS	Sugar processing	100	361 105	18 642	TEKEL	Alcohol and tobacco products	100	176 531	28 373
TMO	Soil products	100	108 731	5 027	EBUAS	meat, fish and poultry	100	–61 782	1 731
CAYKUR	Tea processing	100	–68 341	9 009	TUGSAS	Fertilizer	100	–75 317	2 263
TIGEM	Agriculture	100	–4 498	5 697	KUTAHYA SEKER	Sugar processing	56	15 809	443
					IGSAS	Fertilizer	100	27 550	549
Transportation					**Transportation**				
TCDD	Railway services	100	–496 207	37 146	TDI A.S.	Maritime lines	100	–27 647	4 371
TUDEMSAS	Railway transportation equipment	Subsidiary	–6 021	1 861	THY A.O.	Airline	98	252 509	10 684
TULOMSAS	Railway transportation equipment	Subsidiary	–1 802	2 079	DITAS	Transportation	Subsidiary	21 943	264
TUVASAS	Railway transportation equipment	Subsidiary	–12 952	1 365					
DHMI	Airports administration	100	256 644	6 824					
KIYEM	Coastal security	100	25 109	1 353					
Communication					Total SOEs in Privatisation Agency Portfolio			432 046	72 101
PTT	Postal services, telegraph	100	22 891	33 694					
TURK TELEKOM	Telecommunication	100	2 849 016	62 410					
Total SOEs in Treasury Portfolio			4 726 418	288 993	Total of Treasury and PA SOEs			5 158 464	361 094

* 2003 actual.

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large petrochemical, oil-refining, steel, tobacco, telecommunications and air transportation concerns, in spite of being identified by successive governments as top priority objectives for privatisation, have stalled.

The new government elected in November 2002 re-asserted its full commitment to the privatisation programme with ambitious targets, but outcomes have fallen short of objectives to date. These targets had been agreed upon with the IMF in the framework of the Stand-By Arrangement and successive letters of intent. In practice, against yearly privatisation objectives of US$4 billion sales of US$172 million could be achieved in 2003. As in the past, basically small to medium size transactions in competitive sectors could proceed. The three landmark operations launched as flagships of the privatisation drive, namely the sales of the State Tobacco Manufacturing Monopoly (TEKEL), the petro-chemical giant (PETKIM) and the oil-refining quasi-monopoly (TUPRAS) were all halted for various reasons in the course of 2003-2004. For TEKEL tobacco few bidders participated in the auction and the highest price offered at US$1.1 billion fell short of the government's minimum valuation of US$1.8 billion, while it appeared that a privatisation of this type in a standard OECD country might have attracted bids around US$3 billion.[60] Although the stated objective of privatisation is not to generate revenues but to promote efficiency, investment and employment in the production sector, valuation differentials of this magnitude are discomforting. In the second operation concerning PETKIM, the joint-venture which provided the highest offer proved subsequently unable to fund the purchase. Finally, in the TUPRAS case, a court recourse by the company's labour union on the ground that the privatisation auction had not been fully competitive led to the cancellation of the finalised sale (at a price of US$1.2 billion), a decision upheld by the Supreme Court of Turkey. In all these cases, both the gaps between *ex ante* valuations and actual tender prices, and the respective sectors' prominent international enterprises' reluctance to participate in auctions reflect continuing perceptions of risks. In the oil refinery (TUPRAS) case, the liberalisation of trade in refined oil products and uncertainties about future market conditions in the sector have apparently affected investor interest. Uncertainties concerning future relations with these companies' employees and trade unions (highly organised and very active in protecting their highly-above-market wage levels – see Table 4.4 above) also contributed to perceptions of risk.

On the basis of this experience with privatisation, the following actions could help make progress:

- Build a stronger political backing to the privatisation programme in the regions and localities affected by privatisation.
- Re-evaluate the legal framework and the judicial procedures governing the programme and identify areas where innovations could smooth future operations.

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- Clarify the regulatory and competition framework and the public service and other non-commercial obligations of the network firms to be privatised.
- Waive the 49 per cent cap on foreign investments in the privatisation areas where it is still in force.
- Aim at attracting highly-performing international corporations as majority or controlling owners in order to ensure the transfer of managerial and technological know-how.
- Create a clear understanding with employee unions on the labour relations framework which should prevail in a competitive and market operation.

In all these regards, the TurkTelekom privatisation for which a special law was voted in 2004 (see above Table 4.1) has a chance to become a flagship for the privatisation programme. It is to be hoped that fuller policy and regulatory clarification will attract first-class domestic and international bidders to this auction, with a winner capable of demonstrating the benefits of privatisation to enhance efficiency and innovation.

Those firms remaining in public ownership, for the time being, should be transformed into fully corporatised and commercial entities, and they should be subject to the same competition and financial reporting rules as private companies. Their shares should also be partly issued and listed at the stock exchange so that their economic performance is systematically monitored. Government authorities have recently announced the possible listing of the large steel concern Erdemir and also Turkish Airlines on the New York Stock Exchange. This approach can also be applied, as a second-best solution, to public banks that cannot be swiftly sold to bloc investors. This type of management exposure to market monitoring appears indispensable for SEEs which cannot be fully privatised in the short term.

This approach implies strengthening the role of their boards and improving transparency and disclosure. The boards of SEEs should be assigned clear responsibility for company performance and should have adequate authority, the necessary competencies and sufficient independence to carry out their strategic functions. This would imply a decrease in the number of state representatives on SEE boards and a clear and transparent nomination process based on the skills and competencies required. The boards should also be able to nominate the Chief Executive Officer. Large SEEs should also be subject to the same audit and accounting rules as private listed companies.

Upgrading agriculture

Agriculture provides employment for about 34 per cent of the working population and contributes 12 per cent to GDP. The agricultural sector is economically even more important in certain regions such as in the East, Southeast and

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Black Sea parts of the country. The gap between the employment and GDP shares of agriculture reflects the sector's low labour productivity, which is mainly due to low usage of capital and intermediate production inputs. Prevailing inheritance rules also led to a fragmentation of exploitations over time, so that agricultural activities are predominantly of a low-scale, low-productivity, subsistence-income type (Figure 4.18). The share of formal registration and participation in the social security system (the Bag-Kur pillar for farmers) has remained very limited with only 9 per cent of farmers joining it. Yet, the traditional agricultural sector has provided a buffer for the large excess population of working age with no migration and employment prospects in urban areas.

Agricultural policies have protected the sector to a significant extent against domestic and international competition and have thereby reduced production efficiency. The two main aims of agricultural policy have been to achieve a high degree of food self-sufficiency for the country, by heavily subsidising agricultural inputs and credits, and to contain the disparity between farm and non-farm incomes through trade protection and public intervention purchases. In 2003, support to agricultural producers, as measured by the Producer Support Estimate (PSE), amounted to US$9.5 billion or 26 per cent of total farm revenues. Although Turkey's percentage PSE remains below the OECD average, agricultural support has constituted a very large burden for the country due to the substantial size of the agricultural sector. In fact, total support to agriculture, including government outlays for services that are not farmer-specific, such as marketing and promotion, inspection and research, amounted to 4.4 per cent of GDP in 2003. This ratio was the highest in the OECD and almost three times the OECD average.

The low transfer efficiency of existing policies and international commitments like the Uruguay Round Agreement on Agriculture and the National Plan of Convergence with the EU *acquis communautaire* induced a major redesign of agricultural policy, and a new "Direct Income Support" (DIS) scheme for farmers has been phased in since 2001. The programme consists of replacing state subsidised crop purchases, credits and other input support measures with direct financial transfers to farmers, on the basis of their cultivated land. About $90 per hectare have been paid to farmers since 2001, and with a participation rate reaching 75 per cent of all potential beneficiaries in 2002, the cost of the programme amounted to about $1.25 billion.

The new system has the advantage of reducing price distortions in agricultural product, credit and input markets and therefore improving resource allocation. Farmers will have an incentive to adjust their production patterns to demand that is articulated through markets, instead of producing those crops or using those inputs that receive the highest subsidy rates. Moreover, the DIS system eliminates all indirect subsidies to policy intermediaries, such as the agricultural bank, fertiliser and other input producers and the many agricultural purchase and

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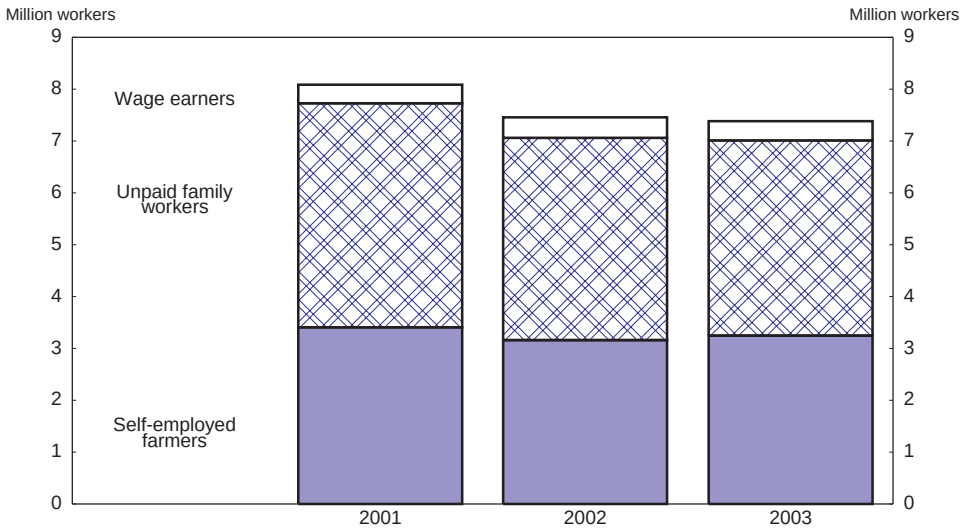
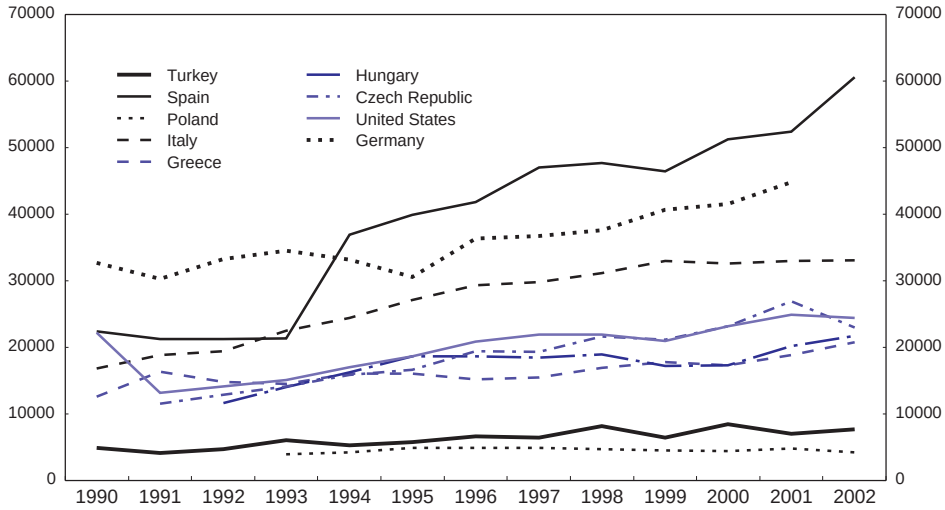
Figure 4.18. **Forms of employment and productivity in agriculture**

A. Forms of employment



B. Productivity in agriculture
Value added per agriculture worker, in US$ PPPs



Source: World Bank, OECD and Household Labour Force Surveys.

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marketing bodies, so that the transfer efficiency of public funds improves significantly. As farmers adjust their production to the new, more market-oriented policy framework, it will be possible to gradually reduce payment rates and overall programme costs.

The big challenge now for Turkish agriculture and agricultural policy is to durably enhance productivity, improve the composition of produce and upgrade the technical know-how of farmers, so as to permit the latter to increase their market-based incomes and reduce their dependence on direct income support. The low basic human capital of farmers, who have a relatively high rate of illiteracy, in particular in certain regions,[61] will be a challenge for the implementation of policies and will necessitate some remedial actions. The potential for non-farm incomes, including in agro-food industries, traditional arts and crafts such as carpet production, and "green tourism" will need to be explored. If the rural economy in Turkey were gradually to converge towards the productivity levels reached in other OECD countries, rural incomes and GDP would receive a considerable boost. Little was achieved in this regard to date, and future performance will need to build on enhanced human capital in farming, on market-based institutions in agricultural banking and marketing services – replacing state-subsidised banking and marketing channels – and more effective technical extension services. FDI entries in agriculture should also be actively sought, not least because of positive spill-over and demonstration effects. In this context, the adaptation of the land property regime to facilitate such investments should be considered. Turkey has considerable natural resources in its rural areas, favourable weather conditions, and good irrigation potential, so that with more favourable framework conditions this sector should be able to foster GDP growth rather than restrain it.

Summary policy recommendations

The ongoing reforms of the capital, labour and infrastructure markets, and of the corporate law, tax and agricultural support systems have the potential to improve conditions for business investment, facilitate the entry of new firms and improve resource reallocation. However, this wide-ranging reform agenda is not yet fully implemented and needs further improvements in order to show its full potential. The Box below summarises the policy recommendations arising from this chapter's analysis of ongoing changes and remaining tasks in establishing an entirely open, non-discriminatory and competitive business environment (Box 4.9).

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Box 4.9. A strategy for establishing an open and non-discriminatory business environment

Facilitate long-term investment and job-creation in the formal business sector

Strengthen the capital market

- Pursue restructuring and consolidation of the banking sector. Accelerate privatisations, facilitate the entry of international institutions and make banks immune to intra-group and political influences.
- Refine capital adequacy and risk monitoring by implementing Basel II rules. Strengthen the independence of the banking supervisor and improve coordination with on-site bank inspectors.
- Enhance corporate governance and financial transparency in the corporate sector. Facilitate and encourage equity floatation by family holding companies. The state economic enterprises which cannot be rapidly privatised should be listed and governed by independent boards.
- Support the private equity and venture capital industry by adapting the legal rules for minority investor protection, shareholder agreements and initial public offerings.

Overcome the duality of the labour market

- Enforce and diffuse the new provisions of the labour code which facilitate flexible work arrangements.
- Cut social security contribution rates for a significant part, for instance by half, and fully finance revenue shortfalls through other taxes and efficiency gains.
- Stop the upward drift of the minimum wage and introduce a regional differentiation of minimum wages.

Streamline corporate taxation

- Fully implement the corporate tax reform and oppose any pressures for additional exemptions.
- Simplify the tax regime of small firms with more recourse to presumptive and lump sum taxation.
- Overcome the divide between corporate-tax payers and tax evaders through full enforcement.
- Modernise the tax administration by implementing the existing plans.

Reform infrastructure services

- Implement the already adopted regulatory and competition reforms in energy, telecommunications and transportation.
- Make small users eligible for competitive services.
- Avoid cross-subsidies from businesses to households to finance social services.

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Box 4.9. A strategy for establishing an open and non-discriminatory business environment (*cont.*)

Increase foreign direct investment

- Fully implement the 2003 law on foreign direct investment. Overcome the implementation obstacles arising at technical, administrative and local levels.
- Use privatisations to attract first-class international investors.

Downscale the state-owned sector

- Implement the privatisation programme by plainly identifying and overcoming the obstacles which made it stall so far.
- Provide international investors with adequate guarantees against any political, social, regulatory and judicial liabilities they will face in future operations. Therefore reduce the large risk premia bearing on privatisation auctions which currently widen the gap between government and investor valuations.

Formalise the unregistered/informal enterprises

- Develop a "formalisation strategy" taking account of actual productivity and income levels in different business areas.
- Improve both enforcement and economic incentives to increase formalisation.
- Put in place public support schemes (notably at local level) to raise the productivity of informal operators in order to qualify them for registration.

Upgrade agriculture

- Complete the reform of the agricultural support system (which replaced price support by direct income support) with improved technical services to upgrade the productivity of Turkish agriculture.
- Support employment alternatives to low-income agricultural jobs. Local initiatives and foreign direct investments should be encouraged to improve economic activities in rural areas in both farming and non-farming sectors.

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Notes

1. Turkey became IMF's second biggest borrower after Brazil with a total of outstanding loans of US$23 billion in 2004. Loans were disbursed against conditionality requirements in a wide range of areas with fiscal implications (which cover practically all the major policy areas in Turkey with the exception of those covered by the EU *acquis*). In the areas where they overlap, EU and IMF benchmarks converge on standard institutions and practices available in OECD countries.
2. The World Bank supported the implementation process with a very large Public Sector and Financial Adjustment Loans program. The outstanding loans of the World Bank amounted to US$6.7 billion in 2004.
3. State Planning Organisation, Preliminary National Development Plan 2004-2006.
4. Over 1994-2004 the size of public deficits and private investment have been comparable, fluctuating around 15 per cent of GDP. Competition arose between public and private sectors in the utilisation of domestic savings and access to international borrowing capacity.
5. In the past, real interest rates paid by Turkish businesses in both domestic and foreign currency markets exceeded the Turkish government borrowing rate (by around 30 percentage points in domestic loans). Recently, some commercial banks have been rated better than the sovereign borrower and could reduce their international funding costs below the government interest rate.
6. There were 81 banks before 2000-2001 and the number fell to 49 in 2004, following post-crisis restructuring, closures, sales and mergers.
7. See Banking Regulation and Supervisory Agency (2003).
8. A detailed Survey commissioned by the Istanbul Stock Exchange and published in 2003 revealed that firms with corporate governance practices coming closer to the OECD principles of good corporate governance achieved a better stock market performance. See Istanbul Stock Exchange Review, March 2003. This inspired the notion of a "Istanbul corporate governance index" which would be a portfolio of firms certified for their good corporate governance practices. Investors would then have the option of investing only in such companies.
9. If adequately regulated and professionally managed, intra-group banking may remedy certain informational failures typical of less developed and rapidly changing economies.
10. See Aras (2004).
11. There are two semi-official development banks, supported with World Bank credits, which grant long-term loans, and a government-owned Eximbank which distributes

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export credits and guarantees. Private banks may support large-size projects but generally through consortia.

12. Loans in 217 large and 109 small companies had been restructured by August 2004. However, almost half of the total value of restructurings was dedicated to one single group of companies (the Cukurova Group, the third largest holding group in Turkey).

13. The World Bank refrained from extending a further loan for this scheme in 2003 arguing that the banks involved were not taking the necessary share of the burden and were aiming at using the funds to improve their own liquidity rather than backing the investments of the re-scheduled companies.

14. This approach is successfully utilised in the US, in the Small Business Administration (SBA) SME loan guarantee programs. It was recently advocated by the management of the European Investment Bank as a promising avenue in European SME loan support programs (at the OECD Istanbul Conference on SME policies, 4-5 June 2004). The Istanbul Stock Exchange, in co-operation with the OECD Istanbul Center, has diffused an "SME business model" as a reference blueprint to facilitate the necessary standardisation of the organisation and reporting practices of SMEs which could facilitate their participation in such programs (IMKB, 2004).

15. On the contributions of international banks in emerging economy financial markets see: BIS (2003).

16. This is a weighted average of the floated share of the equity capital of listed companies in September 2004.

17. In the past decade, the Istanbul stock exchange (ISE) has faced alternative waves of exits and entries by international and domestic investors reflecting alternatively optimistic and pessimistic perceptions about the quality of investments. These, together with currency fluctuations, have resulted in high volatility and low average profitability of investments. In July 2004, market capitalisation at 19 per cent of GDP, fell short of the OECD countries average. Indeed, three family groups account for 50 per cent of total market capitalisation, and bank stocks have a total share of 60 per cent. The ISE publishes three indices comprising 100, 50 and 30 companies.

18. See Bosut (2003).

19. Sparx Asset Management is considered the leader of the market, with seven investments between 1995-2003 and two successful IPOs. Around ten international funds made one or two investments each, and committed only about half of the funds raised. One of the pioneers, Bankers Trust, returned the US$50 million raised to investors, lacking attractive deals.

20. Local pension fund and insurance portfolios are too thin at this stage for any significant allocation to private equity and venture capital.

21. This form of investment trust was tax-exempt for dividends and capital gains, but was required to list its shares and exit investments within five years. Only a few public and semi-public banks have adopted it, for relatively small funds. In 2003, the Capital Markets Board waived the most constraining provisions of this instrument.

22. Legislation authorising the merger of a large public bank (H*alkbank*) and a private bank under custody (P*amukbank*) was adopted in 2004 opening the way for their privatisation. It provides a prime occasion to attract a first-tier international retail bank to Turkey. The project of selling a large stake in a large private bank (G*aranti*) to the Italian group I*ntesa* failed in 2004 for commercial reasons.

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23. The Capital Markets Board issued *Corporate Governance Guidelines* inspired by the OECD Principles of Corporate Governance. An "Institutional Investment Association of Turkey" was also created in 2002 to diffuse corporate governance best practices. These activities are supported by many market professionals and investors.
24. Banking Regulation and Supervision Agency (BRSA).
25. The largest source of corporate taxes are stock-market-listed firms, particularly banks, which present the most reliable and best audited accounts. Banks' share of total corporate income tax revenues reached 50 per cent in 2003.
26. Widely utilised dual accounts report different books to tax authorities and financial partners. They make arms' length monitoring and funding of companies very difficult.
27. See the section below on the duality of productivity performances of enterprises.
28. Low cost businesses compete in both domestic and international markets with the producers of commodity-type goods from low wage countries such as China, India, etc. Imports from China increased from a total of US$1.4 billion in 2002 to US$2.6 billion in 2003, and to US$1.3 billion in the first four months of 2004.
29. Formal sector firms react to the heavy burden of labour tax wedges by underreporting the taxable wages of their workers at a minimum wage level. As a consequence, half of all contributors to social security are presently registered as minimum wage earners. Authorities have responded to this widespread practice of underreporting by establishing a wage-floor 56 per cent above the minimum wage, as a minimal base for social security contributions. This had the perverse effect of increasing the tax wedge of the effective earners of the minimum wage. Authorities declared in 2004 their willingness to put an end to the minimum contribution floor system.
30. If funding sources for such social or regional policy objectives cannot be found, "taxing" the professional users via higher-than-competitive prices becomes convenient, and has been commonly used in infrastructure services in Turkey and the other countries which have not yet liberalised their markets. The magnitude of such cross-subsidies appears particularly large in Turkey as revealed by price structures (Figure 4.11). In such a setting, transparent or less transparent measures are used to delay competition in order to preserve cross-subsidies as long as possible. Cross-subsidisation may also be used to finance the excess costs arising from past policy decisions (the so-called "stranded costs"), such as long-term electricity and gas purchase contracts at above-market prices.
31. New entrants in the air transportation market hired their aircraft from the international market, including, at certain occasions, from neighbouring Russia and in form of "wet leases" (together with pilots and flight technicians). National aircraft, flying staff, airports and air corridors are also utilised more and more intensely, to cater to growing traffic and competition. Safety regulations and infrastructures of this vibrant market and the overall governance of the air traffic management system appear in need of strengthening. The multiplication of commercial entries will require a reinforcement of the collective institutions and infrastructures of the industry. The same need will arise with multiple entries in electricity, gas, telecommunications, and possibly railway industries.
32. "Universal service funds" funded by all operators in a sector, in proportion to their sales or profits, is an attractive solution. Many countries fund the additional costs of public service obligations outside the government budgets through this mechanism. Many countries also put these public service obligations to auction and allocate them to the lowest bidders.

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33. This also includes preventing those informal sector firms from using free electricity through fraudulous connection to the electricity grid. The amount of fradulous electricity withdrawals amounted to more than 20 per cent of total electricity utilisation in Turkey in 2003 and includes both industrial and household utilisation .
34. According to the rules adopted in 2003 inflation accounting can be applied for tax purposes if cumulative inflation over past three years attains a given threshold. The Capital Markets Board can require that stock exchange-listed companies present their accounts on an inflation-adjusted basis even when this cumulative threshold is not reached.
35. The stated government policy is that additional tax incentives (over the simplified tax system and already announced regional subsidies) are not desirable and will not be granted. However, there are press reports about the possible introduction of a new incentive scheme for very large FDI projects based on tax holidays.
36. In such circumstances, many FDI investors decided to associate with an influential local partner to gain some leverage on their conditions of operation.
37. This Council was created in 2002 under the leadership of the Foreign Investment Association (YASED), with representation from a large number of domestic and international firms, their professional and trade associations, and their government counterparts in public agencies and line ministries. Its many working groups covered a range of topics from work permits for foreign citizens to the duties of the patent institute. They agreed on the most critical measures to facilitate foreign as well as domestic business investments, and recommended them to the government.
38. See FIAS, (2001a and b).
39. See TUSIAD, (2004a).
40. 48 per cent nevertheless mentioned that they had problems obtaining visa and work permits for their foreign workers.
41. This point is emphasized by the managers of the international car manufacturers with large production activities in Turkey.
42. See McKinsey Global Institute, 2003.
43. These estimates are generated by comparing labour force surveys measuring actual employment, and social security institutions' reports of registered employment. It is available in sectoral detail.
44. Including the illiteracy of many self-employed.
45. See Special Chapter of OECD Employment Outlook, 2004: "Informal employment and promoting the transition to a salaried economy".
46. In the past, registered small-size taxpayers faced frequent unexpected tax increases while individuals remaining outside the registration system "escaped" such surprises.
47. The State Statistical Institute's ability to collect a wealth of economic data on production activities, labour markets and income distribution in ways apparently unbiased by the administrative and tax concerns of respondants deserves recognition.
48. See Farrell, Meen and Başer (2003).
49. Minimum living standard allowances for personal income tax purposes are extremely low in Turkey at around 9 per cent in GDP *per capita*, against much higher allowances at 30 per cent and above in comparable countries. This makes practically all minimum wage earners subject to personal income tax.

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50. Some employment-protection provisions of the labour code apply to enterprises employing more than 30 workers; obligations concerning the mandatory hiring of members of disadvantaged groups such as handicapped workers, former prisoners, etc. apply above 50 employees.

51. The narrowing down of the unregistrered retail sector in Poland is an example.

52. In July 2002, faced with the demanding fiscal constraints of the primary surplus target; growing social security deficits; and massive evidence of wage underreporting in the formal sector, the Council of Ministers decided to increase the *reference* (minimal) gross wage floor applicable in the calculation of social security contributions of minimum wage workers to 56 per cent above the minimum wage itself, introducing a widened labour tax wedge for low wage earners. If this measure partially remedied to the artificial loss of revenues by the social security system, it also penalised the enterprises *actually* paying minimum wages, by increasing their labour taxes. The labour tax wedge for a true minimum wage earner increased to a highly regressive 45 per cent (Table 4.5). This "reference gross wage floor" will be abolished in the course of 2004.

53. See DSTI *Review of Small-and-Medium Size Enterprises and Policies in Turkey*, Background Survey to OECD Istanbul Conference on SME Policies, June 2004.

54. The IMF supported the Turkish government in this endeavour, providing detailed technical advice on the basis of comparable countries' experiences with improving tax administration in the unregistered sector. The second phase of the Direct Tax Reform programme aiming at strengthening tax administration and audits benefited from this technical advice.

55. Assuming that the share of private sector workers, including self-employed entrepreneurs, is around 55 per cent of GDP in Turkey (a conservative assumption), and under the existing social contribution rules, the "expected" (potential) social contribution liability of the corporate sector should be around 15 per cent of GDP. In practise, however, it is less than 4 per cent. In other OECD countries with high rates of social contributions, the share of social contributions in GDP, including contributions by public sector workers, ranges between 12-20 per cent, well above its level in Turkey (see Figure 4.12, Panel C).

56. In Hungary, Czech Republic, Greece, Spain and Italy, the share of social contribution revenues in GDP is already above 12 per cent.

57. A cut in social security contributions of this magnitude should generate second round registration and employment effects – even if the elasticities involved are low. According to some estimates, the elasticity of labour demand with respect to effective employment costs is relatively low at 0.25 for the manufacturing sector in Turkey. However, and more importantly, such cuts would provide an incentive for informal sector employers and workers to join the formal sector and this should be expected to increase the tax and social contribution revenues. If only 10 per cent of the unregistered workers join the formal sector, and if the totality of these workers are declared as minimum wage earners, fiscal revenues could increase by 0.46 per cent of GDP. If additional registrations reach 20 per cent of the stock of presently unregistered, fiscal gains would approach 1 per cent of GDP. Yet, as a matter of prudence, such second-round effects should be disregarded in the fiscal evaluation of such a tax restructuring.

58. Two industrial companies among the 10 largest in sales and six among the 10 largest in wage earners employment were state economic enterprises in 2003, according to the Istanbul Chamber of Industry rankings.

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59. A performance benchmark was included in the 2001 Stand-By Arrangement with the IMF, implying a reduction of 45 792 in total SEE employment. As of end-December 2003, 41 536 positions had been eliminated mainly through voluntary retirement. 14 476 additional positions were eliminated, by certain SEEs, in excess of their original targets. Total worker attrition therefore reached 56 012.
60. Estimate provided by the Privatisation Administration (PA).
61. The illiteracy rate of the labour force is around 10 per cent in western provinces but between 20-30 per cent in the more rural eastern regions. See Day1oglu and Ercan, 2004.

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5. Sustainable development

Some aspects of sustainable development

There is a growing concern that long-run sustainable development may be compromised unless measures are taken to achieve balance between economic, environmental and social outcomes. This section looks at three specific issues of sustainable development that are of particular importance for Turkey: addressing *climate change*, reducing *air pollution* and ensuing *sustainable use of natural resources*. In each case, indicators are presented to measure progress and the evolution of potential problems, and an assessment is made of government policies in that area. The section also considers whether institutional arrangements are in place to integrate policy-making across the different elements of sustainable development (see Box 5.1).

Climate change

Main issues

Turkey is a rapidly growing country whose income level is moving towards that of the rest of the OECD area. This catch-up process has been associated with a rapid growth of greenhouse gas emissions. Nonetheless, carbon emissions from any country contribute equally to the pressure on the global climate. Consequently, the major issue facing policy makers is how to contribute to reducing the burden on global resources at a low cost and without jeopardising the rapid growth of the economy.

Performance

Economy-wide greenhouse gas emissions from fuel combustion jumped 65 per cent in the 1990s, in contrast to the more modest growth in the rest of the OECD area (Table 5.1).[1] Although Turkey has been growing more rapidly than the rest of the OECD area, the principal reason for the relatively rapid growth in emissions has been the very different evolution in the greenhouse gas intensity of the economy generated both by an increase in the use of energy per unit of output (in contrast to the rest of the OECD area) and an increase in GHG emissions per unit

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Box 5.1. The integration of policies across sustainable development areas*

The integration of policy in Turkey is pursued through the inclusion of sustainable development objectives in overarching policy initiatives. Sustainable development is one of the main aims of the eighth five year development plan, which covers the period 2001 to 2005. It incorporates policies adopted in the 1998 National Environment Action Plan, which identified investment programmes for enhancing environmental management based estimated costs and benefits. The plan was based on a widespread consultation among stakeholders. Despite the attention paid to sustainable development in policy making, there are problems in implementing policies. For example, the Ministry of the Environment has lacked sufficient authority to enforce environmental legislation and the majority of public officials are unaware of requirements in environmental protection legislation. A recent reform to the Ministry of the Environment has strengthened its administrative capacity and expanded the coverage at the sub national level.

The use of cost benefit analysis is not systematically applied to policies and projects in Turkey. The use of environmental impact assessments was introduced in 1993 for major infrastructure projects, but in 1997 requirements were weakened considerably in order to complete projects started before the legislation was introduced. This downscaling of requirements was undertaken in response to concerns about EIA related costs and time delays voiced by domestic and foreign investors. However, in 2002, positive EIA in sustainable development policy making was again strengthened.

The need for appropriate evaluation of benefits and costs is strengthened by the high cost of moving towards compliance with EU Environmental Directives that will be necessary if the government is to meet its stated aim of becoming a member of the European Union. One estimate puts the total present value of the costs of complying with the directives for Water Supply, Waste Water, Air Pollution and waste at about EUR 26 billion (Markandya, 2003). On an annual basis, the costs would likely run at 2 per cent of GDP over a period of 20 years. Such estimates are based on the assessments made for countries currently joining the Union. The government is making more precise estimates of the actual cost likely to be faced by Turkey. Cost benefit studies of these investments suggest that there are clear differences between the benefit cost ratios in the four major programme areas (ECOTECH, 2001). In particular, air pollution control and water supply investments are socially very profitable and account for only one third of total compliance costs. On the other hand, compliance costs in the waste water and waste management sectors are high and benefits are lower. The contrast in the benefit cost ratios for different policies suggests that priority should be given to achieving compliance with the EU Directives for air and water supply quality initially. Cost benefit analysis could play a considerable role in determining the appropriate pattern of derogations that might be granted in any eventual accession process.

* The sections in this report dealing with climate change, air pollution, and sustainable use of natural resources are inputs into the Organisation's follow up on Sustainable Development as mandated by the Ministerial Council decision in May 2001.

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Table 5.1. **Main indicators: climate change**

	Total GHG emission intensity	CO_2 emission intensity, electricity	CO_2 emission intensity, transport	GHG emission intensity, other sources	Total GHG emission intensity	CO_2 emission intensity, electricity	CO_2 emission intensity, transport	GHG emission intensity, other sources
	2000, g CO_2 per 1995 US$ using PPPs				Percentage change 1990-2000			
Australia	1 061	360	159	542	–1.82	–0.46	–1.52	–2.70
Austria	403	66	96	241	–2.05	–3.20	–0.02	–2.42
Belgium	600	105	97	398	–1.47	–1.27	–0.19	–1.81
Canada	888	156	183	549	–0.94	0.24	–0.85	–1.28
Czech Republic	1 082	468	100	514	–2.77	2.54	6.33	–6.58
Denmark	501	171	88	242	–2.38	–2.73	–0.84	–2.64
Finland	597	178	99	321	–2.56	–0.17	–1.83	–3.84
France	402	30	102	271	–2.00	–2.60	–0.02	–2.57
Germany	519	168	91	260	–3.92	–3.57	–1.05	–4.95
Greece	819	275	122	422	–0.16	0.07	–0.02	–0.34
Hungary	747	192	79	476	–2.60	–1.30	–0.24	–3.40
Iceland	398	0	84	314	–1.82	. .	–2.47	. .
Ireland	643	152	98	392	–4.63	–2.97	0.23	–6.03
Italy	432	108	89	235	–1.06	–0.43	0.01	–1.70
Japan	441	132	81	229	–0.34	0.13	0.89	–0.99
Luxembourg	314	6	249	59	–12.47	–27.09	0.62	–23.13
Netherlands	553	138	80	335	–2.49	–0.95	–1.09	–3.34
New Zealand	1 078	82	179	817	–2.21	2.87	0.80	–3.12
Norway	454	3	97	354	–2.91	–1.57	–2.86	–2.93
Poland	1 109	458	74	576	–7.12	–6.48	–1.39	–8.08
Portugal	516	129	111	276	–0.06	0.85	3.47	–1.51
Slovakia	846	249	70	526	–5.21	0.98	1.98	–7.60
Spain	536	130	127	278	0.35	1.21	0.97	–0.28
Sweden	340	35	110	195	–1.91	–1.52	–0.77	–2.56
Switzerland	267	2	78	187	–0.94	–3.82	–0.40	–1.11
United Kingdom	512	137	106	268	–3.58	–4.30	–1.41	–3.94
United States	779	273	192	315	–1.86	–0.73	–1.30	–3.04
Total of above OECD countries	639	201	137	307	–1.88	–0.79	–0.58	–2.90
Non Annex I countries								
	CO_2 emissions				CO_2 emissions			
Korea	679	232	134	. .	0.33	4.49	1.08	. .
Mexico	456	150	124	. .	–1.22	2.86	–1.88	. .
Turkey	488	178	84	. .	0.47	4.52	–1.26	. .

Source: Greenhouse gas emissions: national submissions to the UNFCCC and national publications. Carbon dioxide emissions for electricity and transport: IEA (2001). GDP: OECD, SNA database.

of energy. The former movement has been dominated by the markedly more rapid growth in the use of electricity per unit of GDP in Turkey relative to the rest of the OECD (Table 5.2). The latter movement reflects the increasing share taken by natural gas in the country's energy mix and the associated fall in the proportion

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Table 5.2. **GHG emissions and sectoral indicators**

	Total GHG emissions		CO_2 emissions per Kwh electricity	Manufacturing CO_2 emissions per unit of output	Residential CO_2 emissions per unit of private consumption	Road transport CO_2 emissions per vehicle-kilometre	Electricity use per unit of GDP	Industrial output per unit of GDP
	Level million tonnes CO_2 equivalent 2000	Annual average percentage change						
		1990-2000	1990-2000	1990-2000[1]	1990-2000[2]	1990-1999	1990-2000	1990-2000[1]
Australia	502	1.7	0.1	–0.7	–1.1	–0.8	–0.6	–1.6
Austria	80	0.3	–2.2	–1.7	–2.4	–1.8	0.1	0.3
Belgium	152	0.7	–1.6	–0.2	–1.1	–0.8	–0.2	–0.5
Canada	726	1.8	1.0	–2.6	–2.0	–0.4	–0.5	1.0
Czech Republic	147	–2.7	–0.2	–7.7	–15.4	4.1	2.8	0.2
Denmark	69	–0.1	–3.4	–1.7	–4.0	–0.2	0.7	–0.6
Finland	74	–0.4	–0.9	–7.2	–7.0	–1.4	0.7	3.2
France	550	–0.2	–2.8	–2.4	–1.7	–0.5	0.6	0.3
Germany	991	–2.1	–1.3	–1.1	–4.0	0.7	–2.1	–1.8
Greece	130	2.2	–2.0	–0.4	2.6	–4.4	2.1	–1.7
Hungary	84	–1.8	–1.3	–12.7	5.4	–3.3	0.2	5.3
Iceland	3	0.7	4.9	. .	–7.7	0.3	2.6	. .
Ireland	67	2.2	–1.3	. .	–6.2	4.8	–1.8	. .
Italy	547	0.5	–1.2	–2.0	–1.4	–1.1	0.8	–0.2
Japan	1 386	1.1	–0.5	–0.8	0.1	0.3	1.0	–0.2
Luxembourg	6	–7.8	–24.5	–13.0	–2.3	3.8	–3.4	–2.2
Netherlands	218	0.4	–2.8	–1.8	–2.9	–0.1	1.8	–0.6
New Zealand	77	0.5	3.7	. .	–3.2	–2.1	–0.8	. .
Norway	55	0.6	0.5	0.8	–8.8	0.5	–1.9	–2.7
Poland	386	–3.7	0.5	–5.8	–6.7	–6.4	6.9	4.4
Portugal	85	2.7	–0.9	0.7	–1.0	–0.4	1.8	–0.6
Slovakia	49	–4.0	1.0	–4.7	–7.4	2.3	0.2	2.4
Spain	386	3.0	–0.2	–0.6	0.4	–0.3	1.2	–0.1
Sweden	69	–0.2	–2.3	–4.7	–4.1	–1.4	–0.5	2.5
Switzerland	53	–0.1	1.8	. .	–1.7	–0.3	1.1	. .
United Kingdom	649	–1.3	–4.1	–2.1	–1.9	–0.5	–0.7	–1.6
United States	7 001	1.3	–0.4	–4.0	–1.9	–0.2	–0.4	0.4

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Table 5.2. **GHG emissions and sectoral indicators** (*cont.*)

	Total GHG emissions		CO_2 emissions per Kwh electricity	Manufacturing CO_2 emissions per unit of output	Residential CO_2 emissions per unit of private consumption	Road transport CO_2 emissions per vehicle-kilometre	Electricity use per unit of GDP	Industrial output per unit of GDP
	Level million tonnes CO_2 equivalent 2000	Annual average percentage change						
		1990-2000	1990-2000	1990-2000[1]	1990-2000[2]	1990-1999	1990-2000	1990-2000[1]
Total of above OECD countries	14 543	0.6	–0.7	–2.2	–1.8	–0.3	–0.2	0.0
OECD excluding US	7 542	–0.1	–1.0	–1.5	–1.7	–0.4	0.0	–0.3
EU countries	4 073	–0.3	–2.1	–1.8	–2.4	–0.4	–0.2	–0.7
Other OECD countries	Total CO_2 emissions							
Korea	444	6.5	–0.7	–2.3	–7.9	–4.3	5.2	2.0
Mexico	369	2.2	1.0	–6.9	–2.7	1.5	1.7	0.9
Turkey	206	4.1	0.2	1.2	–2.6	–5.0	4.3	0.4

1. 1991-2000 for Germany and Hungary; 1992-2000 for Poland; 1993-2000 for Slovakia; 1990-1999 for Portugal; no data for Iceland, Ireland, New Zealand and Switzerland.
2. 1991-1998 for Czech Republic; 1993-2000 for Slovakia.

Source: GHG National submissions to UNFCCC, national sources and UNFCCC; carbon dioxide data, IEA; industrial production, private consumption, OECD.

of energy supplied from renewable sources such as wood, animal waste, hydro-electricity and geo-thermal energy. However, despite the more rapid growth of economy-wide greenhouse gas intensity, by 2000 carbon dioxide emissions per unit of GDP were similar to the average in the OECD area.

Policies

The Turkish government is now in the process of developing a strategy to reduce the growth of greenhouse gases. This strategy will be elaborated in the context of Turkey's adhesion to the United Nations Framework Convention on Climate Change (UNFCCC).[2] Turkey passed the national legislation to ratify the convention in January 2004 and adhesion will take effect in May. Following adhesion, Turkey will have the obligation to implement measures and polices to mitigate greenhouse gas emissions but will not be required to meet a specific greenhouse gas emission target. Turkey will submit its first national communication to the UNFCCC by the end of 2004, including the measures that it proposes to take to limit emissions. This document will draw on existing policies as outlined in the 8th Five Year Development Plan that contained a number of proposals to limit the growth of emissions.

Turkey shares a number of features with some other OECD countries that suggests it would be possible to considerably moderate the growth of greenhouse gases with little or even no cost. The proportion of energy derived from carbon-intensive coal and lignite is one of the highest in the OECD area, reflecting ample reserves of lignite, while a completely liberalised market in natural gas has not existed. Most greenhouse gas emissions in Turkey come from electricity generation sector that has been a largely state-owned industry operating under non-commercial criteria. Subsidies have been growing following a government decision to expand the industry in the late 1990s after a period of cutbacks in employment and output.[3] The import of natural gas has been controlled by another state-owned enterprise that makes all contracts for the import of gas. Currently, consumer prices are held low because the government has to pay for certain imported gas whether it is used or not and also in order to encourage households to convert to gas.

The new Electricity Market Law will fundamentally reduce the role of the government in energy markets, introducing market forces into the sector. New generating and marketing companies will be established, though the transmission grid will remain state-owned. Marketing companies and large consumers will be free to purchase electricity from providers and market forces are likely to result in no more coal or lignite fuelled power stations being built as participants will be allowed to choose fuels on commercial grounds. The gas market will also be liberalised, with import agreement being progressively transferred to private companies in the period to 2009 when the state-owned import company will be split into

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a transmission, storage and trading company. The last two parts will be privatised in 2011. In such a context, new capacity is likely to be gas-fired and produce a much lower level of emissions for each unit of electricity produced, lowering the growth of emissions to two percentage points below the growth of electricity demand (Conzelman *et al.*, 2002).

The privatisation of the electricity companies will also result in new pricing policies. At present, demand for electricity is boosted by a high level of what is called "non-technical" system losses. In practice, this phrase refers both to electricity that is consumed through illegal connections to the network and non-payment of bills. Overall, a significant proportion of electricity (around 23 per cent) is provided without charge. The new distribution companies will need to invest in new metering systems to ensure that these practices end. The problem may be difficult to settle, in that the new distribution companies have different profiles of losses, with illegal consumption rising to 50 per cent in some areas. Enforcing normal contract discipline, though, would further add to the de-coupling of carbon emissions form GDP growth. In addition, both the overall price of electricity may have to rise to reduce the losses of the electricity industry and domestic and industrial tariffs will have to be re-balanced. It is not clear, though, what the overall balance of this re-balancing will be on overall electricity demand. At present, the government is considering what measures in the social area are necessary to complement electricity price liberalisation. It would seem appropriate to separate pricing from social support. The electricity price can then be used to achieve an efficient distribution of resources and the social instruments can then be used to achieve equity goals.

While fossil fuels are likely to become less carbon intensive, the supply of renewable energy is unlikely to keep pace with the growth in the economy. First, consumers are likely to switch away from animal waste as a fuel source as incomes grow, while wood resources are limited by deforestation concerns. In addition, even with a planned tripling of hydro capacity in the period from 2000 to 2020, the share of hydro in total electricity generation will fall.[4] In addition, the environmental consequences of such an expansion will have to be carefully monitored as will overall costs as most of the expansion in the period to 2010 is expected to come from small-scale hydro projects, which are often linked to irrigation projects. However, the DSI (the government agency responsible for managing the country's water resources) has estimated that large South-east Anatolia Project (GAP-MOM, 2000), a combination of hydro-electricity plants and irrigation systems, has benefits that outweigh costs by a factor of over three to one.

There is an ongoing policy initiative to promote energy efficiency. This represents a continuation of energy conservation policies that have been in place since the early 1980s. A framework law on energy efficiency is being elaborated. Currently, policies promoting energy efficiency include audits of large industrial

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enterprises and training for managers, tightening energy efficiency standards for appliances, and requiring greater energy efficiency in buildings and motor vehicles (Ministry of the Environment/UNDP, 2002). Little is known about the cost efficiency of these measures. More extreme government energy-saving measures, such as the switching-off of street lighting, are likely to impose a significant cost on the economy.

A new renewable energy policy is being developed by the government. The principal focus will be the development of renewable sources of electricity production. The regulations governing the new transmission company require it to give absolute priority to renewable energy in the priority system for the connection of the generation facilities to the grid. In addition, retail licensees are obliged to purchase all renewable energy output but only when the price offered by the renewable energy supplier is at or below the public wholesale price of electricity and when an alternative supply of renewable electricity is not available at a lower price. Such a policy limits the extent of the subsidies to the renewable production to the costs of providing backup capacity for what is, often, an intermittent supply of electricity.

Conclusions

The implementation of market-based reforms in the electricity sector offers the possibility of significant improvements in economic efficiency and a reduction in the rate of growth of greenhouse gas emissions. Such reforms have been mooted for many years and have run into considerable barriers, not the least of which is the need for a realistic pricing strategy. The legal infrastructure for this reform is now in place. However, for it to work investors will have to be convinced that the new Energy Regulator is completely free from political intervention in tariff setting, a goal that will be easier to achieve in the context of the currently successful disinflation policy. Already, the fostering of competition in electricity purchasing, and the granting of access to the transmission grid at non-discriminatory prices has been achieved. A further crucial prerequisite for achieving a successful involvement of the private sector will be the phased introduction of a cost-based tariff structure. Equally, the recent expansion of the hard coal industry needs to be rolled-back and restrictions on the import of natural gas lifted through the transfer of gas import rights to potential new competitors and the restructuring and privatisation of the national gas company. State intervention is likely to continue in the area of hydro-power where an expansion of capacity will need to balance the benefits from a low-cost low-emission source of energy against possible environmental and social costs. Overall, the current thrust of market policies point towards a slowing in the growth of carbon dioxide emissions. The new renewable energy policy may also help hold back emission growth as it is designed in way that limits costs.

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Air pollution

Main issues

In Turkey, air pollution is a serious problem that has only recently come to the centre of policy concerns. The social and economic costs of air pollution in Turkey are likely to be large. The latest OECD environmental performance review estimated that excessive sulphur dioxide emissions in the early 1990s might have increased mortality by over 3 000 deaths and restricted activity days by almost 7 million each year (OECD, 1999). A start has been made in this area but the main issue for the authorities is to implement effective policies to address air pollution in a way that ensures a combination of minimum costs and maximum benefits.

Performance

Emissions of sulphur dioxide and nitrogen oxides have increased over the 1990s both in absolute terms and relative to GDP (Table 5.3). Turkey is the only OECD country were the intensity of emissions of nitrogen dioxide rose in this period, while it was one of only two countries that experienced an increase in sulphur-dioxide emission intensity. By the late 1990s, emissions of sulphur dioxide in relation to GDP were double the OECD average, reflecting the heavy share of high-sulphur lignite in power generation and poor quality liquid fuels. Since the end of the 1990s, natural gas usage has been rising rapidly and this has helped concentrations of sulphur dioxide to decline markedly in some of the major urban areas, such as Ankara, Izmir and Istanbul, but they still remain at levels that are double those found on the average in OECD metropolitan areas.[5] Concentrations in the rest of the country, as measured by a simple average of all monitoring stations, are some 75 per cent higher than in the three metropolitan areas.[6] In addition there has been little downward movement in the estimated concentrations of lead in the air, but levels in Turkey are low compared to those found in a number of European countries (EMEP, 2004).

Policies

The government introduced air quality legislation in 1986. This law set limits on the emissions of sulphur dioxide, nitrogen dioxide and particulate matter from newly constructed power plants. By comparison to EU standards, which Turkey aspires to meet, the level of the emission limits in Turkey are substantially above those in force for plants in the European Union that are currently being licensed. For plants that will be licensed from 2003 onwards, the differential in emission limits between Turkey and the EU varies between a factor of 2 and 10 for different fuels and pollutants (Table 5.4, panel A). Of more concern, almost two-thirds of the installed capacity has no de-sulphurisation equipment installed, as it was built before the current regulations came into effect in 1986. In these plants,

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Table 5.3. **Main indicators: air pollution**

	Change in emissions per unit of GDP, 1990-99[1]			Level of emissions, 1999[2]			Improvement in productive efficiency, 1990-1999	
	Sulphur dioxide	Nitrogen dioxide	VOCs	Sulphur dioxide	Nitrogen dioxide	VOCs	Sulphur dioxide per unit of electricity output	Nitrogen dioxide per vehicle
	Per cent per year			Grams per dollar of GDP				
Australia	3.1	–1.9	–2.9	3.9	5.5	4.1	n.a.	n.a.
Austria	–10.2	–3.5	–6.5	0.2	0.9	1.2	–77.2	–32.5
Belgium	–9.2	–3.6	–4.8	0.8	1.2	1.1	–64.4	–22.6
Canada	–5.3	–2.8	–2.9	3.2	2.6	3.5	n.a.	n.a.
Czech Republic	–19.1	–6.6	–5.7	2.1	3.0	1.9	n.a.	n.a.
Denmark	–14.2	–4.9	–5.2	0.4	1.6	1.0	–79.8	–38.9
Finland	–13.0	–3.8	–4.1	0.7	2.1	1.4	–65.3	–28.7
France	–8.3	–3.8	–5.1	0.5	1.2	1.4	–52.0	–37.8
Germany	–20.1	–7.1	–8.8	0.4	0.9	0.9	–85.2	–43.7
Greece	–1.4	–0.3	–0.2	3.6	2.5	2.6	–4.6	–22.3
Hungary	–6.1	–1.1	–3.8	5.5	2.1	1.4	n.a.	n.a.
Iceland	–1.1	–1.7	–4.9	3.7	3.9	1.4	n.a.	n.a.
Ireland	–8.1	–6.3	–7.9	1.7	1.3	1.0	–35.8	–19.0
Italy	–7.6	–4.3	–4.4	0.8	1.2	1.4	–52.8	–31.3
Japan	–1.7	–1.3	–2.4	0.3	0.5	0.6	n.a.	n.a.
Korea	–8.9	–3.3	–9.7	1.6	1.9	0.2	n.a.	n.a.
Luxembourg	–18.7	–9.1	–7.9	0.2	0.9	0.9	n.a.	n.a.
Mexico	–0.4	–0.9	–9.3	1.6	1.6	1.4	n.a.	n.a.
Netherlands	–10.1	–6.5	–8.8	0.3	1.1	0.7	–50.2	
New Zealand	–0.4	–0.5	–1.6	0.7	3.0	2.6	n.a.	n.a.
Norway	–9.7	–2.8	–1.8	0.2	2.0	3.0	n.a.	n.a.
Poland	–10.0	–6.6	–4.8	5.1	2.8	2.2	n.a.	n.a.
Portugal	–2.1	–0.9	0.1	2.4	2.3	3.1	–17.7	–18.3[3]
Slovakia	–13.7	–7.4	–5.6	3.3	2.4	2.0	n.a.	n.a.
Spain	–5.8	–2.1	–3.5	2.2	1.7	3.6	–39.4	–14.4
Sweden	–8.3	–4.3	–3.9	0.3	1.3	2.1	–26.0	
Switzerland	–6.0	–5.4	–6.3	0.1	0.5	0.9	n.a.	n.a.
Turkey	**3.2**	**1.0**	**0.0**	**3.4**	**2.3**	**1.6**	**n.a.**	**n.a.**

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Table 5.3. **Main indicators: air pollution** (*cont.*)

	Change in emissions per unit of GDP, 1990-99[1]			Level of emissions, 1999[2]			Improvement in productive efficiency, 1990-1999	
	Sulphur dioxide	Nitrogen dioxide	VOCs	Sulphur dioxide	Nitrogen dioxide	VOCs	Sulphur dioxide per unit of electricity output	Nitrogen dioxide per vehicle
	Per cent per year			Grams per dollar of GDP				
United Kingdom	–13.9	–7.9	–6.6	1.0	1.3	1.4	–72.8	–51.0
United States	–5.5	–2.5	–4.7	2.0	2.7	1.9	n.a.	n.a.
European Union	–11.1	–5.0	–5.3	0.8	1.2	1.5		
OECD Europe	–10.1	–4.8	–5.0	1.2	1.4	1.5		
OECD	–6.7	–2.9	–4.4	1.5	1.9	1.6		

1. For the OECD average data for countries with missing data for either 1990 or 1999, data for the latest year has been substituted. Estimated data for 1999 represents about 5 per cent of the area total. GDP is measured in 1995 prices. Cross-country aggregations use 1995 purchasing power parity exchange rates.
2. Australia: 1995-99 for sulphur dioxide; New Zealand: 1990-98; Mexico: 1994-98 for sulphur dioxide and VOCs and 1990-98 for nitrogen dioxide; Slovakia: 1990-98 for sulphur dioxide and nitrogen dioxide and 1990-97 for VOCs.
3. 1998 for Mexico, New Zealand and sulphur dioxide and nitrogen dioxide in Slovakia; 1997 for VOCs in Slovakia.
4. Between 1990 and 1997 for Portugal.

Source: Cooperative Programme for Monitoring and Evaluating of Long-Range Transmission of Air Pollutants in Europe (EMEP); World Health Organisation; OECD (2002a).

Table 5.4. **Emission and air quality standards**

Panel A: Emission limits for combustion plants

		Source	Emission limits[1]
PM	< 15 MWth	• New plants	200 mg/Nm^3
		• Old plants	250 mg/Nm^3
	15-50 MWth		Sliding scale
	> 50 MWth	• New plants	150 mg/Nm^3
		• Old plants	250 mg/Nm^3
NO_2	≥ 50 MWth	• New plants	80 mg/Nm^3
		• Old plants	1 000 mg/Nm^3
		Using hard coal with wet bottom	
		• New plants	1 800 mg/Nm^3
		• Old plants	2 000 mg/Nm^3
		Using hard coal with dry bottom	
SO_2[2]	< 300 MWth	• Old plants	1 300 mg/Nm^3
		• Conventional, new plants	2 000 mg/Nm^3 (at 5 per cent oxygen)
		• Fluidised bed	400 mg/Nm^3 (at 7 per cent oxygen)
	≥ 300 MWth	• Conventional, new plants	1 000 mg/Nm^3 (at 5 per cent oxygen)
		• Fluidised bed	1 000 mg/Nm^3 (at 5 per cent oxygen)[3]

Panel B: Turkish and WHO air quality standards (micrograms per cubic metre (¼g/m^3)

	Turkish standards		WHO standards	
	LTS	STS[4]	LTS	STS
SO_2	150	400	50	125
NO_2	100	300	–	150
PM_{10} (< 10μ)	150	300	50	120
O_3 (in ppb)	110	–	100-200	–

Notes: LTS = long-term standards (maximum annual average)
STS = short-term standards (maximum daily average)
PM = particulate matter
Ppb = parts per billion
– = not applicable

1. Limits refer to an oxygen content in exhaust gases of 5 per cent for SO_2 and NO_2; 6 per cent for PM in case of dry bottom furnaces burning pulverised coal.
2. Limits may be granted to allow emission levels of 2 500 mg/Nm^3 for up to six months if low S fuel is not available, provided that the stock height is sufficient.
3. This limit value has been defined by the Ministry of Environment, although it was not included in the Regulation.
4. Turkey's ambient air quality standard for SO_2 on an hourly basis is 900 ¼g/m^3.

Source: Panel A: IEA (2003). Panel B: Turkish State Institute of Statistics and Ministry of Health.

monitoring equipment is sometimes unreliable and is not always installed, in which case readings are only taken on an occasional basis. Local branches of the Ministries of the Environment and Health can act in case of non-compliance by imposing fines or suspending operations. However, in the past, insufficient resources have hindered such action of these bodies.[7] Air quality standards, also

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established in 1986, comprise permissible short and long term concentrations for four types of air pollutants. The national standards allow somewhat higher concentrations in industrial regions and considerably exceed the recommended air quality standards advocated by the WHO (Table 5.4, panel B).

The stated aim to enter the European Union will impose the need for a major policy change in the control of air pollution from stationary sources. Significant investment will be required to reach the limits imposed on existing plants under the EU Large Combustion Plant Directive. In deciding the appropriate level of investment, the costs will have to be balanced against the benefits of reduced air pollution, taking into account the remaining life of the plant. A successful privatisation of generating capacity will require the government to set a schedule of when it intends to lower emission limits to the EU levels, in order that bidders can evaluate their future costs and adjust their offers accordingly. They may have little scope to raise electricity prices as in the marginal plant electricity is produced by low-pollution natural gas. Using more market-related techniques to limit emissions could probably reduce implementation costs, but a precondition for the success of such a programme would be improved monitoring of emissions and strict enforcement of limits.

Significant air pollution has resulted also from residential furnaces. A two-pronged policy has been introduced to control emissions from these sources. F*irst*, the authorities prohibited the use of high sulphur coal for residential heating, mandating households to purchase more expensive high quality imported coal. Poor enforcement has meant that the ban has not been entirely successful.[8] In order to lower the supply of high-sulphur coal, the subsidised state-owned coal company is increasing the number of plants to lower the sulphur content of coal. S*econdly*, the government has expanded the coverage of the natural gas network to include households in certain major conurbations. For example, in Ankara, the increased availability of gas contributed to the nearly two-thirds falls in concentrations of sulphur dioxide and particulate matter that occurred in the first half of the 1990s. However, such an expansion has been accompanied by cross-subsidisation of prices for domestic consumers, a practice that will be difficult to continue in the face of a more competitive gas market. Indeed, price reductions for industrial consumers were introduced at the start of 2004, following a negotiated reduction in gas import prices from Russia.

Pollution from motor vehicles has been accentuated by the slowness with which fuel quality has been improved. Diesel and gasoline fuels have had high sulphur content. Until April 2004, distribution companies were required to buy at least 60 per cent of oil products from domestic refineries and the previously state-owned refining company was slow in making the investment to upgrade facilities both to reduce sulphur and lead content of fuel. But the investment programme for sulphur and lead abatement has accelerated and it should be completed by 2007.[9] Indeed, by 2003 about three-quarters of the petrol consumed was

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unleaded. In 2007 the usage of unleaded gasoline will be obligatory. The diffusion of catalytic converters has been slow, with only 42 per cent of the fleet equipped in 2003. Fleet renewal has been hindered by the level of special consumption tax on cars that ranges between 25 and 75 per cent, with the higher tax rate on larger cars but, in November 2003, a tax incentive was introduced for the replacement of cars more than 20 years old by new vehicles using unleaded petrol.

Conclusions

Investment in air pollution control has been found to be socially profitable in most countries and Turkey is not an exception. The cost of achieving EU pollution emission limits may appear high, but benefits will in most cases outweigh costs, which in any case will be relatively limited in comparison to the average price of electricity. An increase in the capabilities for monitoring and enforcing existing and future legislation will be required, if the reduction emission limits is to be effective. At the same time, more recognition needs to be given to the benefits from pollution reduction. In any case, the current infrastructure makes it unlikely that trading or taxation systems could be effectively introduced. However, in the residential and transport markets, there is more scope for the use of taxation as an instrument to improve air quality by placing higher taxation on more polluting fuels.

Sustainable use of natural resources

Main issues

Climatic and geographical conditions already place considerable pressures on Turkey's water and land resources. These are likely to intensify in the future with continued rapid economic development. The main issues in the sustainable use of natural resources is to establish framework conditions that ensure that water and land resources are managed in a way that is compatible with rising economic activity and living standards.[10]

Performance

Although it has been growing at a rapid rate over the past two decades, water consumption as a share of total freshwater resources is relatively modest in Turkey at around 17 per cent of available resources (Table 5.5). However, as in other countries, the national aggregate masks considerable regional variations in terms of the pressure on surface and ground water resources. Agriculture is the most intensive user of freshwater, accounting for three-quarter of all withdrawals. Over-abstraction from various aquifers is a problem in regions where it is an important water source, particularly in the Mediterranean region (OECD, 1999). In some cases this has also contributed to problems of salinisation and salt water intrusion, which can irreversibly damage land. Further pressure on the land comes from

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Table 5.5. **Main indicators for water withdrawal and land degradation**

	Water withdrawals		Irrigation coverage, per cent of farmland	Land degradation	
	Per cent of available resources	Relative to GDP (1980 = 100)		Per cent of total area	Per cent due to agriculture
Australia	4.3		5	3	59
Austria	2.7	72	0	38	83
Belgium	42.5		5	65	37
Canada	1.7	80	3	2	100
Czech Republic	15.6	57	2	100	93
Denmark	15.7	45	17	0	0
Finland	2.2	41	2	11	100
France	23.9		10	9	0
Germany	24.4	69	3	31	67
Greece	12.1		36	48	5
Hungary	5.0	103	4	65	45
Iceland	0.1	93	. .	52	0
Ireland	2.6		. .	0	0
Italy	32.2		24	28	12
Japan	20.8	61	53	0	0
Korea	35.6	41	58	42	41
Luxembourg	3.4		. .	51	0
Mexico	17.4		24	44	51
Netherlands	4.9		56	5	96
New Zealand	0.6		6	7	30
Norway	0.7		. .	3	0
Poland	18.7	61	1	83	18
Portugal	15.0		24	21	100
Slovakia	1.4	44	6		
Spain	36.8	65	19	38	16
Sweden	1.5	48	. .	25	29
Switzerland	4.9	78	5	0	0
Turkey	**15.2**	**100**	**14**	**99**	**4**
United Kingdom	14.6		2	19	100
United States	19.9	55	12	30	75

Source: OECD.

soil erosion, which affects four-fifths of the land, mainly a result of excessive deforestation and poor farming practices on land that is highly susceptible to erosion.[11]

Policies

Water rights are vested with the state according to the 1982 Constitution. Unless otherwise specified, groundwater extraction from a depth of greater than

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10 metres requires a license. Allowances to extract water cannot be traded. Fines for unlicensed extraction are high, in the range of US$1 000, but appeared to be applied in a way that did not ensure a high degree of compliance. For surface water, only major users, such a hydro-power and thermal power stations, require permission to extract water. Other users are not required to have a licence and are only restricted in the amount of water that is taken by prior use rights. There is no specific ordering of extraction rights in Turkish law, nor is there an overall register of water rights. This situation has lead to conflicts between existing users in the same water basin that the traditional customary rules and regulations are unable to cope with, leaving excessive claims on available water (Svendsen, 2001). The government is considering introducing watershed management policies that would balance conflicting demands for water with the environmental requirements. A pilot scheme has been introduced in one basin.

Water pricing policy for irrigation requires that the tariff covers operation and maintenance costs, but not the full capital costs. However, the operational costs tend to be inflated due to high losses through leakages in distribution network and inefficiencies that have been built up over time. In the mid-1990s, receipts of government-operated irrigation systems only covered around two-fifths of operation and maintenance costs, though given the two year delay in collecting payments, and the high rate of inflation, the real cost recovery level was much lower. In response to these financial problems, the government transferred the management and operation, but not the ownership, of irrigation systems to local organisations. By 2003, the government had transferred 93 per cent of existing irrigation schemes to such groups and they were raising revenues equivalent to around 70 per cent of costs. However, charges are not based on the volume of water used by farmers but are based on the area irrigated by the farmer, giving no incentive for efficient use of scarce resources. Moreover, the absence of property rights over the irrigation water leaves the irrigation districts with little incentive to undertake new investment.

While the position with regard to operating costs has improved, capital charges are still not recovered from users. In theory, the capital costs are recovered from users over a 50 year period and are subject to a low interest rate. In practice, charges have not been adjusted for inflation, so markedly under pricing water (Ünver and Gupta, 2003). This leads to implicit subsidies to the users of irrigation water in Turkey (OECD, 2002a). Moreover, there is no provision for the payment for the upstream costs of delivering the water to the irrigation district. Cotton farmers, for example, only pay 3 per cent of the long-run cost of their irrigation water (Çakmak, 2002). Furthermore, the state finances all investment costs for local irrigation organisations using groundwater and recovers those only in part after a three-year grace period, over twelve years and with no interest. Overall, there is a need to price irrigation water at levels that not only reflect the operating and maintenance costs of existing systems but also cover the full capital and oper-

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ating costs of supplying the water to the irrigation districts. Moreover, where the overall supply of irrigation water is limited, as in some parts of the South-East Anatolia area, realistic pricing is necessary to contain demand (Kibaroglu, 2002). Such a policy would ensure that irrigation is only used in areas where farmers are prepared to pay the long-run cost of the supply.

The high degree of agricultural support, with total support estimates exceeding 4 per cent of GDP (OECD, 2002b) have arguably contributed to the problem of soil erosion through encouraging the intensification of agriculture and farming on unsuitable land. Indeed, 83 per cent of agricultural land is subject to environmental problems. Soil erosion mitigation measures have been in place since the 1970s, but have so far only encompassed a tiny share of the total land area at risk of erosion. Flood control systems designed to counter some aspects of soil erosion have often failed due to sedimentation (as a result of soil erosion further upstream). Projects in different areas of Turkey have contributed to abating the problem through reforestation and supporting sustainable farming practices, with the Ministry of Forestry supporting villages for the protection of forest resources for the past 40 years.

Conclusions

Water policy needs to strengthen the use of pricing to increase the efficiency of water use. In this context, the divestment of irrigation networks to irrigation districts represents a first step in a more rational charging policy, with farmers now paying a higher proportion of the operating and maintenance charges. Capital costs are not being adequately recovered. Nor are irrigation districts being charged adequately for the cost of their water supply that should carry a price that reflects accurately the operation, maintenance and capital costs of providing water to the irrigation networks and a charge for the scarcity value, where supplies are limited. The absence of a national register of water extraction rights needs to be rectified. Once extraction rights are clearly defined, allowing the transfer of such rights could further encourage efficient water use. The codification of these rights, though, will require the introduction of watershed management policies that can ensure that sustainability and environmental requirement are taken into account. Finally, soil erosion is a serious concern and improving farming practices can help reduce the extent of the problem. The authorities should reduce and re-orientate support towards measures that do not give incentives for intensification of production, or farming on marginal lands.

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Notes

1. The Statistical Institute of Turkey has not yet made estimates of greenhouse gas emissions from other sources of emissions, such as agriculture and waste disposal.
2. Technically, the name of Turkey was added to Annex I and removed from Annex II according to decision No. 26/CP.7 of the 2001 Marrakech conference on climate change. However, the name of Turkey was not added to Annex B, which defines the countries that have accepted emissions ceilings, in view of the special circumstances of the country.
3. In 2000, the IEA estimates that Turkish hard coal cost USD 267 per tonne of coal equivalent; in the same year the average import price of coking coal in the European Union was USD 47, resulting in a producer subsidy equivalent of USD 220 per tonne.
4. Turkey has a large potential for geothermal energy, but at present this source only accounts for 0.2 per cent of the electricity production and 1 per cent of the primary energy supply.
5. The figures are not strictly comparable as those for Turkey refer to the winter heating season whereas the OECD averages refer to the whole year.
6. The national monitoring system is run by the Ministry of Health. It operates 175 stations in 75 urban areas, together with a number of rural stations to monitor background concentrations. There are plans to markedly expand monitoring and widen the range of pollutants for which data is gathered.
7. Moreover, in one case (Yatağan), the Council of Ministers overruled a court decision that a plant should be closed due to high pollution levels.
8. Newspaper reports suggest that in periods of extreme cold, such as the winter of 2003-2004, even local authorities have been distributing high sulphur coal.
9. A controlling stake in the refining company was sold to a Russian oil company in February 2004.
10. Potential issues of sustainability may also arise for other natural resources than water and land, such as biological diversity. They are not covered in this section.
11. 39 million hectares have slopes steeper than 20 per cent and 67 million hectares have top soil depths less than 90 centimetres.

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